Tata Steel Ltd. (TATASTEEL)

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PRESENTATION
Operator:
Ladies and gentlemen , good day , and welcome to the Tata Steel analyst call. Please note that this meeting is being recorded. All the attendees , audio and video has been disabled from the backend and will be enabled subsequently. I would now like to hand the conference over to Ms. Samita S hah. Thank you an d over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited
Thank you , Kinshuk . Good afternoon, good morning, and good evening to all our viewers joining us today. Welcome to this call to discuss our results for the fourth quarter and the year ending 31st March 2023. I am joined by our CEO and MD, Mr. T.V. Narendran; and our ED and CFO, Mr. Koushik Chatterjee. I will request them to make a few opening remarks before we open the call and take your questions. Before I ha nd it to them, I will remind you that the entire conversation today is governed by the safe harbour clause, which is on Page 2 of the presentation, which is uploaded on our website. Thank you, and over to you, Naren.

T. V. Narendran : CEO & MD - Tata Steel Limited
Thanks, Samita. Good morning, good afternoon, good evening depending on where you are. Just a few comments before I hand over to Koushik. Global commodity prices staged a recovery during January -March quarter and continued to face an uncertain and volatile operating environment similar to the rest of the financial year. While global inflation and rate hike dynamics have been at the forefront, there were fresh concerns about the banking sector in the past few months, which also weighed on the sentiment. Steel prices across key regions were higher in March compared to December with Western markets inching up. In the U S, prices were over $1,000 /t. Prices of k ey steelmaking material s like coking coal and iron ore continued to be volatile on supply dynamics and wavering expectations about Chinese demand. Overall, the spot spreads witnessed an improvement in the fourth quarter on QoQ basis and were above the FY 2023 average levels but continue d to be below levels witnessed in FY 2022. The economic activity in India continued to improve and apparent steel
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consumption was up 14% YoY for the fourth quarter and 13% for the financial year. The YoY growth in the financial year is an indicator of prevalent domestic demand and was despite the i mbalances created by the levy of export duty earlier in the year.

For Tata Steel, FY 2023 has been a year of strategic progress as we continue to align our portfolio with the India growth story. India's crude steel production now makes up two – third of the o verall production of Tata Steel and should further improve in the coming years. On an absolute basis, Tata Steel India achieved highest -ever crude steel production of 19.9 million ton s and grew 4% YoY on debottlenecking across sites and ramping up the Neelachal Ispat asset. NINL is currently operating at a run rate of 1 million ton s (crude steel plus pig iron) on an annuali sed basis. India deliveries grew mostly in line with the production to surpass the previous best recorded in FY 2022, and domestic deliveries grew 11% YoY with record deliveries across segments.

Moving to the quarter , our deliveries grew 9% QoQ to 5.15 million ton s and saw steady improvement across sectors, particularly auto and

retail. Our net reali sations improved by Rs. 1,700 per ton and were better than the guidance of aro und Rs. 1,400 - 1,500 per ton provided during the last earnings call. Sustainability is at the core of our strategy and Tata Steel is committed to net zero by 2045. Our route and pace of decarboni sation across geographies will be calibrated for each location based on the local regulatory framework, government support , and willingness of custome rs to pay for the highe r cost green steel. We continue to pursue multiple initiatives to reduce our emissions, including a recently initiated trial for injecting large quantity of hydrogen into one of our blast furnaces at Jamshedpur, a global first.

In terms of growth, multiple projects are underway across India, and we are steadily progressing towards our aspiration of 40 million ton s in India. We commissioned PLTCM (Pickling Line and Tandem Cold Mill), which is part of the 2.2 MTPA Cold Rolling Mill Complex at Kalinganagar, and Full Hard Cold Rolled Coils are now being produced . This marks the beginning of an improvement in product mix. The CAL (Continuous Annealing Line) and the CGL (Continuous Galvanizing Line) will be progressively commiss ioned in the next year or so. In Longs, we are well placed to more than double the operations by FY 2030 via multi -location growth and are also focused on product mix enrichment by expansion at our downstream operations.

Moving to Europe, steel deliveries were at 2.1 million ton s in the fourth quarter and around 8 million ton s for the whole year. The drop in reali sations and ongoing upgradation of the cold mill at IJmuiden weighed on spreads despite moderation in costs. The cold mill upgrade is progressing, and the product mix should improve upon commissioning in the next few months. We have also commenced the relining of one of the blast furnaces at IJmuiden in early April, which will be completed in the first half of this financial year. I'm also happy to share with you that Tata Steel has been recognized by Worldsteel as Sustainability Champion for the sixth time in a row and by the World Economic Forum as Global Diversity, Equity & Inclusion Lighthouse. Thank you, and over to you, Koushik.

Koushik Ch atterjee : ED & CFO – Tata Steel Limited
Thank you, Naren. Good morning, good afternoon, and good evening to all those who have joined in. Let me give you a deeper sense of the financial performance.

Our consolidated revenue stood at Rs. 62,962 crores, while our EBITDA stood at about Rs. 7,225 crores, which translates to a consolidated margin of 11%. At Tata Steel Standalone, EBITDA stood at Rs. 8,089 crores, which translates to an EBITDA per ton of Rs. 16,258. Excluding the FX impact, the EBITDA was higher at Rs. 8,318 crores and was up more than 75% on QoQ basis. As provided in Slide 28, there was margin expansion during the quarter on account of improved

steel reali sation and moderation in costs. Within costs, material costs were dow n, while there was a slight increase in the conversion costs driven by royalty expenses and FX impact on intercompany loans provided over time. Royalty increased by about Rs. 187 crores to Rs. 962 crores due to higher production and notified IBM prices. In terms of FX impact, there was a loss of Rs. 229 crores versus a gain of Rs. 571 crores in the third quarter. Overall, the EBITDA margin improved from 18% in the third quarter to about 24% in the fourth quarter. Further improved profitability was also witnessed at our Indian subsidiaries, including Tata Steel Long Products, which turned EBITDA positive on consolidated basis within 9 months of acquisition of NINL.

At Tata Steel Europe, the EBITDA loss stood at about £176 million and on a per ton basis and was broadly similar to third quarter. As shown in Slide 13, deliveries were up by about 9% QoQ , and improvement in cost was mostly offset b

y the
drop in the revenue. During the last earnings call, we had mentioned a drop in revenue per ton of £70 and reduction in overall costs by about £100/t. While the revenue per ton dropped by about £58/t, the overall volumes were lower than anticipated, resulting in absolute revenues being lower than expected.

Further, the cost decreased by £60/t. While the spot prices of energy have dropped sharply, our energy costs did not fall as much as we had hedges in place. You will remember, the hedging for energy cost ha d helped protect us during the European energy crisis last year - while there was a spike in natur al gas and power prices in spot markets, our cost did not increase as much. Spot prices of natural gas dropped sharply this quarter, but the drop in our costs will take a quarter or two to reflect in the profit and loss account.

Taxes for the quarter stood at about Rs. 1,755 crores and decreased QoQ upon lower non -cash deferred tax. You are aware that over the previous 15 months, the British Steel Pension Scheme had completed about 3 insurance buyouts of its pension liabilities up to 62% with Legal & Genera l UK. We had previously explained that with each buy -in, a proportion or a portion of the accounting surplus of the pension is utilised to secure the insurance and a non -cash deferred tax charge is recorded in the profit and loss account. We had also guid ed that we expect this movement to continue till the full de -risking is completed. We can confirm that the residual insurance of 38% of liabilities is currently underway and will be completed in 1Q of this financial year, subsequent to which the business will be fully de -risked from any pension fund exposure.

Tata Steel Europe also assessed the potential impact of the economic downturn in Europe on its business outlook. Based on the assessment, Tata Steel Netherlands is expected to have adequate liquidity. However, Tata Steel UK is expected to be adversely impacted. Tata Steel UK continues to implement various measures aimed at improving its business performance and conserving its cash and liquidity. The discussions with the UK g overnment are still ongoing, but it remains uncertain whether adequate support for decarboni sation would be agreed. Given these circumstances, we have taken an impairment charge of Rs. 11,070 crores in the Tata Steel Standalone books, reflecting invest ment in the overseas portfolio.

Moving to the cash flows , operating cash flow for the quarter stood at about Rs. 8,861 crores versus Rs. 5,020 crores in the third quarter, and this was primarily driven by better working capital management.

Moving to Slide 23 , our consolidated revenues for the full year w ere broadly stable on YoY basis and stood at Rs. 2.4 lakh crores or $30 billion. Our consolidated EBITDA stood at Rs. 32,698 crores, which translates to a margin of 13%. The standalone margin was higher at 22%, while Europe was at 5%, reflecting higher input costs due to inflationary pressures and stressed supply chain. Standalone EBITDA stood at about Rs. 28,175 crores for the year and translates to an EBITDA per ton of Rs. 15,467, while TSE EBITDA stood at about £477 million, which translates to an EBITDA per ton of about £58.

We spent about Rs. 4,396 crores for the quarter and Rs. 14,142 crores for the full year on capex . As Naren mentioned, it was a year of strategic progress with commissioning of the pellet plant and the PLTCM line at Kalinganagar and NINL ramping up to 1 million ton s on annuali sed basis. In FY20 24, we will look to deploy about Rs. 16,000 crores in capex , of which Rs. 10,000 crores will be in India , largely focused on expediting and accelerating the Kalinganagar project. There are some subsidiaries like Tinplate, which are expanding capacity, and this will also be reflected in that Rs. 16,000 cr ores. Further, Blast Furnace 6 reline in IJmuiden in Tata S

teel Nethe rlands will also form a part , and we continue to prioritize this strategic capex over the next 12 months.

The free cash flow generated for the quarter was Rs. 4,800 crores, and our net debt decreased by about Rs. 3,900 crores during the quarter and stands at about Rs. 67,810 crores. For the year, we were successful in maintaining our interest cost, despite a 250 basis points increase in the benchmark rate by the RBI, and 475 basis point rate hikes by the Fed. Our financial strategy is calibrated to generate returns across the cycle, and our financial m etrics remain within the medium -term targets. Net debt to EBITDA is at 2.07x and Net debt to Equity is at 0.61x. We remain committed to our long -term target of deleveraging whenever we generate free cash flow, whi ch is surplus to our needs and capex and balance with growth aspirations and move towards a much more healthier balance sheet. We aim to reduce our leverage and resume the deleveraging journey in FY2024 .

As mentioned in the press release, the Board has rec ommended a dividend of Rs. 3.6 per share. With this, I will end my comments and open the floor for questions. Thank you so much.

QUESTIONS AND ANSWERS

Operator

The first question is from Sumangal Nevatia of Kotak Securities .

Sumangal Nevatia, Kotak Securities:

My first question is on the 5 MTPA Kalinganagar plant. Could you share some specific timeline as to where we a re as far as the commissioning is concerned and what sort of volume growth, we can expect in FY2024 and FY2025?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. So, Sumangal , basically as you heard from Koushik , we have commissioned the pellet plant and also the Cold Rolling Mill without the annealing and the galvani sing facilities , which are going to come up over the next 12 to 18 months. In terms of volumes, it will c ome up in stages . We are adding another Caster in our steel mill shop, which will give us a couple of hundred thousand tons this year because we will better utili se the existing Blast Furnace. But the new blast furnace will not have any impact on this fina ncial year . It will have some impact in the next financial year because it is expected to come around March or April. But the full advantage of volumes will come in FY 2026. Because you will get some benefit of volume in F Y2025 and most of the 5 million in FY2026. The pellet plant will help us bring down the cost . The Cold Rolling Mill will help us add value and the blast furnace will help us add volume .

Sumangal Nevatia, Kotak Securities:

Understood. That is very clear. Thank you. My second question is on prices, both India and Europe . Could you please guide what we are looking at in terms of 1Q versus the previous quarter and in terms of cost how are the costs moving ?

Especially with Europe , we see that the spreads have improved quite dramat ically, so do we expect break -even kind of profitability in the coming quarter s?

T. V. Narendran : CEO & MD - Tata Steel Limited

As far as India is concerned, we are expecting this quarter to be Rs. 1,000-1,200 higher per ton compared to the last quarter. The market is still looking for some direction, so keeping that in mind , this is what we feel. In terms of Europe, it is going to be about £15 per ton higher this quarter over last quarter .

I would like to comment a little bit on the cost side . The co al costs are going to be higher this quarter compared to last quarter , both for India and Europe , because we will be consuming what was bought a few months back. The benefits of lower coal price will accrue in 2Q more than 1Q, so co al costs are expected to be at least $10 - $15 higher in both places. In Europe, as Koushik mentioned, we have not got the benefit yet of gas prices dropping because some of it is the hedges that we've done in the past , which benefited us last year , hence will not

benefit us this year , but will play out over the next two quarters . In terms of actual cost versus the spot prices , it will conv erge maybe in 2Q and 3Q with larger convergence in the latter .

The third comment I want to make is 1Q volumes will be lower than 4Q. I just want you to keep th at in mind because in India we have had a few shutdowns . In Europe while the production will be lower because one blast furnace is down this quarter , but we will use up the slabs . So, we will not have the cost advantage that you would have when running at full capacity. T he deliveries will be of slabs which were produced last year . So, to that exten t it will also reflect a bit of higher cost so while spreads may not increase as much as we would have liked this quarter , they would, pretty much remain at similar levels.

Sumangal Nevatia, Kotak Securities:
Okay I got it . Just one last question , if I may , on this. On the d iscussion with the UK government , I heard the interview when you sa id that there is not much progress . I just want to understand when is the plant reaching the end of life and what is our strategy ? I mean do we shut the plant if we are not satisfied with the support and what timeline are we looking at towards the final decision because we have been hearing about this negotiation for quite some time now . Could you guide a specific time plan , sir?

T. V. Narendran : CEO & MD - Tata Steel Limited
There are two types of assets . The downstream assets are fine . It is more the upstream assets which are reaching the end of life and those assets are reaching the end of life in the next 12 to 24 months. Whenever we feel it is unsafe to run the operation in discussion with all the stakeholders, we will have to take that call . This is assuming nothing comes out of any of these discussions or nothing close to what we want comes out of any of these discussions . In some sense we'll have to take a call within the next 12 to 24 months on the heavy end if there's no support from the governme nt.

Operator
The next question from Prashanth Kota of Emkay Global .

Prashant h Kota, Emkay Global:
Congratulations for the good set of numbers on the India front. So, my question is regarding the European operations . It's been 15 years , we've done all the hard work , we've shown integrity , commitment , and compassion . Now we are in a situation where in the UK there is an end-of-life situation and in the Netherlands, the upcoming relining .

So eventually, we will need government help in both countries . The government will calibrate their help such that even if we are making good margins, we never make any free cash flow at all, maybe for the next 20 - 25 quart ers. So, in this situation, is it not a good idea to say quits ?

T. V. Narendran : CEO & MD - Tata Steel Limited
So, Prashanth, a couple of comments. F irstly, we need to separate the Netherlands and the UK businesses because they are very differently positioned . The Dutch business has traditionally been one of the stronge st steel businesses in Europe which may not have been so visible because it's always been unde r Tata Steel Europ e. Just to give you a sense , in the last 15 years the Dutch business has not had to seek any support from India and has been able to take care of its own needs . We expect it to continue to do so . Even the year which has gone by is an EBIT DA positive yea r, a cash positive year but obviously not in all quarter s. Because of the relining , we have a challenging quarter or two but fundamentally , the business is strong. Even if we were to transition , yes, we need support from the government but a lso the Dutch business generates its own free cash flows, unlike the UK business. So, government support is important , but also b ecause other governments are supporting other steel companies, so we also want to make sure there is as close to a

level playing field
as possible.

So for those reasons, we will seek support from the government but it's not like it is in the UK where the cash flows of the business don't support the transition, and investment [inaudible] . So there the call is , in some sense , more urgent, and we will have to discuss with all of the stakeholders, including the un ions and everybody else and we will take the right call at the right time . Koushik, I don't know if you want to add anything to my response here .

Koushik Chatterjee : ED & CFO – Tata Steel Limited
No, that's fine. I think what you have summari sed is the most relevant . These are two different businesses , which will have two different pa ths. As Naren mentioned , he is actually giving a timeline of 12 to 24 months . I am sure we will come back to you when the time come s and talk about our plans in detail .

Prashant h Kota, Emkay Global:
Sure, sir. T he second question is regarding , given where the coking coal costs are, can we expect some more working capital release in the coming quarters?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Yes, I think we have we have seen significant working capital release in the last quarter . We are watchful about it, but we are taking , not just depending on the price , but also on the efficiency factors on working capital . So, each of the sites , each

of the units , and on a consolidated basis we are looking as to how to drive working capital even b etter, because I think some of our working capital elements like debtors etc are really at the lowest level.

But given the long supply chain, especially in Europe and elsewhere , we will look at working capital release through the year. This quarter also , in Netherlands , as they release the slab stocks for the sales , there would be some release. Working capital is high on the agenda because that is something that can generate internal cash flows for the business.

Operator
The next question from Pinakin Parekh of JP Morgan

Pinakin Parekh , JP Morgan
Hello. I just wanted to understand what the cash burn was in Europe in the second half of FY23 , between UK and Netherlands . Between the interest payments , capex, and inventory b uild, what would have been the total cash loss over there?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
So in the UK , we normally have a burn of roughly £100 to £150 million in six month s' time whereas in Netherlands , we are sitting on cash of €600 million. So, there is no cash burn as such from Netherlands. Of course, when there are cycles of [inaudible] energy price increase, they will draw on working capital but otherwise they are sitting on more than half a billion euros of cash.

Pinakin Parekh , JP Morgan
And just to continue, for FY 2024, the capex guidance is Rs. 16,000 crores on a consol idated basis. Rs. 10,000 crores of that is for standalone, so that implies , probably Rs. 6,000 crores for subsidiaries . How much of that would be in Europe? As a consol idated entity, how much would Europe be able to fund of that capex and how much would be required from India?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
No, so let me explain. I said Rs. 10,000 crores is Standalone India which is Tata Steel limited , of which about 70 % would be on the Kalinganagar project and 30% will be sustenance and other projects. And , when I say Kalinganagar , I'm also including the raw materials which are linked to Kalinganagar. So that's the proportion as far as India is concerned Then I said that there are other Indian subsidiaries , which ar e actually on an expansion mode , be it Tinplate Company , be it Metaliks and others which would be ~Rs. 2,000 crores , and all of them are value accretive .

Tata Steel Netherlands is going to spend about Rs. 3,000 crores and this will be spent c ompletely on their own. Of Rs.

3,000 crores , Rs. 1,100 crores is kind of one – off in the blast furnace reline and the rest of it is actually sustenance , environment , and improvement projects . And a ll of this will be spent by the Netherlands from its own cash . As far as UK is concerned , we are somewhere between , say, Rs. 600 to 800 crores , which is again the critical capex of license to operate , safety , compliance and so on. So, this is broadly the mix as far as the Rs. 16,000 cr ores is concerned.

Pinakin Parekh , JP Morgan
Thank you and just lastly , on the UK , one of the key investors' concerns we get is that what kind of shock can a Tata Steel shareholder expect in 12 to 24 months from UK? What are the two extremes in terms of capital support , which would be required if either the company goes ahead to fund the new investment, or it has to shut down operations? Is it hundreds of million s of pounds number or is it billions of pounds ? It is that uncertainty which is really creating concern . Can you give us some colour over there?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Yes, surely . So, I think , as Nar en mentioned that it is not one bucket . The downstream assets are good assets. The distribution is an important part of the UK market and there are other value -added products which come s out from downstream. They are not reaching the end of life; they can certainly continue. When we a re looking at the upstream facilities, I certainly think it is hundreds of millions and not billions , that much of a point I can make. And, secondly, it is also a question of addressing it in an orderly manner . Therefore, it's not a shock that we would be looking at , at least from

a cash flow point of view . But it is how do you orderly address that issue depending on the conversations that happen with various stakeholders, and which includes the government , unions, and other stakeholde rs. We will have to find an alternative whe re the volumes continue from a downstream point of view . If there is a solution to it , which comes in between ,
we will see as to how it must be. But any incremental investment on a new asset will have to be value accretive , it cannot be one which does not have an investment case.

Pinakin Parekh , JP Morgan
I understand . That's very clear . Lastly, the c ompany goes back to deleveraging but maybe , I missed the target . Can we expect the old target of $1 billion a year?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
I mentioned that last year's volatili ty in the markets et c meant that we had to focus on creating cash flows and also, we did the N eelachal acquisition which itself was about Rs.11,000 crores and along with some of the downstream ferro - alloys business - all taken together, it was Rs. 12,000 crores. So, we expect to resume deleveraging this year at about Rs. 8,300 crores , or about $1 billion . It may not be equally paced across the year. It will be more during H2. H2 is when we will have the ability , because just now honestly , our biggest priority is to allocate capital for Tata Steel Kalinganagar , because that is the most value accretive capital deployment that we can have at this point of time.

Operator
The next question is from Satyadeep Jain of Ambit .

Satyadeep Jain , Ambit
A couple of questions. Firstly, on Europe. I think in the accounts its mention ed that TS Global Holdings is looking to provide letter of comfort on refinancing of UK debt . Given, we are looking at different opportunities and options in the next 12 to 24 months , would it be prudent to take on that debt and refinance at TS Global Holdings ? What is the thought behind that?

And tied to that , you mention ed that the downstream assets are in a much better shape . I understand the conversations with the government whatever the headline figures are, one to two billion pounds , are tied to some support for do

wnstream
and upstream . If downstream assets are in good shape , does the company need that support from the government for downstream also? Or is support for upstream suffi cient ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Fundamentally, the letter of comfort is not something new. First of all, all of the debt is reflected in the consolidated balance sheet. So, it's not new debt that we are taking on. And over the last few years as we've been deleveraging , especially in FY20 21 and FY20 22, we have actually paid off the debt from the overseas subsidiaries and that has been our focus, because that's the weaker part of the business from a cash flow point of view, and therefore, those debt has been taken out as much as we could.

[inaudible] What we have is the remnant of that debt, which originally was much larger. And this letter of comfort is more from a going concern point of view, audit requirements etc. And honestly, we have supported that company for 15 years. So, this is not going to add any additional burden on Tata Steel, because it's the debt which is already reflected in Tata Steel books. So o ne shou ldn't kind of worry about it , even when we look at the orderly transition, this debt is essentially Tata Steel debt.

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Second part of it is, you talked about the government support on downstream etc. Actually, w hat we have asked the government is a full kit, which is upstream, midstream, and downstream. If this has to transit, it has to transit through the EAF route, and that EAF includes steelmaking, it includes the TSCR, hot strip mill, and the downstream will continue. So, it is the upstream and midstream which will then feed into the downstream. And therefore, this £1 to 2 billion is not £1 billion , its more [inaudi ble]. And that project size was an integrated projec t. It was not just parts of the project. So, I don't know if I have been able to clarify, but fundamentally, it's been a new configuration in an integrated manner.

Satyadeep Jain , Ambit
Just a clarification question on the first part. We do understand that Tata Steel - TS Global Holdings had historically provided a letter of comfort, refinanced certain debt. But given you are now looking at a situation where there could be a hard decision maybe 12 months to 24 months on the line, would it be p rudent to take on the debt at the TS Global Holdings or keep that debt at TSUK and then depending on what that action is , those debt holders can also bear that liability or whatever that is based on that decision or what's the thought process behind refinanc ing that debt?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
That's why I stressed upon the point on orderly transition in whichever way we do. These debts are essentially debt out of our relationship banks, and we have taken the debt over many years. And one of the things that Tata Steel and indeed, Tata Group doesn't do is to leave the lenders in the lurch. So, I think that is something which is fundamental. How do you minimi se the exposure by pairing of the debt or pairing of the liabilities that you have, which is what we're working on at this point of time. But I think it would be unfair for lenders to kind of bear this as a part of it. And therefore, we are typical ly princi pally always in the zone where we honour the stakeholders who've provided capital .

Satyadeep Jain , Ambit
Fair enough. So, second question on the capex , of the Rs. 10,000 crores you're looking at KPO -2 say Rs. 7,000 cror es. How much has already been spent on KPO -2 in the last maybe 2 odd years and what is the budgeted amount you're looking at in FY24? Is there any capital cost inflation compared to initial estimates or is it largely in line? There's a lot of capacity coming online in f lat steel in the next 2 years. And given Europe is also looking at Carbon Border Adjustment Tax , where do you think the o

utlet for all that capacity for flat steel could be , which markets would you be looking at for that product?

T. V. Narendran : CEO & MD - Tata Steel Limited
I'll answer the second part and Koushik can address the first part on how much we spent so far on Kalinganagar. So, if you look at Kalinganagar 5 MTPA expansion, there is a 2.2 MTPA cold rolling mill coming with it. So, we will go through a time when we'll have less HR than we've had because most of the H R will get converted into cold roll. And we think the cold rolled market will continue to be strong because of auto demand and many other CR applications. So, the incremental HR that we will sell even after the expansion is not significant.
Secondly, we've always sold 85% of what we produce or often 90% of what we produce in the domestic market. And if the domestic market is growing at 7 million tons or 8 million tons a year , then again, this incremental volume that we add, we don't see much of a problem. I know others are also adding capacity, but I think we are quite confident about our reach and equity and relationships and product pipeline, et c. So, I don't see a volume pressure . Exports will always be exercised more as a strategic option for us at 10% to 15%, but balance should not be a problem for us to sell in the domestic market.
Yes, Koushik?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Yes. In the last few years, we have spent about Rs. 17,000 crores on the Kalinganagar expansion, of which about Rs. 6,500 crores were in the last financial year. So, we will do similar numbers in this financial year. And the project is broadly in line. We had sl owed down the project for a year or two, but other than that, it's in line.
Operator
The next question is from Alok Deora of Motilal Oswal .

Alok Deora , Motilal Oswal :
Yes. Just had a couple of questions. First is, on coking coal , what w as our consumption cost for the quarter? And how do we see that? I think you mentioned about $10 higher for the first quarter, but with the current pricing at around or below $250/t, what is the benefit we're looking at in the second quarter?

T. V. Narendran : CEO & MD - Tata Steel Limited
Yes. So Alok, for coking coal, if I look at it from an India point of view for fourth quarter, it was around $267 /t, I think on consumption basis , and now it will be at around $277 /t. These are FOB prices, so you need to add the freight. We are seeing $10 /t increase in 1Q, but if you look at the purchase, we are buying on average so far this quarter at about $25 /t less than what we bought last quarter. So t hat will certainly accrue, and if the coal prices keep softening, then, of course, it will accrue more. I think minimum of $25 /t drop for next quarter, and hopefully more, if the coal price continues to stay soft. This is for India. And for Europe, it's about $7 /t higher for this quarter compared to last quarter and purchasing is at about $35 /t lower than last quarter so far.

Alok Deora, Motilal Oswal:
Sure. Also, if you could just indicate, we have seen pretty sharp correction in global steel prices across several geographies in the last couple of weeks. What's the sense you're getting and how do you see the price shaping up in near to medium term? We have seen pretty sharp cuts across the board, be it iron ore, coking coal, steel. So, I mean, just your tho ughts on that would be helpful?

T. V. Narendran : CEO & MD - Tata Steel Limited
Yes. So obviously, a lot depends on what's happening in China. I think if I look at the last few months after China removed its restrictions in December, there was a lot of optimism, and everyone thought the Chinese economy is going to take off and this reflected in steel prices and everything else. But I think few things have happened since then. One is, of course, China is expected to grow at 5% plus. But China is shifting m

ore and more to consumption -led growth, and which need not be as steel intensive as the traditional investment -led growth that China had.

Second point is, as Chinese industry, stee l industry particularly ramped up in anticipation of growing demand, they were almost producing at the highest level. If I remember right, they produced 96 million ton s or something in March and exported, and hence they also exported 8 million ton s, which is higher than what they've done for a long time, which had an impact on the global sentiment because suddenly an extra 2 million tonnes of steel coming out of China at a point in time when the rest of the world was still a bit fragile didn't help the sen timent.

The coal prices kept dropping, because, firstly, I think China has also developed other sources for coal in the absence of buying coal from Australia. So, it's not necessary that they need to buy all the coal that they used to buy earlier from

Australia. So, w e've seen coal prices soften a bit. And when coal and iron ore dropped and this happened in China , steel prices dropped because the margins were reasonably good. But now I think where we are currently, there's not much margin for the steel companies in China. So, I don't expec t this level of exports or prices continuing to drop at these kind of coal prices. If coal prices go below $200 /t, that's a different matter . Globally, of course, input costs are settling in, like we said, gas prices in Europe, energy, electricity prices, bu t we also feel that as some of those prices dropped, some of the user industries who were suffering in Europe because of very high energy prices will have a slightly better situation.

I mean, so while overall, yes, there is still some fragility, but we feel that this year should end up better than last year for us because overall, we don't see the volatility that we saw last year when coal prices went to $650 and then dropped and steel prices went to $800, $900, and then dropped. It's a little bit m ore within the normal band of $500 to $700 /t that is fluctuating.

Operator
The next question is from Vishnu Kumar of Avendus Spark .

Vishnu Kumar , Avendus Spark Capital
Yes. This is Vishnu from Spark, sir. I just wanted to understand what the effective production would be this year considering the annuali sed activities .

T. V. Narendran : CEO & MD - Tata Steel Limited
Yes. FY 2024 will be 1.5 million tons higher than FY 2023 on a consolidated basis.

Vishnu Kumar, Avendus Spark Capital
Specifically for Europe, given that we will be taking some shutdown for this maintenance ?

T. V. Narendran : CEO & MD - Tata Steel Limited
Yes. So, I'm talking of deliveries. While we had a production shutdown in Europe, last year, we produced more and sold less because some of what we produced were slabs which we stocked up. This year in Europe, particularly in Netherlands, we will produce less obviously because the blast furnace will be down for 4 months, but we will sell more than we produce because we'll roll those slabs int o hot rolled coils and sell . This will release working capital as well as give us more sales and production. So, when I say 1.5 million, it is sales, not production, and half of that will be in Europe and half of that will be in India.

Operator
The next q uestion is from Amit Murarka of Axis Capital.

Amit Murarka , Axis Capital
On Europe again, we used to maintain that there is not going to be any cash support from India. But now with TS Holdings providing some support to the TS UK, is it essentially some change in policy or stance ?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Amit, this cash, and this letter of support has been in place for possibly a decade. It is neither a guaran tee nor a binding letter of comfort. This is as I said earlier , it is required for audit purposes because when you do the going con

cern testing,

there are various stress tests that are done. And one of the stress tests is that if the company does not have the ability to support or r efinance the loan that comes due , and these loans are fundamentally working capital loans. So, if that comes up for renewal, then will there be a support from Tata Steel. And that is an intent letter and not a guarantee. Nothing has changed between what has been given in the last decade versus today. It's more explicit today because that's the part of the stress test that has been done. There is no change in policy. We focus on the businesses to ensure that they are cash neutral to cash positive. In Netherlands case, the focus is to push them towards being cash positive, which is one of the reasons why I mentioned that they are sitting on €0.5 billion of cash . And in case of U.K., it is essentially working within the means t o be cash neutral. So that is how we look at it. Pending the outcome of the discussions with the government and a more strategic call on the UK upstream, this is the status that has been carried on.

Amit Murarka, Axis Capital
Okay, understood. I had a que stion on the India Standalone business from a 4Q perspective. This quarter we have seen quite a sharp drop in our RM cost on a Q oQ basis . While coking coal is down a bit, but it still doesn't explain the big drop on QoQ basis that we have seen. Could you help better understand that fall?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
One was royalty I know, that's been the iron ore royalty, which is the re -notified prices of the IBM. But we can explain it and give it to you subsequently.

Samita Shah: VP CFTRM – Tata Steel Limited
It's largely that. So, we have the royalties coming just with a lag, and that's why you're seeing some of the [inaudible] in this quarter.

Amit Murarka, Axis Capital
And could you quantify that, because I guess this will be a bit of a one -off in nature in that sense then?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

No, it's not one -off in nature. It goes through the ups and downs. The IBM prices are notified with a lag and then that affects it. So at times, it goes up, at times, it goes down. It is also benchmarked to the international prices but there is a significant lag associated with it. Unless the royalty rates are revised, which is a very different thing, which is what has happened in the past. The roy alty rates have actually gone up significantly in the last few years, but the benchmark rate also moves along with a lag. So that is what you're seeing at this point of time. Maybe, Samita, you can give the exact number offline.

Operator
The next question is from Ritesh Shah of Investec .

Ritesh Shah , Investec
Sir, first question is on ESG. If I go back to September 2021, I think the company had a release stating I Jmuiden operations plans to opt for hydrogen based DRI. In current press release, we have indicated about injecting hydrogen into blast furnace. So just wanted to understand thought process on hydrogen based DRI for Ijmuiden economics, gas versus green hydrogen? And the same thing on what scale are we doing at Jamshedpur operations ri ght now? That's the first question.

T. V. Narendran : CEO & MD - Tata Steel Limited
Yes. Okay. When you look at making steel with a lower carbon footprint, there's going to be a bouquet of solutions and it depends on the context and the geography and the regulations. So if you look at Europe, the natural progression is coal to gas to hydrogen. And there's a lot of hydrogen infrastructure being built; a lot of work is g oing on. And so the whole plan in IJmuiden is convert from coal to gas, and then when hydrogen is available, convert from gas to hydrogen. So, w hich means you eventually shut down blast furnaces and build gas based DRI production, where you will substitute the ga s wi

th hydrogen.

When you look at India, the challenge we have is most of the steel capacity not only for us but for the industry will be in Eastern India because that's where the iron ore is. And we don't see too much of availability of gas, at least at the scale at which we want , in the near future . It may be 10 – 15 years later, we don't know. Till such time, we cannot just be static and hence we are looking at various other options. So injec ting hydrogen into a blast furnace is addressing the problem to some extent , you can't replace the coal with hydrogen in the blast furnace , you can replace some of what we call the PCI with the hydrogen and even that needs to be done very carefully That's why the amount of hydrogen we injected was higher than what anybody else has done, and that's why it's caught a lot of attention globally. So in our E Furnace, which is a 500 – 550 cubic meter blast furnace, injecting hydrogen for about 4 day s to 5 days , gives us a lot of data and a lot of information which helps us move to the next level of scale. In India, we will keep exploring these options to reduce the carbon footprint of the blast furnace route. In addition, of course, as you k now, we are also setting up a scrap -based recycling -based unit in Ludhiana, which will be more about recycling and no coal. But Europe, the transition, particularly Netherlands will be in this direction, more replacing the blast furnace .

Ritesh Shah, Investec
Sir, on Netherlands, I went through some research. Whatever we have indicated in past, it's contingent on government support. There is also a level of confidence that we will have some support from the government, unlike the UK . What gives us comf ort? We understand it's one of the best furnaces on carbon intensity.

T. V. Narendran : CEO & MD - Tata Steel Limited
So, there are 2 – 3 things . One is, of course, the conversations from the government indicate that they will be supportive. But what is the extent of support, we haven't concluded yet. Secondly, our transition to hydrogen is also very important from the Dutch government's hydrogen ecosystem point of view, because we will have one of the biggest offtakes of hydrogen if we convert to a hydrogen -based usage. So, w hen the Dutch government is building infrastructure for hydrogen, we are a very important part of the plans. Thirdly, the Dutch asset also has always been free cash flow positive unlike the UK. So, the Dutch assets has its own ability to support a lot of the transition. Of course, we need support from the government. But the situation is not as dire as one would have seen in the U K, where the cash flows of the business , don't support the transition at all. Here the c ash flows of the business can also support the transition.

Ritesh Shah, Investec
Sure. I just have one question quickly on P&L and one on balance sheet. This is for Koushik sir. You indicated NR increased by Rs. 1,700 /t on sequential basis. If we look a t the blended number, if it was simple math, the increase comes at Rs. 4,500 /t. So how should we look at the gap of Rs. 4,500 /t versus Rs. 1,700 /t? This is on a per ton basis sequentially.

Samita Shah: VP CFTRM – Tata Steel Limited
Yes. Well, Ritesh, I think if you look at income from operations, it's Rs. 3,500/t , but that's the entire income. But we are just talking about steel NR when we're talking about Rs. 1,700 /t.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
The income is [inaudible] . Maybe we'll break it up between the NR and the other incomes.

Ritesh Shah, Investec
Sure. And sir, last question is what prompted impairments for UK right now? And how should we look at the next testing, what will prompt more impairments? We just checked the balance sheet; I think the exposure via loans and investments is upwards of Rs. 20,000 crores. So how should we look at this number going forwa

rd?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
In the year -end, as per the accounting standards, there is always a review of the investments across any company . But in our case, we do it either on a 6-month basis or a year -end basis, and that is based on the value -in-use assessment of that unit. And as Naren mentioned that as part of the business (the upstream and the midstream businesses) are coming towards end of life in some time, we have to moderate the future cash flows, earnings, and costs and so on. And that was the basis on which the investment , the PPE in U K, had been written off many years back to a very low number compared to its original number in 2016 or 2017.

So w hat remains is the investment in the standalone books of Tata Steel, and that investment has been calibrated down by about Rs. 1,100 crores in the standalone books. As we move forward, this will get tested again at either quarter end or 6 months end. The assumptions will not change much in quarter -to-quarter, but certainly, in a 6-month period, it will be reassessed, and that's the di scussions which we have internally along with the auditors. And the outcome of that will have to come about. So, a s I said, the PPE numbers are not something which is very significant. It is there, but it has been significantly impaired over the last 6 – 7 years. And we've done deep restructuring of the assets also. So, this is something that will continue to be assessed at every period end.

Operator
The next question is from Kirtan Mehta of BoB Capital

Kirtan Mehta, BoB Capital
Couple of questions from my side. Would you be able to clarify the investment numbers that we have in the books of India towards UK and Europe? Would it be possible to sort of give us that breakup as well?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Well, you have to look at the balance sheet when it comes and see the investment numbers . Those investment numbers are largely reflecting Europe. I think that is how we give it. We don't give UK and Europe separately, because it is flowing from Tata Steel India into the overseas holding company, which essentially holds these 2 businesses apart from Canada.

Kirtan Mehta, BoB Capital
Right. And just one more thing . There has been a mention about the delay in ramp -up of cold mill at IJmuiden. Would you be able to clarify its capacity and potential contribution to the margin to the Netherlands plant once it comes up?

T. V. Narendran : CEO & MD - Tata Steel Limited
It's an existing plant which had an upgrade, I think the capacity is about 1.6 million ton s. And there were some problems post-upgrade. One of the subcontractors who was involved went bankrupt and so there had to be alternate measures taken etc. There were some co mplications because of which the ramp -up post the upgrade did not happen at the speed that we had wanted.

But now we are working very closely with the main contractor, and we are improving week -on-week. We had to announce force majeure because that mill was supplying to a lot of auto customers, so we gave them enough notice to plan alternatives. Now I think we are close to a stage where we will withdraw the force majeure because there's lot more stability. It was more a mix impact than a volume impact , because if you didn't produce cold rolled then you sold it as hot rolled. I think the impact, maybe Samita can clarify. I think it was £70 [inaudible] for the quarter or something like that.. .

Samita Shah: VP CFTRM – Tata Steel Limited
Yes. It was partly reflected in the last quarter and also partly this quarter.

T. V. Narendran : CEO & MD - Tata Steel Limited
Correct. Correct. So that's also part of the reasons why the numbers were not so great for the last 2 quarters, because the product mix was worse than what we would have normally done.

Kirtan Mehta, BoB Capital
Rig

ht, understood. One more question, if I m ay. In terms of the India business, we recently did around Rs. 16,000 /t on the standalone operations. When we want to look at this number in the sustainable context or more in terms of the average margin over the cycle, how far we are from the cycle in the margin, and how should we think that margin would change as we commission the pellet plant as well as the cold roll mill there?

T. V. Narendran : CEO & MD - Tata Steel Limited
So normally, we look at a long -term margin of around Rs. 14,000 – 15,000/ t. When we plan long -term, we look at it because that's been our numbers, if you look at the worst quarters, not on a quarterly basis but on an annual basis . So it fluctuates. We've seen Rs. 30,000 , and we've seen Rs. 7,000. If you see last year, despite all the challenges, we are still in that range . I'm talking about standalone, not consolidated. So pretty much Rs. 15,000 is close to range , slightly hi gher than the range .

Kirtan Mehta, BoB Capital
Right. And would you be able to add colo ur on that how this sustainable r ange of Rs. 15,000 could change with the commissioning of the pellet plant as well as the cold roll mill?

T. V. Narendran : CEO & MD - Tata Steel Limited
Yes. So obviously the pellet plant and cold rolling mill is impacting - the cold rolling mill is 2 million tons of value -add in a 21 million tons mix, and the pellet plant is adding about 6 million tons of pellets. So, p ellet plant cost advantage depends on the pellet price. If the iron ore price is higher, then the gap is significantly higher. But I would say, typically Rs. 800 crores to Rs. 1,000 crores a year is what you would get benefit of the pellet plant. And the cold rolling mill, again, normally, if you look at HR/CR gap on a long -term basis, you will look at $100 /t. Just now it is lower than that. If the gap is lower, then the benefit is lower. But if you go on a $100 /t basis, and plus I think the advantage you will have with this cold rolling mill is it will really be one of the most advanced cold rolling mills in the w orld. In terms of the kind of product mix, it helps

us get into the very high -end auto etc. So, it gives us a high -end of the margin range. Both of these will be value accretive and will help push the EBITDA beyond Rs. 15,000 on a like -to-like basis.

Operator
We would now like hand over the conference to Ms. Samita Shah for chat question s. Over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited
Thank you, Kinshuk . The first question is on the ramp -up of TSK Phase 2, which I think we have answered. So the other question on TSK Phase 2 is how much raw material integration will be there, especially for coking coal and iron ore for this 5 million tonne expansion?

T. V. Narendran : CEO & MD - Tata Steel Limited
As far as iron ore is concerned, all the iron ore that we need we will produce ourselves. We are fully integrated, and the expansion of the iron ore production continues. I think this year, we are around 36 – 38 million tonnes. And we are on track to expand as fast as the need of iron ore is concerned. The goal is not to buy any iron ore or pellets in the market. Coking coal, we are typically about 15% to 20% coverage, because we can't expand in coal as fast as we can do in iron ore. We are in the middle of an expansion in West Bokaro from the current level of about 6 million tonnes of raw coal to about 10 million tonnes. 6 million tonnes of raw coal means about 2.5 million tonnes of clean coal. So, taking it up to about 4 – 5 million tonnes of clean coal is what we are working on. But by this time, our steelmaking capacity would have also grown. So, 15% to 20% is the range at which we will be in for coal. Rest we are currently importing, and we'll continue to import.

Samita Shah: VP CFTRM – Tata Steel Limited
The next question was on coking coal con

sumption costs, which I think we have answered. There are a lot of questions
on Euro pe and TS UK. What is the rationale for the impairment right now? Can you quantify what is the value of investment on the books of Tata Steel? And what will be the volume at Europe after the restructuring that you've talked about? So, I think the restructur ing is what we talked about downstream, but these are some of the questions.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So, I actually answered that question a little while back, when I mentioned that the impairment is part of the annual exercis e as per the accounting standards to look at investments. And this has been done effectively in a manner where the future cash flows and the value -in-use is tested against the carrying value. And depending on how the business performs, there will be triggers for looking at this potentially every quarter, if not every 6 months .

Samita Shah: VP CFTRM – Tata Steel Limited
The next question is how much coking coal do you expect to import for Indian operations in FY 2024? And how much of that will be through quarterly contracts?

T. V. Narendran : CEO & MD - Tata Steel Limited
So, overall, we buy 15 million tonnes of coking coal, both for Europe and India. I would assume, India, if I were to look at -- must be about 10 – 12 million tons, sorry, 8 – 10 million tons. Yes, and how much would be quarterly contracts, Samita , can you check with Peeyush and …

Samita Shah: VP CFTRM – Tata Steel Limited
Yes. So, it's largely quarterly, but we can come back

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Index -based.

Samita Shah: VP CFTRM – Tata Steel Limited
There is a question around funding of UK. And I'll just club some of the questions toge ther. Given the impairment, how much funding do you expect to provide TSUK in FY 2024? And how much will your debt increase on funding to U.K. and the Rs. 16,000 crores capex spend?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
As I mentioned earlier, the impairment doesn't trigger any funding. Impairment is a non -cash charge of your investment. There is no cash impact on that. I guided in the beginning that we are looking at starting the deleveraging process in or rather restarting the process in FY 2024. It will be done more in H2. We do target about $1 billion to do that, which has been our long -term target. And we will look forward to taking as much as cash flows that we can towards deleveraging after we meet our cash flow requirements on capex etc. and t he Rs. 16,000 crore capex is largely borne out of internal generation.

Samita Shah: VP CFTRM – Tata Steel Limited
Next question is, if we decide to close the UK business, what would be the one -time closure cost incl . the pension cost?

Koushik Chatterjee: ED & CFO – Tata Steel L imited
So, the pension is not going to be a cost at all because that's been taken care of. The closure cost or the restructuring cost, I would say, because we would certainly look at the downstream business. But the upstream, we will have to assess that, and some assessment is being done, as we speak. But it all depends on how the conversations with the government and stakeholders happen, because that's a decision which will happen after consultation with all stakeholders.

Samita Shah: VP CFTRM – Tata Steel Limited
The next question is on Kalinganagar. Could you share the total capex spent so far and the remaining capex ? I think you answered this, but maybe the remaining.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Yes. I think we said Rs. 17,000 crores has been spent. This year, we will be spending about Rs. 6,500 - 7,000 crores. And thereafter, the numbers will be much smaller, maybe about another Rs. 3,000 crores - 4,000 crores.

Samita Shah: VP CFTRM – Tata Steel Limited
The next quest ion is on NINL expans

ion. Could you share the timeline on the finali sation of the 5 million ton s NINL expansion after completion of DFR and getting Board app roval ?

T. V. Narendran : CEO & MD - Tata Steel Limited
Basically, our focus just now is on ramping it up . Now that we've ramped up, hopefully, in the second half of the year, we're already doing the work on what should be the configuration, what are the assets. And during this financial year, we will go back to the Tata Steel Board with our proposal for the next expansion, so that we can get started on that soon.

Samita Shah: VP CFTRM – Tata Steel Limited
Okay. The next question is on the working capital and the debt reduction. It says inventory is still high . Given that coking coal prices have cooled off, how much working capital unlocking is possible in H1? And does the $1 billion debt re duction guidance assume this working capital release?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Yes, of course. I think the $1 billion debt reduction takes all sources of capital, which is working capital release, earning s and running the business across all geographies more tightly. So, I think it is a confirmation that the working capital release will contribute to the debt reduction.

Samita Shah: VP CFTRM – Tata Steel Limited
The next question is on the interest cost. What has helped Tata Steel maintain interest cost in a reasonable range despite the sharp increase in benchmark rates and despite an increase in your gross debt?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
One of the things that we have done is using the long -term, short -term arbitrage through the year, which ensured that in spite of the increase in the benchmark rates, we have been able to hold on to it. In the previous years, the significant

deleveraging ha s been one of the key aspects of ensuring that our interest rates are within control. And now with further deleveraging targeted during this year and for the years ahead, I think we will ensure that the interest rates are within the control. Our interest c overage is at a healthy 5.2x.

Samita Shah: VP CFTRM – Tata Steel Limited
The next question is on green hydrogen project. What are the economics and timelines of the pilot injection which you've done in India . What is the timeline for hydrogen based DRI at TSN? By when do you expect to do this?

T. V. Narendran : CEO & MD - Tata Steel Limited
So as far as the India experiment is concerned, it is still early stages . Smaller blast furnace, some injection, we will study it, keep scaling it up. But there is a limit to how much hydrogen you can put into a blast furnace. I think whoever is working on it is trying to see how much of the PCI that we inject can be substituted with hydrogen. And we see that when we inject hydrogen, th ere is obviously a net benefit. You can bring down the coke rates by about 10% - 15%. Obviously, the cost of that hydrogen, the hydrogen that we injected, for instance, in the blast furnace today in Jamshedpur has cost us about $12/kg. But if you bring it to maybe around even $4 - $5, you'll have significant advantage. Of course, if you're looking at using hydrogen and scale as a reductant to reduce DRI, then you're looking at hydrogen to be made available at around $2/kg or less. And obviously, all this must be green hydrogen if it has to make sense.

In Netherlands, there is a plan which has been submitted to the government. We are in conversation with the government. And our plan as proposed to the government was to shut down one of the blast furnaces ov er the next year, convert it into

gas based DRI. So that by 2030, you have one blast furnace down and a gas -based or hydrogen -based DRI line. And by 2035, you have the other blast furnace down, so that you become a completely gas or hydrogen based DRI prod uction unit. So, that's the timeline . But

once our conversation with the government moves to the next level, we will be able to give more definite timelines .

Samita Shah: VP CFTRM – Tata Steel Limited
There's another question on hydrogen, so I'll just take it right now. It says with regards to the trial of the hydrogen injection at Jamshedpur plant, by when does it look feasible to use hydrogen more widely for Indian operations? And has there been any governme nt support to procure hydrogen at a cheaper cost?

T. V. Narendran : CEO & MD - Tata Steel Limited
The answer for the second question is no. But yes, I think this was a big step . Like we said, nobody else has injected too much hydrogen into a blast furnace , we did it over 4 – 5 days . So that itself is first in the world kind of thing. Some others have done it by mixing it with coke oven gas and injecting it, whereas we injected hydrogen itself into the blast furnace. This is giving us more data. Typically, in process industry when you try out something new, you take it up step -by-step, because you want to see the implications of any change that you make in the process, particularly in terms of the energy balance and the constituents of what was inside a blast furnace. So, we'll do it gradually. But I think it's a big development, and let's see how fast we can accelerate it.

Samita Shah: VP CFTRM – Tata Steel Limited
There's a question on the merger of the subsidiaries. When do we expect the merger of Tata Steel Long Products to be completed? And can we expect any tax benefits from the merger?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
So, the merger process is underway with the NCLT hearings, and the first motions started. It will happen progressively for each of the companies. And the purpose of the merger is to drive synergies on all fronts. So w e'll see what are the things that we can draw . Certainly, there are multiple synergies in business case, which is why we are proceeding with the merger.

Samita Shah: VP CFTRM – Tata Steel Limited
There's a question on NINL, on the iron ore mines, what is the status? Are these mines running?

T. V. Narendran : CEO & MD - Tata Steel Limited
Yes, the mines are running and are feeding the Neelachal plant. I think we are running the mines at an annualized rate of 1.5 million tons. Again, a s the rest of the plant , it has gone as per plan.

Samita Shah: VP CFTRM – Tata Steel Limited
One more question on India. This is on the capex spend and the CWIP on the balance sheet. If Rs. 17,500 crores have been spent on KPO till date, the CWIP is about Rs. 30,000 crores. So, what accounts for the balance Rs. 12,500 crores of CWIP as on 31st March 2023 ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

There are several other projects, including KPO, there are projects relating to the iron ore mines, the infrastructure around it, the augmentation of various capacities. So, it is a large part of those CWIPs there, plus, there are significant amount of sustenance capex , which is an ongoing scheme over 5 years in each of the facilities now, be it Jamshedpur or in Kalinganagar or Meramandali and so on. So, the CWIP is, in a steel plant if you do a tracking, which has been growing, there are multiple projects that continue to grow both from a sustenance improvement perspective as well as from a capacity growth perspective.

Samita Shah: VP CFTRM – Tata Steel Limited
Then there are questions around steel demand internationally, especially given what is happening in China. So I'll just club a couple of questions. Are we seeing any production cuts in China as their demand has not picked up as expected? And what is your view on international steel markets this year? Do you see steel prices and demand subdued this year because of slowing economic growth and higher interest rates across the globe?

T. V. Narendran : CEO & MD - Tata Stee

l Limited
I think on the first one, what I read was that China Iron and Steel Association (CISA) did a call actually in early May or end April to ask producers to tone down because they were concerned that if steel prices drop and everyone goes back into zero margin, then the business is not sustainable. So, I think there's already pressure on the Chinese steel produc ers to cut production to more reflect domestic demand. And I think while exports should go to 8 million ton s, if they continue to export at that level, I'm sure there'll be trade actions which will also follow. I think that is the comment on the Chinese st eel side. In terms of globally, yes, on the demand side, a lot depends on what happens in China. India continues to see strong growth in demand. Europe, we expect things to slowly get better as energy cost goes up and helps the user industry. And we also e xpect that the transition to other energy sources beyond Russia or transition to greener sources also will spur some investments. In the US, [inaudible] there's a lot of investments happening. So, we do see that as a positive impact.

Yes, rising interest rates typica lly are not good for steel demand. But I think some of the actions that I described suggest that we will have a better year . When I say better year , we saw so much volatility last year , it depends on which quarter you compare to. One data point I want to share is that steel trade as a percentage of total steel production has been dropping over the years. So that is also positive, because that means it is likely to be less disruptive. I think it has come down from about 40% of steel production to ab out 30% of steel production now over the last 10 years. And this is largely to do with Chinese exports being more moderated and a lot more of regionali sation of supply chains and value chains.

Samita Shah: VP CFTRM – Tata Steel Limited
Multiple questions on the steel market in India. Firstly, I think we've said there will be slightly lower volumes in 1Q. Are there any shutdowns? How do you see demand shaping up in the domestic market, specifically which sectors are you seeing growth? And thirdly, is there an impact of pre -election spend expected on steel demand?

T. V. Narendran : CEO & MD - Tata Steel Limited
So, yes, 1Q every year normally has a lot of shutdowns. That's normally the time when we plan a lot of our shutdowns. We did have a lot of shutdowns in multiple sites, nothing as big as the one we are having in Netherlands, but few days here and there. So that's why the volumes of 1Q, as I said, is about I think 400, 000 ton s less than for 4Q. That is one. In terms of demand, we still see auto is quite strong, commercial vehicles, passenger vehicles are strong. Motorbikes are not back to where it was in 2019 but improving QoQ . Export markets have been a little bit more subdued for two -wheelers.

Tractors have been strong. If I look at construction, industrial construction is strong, the pre -engineered building customers have 4 months, 5 months, 6 months order books. Infrastructure is strong, of course , and that's an area where I expect some acceleration before the election, so that the government can complete both at the Central and State level. M any of the projects will have a positive impact on the public. If I look at residen tial, it's a bit of a mixed bag. And if I look at commercial, I think it was strong, but, of course, one needs to see the impact of tech on the overall commercial space. But generally, the sense we get is all shopping malls and those kinds of commercial spaces are quite strong. So overall, I ndian demand is quite strong. I think the only part of Indian demand, which is a bit fragile is Indian customers, Indian producers who are dependent on export markets . I'm talking about Indian customers of steel, who may be exporting their products to the global markets. Tha

t's the only area where the slowdown across the world may have a larger impact. Yes, I think I've covered it.

Samita Shah: VP CFTRM – Tata Steel Limited
Yes. Yes. And the third question was if there is any pre -election impact on steel demand?

T. V. Narendran : CEO & MD - Tata Steel Limited
Yes. So, there I said, I believe in the infrastructure side, yes, there's more and more acceleration, there is more and more push to complete projects. So that will certainly happen. So that's right. If you talk to some of our bigger customers, they're full up in orders , construction companies .

Samita Shah: VP CFTRM – Tata Steel Limited

Some questions again on Europe. So, Koushik, maybe you could sort of talk about it a little more, again, in terms of the impairment, what is the expectation for the future? How much more do we expect? Are there any triggers? Also, a question in terms of what i s the PPE? So, a lot of questions around the impact likely and the Europe exposure.

Koushik Chatterjee : ED & CFO – Tata Steel Limited
It's like looking into the future, but I would try to articulate that if and when a decision after consultation with all stakeholders going through the due process, we do come to a conclusion on the assets , at that point of time, it will certainly trigger a full review of the value -in-use of the business because only the downstream will remain, whereas the upstream will not be there. And therefore, the cash -generating unit will certainly have an impact of how much will be the impairment. It is likely to be more in the standalone because that's the investment carrying value.

As I mentioned a little while back that the consolidated impairment has been taken some years back on the PPE, as well as through the losses that have been over the years. So, the consolidated impact will be lower, the standalone impact will be higher. And that's when the investment re view will reflect on the numbers. These numbers are very hard to predict and talk about because of the fact that at the time when the impairment actually happens, that's the time when you do the full assessment of the numbers. As I said that we carry the o verseas holding in the books of Tata Steel as in the investment numbers and that largely reflects IJmuiden and UK. In that a large part of it is IJmuiden in Netherlands and some part of it in the UK. Maybe taking a guess, it would be in the region of 65:35 kind of ratio.

But the other thing which I would like to say is any impairment whenever triggered is a non -cash charge and therefore, it will not have any cash impact. Other than any cost that is taken or undertaken for closure and that's when Pinakin asked whether this is in hundreds of millions or is in many billions, I said it is in millions. And I think you should take comfort from
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that. And if that were to happen, then the residual business, the target will certainly be to ensur e that it works on a cas h-free basis.

Samita Shah: VP CFTRM – Tata Steel Limited
Okay. I think we have time for maybe one audio question, which we will take it before we end the call. Over to you, Kinshuk

Operator
Thank you, ma'am. The next question is from Ashish Jain of Macquarie

Ashish Jain , Macquarie
So, Koushik, I've just 2 quick questions. Firstly, you made a point that in the second half, UK had a £100 million to £150 million cash loss. How are you funding those losses today?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
It was not a cash loss, it was a cash [inaudibl e], it was not a loss by itself. So just now it is being funded through the working capital route mostly because there are more securiti sation and more working capital arrangements, which provides the cash flow. It's like a revolving credit, which is what fun ds them and we stand behind them.

Ashish Jain, Macquarie
But if I can just delve into this stand behind them

thing a bit more means, in worst case, this will devolve on Tata Steel India? Is that the way to think about it ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Worst cases, it will devolve on India. One point I just want to mention, there is nothing called European balance sheet, Netherlands balance sheet, India balance sheet, Tinplate balance sheet. There is only one balance sheet, which i s Tata Steel balance sheet. So, whatever is reflected in the consolidated debt of Tata Steel is for Tata Steel to service. It depends on wherever it is in the world. So, I think this must be clear. That's why I was answering that letter of comfort, it is a conscious decision to carry on till we have an orderly decision. Similarly, the amount that is in the Netherlands balance sheet of €600 million, it is reflected in the total cash. So, it is one balance sheet and one cash flow that drives Tata Steel. We don't run the business as individual parts. We run it as one balance sheet. And if there are any parts which are challenging, we deal with it. If it is something strategic to be taken, w e deal with it or investment to be done, we deal with it. I think we need to be very clear that it is one balance sheet and anything that is reflected in that balance sheet, Tata Steel is responsible for it.

Ashish Jain, Macquarie
Right. Right. And just o ne clarification on Kalinganagar, did we say we are expecting production sometime in April 2024?

T. V. Narendran : CEO & MD - Tata Steel Limited
We said the new blast furnace, I mean there are different facilities coming up. The blast furnace is expected to come in the next 12 months.

Operator
Thank you very much. That was the last question for today. I would now like to hand the conference back to Ms. Samita Shah for closing com ments . Over to you, ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited
Thank you, Kinshuk . Thank you everybody for dialling in . I hope lot of your questions were answered and found that useful. Look forwar d to connecting again at the next call. Thank you, and good day .

T. V. Narendran : CEO & MD - Tata Steel Limited
Thank you

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Thank you

Call: Jul 2023

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PRESENTATION
Operator:
Ladies and gentlemen , good day , and welcome to the Tata Steel analyst call. Please note that this meeting is being recorded. All the attendees , audio and video has been disabled from the backend and will be enabled subsequently. I would now like to hand the conference over to Ms. Samita S hah. Thank you an d over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited
Thank you , Kinshuk . Good morning and good afternoon t o all our viewers joining us today. Welcome to this call to discuss our results for the first quarter ending 30th June 2023. I am joined by our CEO and MD, Mr. T.V. Narendran; and our ED and CFO, Mr. Koushik Chatterjee They will share their thoughts on the results and answer any questions you may have. Before I hand it to them, I will remind you that the entire conversation today is governed by the safe harbour clause, which is on Page 2 of the presentation, which is uploaded on our website. Thank you, and over to you, Naren.

T. V. Narendran : CEO & MD - Tata Steel Limited
I'll start with a few comments and then hand over to Koushik. The economic slowdown in key regions has obviously weighed on global commodity prices and steel in general. US and EU continue to face inflationary pressures and a tight monetary policy, while the Chinese recovery has been more muted than expected . One of the outcomes of this is higher steel exports from China, which has led to a moderation of global steel prices between May - June 2023. In fact, China was exporting about 8 million ton s a month, which it had last done in 2016. While key steelmaking inputs' – coking coal and iron ore prices did move lower, the steel spot spreads peaked in May before moderating for the rest of the quarter.

In India, the economic activity continued to improve, and the apparent steel consumption was up 10% YoY for the quarter. Despite good domestic demand, steel spot prices declined in line with international prices and sentiments in the market. Hot rolled coil prices dropped by about Rs. 4,000 per ton during the quarter in India. Moving to our performance , our crude steel production in India was around 5 million ton s. Production was up 2% YoY but marginally lower on QoQ basis because of planned maintenance shutdowns. And India production now stands at about 70% of the overall portfolio and will continue to rise in the coming years. India deliveries grew 18% YoY, primarily driven by the rise in domestic deliveries to chosen
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segments such as automotive and retail. And our well -established brands like Tata Tiscon and Tata Steelium had best - ever first quarter sal es. Our net realis ations improved by almost Rs. 1,000 per ton QoQ despite the market movement, primarily driven by contract sales and product mix.

Moving to Europe , our steel deliveries were around 2 million ton s in the first quarter. Revenue per ton was up about £33 per ton on a QoQ basis. As we had explained in the past, our contract and product mix ensure that our net realis ations are different from the benchmark, which is Northwest Europe HRD spot, with a one quarter lag. In the previous quarter, the drop in NRs was 50% lower than the decline in the benchmark; and consequently, the improvement in this quarter was also correspondingly lower. Overall, the high revenue per ton was offset by elevated input costs, including energy and the ongoi ng relining of one o

f the blast furnaces in Netherlands . We had guided last quarter as well, that the blast fur nace would be down for relining. That will obviously impact 1Q and 2Q for us .

In terms of growth, multiple projects are underway across India, and we remain focused on leveraging the expected pan - India growth across steel end-use segments. For instance, we have leading market share in Auto. And the 5 MTPA expansion at Kalinganagar w ill aid in consolidating our leadership position in auto and grow our presence in value - added segments such as oil and gas, solar, et c. Similarly, Neelachal and the upcoming electric arc furnace in Punjab will drive our retail presence. And in terms of r each, we have more than 200 distributors now and over 20,000 dealers . We'll continue to expand our virtual presence with the e -commerce platforms like Aashiyana where our sales in the last 12 months have crossed Rs. 1,600 crores. We are also looking to grow in downstream portfolio across wires, tubes, ductile iron pipes , and tinplate , where we have a dominant market share. And in tubes, we have recently commissioned, along with our partners, 2 new mills, which will increase the capacity in tubes from 1 m illion ton s to about 1.3 million ton s.

Our investments are strategically focused on business sustainability and growth. Tata Steel is committed to being Net Zero by 2045; and multiple initiatives are already underway, calibrated to each operating location . In the Netherlands, we are pursuing Roadmap+ for the last few years to bring about significant reduction in emissions, dust, odo ur, and noise. We are also engaged in discussions with our technology providers and the government as we make choices on the p rocess route and the technology and transition to green steel as we have promised to do over the next few years. In India, we've undertaken various trials, including injecting hydrogen in the blast furnace to reduce emissions; and have also initiated measu res to replace around 379 MW of coal -based power with renewable energy .

Looking ahea d, in India, the domestic demand remains supported by government spending and improving consumption across end-use segments. However, the drop in international prices and seasonality have dampened prices. We expect a drop in realis ations of around Rs. 3,100 per ton in 2Q compared to 1Q , but we will, of course, benefit from the drop in coking coal consumption by about $57 per ton on QoQ basis . In Europe, our net realis ations are expected to drop by about £38 per ton . Coking coal consumption is expected to improve by about $46 per ton QoQ . The ongoing relining, as I've mentioned earlier, of one of the blast furnaces is taking time and will obvi ously continue to impact costs in the second quarter as it did in the first quarter. Separately, the upgradation of the cold rolling mill, where we had some issues post upgradation, is now getting resolved; and we should be back to normal production there as well . Thank you. And over to Koushik.

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Thank you, Naren. Good morning, good afternoon, and good evening to all those who have joined in. I will begin with the quarterly performance provided on Slide 23. Our consolidated revenue stood at about Rs. 59,490 crores with improvement in reali sations across geographies despite the uncertain operating environment and moderation in global steel prices. Our

consolidated EBITDA stood at about Rs. 6,122 cror es, which translate s to a consolidated margin of 10%. At the Tata Steel standalone level, the EBITDA stood at Rs. 7,348 crores, which translates to an EBITDA per ton of Rs. 1 5,895. Excluding the forex impact, the EBITDA was slightly higher at about Rs. 7,403 crores. As provided on Slide 28, there was drop in EBITDA on absolute basis primarily due to lower volumes compared to the previous quarter, as the fourth quarter is typically a seasonall

y stronger quarter. Within costs, material costs were down, but th is was partly offset by higher conversion costs on account of royalty related expenses which increase normally with a lag. The royalty increased by about Rs. 353 crores to about Rs. 1,315 crores due to higher notified IBM prices. Overall, the EBITDA margin was stable at about 23% QoQ. Further improved profitability was witnessed in the Neelachal operations, which turned EBITDA positive within 9 months of the acquisition.

At Tata Steel Europe, EBITDA loss stood at about £153 million; and on a per ton basis was broadly similar to the fourth quarter and in line with the guidance that we gave. As shown in Slide 30, the steel production was lower QoQ given the relining of one of the blast furnaces in Netherlands, but deliveries were close to 2 million ton s, as we began to consume the buil t-up stocks. Improvements in revenue per ton were broadly offset by elevated costs, including energy. As previously explained, we have hedges in place, and the drop in spot natural gas prices will take a quarter to reflect in the P&L.

Other income has increased by about Rs. 1,000 crores QoQ , primarily driven by the increase in standalone accounts. We have signed a lease agreement with Tata Steel BlueScope Limited, which is a 50 - 50 joint venture with BlueScope Australia f or the coated lines at Meramandali and Khopoli. And this led to the reclassification of these assets, and accordingly it is reflected in the accounts. Consolidated PAT considers a gain of about Rs.338 crores, which is net of tax, on account of this transac tion.

Let me speak a few words about the taxes, which stood at about Rs. 1,331 crores. The current tax was about Rs. 1,027 crores and was broadly in line with the tax and profitability of the India operations. The deferred tax was about Rs. 303 crores on a net basis and is a combination of movement at various entities. We have completed the buy -in of the remaining liabilities, and with this, the British Steel Pension Scheme (BSPS) has been successfully derisked. Like previous instances, this has led to a non-cash deferred tax of about Rs. 1,200 crores. However, this has been partly offset by other non -cash deferred tax credits at other facilities such as Europe. I would like to mention that there is a residual asset surplus relat ing to BSPS in the books of about £200 million. As we get the execution completed with Legal & General, this will also be reflected as a non-cash deferred tax charge in the future .

The volatility in the steel markets has also impacted working capital and cash flows. There has been a build -up of around Rs. 2,500 crores in this quarter. However, this was more due to the price effect, as our working capital number of days remained stable at around 34 days compared to about 37 days in fourth quarter. Moreover, in the last 12 months, we have released about Rs. 9,200 crores through the various working capital measure s that we have taken as a management .

We continue to commit to growth in India, as Naren mentioned, and spent about Rs. 4,089 crores on capital expenditure during the quarter. We have been steadily prioritis ing growth in India, and our overall capex spend has been about Rs. 15,500 crores in the last 12 months. This will obviously lead to a consolidation of our market position. At Kalinganagar, the

5 MTPA expansion plan will drive volumes as well as positively impact our fixed costs coverage. We continue to prioritis e Kalinganag ar growth and have spent close to about Rs. 18,900 crores till date. Apart from that, we have started commissioning the 2.2 MTPA cold rolling mill in phases. The full hard cold rolled coil is already being produced. The CAL and the galvanis ing lines will b e commissioned subsequently. Furthermore, the savings in operational efficiency on account of the 6 MTPA pellet plant has started to begin reflecting in our pe

rformance . In IJmuiden, the ongoing relining of the BF6

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is being financed by internal accruals of TSN operations. The upgradation of the cold mill (CM21) is close to completion. While the relining of BF6 will weigh on performance in the next quarter, there will also be product mix improvement on account of the cold mill upgrade. Neelachal has ramped up as well and is now close to operating capacity at the rated capacity of about 0.9 million ton s. The coke plant will be commissioned in this quarter and is expected to drive cost efficiencies in the future . Overall, the working capital and cash fl ows on account of higher capex , have led to an increase in the net debt of about Ra. 3,600 crores on QoQ basis, which is now about Rs. 71,397 crores. Our finance costs are broadly stable on a QoQ basis. Net debt to EBITDA is about 2.9x, and Net debt to equity is 0.69x. The group liquidity remained strong at about Rs. 30,500 crores, including Rs. 19,000 crores of cash and cash equivalent .

As stated, we are keen to prioritis e growth in India and are recalibrating our deleveraging targets accordingly given w here the market conditions are. We are now looking to continue to deleverage. That will remain the priority over the next couple of years but focus on growth continue s to take higher and higher priority . Sustainability is the core of our strategy, which includes providing comprehensive disclosures. We published our first Business Responsibility and Sustainability Report, which you would have read, covering about 14 entities that make up about 98% of our revenues. We have also published the climate change report, aligned with the recommendations of the TCFD, in the integrated report of FY23.

Finally moving to the UK , we are in regular and intense conversations with the government, who have also indicated their willingnes s to secure a decarbonis ed and competitive future for the UK steel industry. Tata Steel has clearly articulated that the solutions have to be implemented quickly, has to be financeable in an effective manner , and will require to transit ion out of some of t he end -of-life assets . So, this is broadly where we are, as far as our performance and the future of Tata Steel is concerned. Thank you, and over to the floor for Q&A . Thank you.

QUESTIONS AND ANSWERS

Operator

The first question is from Sumangal Nevatia of Kotak Securities .

Sumangal Nevatia, Kotak Securities:

My first question is on the Europe division. If you could just share what is our outlook on returning back to breakeven and [inaudible] positive at the EB ITDA level over the next few quarters. And overall, are we seeing light at the end of the tunnel ? We have been incurring almost $800 million annualis ed loss at the EBITDA level over the last 3 quarters. What are our targets and views for next 1 to 2 years? And do we have any stiff targets, as far as return on capital employed is concerned , under which we will decide to take some tough decisions as far as that business division is concerned?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. So, I'll give you some inputs and then Koushik can supplement. If you look at the last 3 quarters, 3Q of last year was when the highest energy prices and the low est demand was witnessed , as the conflict in the UK panned out. While we did have some hedges to protect us for some quarters – this was where we had a challenge – particularly in Netherlands. UK is separate. And if I look at Netherlands, it has always been an EBITDA -positive, cash -positive business which had not required support from India, but the last 2 quarters have been different for these reasons: One is we were hit by these input costs going up very significantly, thanks to the conflict. A nd secondly, as we guided in the last quarter, there's a blast furnace relining which meant, out of the 2 blast furnaces, 1 blast furnace was shut down for 6

months. That means 1Q and

2Q of this year, so you're seeing the impact of that. We did stock up on slabs. That is why the sales drop has not been as

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much as the production drop, but those fixed costs which we have for a 7 m illion ton production is now distributed over a much lower production, which is reflecting in core numbers .

UK is a bit more refle ctive of softer steel prices. And often times when we have softer steel prices, we do have a challenge in UK . As Koushik said, in UK there is a conversation going on with the government to find a long -term solution, which we hope will come to a conclusion in the next few months. And in Netherlands, also apart from the blast furnace starting up in the second half of the year and going back to normal production levels, there is a transition plan being made, so as far as the operating performance is concerned, Netherlands should come back to normal levels , which is typically cash positive and EBITDA positive. We should come back to those levels in the second half of the year, but UK, yes, has some structural challenges which we are trying to deal with. Koushik, do you want to supplement on what I said?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Let me just try to articulate the 2 parts. I think, the next quarter will have, as Naren guided, pressure on prices. In Netherlands, our relining will get completed more around the end of next quarter, the early part of the third quarter. And from third quarter, onwards, I think Netherlands will certainly come back to its normal operating levels. Maybe, the second half of the third quarter, onwards, it will certainly come back to its operating level. We expect that Netherlands will continue to be strong in the context of the market that exists there. And it has , historically, if I look at last decade of numbers, it has always, as Naren mentioned, been a PAT -positive and a cash -positive business, so we expect to do that. We are also taking a lot of efforts in terms of structurally improving that. And that is going to have a cost impact or cost takeout impact, but it will not happen in this year [inaudible] . We will have to become ready for the decarbonis ation in Netherlands. That's the reason the cost structure will start getting aligned to the decarbonis ed position, which will happen in a few years' time .

In the U K, we would certainly see in the next couple of quarters a similar kind of performance . As I mentioned and as Naren mentioned, we will enter a decisive position sometime in H2 of the year. And we will have to take calls, and which is under consideration, and we will have to come to a different operating structure and operating model . But that would not happen before March 2024. The process will take time and that is what we will be looking at in the long term . In the next 2 - 3 years, we will certainly look at a different operating model. Depending on the conversations with the government, we will then have to look at reconfigured hardware in the UK and see where it goes. I am sure that we will h ave the time and opportunity to talk more in detail as we go along in the second half of the year. And like you, we are extremely mindful of the EBITDA losses an d performance losses that happened in the European portfolio, but I can also assure you that we are working towards a structurally more robust operating configuration in both UK and in the Netherlands.

Sumangal Nevatia, Kotak Securities:
That's very reassuring. My second question is on the capacity expansion. One is on KPO -2 blast furnace. We are nearing the commissioning maybe sometime towards the end of the year, so now since we are not many quarters away . Is it possible to give some specific timeline, as far as which quarter we can see commercial production to start from KPO -2? Number two, w e've put a very impressive and informative Slide 11 in our deck, as far a s 2030 expa

nsion timelines and
potential of reaching 40 million ton s. The important element here is the iron ore because, by 2030, what I understand, all iron ore mines will be put on auction. We might not be able to retain all of them, so what's our strategy on iron ore given that we are now articulating our 2030 target, as far as steel capacity is concerned?

T. V. Narendran : CEO & MD - Tata Steel Limited
Yes. So as far as Kalinganagar is concerned, the cold rolling mill and pellet plant have already started working. The galvanis ing lines, annealing lines will get commissioned over the next few quarters. The blast furnace is e xpected to come on by Feb ruary -March. That's the current timeline . Blast furnaces, as you know, ramp up quite fast, so if we have a good ramp -up, you should start seeing the volume impact clearly next year, which is the next financial year. The steel melt shop, we should be adding another stream, another caster, so that should add about 0.5 million ton s straight away. We will get some benefit of that this year. That should start by October or November, but the full benefit will come once the blast furnace c omes and the complete steel melt shop expansion is done. So, I think FY25 is when you will start seeing the volume impact. I think we'll give you more specific guidance closer to that, but you will start seeing the volume impact. The cost impact is already being felt because, with the pellet plant commissioned, we have stopped buying pellets. We used to buy a lot of pellets. We have also started shipping pellets to Meramandali from Kalinganagar, so our cost impact is already being felt. Cold rolling mill wi ll again help us with margin s if not with volume s, because you're converting hot rolled into more value -added products, but the additional volume will start coming from second half of the year in terms of the steel melt shop. And that's why, in the beginni ng of the year, we had guided a 1.5 million ton increase in volume this year compared to last year. And some of it was coming from Kalinganagar, and some of it from Neelachal .

As far as our 2030 plans is concerned , all our existing mines, as in the mines which we have had for a long time, will come up for auction in 2030. As per the law, we have a right of first refusal. In any case, we will participate in the auctions, s o we can always bid for it and bid to win if we want to. So that is one option. Secondly, we participated in an auction. We've got a mine already, the Gandhalpada mine. In addition to that, one of the reasons we bid for Neelachal is that it has about 110 million ton s of iron ore. With Bhushan, we got another 100 million ton s. The Gand halpada mine is about 350 million tons. And with the Usha Martin steel business acquisition, we got about 25 million ton s. So, we already have about 500 million ton s of iron ore with us, which is with us for the next 30 - 40 years . Obviously, that is not s ufficient for the kind of volumes at which we will be operating, so we will continue to bid for more iron ore mines between now and 2030. We have the option to bid for the mines which will expire in 2030. So, the objective is, of course, to make sure that we are secured on iron ore and obviously manage the weighted average cost of our iron ore. There may be some mines where we may have to bid more.

Operator
The next question from Satyadeep Jain of Ambit Capital .

Satyadeep Jain , Ambit
The blast furnace relining will be complete in another quarter or so and the energy hedges roll off. Given where the spreads are, and given all these tailwinds from rolling -off of energy hedges and completion of blast furnace relining, could we possibly look at brea keven EBITDA for the entire European entity by the end of third quarter? And tied to that would be in

the annual report there was a target of $1 billion for debt reduction and working capital reduction. We hav

e seen working
capital increase and debt increase in this quarter, but would management maintain that target for the entire FY24?

T. V. Narendran : CEO & MD - Tata Steel Limited
We certainly expect the Netherlands business to be positive EBITDA in the seco nd half . Plan for the year is for it to be EBITDA positive for the whole year . If you look at the current spreads, they are in the range of €260 - 270 per ton , which is better than normally you look at €225 - 240 per ton . The reason those spreads in the last year became less relevant is when you look at spreads, you d on't look at the electricity prices and gas prices. Spread was looked at only iron ore, coal,

and steel price s. Because electricity and gas prices were typically about €30 - 40 per ton , it was not as material as iron ore and coal . But over the last year, tha t went to €120 levels . Now it is settling back at €70 - 90 per ton levels and as it comes back, spreads at €270 per ton will also be very comfortable. In the second ha lf of the year, you will see the lower energy prices coming back to more normal levels. We will also see the production back to normal levels, which will make sure that our costs are back to normal. So that's why Netherlands is very clearly back on track i n the second half of the year, but I think UK is where we have a challenge. We are still looking at the numbers for 2H. And at this point in time, I think we will wait for the 2Q call to give you a guidance for 2H on UK.

Koushik Chatterjee : ED & CFO – Tata Steel Limited
For the full year, certainly Netherlands will be in positive EBITDA; and that's what we are going to be working on. It will start certainly from the third quarter . And then we will look at fourth quarter as it comes, but full year, o ur target is certainly to be that. In the UK, there will be pressures on this as it is continuing at this point of time . On an underlying basis , for the combined European entity, we will certainly focus towards being breakeven. On a reported basis, if we m ove on to taking structural actions in both Netherlands and in UK in particular, there would be a structural cost takeout that will get reflected in the reported numbers in the second half. In the second half, on underlying, we will continue to focus on th e breakeven and including moving towards a positive zone . But on the reported side, if we have to take structural actions, especially on the UK , some of these actions will have cost implications which will get reflected in the second half results.

On you r question on the debt. I think, sometime back when we had an Investor Day, we essentially said , and I think I can remember I was criticis ed for saying that , why is your Net debt to EBITDA target so high. Because you would be swimming in money . But I think we have taken the right call to say that it will be between 2x and 2.5x. That Net debt to EBITDA goal will continue to be there. It is not something that we have on a QoQ basis, but certainly on a YoY basis, we will try t o adhere to those levels including with the higher capital allocation. But if there are extraordinary costs that comes in because of events such as the blast furnace relining in Europe, those kinds of things do have to be absorbed to ensure sustainability of the business. Such things distort it for a while but does not take our eye off the ball, as far as deleveraging is concerned. We will continue to be in that zone. Maybe, when we are allocating peak capex , which can get breached for a while but again come back because that capex is meant for good purpose and increase our EBITDA in due course of time . I would stick to that parameter and ensure that our deleveraging is also a same priority as we grow on our capex , but in India, we are seeing a multitude of pipeline of growth , be it in Kalinganagar at this point of time or the EAF in Ludhiana. The p ipeline

is really strong, so therefore we are really looking at it. While deleveraging and keeping the balance sheet at investment grade is a big priority for us, I think we will try to balance between that as well as keeping the growth engine on in a substantial manner. So, I think what you need to track, which is the 2.5x Net debt to EBITDA , which i n this quarter is at 2.9x. By the end of the year, we will certainly want to bring it back to that 2.5x level.

Satyadeep Jain , Ambit
Second question, on the European decarbonis ation. In the presentation, it is mentioned the blast furnace 1 will be transitioned by FY30, so can you remind us? When is the relining due for the other BF in Netherlands? How long would it take for that to complete? And the capex for that transition. Regarding, carbon border adjustment tax, that there is talk in India of a voluntary carbon pricing. If companies want to take that lower price and use that to ship products to Europe, how would European steel companies generate ROC E on the decarbonis ation capex ?

T. V. Narendran : CEO & MD - Tata Steel Limited
So firstly, in Netherlands, basically one blast furnace, which is called the BF6, is being relined. The bigger blast furnace, BF7, which produces 3.5 million ton s, is up for relining maybe in 2026 - 27. The plan is what we have already said when we did the BF6 relining, is this is th e last relining that we are doing; because we want to transition away from blast furnaces, into DRI -based production with an electric arc furnace to support it and later maybe a reducing electric furnace (REF) . So those discussions are going on internally on phasing the right technology based on the technology maturity and the product mix and other conditions, so that work is pretty advanced. And a lot of work has been done already. Already, the engineering work has been done on some of these opt ions. We are having very detailed conversations with the Netherlands government. So, in Netherlands, the advantage we have is a lot of this transition can be supported by the cash flows that we generate out of Netherlands, so we are looking at how can we f ind that optimal balance between the cash flows that we generate, the support that we get from the government and any project financing that we may take for

that project. So that work is going on, but it is something that we expect to be self -sufficient an d taking care of itself . As far as what you asked. See basically the carbon border adjustment mechanism is linked to the tax, carbon tax, that we pay in Europe based on the carbon footprint that we have, so if you look at it from that perspective: Already our Dutch plant is one of the most carbon -efficient plants in the world. It has a carbon emission of 1.8 ton s per ton of steel compared to Tata Steel in Jamshedpur, which is at 2.11 and the best in India, all right? So, if you were to apply the carbon tax, anybody shipping from India with a higher carbon footprint will be at a disadvantage. And I don't think the European government is going to allow anyone to ship material without paying that carbon tax when the local industry is already paying that carbon tax. Because then you're penalis ing more carbon -efficient industries like the one we have in IJmuiden and importing steel from less -carbon -efficient process routes. So, I think the way carbon border adjustment mechanism is framed is to look at your carbon footprint and pay tax accordingly. Now if you can make steel in India with a lower carbon footprint and ship it to Europe, that's a different matter, but today our European facility is one of the most carbon efficient in the world, so if you apply the prin ciples of carbon border adjustment mechanism, we won't be any less competitive than we are today. And as we transition into a greener process route, that carbon footprint comes even lower . So, I think, while in India , the carbon border adj

ustment mechanism is being discussed at multiple levels, but from a European standpoint, it's not just us. Most of the steel industry in Europe and the governments in Europe are supporting this transition. And I'm sure that they will ensure that in Europe there is no unfair competition from less -carbon -efficient sources.

Koushik Chatterjee : ED & CFO – Tata Steel Limited
The CBAM is actually a carbon equalis ation process, so therefore, if any company in India, and for that matter, anywhere else in the world, was to adopt voluntary internal carbon pricing, which has to reflect in the product that goes to Europe. So just adopting an internal carbon pricing will not change the embedded carb on. You have to actually produce the product which has equalis ed carbon or less carbon than what European standards will provide. I think that it's kind of an illusion . If somebody were to think that [inaudible]. Tata Steel today applies $40 internal carbo n pricing, but as Naren mentioned, our carbon footprint is 2.1, so that doesn't make us any way competitive with the CBAM if it was to come in force today. We have to reduce it to the average levels of carbon which CBAM will specify in 2026, so I think tha t needs to be cleared in our minds, and all the transitions that are happening in Europe are looking at a sustainable business case and an investment case for this transition, which I would presume would be in the zone of between, say, 8 – 12% of ROIC.

Operator
The next question from Pinakin Parekh of JP Morgan

Pinakin Parekh , JP Morgan
Yes. Sir, my first question is going back to the debt reduction. Is it fair to say that now the $1 billion absolute net debt reduction guidelines that we had at the beginning of the year now would not stand and we should look more at Debt to EBITDA , which would mean that the absolute debt could be higher?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Let me correct myself. The Net debt to EBITDA is a frame that we are looking at. Earlier, we said 2x - 2.5x, if you recall, when we had that conversation on the Investor Day. That continues to be our frame. The $1 billion debt reduction number is also a number that we will continue to pursue, but the question is – for example, this quarter, we had about Rs. 7,200 crores of repayment which partly we had to refinance. So that's why you don't see it in th is, because the working capital increase and the capex increase have offset that number, and as a result of which, you see a Rs. 71,000 crores net debt number. Going forward, in the next quarter, we have Rs. 4,500 crores, part of which will be repaid. So, we will continue to do that on a gross basis, but the fact is that our allocation of capex is also increasing. And there is some volatility which you can see in the coal prices and steel prices, which is reflecting in the working capital . If I were to take out the working capital impact, we would have certainly seen a net debt reduction. [inaudible] This is because it is not on the gross basis but on net basis because fundamentally the raw material prices or the coal prices moved sharply down, the creditors numbers came down . So, I don't see that we are giving up on the $1 billion target. We may surpass it, or we may fall short of it, but we will keep working on that $1 billion and also the Net debt to EBITDA number, so there are 2 frames in this equation. We will continue to do that. All that I said is then our capex allocation are increasing more than what we have done in the past. In the past, we have also put deleveraging ahead of capex, and by which, we have also slowed down our capex, like Ka linganagar, which in hindsight has not helped us. So, the ongoing capex is not starved of funds. We will continue to push that, start getting the output of that kind of growth and continue to deleverage. It's not a binary thing, honestly, Pinakin , actually it

works in parallel, and we have to manage it based on the circumstances of each quarter and each year as it comes across.

Pinakin Parekh , JP Morgan
Sure. So just to follow up: If we were to take a view of the next 12 months, yes, there is India capex. And there are volatile earnings, but is there a risk to the target $1 billion net debt reduction not being met because of unforeseen spending in Europe, especially in UK? Between the India capex, the Europe capex, and the debt reduction, we understand the priority is India capex, but what between Europe and the debt reduction?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
I think it's a valid point. Let's look at FY23 . We had a similar $1 billion target , but we did not meet it because we started allocating more and more capex to Kalinganagar and the volatility in working capital did affect. In Europe, for example, Netherlands is sitting on almost €0.5 billion of cash and that is reflected in the net debt number because you have that cash sitting there. Now the blast furnace relining, for example, is funded through internal generations and internal cash of Tata Steel Netherlands. And that is going to reflect in the net debt also if you are stopping your production because of the blast furnaces. And therefore, it will get related, but it will come back again and replenish that because that is actually t he corpus. And we add to that corpus to ensure that decarbonis ation in Netherlands is done primarily by government support as well as by internal cash flows, and that's how we are going to structure that stuff. Now in the UK, if there are any extraordinary structural cost that as I said is incurred, that will take cash out of the system. And I think that is important because, once we have done that, we will actually ensure that we get into a level where that cash bleed comes down very significantly, if not to a neutral and positive zone. If I look at till July 2024, there is certainly the objective of ensuring that

we repay on the basi s of some of our scheduled repayments, which doesn't get refinanced but paid out. That will be one target. And secondly, how we optimis e on the cash that we may have to pay out to do any restructuring, as far as Tata Steel UK is concerned .

Operator
The next question from Amit Murarka of Axis Capital.

Amit Murarka, Axis Capital
The first question is on Europe again. The energy hedges have actually been impacting numbers as you have highlighted. Could you just help understand generally like what is the periodicity of these hedges? And what is the quantum of impact that could be coming in [inaudible] subsequent quarters?

T. V. Narendran : CEO & MD - Tata Steel Limited
So typically, we hedge, I think, 3 quarters at 25% every quarter. So that's why, in some sense, 1Q and 2Q would be the peak of what we hedged maybe 3 quarters back, right? In some sense, 1Q was a peak. You will see if I add the gas prices and electricity p rices on a pound per ton basis, 1Q is the highest, 2Q will start dropping and then 3Q, 4Q will drop further. So that's pretty much a trajectory. Most of the drop will come in 2H. So that's why the benefits will accrue more in 2H than in 1H.

Koushik Chatterjee : ED & CFO – Tata Steel Limited
No, that's perfectly fine. Actually, the hedging ha ppens on a rolling basis and an increased percentage basis. We also reworked the approach to it given the volatility because when the prices are the maximum, the view from the entire analyst community is it will remain like this. And that kind of also help s us to take the hedges, but then the market has moved very differently. So, one is working on consensus, the other one is to also get a sense as to how the market moves, and how much is the risk appetite to keep it open. So, I think you will see that the impact of the hedges will wear out, and the energy prices are a lot more range bound at

this point of time. So that would not kind of make too much of an impact going forward.

Amit Murarka, Axis Capital
Sure. And is that possible to quantify, like what could be the hit of those hedges in 1Q?

Samita Shah: VP CFTRM – Tata Steel Limited
Yes. So, we can share the details with you. And just to add, in FY22, actually, we benefited from the hedges. If you see how the spot prices had moved because we had hedges in place, our costs were actually much lower in FY23. In FY24, we will see some of that impact, and we can share the number with you.

Amit Murarka, Axis Capital
Sure . My next question is also on Europe. So, this quarter, like at least from the reported P&L, I see that there's almost a $60 - $65 per ton QoQ improvement in the realis ation. If I remember right, you had guided for a much lower, $15, or so. Is there any one -off in that? Or has it been much better than you thought?

T. V. Narendran : CEO & MD - Tata Steel Limited
We'll come back to you on this. But lastly, if I remember right, both the cost guidance and the net realis ation guidance for 1Q compared to 4Q was pretty close to what we have guided. And basically, our guidance for 2Q is £38 per ton reduction in realis ations in Europe and about Rs. 3,200 per ton reduction in realis ations in India . To some extent , this is to be supplemented by coking coal consumption prices reducing by about $50 per ton in both Europe and in India. In 1Q compared to 4Q, the guidance on the coal consumption was also close to what we guided .

Samita Shah: VP CFTRM – Tata Steel Limited

Yes. Just to add to that, Amit, while the NRs and the coal guidance we've discussed, I t hink there were some additional costs because of the cold rolled mill taking a little more time to stabilis e. And of course, the blast furnaces being down. So, some of these costs have actually impacted the profitability, which is what you're seeing.

Operator
The next question is from Indrajit Agarwal of CLSA .

Indrajit Agarwal , CLSA
I have 2 questions. First, can you explain better the BlueScope arrangement ? What exactly have we done here? And what kind of advantages can we see?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Yes. Tata BlueScope is a 50-50 JV, which has been in force since FY06 . And it is a very significant player in the coated products market , especially building systems and construction. So as per the JV agreement, all the coated products in the building systems space are being done or should be done by the JV. Now when we acquired Bhushan Steel, we actually had similar product lines in Bhushan, [inaudible] . To ensure that we are consistent as far as the JV principles are concerned, we actually agreed with BlueScope that we will ensure that we have a long - term lease of these facilities and assets into the BlueScope JV. And that JV will effectively continue to face the market, make the products . The substrate comes from Tata Steel, and it continues to ensure that system -wise, we are compliant with the JV agreeme nt and, more importantly, the market continues to be fed in a more aggressive manner on the coated products, which is a very value - added segment, and growing very significantly. So that is fundamentally the arrangement. The accounting implications of that, which is essentially then you derecognis e the assets in your books and convert it into lease assets and we will continue to get the lease charge as well as margin on those assets going forward . This will be earnings for Tata Steel .

Indrajit Agarwal , CLSA
So effectively, when we look at the release, then it moves from EBITDA to other income. Is that correct ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
That's correct. The turnover goes, the EBITDA goes, and it goes to the other income .

Indrajit Agarwal , CLSA
So, the current other income run rate could continue in t

he foreseeable future right or there is a one-off?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
No, no. Not in this manner. It will be in the form of a lease charges. So, this is a fair valuation transfer that has happened, which is what has got reflected. What will come in the future is basically the lease charge as well as the margin al capital charge and the margin on the leased assets. So that number w ill be much smaller .

Indrajit Agarwal , CLSA
My second question is about Europe There are lot s of news floating around what kind of support the UK government is extending. Where are we on the discussions currently? What kind of support are we looking for and what is it that is promised ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
I think what I would suggest is that, let us complete the whole discussion with the government because there is not just a support from a money point of view. There is also support from policy point of view. There is a lot more other enabling support that we are in discussion about . They have accelerated and picked up speed, and we would hope to come to a frame. As I said that in the second half of the year, we will be in a better position to actually come out and say what is our plan for UK going forward .

Operator
The next question is from Tarang Agarwal of OldBridge Capital.

Tarang Agarwal , OldBridge Capital
I have a couple of questions. One on Slide 10 of the presentation, it's mentioned tha t about 23% of the capex was for environmental and social initiatives. Is it 23% of the entire capex for FY2 3? And second, what is the absolute level of working capital as on 30th June? While you have explained it in a fair bit of detail as to how you see it, I just wanted to understand is there an absolute target that you would operate with, given the overall cash flow of the business?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
This 23% of the capex for environment and social is based on a total portfolio basis. That's what we have disclosed in the past also.

Tarang Agarwal , OldBridge Capital
So that's 23% of all the capex spend in FY '23?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
If I look at it, a large part of capex in Europe, be it Netherlands, in the UK, in India, we have what we call as category 1, which includes environment, which includes the license to operate, those kinds of categ ories, which are compulsory capex, which is safety capex and so on. Those all taken together is this number.

T. V. Narendran : CEO & MD - Tata Steel Limited
It would include investments being made to improve emissions, many other, reduce CO 2, whatever, all that will come under that.

Koushik Chatterjee : ED & CFO – Tata Steel Limited
To answer your question on working capital, I think fundamentally, what we are saying is the gross working capital, which we manage mostly by number of days holding, whether it's inventory, finished goods, spares, slabs, and any work in progress has been pretty tight.
Now for example, there are special situations. For example, Netherlands was stocking up slabs for the blast furnace relining shutdown. So, there was an increase that happened in the last 3 quarters. But this quarter, for example, Netherlands is deeply positive in working capital release because those slabs been consumed. So fundamentally, we look at it in the efficiency metrics in number of days. And that is what is the main part . The second bit of it is the creditors, which is the net of effect on the working capital, which goes up and down based on the large buys on coal and iron ore, especially in Europe. Now that is a fluctuating bit, which ens ures that we continue to manage this bit in the manner in which the creditor line can be as flat as possible. The volatility of price effect does come in. In gross working capital also the volatility o

f steel
prices gets into the debtors as well as into th e finished goods . So, we manage these metrics, and we have seen this volatility not only with us, but all our peers, because that is the way with long supply chain, especially on coal and for ir on ore. These do have fluctuating impacts. Even within that, w e then optimis e on the number of days .

Tarang Agarwal , OldBridge Capital
Just one more last question then for the annual report. If I look at the standalone financials, the capitalis ed expenses are in the order of about Rs. 4,500 crores. And our capex in the standalone financials was in the order of about Rs. 9,800 crores. Is my understanding right that a reasonable part of the capex in the standalone financial has gone in for the Rs. 4,500 crores of pre - operating expenses?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
We don't have pre -operating expenses. What we do is we capitalis e at the end of the year assets which are commissioned. And therefore, of the total capex, it is actually additive rather than being a subset. Some part of it will be work in progress, some part of it will be capitalis ed. These 2 should add up to the capex that we spend for the year.

Operator
The next question is from Ritesh Shah of Investec .

Ritesh Shah , Investec :
A couple of questions. Sir, you indicated residual surplus of £200 million pertaining to BSPS. How should one understand the cash flow impact over here?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Cash flow impact is zero. There is no cash flow impact. The BSPS is a separate entity. And this was in our books, and as we did the buy -in with the insurance company, the assets, and liabilities both started going away. And it had surplus because that's the surplus that helped us to do the buy in. As it went out, the surplus also went out. And when you take out the surplus, then the deferred tax impact, which is a noncash impact, hit the P&L. There is no cash flow impact in the entire buy in that we have done of £8 billion.

Rites h Shah, Investec:
Sir, the reason I ask is, I think end March, there was a surplus of around Rs. 6,600 crores, and there is a technical requirement of 103% of the liability, which the insurer would like to have. It might leave out certain quantum . Is there a hope that, that could come back to the India balance sheet? The question was more pertaining from that angle.

Koushik Chatterjee : ED & CFO – Tata Steel Limited
No hopes for that because it is a separate entity, which gets consolidated in the TS UK books and hence in Tata Steel books. But this is completely a noncash transaction. The bit on the surplus is the trigger point with not only the insurance company, but also with the trustees that when it reaches a surplus, we can do a full derisking, wh ich is why it's, in effect, a lock, stock barrel transfer in parts, and that's what we have achieved. And in the end, there will be some residual, which will also have to be taken out because we are not the owners of the assets. The owners have moved into the insurance

company. So, there's no cash flow impact positive or negative that will happen

Ritesh Shah, Investec:
Sir, second, you indicated we'll take a decisive action on Tata Steel UK. Why did you use the word decisive? Specifically, you also have elections around the corner, which becomes a bit of a volatile situation. Is there anything that we are looking at it from a number standpoint, which made you use the word decisive?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
The decisiveness is purely because the assets are coming to the end of life. And therefore, to ensure that the safety of the employees working and compliance to all the regulatory stuff, we need to come to a view. It has nothing to do with any other extraneous factor. And when we talk about the asset, let me also be clear it is the heavy end as

sets, which are
coming to an end of life. And we need to take actions as a responsible corporate on these assets. This is essentially the reason.

Sam ita Shah: VP CFTRM – Tata Steel Limited
Just to add to the question on the BSPS charge out of the £200-odd million, which Koushik mentioned, there would be a corresponding deferred tax charge of around £50 million. So that's what you need to factor in.

Operator
We would now like hand over the conference to Ms. Samita Shah for chat question s. Over to you ma'am

Samita Shah: VP CFTRM – Tata Steel Limited
Thanks, Kinshuk. The first question is actually on the consolidated EBITDA. And can you please draw a bridge to Rs. 6,122 crores? This is, I think, really is coming from Tata Steel BlueScope and how do we kind of arrive at that number ?

Samita Shah: VP CFTRM – Tata Steel Limited
Yes. When we are looking at EBITDA, we are actually looking at it slightly differently from the way you do. We are really looking at total income and then excluding expenses, whereas I think when you are looking at it, you exclude other inco me, and that is essentially the difference of what gives us Rs. 6,122 crores .

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We'll move to the next question. What is driving the higher sales realis ation at TSLP? Is there any one -off in that ?

T. V. Narendran : CEO & MD - Tata Steel Limited
TSLP is, of course, benefiting a bit from the strong auto market because TSLP has a lot of products going to auto . [inaudible]

Samita Shah: VP CFTRM – Tata Steel Limited
What is the expected reduction in NRs in second quarter for India operations?

T. V. Narendran : CEO & MD - Tata Steel Limited
We said about Rs. 3,100 per ton QoQ reduction .

Samita Shah: VP CFTRM – Tata Steel Limited
This is on the Netherlands and the decarbonis ation project. What sort of funding are we expecting from th e government?

T. V. Narendran : CEO & MD - Tata Steel Limited
I think the conversation is still on going. It is too early to give a specific number. But I think what we also highlighted to the Netherlands government is the kind of support that the other countries in Europe are providing to our peers. Whether it is Germany, whether it's Spain, so the conversation is going on regarding fair level of funding, not only to support us in the transition, but also to make sure that we have a reasonably level playing field in Europe post the transition. I think that's where we are. When we are closer to conclusion, we can sh are the details, but I must say that we've had very positive conversations with the government. Of course, just now there's a change of political leadership, but we continue the conversations with the senior bureaucrats in the Dutch government .

Koushik Chatterjee: ED & CFO – Tata Steel Limited
I think this will take some time to crystallis e. And I think because we will also have to come back with our capex estimation of that transition, and we are just now starting to work on the technology part ner as well as on the engineering and design work. It is a bit parallel conversation and that sign -off will happen. Potentially, it will take at least about a year or so to get into the final state. But there is work to be done, which is what we are doing. And the support, as I said, even in Netherlands, it's a combination of policy support as well as funding support.

Samita Shah: VP CFTRM – Tata Steel Limited
The next question is TSUK. TSUK has been importing HRC from Tata Steel India. Are these imports being done to support the operation or to be sold in the local market or both? Do these imports fall under the UK steel safeguard quotas?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Yes. The second answer is yes. It falls within the quotas , and we are complying with the quotas . But these exports to UK are part of the downstream alignment, and we are not selling directly into the UK market. It

is actually given as a substrate
to the UK downstream, for example, [inaudible] and then Tata Steel UK converts it and sells it to their custom ers

Samita Shah: VP CFTRM – Tata Steel Limited
The next question is on steel exports from India and how that is facing issues. What is the impact of higher Chinese exports? Indian steel exports have been facing stiff competition from Asian origin be it China and Japan and the Vietnamese and Middle East ern markets? Is this a cause of concern? And are you looking to explore new export markets?

T. V. Narendran : CEO & MD - Tata Steel Limited
For Tata Steel, exports have always been about 10% -15% of our production. Last quarter, I think we've exported 5% of our production. We are not so dependent on exports to sell the volumes that we produce. But overall, yes, the Chinese exports for most of the last quarter was at 8 million ton s. For 2-3 mont hs, it was at 8 million ton s a month and above, which is the highest that it has reached since 2016, because in 2016 - 17, it had gone to about 10 million ton s a month, and that is when there was a lot of noise against Chinese exports across the world . Since then, it was at about 5 - 6 million ton s a month level, which to me is a level which the world can live with. 8 million is certainly a cause of concern, but we believe that it's an outcome of Chinese steel producers producing more in the Jan uary-March q uarter in anticipation of an economic recovery, which did not happen. And we are already seeing a tempering down of those sentiments and reflecting in the production level . So, the latest info I have is th e recent month, I think the exports is likely to be between 7 million and 8 million, and we expect that it will over the next few months come down to a 5 - 6 millio n levels because the Chinese government is also not encouraging exports as they did 5 - 7 years back, because today, they also have carbon re duction targets. I think the steel industry is being told that they don't want to be importing iron ore and coal, leave a carbon footprint behind an d export a lot of low -value steel. I think there is a discipline, which will come in anyway, and we expect t he second half of the year to be more balanced . It will reflect both as a direct impact on Tata Steel because of the company's exports and includes an indirect impact because it will have an impact on the overall steel prices. I expect that if Chinese stee l exports come down, then hot -rolled coil prices should be more in the $600 - $650 per ton range rather than the current $550 - $600 per ton range

Samita Shah: VP CFTRM – Tata Steel Limited
The next question is on capex. What are your capex plans for FY24 and FY25, a split between India and Europe? And on Kalinganagar, what is the remaining capex and total project cost? We don't give guidance for FY25, but maybe for FY24, you could give them some colo ur?

T. V. Narendran : CEO & MD - Tata Steel Limited
FY24, we have already said Rs. 16,000 crores. And I think about Rs. 11,000 crores out of that were supposed to be for India, if I remember right , largely Kalinganagar capex. Obviously, there is no constraint on supporting Kalinganagar capex. So as long as they can execute, as fast as they can execute and spend, the money will be given, and we budgeted for whatever is required by the project team. As Koushik mentioned, we've already spent about Rs. 18,000 crores on the Kalinganagar project. And as they require more funds, it will be made available. The focus is on executing the projects as fast as possible.

Samita Shah: VP CFTRM – Tata Steel Limited
The next question is on NINL. You had mentioned you would be expanding NINL. Can you please share some light on the timeline and the plans for NINL?

T. V. Narendran : CEO & MD - Tata Steel Limited
Yes. Our first objective was to make sure that NINL is on full cap

acity and all the facilities in NINL, which were set up, but
had never functioned or hardly functioned were back on track. I think we have fulfilled that objective within a year as we had wanted to. The last major facility, which will come on tr ack is a coke plant, as Koushik said, in which already the heating is going on and should start production by August. With that, we will be at an optimal production level and at an optimal cost level in Neelachal. Iron ore mines are also operating and is f eeding the requirements of Neelachal. I think, the existing network configuration infrastructure is being fully utilised.

Now comes to the next phase. W e have the approval from our board to do the detail engineering in this Board meeting. So, we will now get into the detailed work. We already have worked out the configuration that we want to have to take it to about 4 -4.5 million tons with the first phase of expansion. I think over the next 12 months or s o, we will finalis e the full detail and go to the Board because we have also changed the way we look at some of these approvals. We do the detailed engineering, take it to an [inaudible] level of readiness before we go to the Board, so that as soon as we get the Board approval, we also get all the environment clearances and e verything else that's required , then we can hit the ground running and actually reduce the cash -to-cash cycle. The work is going on in full speed and by next year, we should be ready to get the approvals and move on [inaudible].

Samita Shah: VP CFTRM – Tata Steel Limited
Thank you. The next question is on iron ore. What would be our iron ore requirements by 2030? And how much of our iron ore capacity is coming up for re -auction?

T. V. Narendran : CEO & MD - Tata Steel Limited
So typically, requirement is 1.6 ton s of iron ore per ton of steel. If you look at our plans for 2030, it's 40 million ton s, let's say, 36 million ton s out of that is blast furnace based. And say 3 -4 million tons is EAF based . So basically, you do 1.6 into 36, you roughly have about 60 million or so. So that's the requirement, 60 -65 million ton s of iron ore. As I said, we already have with us reserves of 500 million tons of iron ore, 500 -550 million ton s of iron ore available beyond 2030. And some of these mines like the Gandhalpada mine was not a producing mine. It was a greenfield mine which we are developing. We bid for that so that we could develop it in time for 2030 . So just now, we will focus on the mines we have and places like Gandhalpada will start producing iron ore in 2030 and thereabouts. Between now and 2030, we want to obviously bid for more iron ore mines in O disha and in Jharkhand when they put up for auctions. And then in addition, in 2030, we also have option to bid for our existing mines. Our objective is to make sure that we are fully covered for our iron ore requirements. By 2 030, we will anyway be producing 60 -65 million ton s of iron ore to support our footprint. So basically, self-sufficiency in iron ore is clearly there till 2030 and beyond 2030, we are expecting that we will be successful in our bids for our mines and also the mines that we bid for between now and then, and we will be self -sufficient after 2030.

Samita Shah: VP CFTRM – Tata Steel Limited
And the question which we often get asked . In terms of inorganic growth, are we open to assets such as RINL, NMDC steel, or even Vedanta steel assets? And is this baked into our deleveraging target?

T. V. Narendran : CEO & MD - Tata Steel Limited
I think what we said is that our focus on inorganic growth over the last few years has now given us enough si tes for us to achieve our growth ambitions via pure organic growth. While we have set a target of 40 MTPA, the existing sites between Kalinganagar, the Bhushan site, Neelachal site , the existing Jamshedpur site , you can go up to 50 MTPA . In many way

s,

our growth ambitions for the next decade can very easily be realis ed by making best use of existing sites and that will be the most cost optimal way because you are leveraging or better utilising the infrastructure that already exist s or being created in t hese sites. We don't really need to pursue inorganic growth to realis e our growth ambitions. So that's why we have said that our priority is on organic growth, but at the same time, obviously, we will be watching carefully what is happening in the inorgani c space.

Samita Shah: VP CFTRM – Tata Steel Limited
Thank you. Just before I go back to the audio questions, there was a question on working capital. As we had explained, there was a working capital increase of around Rs. 2,500 crores this quarter. This is more in terms of prices rather in terms of days where they have been broadly stable. The overall consolidated number is about Rs. 24,000 crores, of which around Rs. 14,000 crores are in India.

Operator
The next question is from Kirtan Mehta of BOB Caps.

Kirtan Mehta , BOB Caps
In relation to the iron ore mines, where we have 500 - 550 million tons of reserves potential, what is the current level of production limit under the existing environmental clearances, and what are the additional environmenta l clearances that we have applied, which can enhance this limit? And what is the ultimate level at which this can ramp up by 2030?

T. V. Narendran : CEO & MD - Tata Steel Limited
So basically, Kirtan, the environment clearances are applied for when we need them. We typically plan the expansion of our iron ore mines to be aligned with our increase in steel production. We have enough environment clearances to take care of Kalinganaga r, let's say, moving from 3 to 8 MTPA. L ast year, we produced over 38 million ton s of iron ore. We will move on to about 45 - 50 million ton s over the next few years as our steel requirements, steel capacity or production keeps going up. So that's not a bo ttleneck. I think we planned it well so that we have all the environment clearances in place . And like I said, our goal is not to have to buy any iron ore from the market or any pellets from the market. We had to do it over the last 2 -3 years sometimes simply because of inorganic growth, we grew faster than we had planned. The iron ore expansion was planned to cater to the Kalinganagar expansion. But once we acquired Bhushan and once, we acquired Neelachal, and the Usha Martin facility, we had to obviously use some of our iron ore for those facilities. So, there was a bit of a lag, but now we are back on track. And if you are going to do only organic growth, then it is much easier for us to manage the iron ore requirement.

Kirtan Mehta, BOB Cap s
Second question was on Europe side, where we have said that over the next 2 - 3 years, the Netherlands would be EBITDA positive as well as cash flow positive. In the past, we have not really shared wha t the Netherlands individually make s. Is it possible to share the average EBITDA that they've made over the cycle over the last 6 - 7 years, and the average cash that Netherlands facility has normally generated?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
We used to manage and run Tata Steel Europe as one entity. But if I can give you a range, the Netherlands EBITDA per ton range has been between €70 per ton to about €140 per ton. In FY22 context, it was much highe r. Typically, Netherlands

has been free cash flow positive about €200 million or thereabouts on an average basis. And as I said, that i n FY22 , it had generated more than €500 million of free cash. That's why the point that Naren mentioned that over years, it h as normally been positive PAT and positive free cash flow, not only EBITDA. And our expectation is that post relining when the steady state reaches, it would continue with its past performance. There's nothing that need

s to be done. What needs to be done
is to ensure that it is future ready in terms of its cost structure towards the decarbonis ation. And that's a special initiative that all our colleagues in Netherlands are working towards.

Operator
Thank you very much. That was the last question for today. I would now like to hand the conference back to Ms. Samita Shah for closing com ments . Over to you, ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited
Thank you, Kinshuk. And thank you, everybody, for joining us today. I hope you've got the answers you were looking for. And with that, we will end here. Thank you and have a good day. Bye -bye.

T. V. Narendran : CEO & MD - Tata Steel Limited
Thank you

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Thank you

Call: Nov 2023

(no extractable text — likely a scanned image PDF)

Call: Aug 2024

(no extractable text — likely a scanned image PDF)

Call: Nov 2024

(no extractable text — likely a scanned image PDF)

Call: Feb 2025

February 4 , 202 5

The Secretary, Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.
Maharashtra, India.
Scrip Code : 500470
The Manager, Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra -Kurla Complex, Bandra (E),
Mumbai - 400 051.
Maharashtra, India.
Symbol : TATASTEEL

Dear Madam, Sir,

Sub: Transcript of Tata Steel 3QFY2025 Earnings Discussion

This has reference to our letter dated January 23, 2025 .

In this connection , we enclose herewith t he transcript of the 'Tata Steel 3QFY2025 E arnings Discussion ' held on January 28, 2025 .

The above information is also available on the website of the Company at:
https://www.tatasteel.com/investors/financial -performance/analyst -call-recording/

This intimation is being provided in compliance with Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.

This is for your information and records.

Yours faithfully,

Tata Steel Limited

Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer

Encl.: as above

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CORPORATE PARTICIP ANTS

T V Narendra n, CEO & MD – Tata Steel Limited
Koushik Chatterjee , ED & CFO – Tata Steel Limited
Samita Sha h, VP Corporate Finance, Treasury, & Risk Management – Tata Steel Limited
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Amit Murarka, Axis Capital
Ashish Kejriwal , Nuvama
Indrajit A garwal , CLSA
Ritesh Shah, Investec
Satyadeep Jain, Ambit Capital
Sumangal Ne vatia, Kotak Securities
Vikash Singh, Phillip Capital

PRESENTATION
Operator:
Ladies and gentlemen , good day , and welcome to the Tata Steel analyst call. Please note that this meeting is being recorded. All the attendees ' audio and video has been disabled from the backend and will be enabled subsequently. I

would now like to hand the conference over to Ms. Samita S hah. Thank you and over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited
Thank you, Kinshuk. Good morning, good afternoon, and good evening to all participants listening to the call. On behalf of Tata Steel, I'm delighted to welcome you to this call to discuss our results for 3QFY25. We have with us our CEO & MD, Mr. T.V. Narendran, and our ED & CFO, Mr. Koushik Chatterjee. We will walk you through our results and answer any questions you may have . I hope you've had a chance to go through our results, which were declared yesterday . There is a detailed presentation, which has been uploaded on our website. Page 2 of the presentation has a disclaimer clause, which will cover the entire proceedings today. I would request Naren to make a few opening comments. Thank you.

T. V. Narendran : CEO & MD - Tata Steel Limited
Thanks, Samita. Good morning, good afternoon , and good evening to everyone . During this quarter, global steel prices were subdued across key regions. In China, steel prices were close to around $480 per ton despite stimulus measures. The construction market in China continued to be soft , leading to export s of more than 100 million ton s during the calendar year, 111 million ton s, to be precise. That is amongst the highest that China ha s exported in the past. India steel demand continued to grow but momentum eased, and domestic prices remained under pressure due to cheap imports. The DGTR (Director General of Trade Remedies), has initiated investigation to consider safeguard duty. In 2024, several nations relied on trade measures such as antidumping duty to combat the impact of steel imports, particularly from China. This, along with the new US administration's inclination towards imposing tariffs, has potential to re gionalise steel trade flows with implications for prices.

Moving to

Tata Steel , our performance has been aided by progress on our strategic initiatives. In India, we commissioned the 5 MTPA blast furnace at Kalinganagar and this has aided volume growth. In UK, closure of the heavy end assets has begun to generate improvement in fixed costs and in emissions. India crude steel production rose 6% YoY to 5.69 million

tons for Tata Steel, and the new blast furnace at Kalinganagar produced around 0.56 million ton s during the quarter. Presently, the second blast furnace is operating at around 8,500 ton s per day, and the ramp up to rated capacity is progressing well. India deliveries increased 8% YoY to 5.29 million ton s. Amongst business verticals, Automotive and special products volumes were aided by the growth in high end products. Our retail brand, Tata Tiscon, achieved the best ever quarterly sales and grew over 20% YoY, while our cold - rolled brands for SME s, Tata Steelium, was 10% higher on YoY basis . Customer centricity and value creation is paramount to us as we progress on achieving market leadership across chosen segments, and 75% of our steel sales to automotive is processed or ready - to - use. We have service centres and stoc kyards close to most of the major auto hubs, enabling close partnerships with key OEMs that drives technical support and product development. Our e -commerce platform, A ashiyana, is designed for individual homebuilders, and we have more than 30 construction service centres across India to offer customi sed reinforcement products and solutions to the construction industry. At Kalinganagar, we have also commissioned the continuous annealing line of the cold rolling mill complex. In Ludhiana, we have started receiving equipment delivery for the 0.85 MTPA electric arc furnace (EAF) and have also commenced civil works.

Movin g to UK, we reconfigured the supply chain upon closure of the heavy end assets in September and are now servicing our customers by processing purchas ed substrate. This has led to significant reduction in our total Port Talbot emission footprint as well as the overall fixed cost base. Our fixed cost per ton of deliveries has decreased by >£80 per to n QoQ , which has helped in improving performance. In Netherlands, a drop in prices weighed on the performance despite decline in costs and a s a result, overall profitability was affected. Koushik will elaborate on the same. At the same time, in Netherlands, we have produced about 1.75 million tonnes of hot metal, which means we're running at a 7 MTPA hot metal production rate. We are committed to responsible growth and multiple initiatives are underway across geographies to reduce emissions. Tata Steel became the first steelmaker to introduce biochar in blast furnace as partial replacement for carbon intensive fossil fuel like coal. Our ESG goals underpin broader focus areas, and we are committing to foster the equality, diversity, and an inclusive workplace. We recently operationali sed an all women shift at one of our mines in India. I am happy to share that we've been recogni sed as a Gold Employer by the India Workplace Equality for the fourth consecutive year. With that, I hand over to Koushik for his comments. Thank you.

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Thank you, Naren, and good afternoon or good evening to all who have joined. Let me begin with the consolidated performance provided in slide 24 of the presentation. Market conditions across geographies are similar to conditions that existed in 2015 - 16, when exports from China were at an elevated level ~110 million ton s. These excessive exports obviously hurt the market structure in any countries, which import steel. For instance, in the last 12 months, US and EU steel prices have declined between 25 - 37%, and China steel prices have been hovering around $450 - 500 per ton. All of this meant that there was sustained pressure on spot

spreads, which declined to multi -year lows. However, our progress
on internally focused strategic initiatives has been evident in our performance.

Consolidated revenue stood at Rs. 53,648 crore s, and EBITDA was at Rs. 5,994 crore s. There was an FX revaluation impact due to sharp depreciation of the euro of around Rs. 1,100 crore s on intercompany loans, which have been provided over time. Excluding the above, EBITDA stood at about Rs. 7,155 crore s, which translates to an EBITDA per ton of Rs. 9,263 per ton and an increase of 30% QoQ . As the markets continue to be subdued, we have renewed our focus on cost reduction and efficiency measures across all geographies. Some benefits have started being vis ible, and we hope to continue to demonstrate more of it in the coming quarters.

Tata Steel Standalone revenues for the quarter stood at Rs. 32,760 crores , and EBITDA was Rs. 7,624 crores , which translates to an EBITDA margin of about 23% on reported basis. As provided on slide 30, EBITDA on absolute basis improved by 13% or Rs. 1,227 per ton on QoQ basis. Higher volumes and optimi sation of costs more than offset the drop in reali sation s. I would like to elaborate a bit more about the costs. Material costs declined by about Rs. 1,300 per ton due to decline in coking coal consumption cost and inventory build up of 156 kt during the quarter. Fourth quarter is typically a seasonally strong quarter, and hence, there is usually a slight uptick in inventory at the end of the third quarter. We also had higher production upon commissioning of the second blast furnace in Kalinganagar. Conversion costs, excluding royalty, declined by about Rs. 1,678 per ton, primarily on account of lower employee benefit expense , freight handling, and other costs. Overall, t otal costs have improved by about Rs. 2,700 per ton, helping to more than offset drop in realisation to the tune of about Rs. 1,500 per ton .

I would now like to mention a few comments about our subsidiary, Neelachal Ispat Nigam Limited. As you are aware, we had acquired NINL about two and half years ago in 2022. The plant was closed for two years at the time of acquisition with some imbalance in asset configuration. As part of our long product portfolio, NINL's operating performance has met all the operating targets in terms of cost and efficiencies and is operating a t rated capacity. [inaudible] EBITDA margin improved from 13% in 2Q to 20% in 3Q on account of rise in volumes by about 17% QoQ and as an outcome of cost efficiency through reduction in conversion costs, which reduced by about Rs. 3,000 per ton QoQ . The process of seeking environment clearance for the expansion of NINL is currently underway.

Coming to the European operations . As you are aware, steel consuming sectors have been adversely impacted by subdued demand and high level of imports. In Netherlands, raw material to steel price spreads have dipped to multi -year lows with spreads, including energy and carbon cost currently in the region of about €170 per ton. These spreads were last witnessed in 2016. EBITDA for the quarter was n eutral in 3Q compared to +ve £22 million in 2Q. EBITDA per ton declined by about £15 per ton on QoQ basis. EU steel demand has contracted in 2024, and this has led to a sharp drop in revenue per ton of around £30 per ton and NRV loss to the tune of about £13 per to n on QoQ basis. We also had higher emission rights costs of about £15 per ton on account of decline in yearly allowances due to lower production in the previous year . While this was partly offset by the decline in power and fuel expenses by around £43 per ton, the drop being less than the impact of reali sation s affected the margins.

As mentioned during 2Q earnings call, transformation of UK operations has begun. We have safely closed the heavy end assets, while maintaining our footprint in the domestic market. Sourcing network has been esta

blished to successfully
support our customers. Our fixed cost takeo ut programs are yielding results with a large part of the stated £100 per ton improvement achieved in 3Q. On an absolute basis, there has been improvement in fixed cost by about £70 million in 3Q compared to 2Q and for the nine-month period, the same was about £140 million on YoY basis. The improvement was mainly in relation to maintenance costs, employment cost, and operating charges. TSUK EBITDA loss improved from -ve £147 million in 2Q to about -ve £67 million in 3 Q. While the market dynamics meant revenue per ton declined by £31 per ton, this was more than offset by improvement in cost by about £146 per ton, especially on the fixed cost side. There was also a drop of about £63 per ton in emission right s cost and freight handling charges. We expect to continue the optimi sation of fixed costs, not only in the next quarter, but in the year ahead, too. Total redundancies or people who have left the company since March 2024 was about 1,900 and expect more to leave in the upcoming quarters .

I would like to now spend some time on our working capital management that has led to cash flow generation. We have taken calibrated measure s such as better inventory management, improved credit terms looking at the blends and so on.

In India and Netherlands, raw material inventory has been reduced by about three to five days. All of this has resulted in cashflow release across all geographies and net working capital of more than Rs. 4,000 crore s in this quarter alone . Looking ahead, the ramp up of Kalinganagar, as Naren mentioned, will help improve India cost profile, driven by fixed cost absorption and efficiencies of a newer plant. In UK, we have placed equipment orders for ~3 MTPA EAF and are targeting to commence civil construction in July. In Netherlands, we are engaged with the government on potential support for the decarboni sation project. With this, I'll end my comments and open the floor for questions. Thank you.

QUESTIONS AND ANSWERS
Operator
We wi ll now begin the Q&A session, and the first question is from Satyadeep Jain of Ambit Capital .

Satyadeep Jain, Ambit Capital
My first question is on Europe . One of the largest players in the region has talked about delaying decarboni sation

investments. There a re a lot of reasons - onslaught of Chinese imports, CBAM not making sense in its current form, which is also what Mario Draghi had mentioned in his document. In this context, given where margins are, where imports are and current form of CBAM, and given the strategies adopted by some of the other players where they're waiting for allocation for decarbonation investments, how are you evaluating your allocation to capital in both UK and Netherlands? Are you going to go ahead with capex till you get more clarity o r any support from the government?

T. V. Narendran : CEO & MD - Tata Steel Limited
Satyadeep, on UK, as you are aware, the journey is already on. One of the reasons for this journey is that we believe that our cost position will improve once we switch from iron ore & coal to scrap. There are advantages of lower CO_2, CBAM, plus we are going to use local scrap available in UK . What we had said is that we are expecting our cost position to improve by about £100 - 150 per to n. A lot of it is to do with input cost, [inaudible] fixed cost take out, which Koushik referred to, which is happening with restructuring. As far as UK is concerned, the business case is clear, and we are sticking to the plan. As far as Netherlands is concerned, conversation is currently going on with the government to see what kind of support we can get and what the costs are going forward? How is the policy going to evolve? I think what you referred to is basically our peers in Europe who have signed up with governments in the past and in some cases, committed to the use of hydro

gen are also concerned about availability and cost of hydrogen, whereas our plan was more gas - based production in Netherlands. Conversations are going on with the government and we will wait for it to conclude and take it forward. Of course, we are also waitin g to see the reaction of Europe and reactions that may be taken in the US.

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Just to reinforce the point that many reactions that ha ve come are from companie s who have got the grant or financial support from respective governments and are deeply interconnected to hydrogen , not as a choice but as a core part of the transition plan. Given availability , cost, and feasibility of hydrogen, they are obviously in a difficult position because hydrogen is not available at the assumptions that we re made for granting funds. Whereas in our case, we were clear that hydrogen is an add - on at a much later point, and we are not working on that same premise. The very fact that we are putting up a DRP and EAF is because we have a pellet plant. Therefore, we said we will be focused on a gas - based solution at this point of time and any funding support will be based on that. Hydrogen can be an add - on at a later point in time. This is the premise, and we have some distance to go because we will have to go through the entire approval process. We are in deep discussion and we're getting to the stage where we will get more clarity over the next 4 - 5 months. At that

point, final investment decision will be taken. I think it is some distance to get full clarity. I know what you are saying i n terms of what our peers have indicated . There are multiple reasons for doing that.

Satyadeep Jain, Ambit Capital
I wanted to follow - up on that final investment decision. It's only 5 - 6 months from now. Would that decision be contingent on how the demand and pricing are around that time ?

T. V. Narendran : CEO & MD - Tata Steel Limited
Whenever we take that FID call, there must be a business case . Not only from our side, the government before they put in taxpayers' money will also want to make sure that there's a business case. Obviously, we will look at how things are going to be going forward. We should also keep in mind , that in Europe, there is likely to be some supply side changes as well. Everyone can not transition and it depends on your ability to fund and the support that you get from the government. It's not necessary that all capacity in Europe will make it to the other side . We also need to look at what's going to happen on the supply side as much as what's going to happen on the demand side.

Satyadeep Jain, Ambit Capital
By when do you expect to reach breakeven in UK ? Regarding the clean industry deal that is going to be announced sometime in February, what is your expectation? Is it in line with what you've seen in UK in terms of concessions?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
As far as breakeven is concerned, if you recall in the last quarter, we said we should be close to breakeven in the next few quarters. I still think that given the pace of our cost takeout . Our understanding of the market three months back was slightly different from where we stand today. Nonetheless, breakeven is the target for the next few quarters, and we should be in that zone in the first two quarters of FY 2026. We're certainly focusing on getting it by June 2025 . There is a lot of market volatility at this point of time, but we are focusing on internal measures, which essentially include cost takeout . A significant part of the labo ur redundancies is on the way, and which ha ve been approved in the past. We are also looking at consolidation of sites, product mix and sourcing strategies in a more efficient manner. A lot of activities are currently under way and significant cost takeout has already happened but will contin

ue to happen over the next three quarters.

Operator
The next question is from Sumangal Nevatia of Kotak Securities .

Sumangal Nevatia, Kotak Securities
My first question is with respect to Notes to Account s [inaudible] . There are a lot of details with respect to some environment related non - compliance notices received for Netherlands facility and some penalties. Is it possible to share the nature of penalties? When do we expect to get back on the right side?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Note n o. 6 that you see elaborate s on the ongoing situation as far as coke ovens in Netherlands is concerned. This primarily relates to Coke & Gas plant 2, but now also include s Coke & Gas plant 1 . This is at the provincial level and relates to provincial authorities . It initially started as a green push from coke ovens beyond certain permitted numbers. Green push

technically exists in all coke ovens across all geographies and facilities. We have taken very significant steps in mitigating those green pushes . In fact, the last push was somewhere in October 2023, but the provincial government has now come back and is basically talking about stack emission standards and levels and treatment of benzene. They have come and talked about some opinions on maintenance which has been significantly high in T SN for years together. We have some time to respond , which we are doing. We have also gone in to litigation on the green push and the court has given orders to the provincial authorities to rework the basis. [inaudible] Our basic point is th at Coke & Gas plant 2 as part of the decarbonisation would voluntarily be closed sometim e towards 2029. Anything which happens before that will have its impact on the decarboni sation project. As Naren mentioned, we are in deep conversations with the government at all levels, be it provincial or at the central level in Hague. We expect that we will resolve this in one way or other, either through dialog ues and explaining the technical basis of performance of Coke & Gas plants 1 and 2 or based on the appeals and objections that we have already filed and will soon be filed at the appropriate legal recourse. It's a comprehensive approach because this is part of the solution for decarboni sation also. The standards that were expected are higher than the regulatory standards. Therefore, these are beyond the regulatory norms that exist but even then, in the interest of inclusive way of managing business along with the community, we have set standards to improve them, and these require investments that we are planning for in decarboni sation.

Sumangal Nevatia, Kotak Securities
In case we don't reach these levels, what sort of financial impact are we looking at in the next 3 - 4 years on an annual basis?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
I think it's still early days to talk about it. There are many recourses. It can't be switched off on the fly. There must be an appropriate notice period, and I think that notice period will stretch out over the period that we are talking about up to 2029. There are other recourses , including legal recourse that we will opt for in case we don't have a bilateral solution. We are improving our own standards . These are all beyond the minimum regulatory requirements . This is additional. Some of it is also technically increasable and for some of it we are exploring options and ways in which we can manage.

Sumangal Nevatia, Kotak Securities
My second question is on overall prices and cost movement guidance, which we usually give. If maybe Naren can help us with that, with India, Netherlands, UK, all three on reali sations and cost.

T. V. Narendran : CEO & MD - Tata Steel Limited
On reali sations, we are seeing India realisations QoQ being flat, unless there's something significant in the budget or safegua

rds which come, then there should be an upside. Otherwise, at minimum, we see it flat. In terms of costs, as far as India is concerned, coking coal costs are expected to be about $10 per ton lower in 4Q vs. 3Q. Realisations in UK & Netherlands will drop simply because there are annual contracts which come up for renewal at the end of the calendar year. We've got an increase in steel supplies to packaging and there's a reduction in steel supplies to automotive. Net impact in UK QoQ is expected to be about £60 per ton lower QoQ . In Netherlands, also a similar level, 4Q lower than 3Q. While at the same time, in terms of costs, we expect coking coal cost in Netherlands to be about $20 per ton lower in 4Q vs. 3Q. In UK, that's not relevant because we've stopped the coke ovens and blast furnaces. In Netherlands, iron ore consumption cost is expected to be about $3 – 4 per ton lower in 4Q vs. 3Q.

Sumangal Nevatia, Kotak Securities
Following up on Netherlands , over the next one year or so , is there any specific cost reduction self - help measure that we should expect to reflect in results? Or from here on, the profitability margins will largely be a matter of market factors?

T. V. Narendran : CEO & MD - Tata Steel Limited
No, here are huge cost takeout plans in Netherlands. There's a lot of restructuring with the plant along with team s [inaudible] because the spreads have been low. In fact, last quarter, it was around €160 - 170 per ton, which is lower than we've seen in a very long time. We are not relying on the market to demonstrate improvements. I think we're going to focus on cost takeouts, both in terms of people costs as well as maintenance costs. There are opportunities to improve. We've also done quite a bit of work on the blends th at we use in terms of coke ovens . There are lots of opportunities, which we've

been working on. There's a tran sformation team in place in Netherlands. You will start seeing the impact of that going forward. Some of it has already happened, but you will see impact of that going forward. Even if we assume fixed spreads, we are trying to see what it is that we can do to improve performance, and we're expecting next year to have a better performanc e.

Koushik Chatterjee : ED & CFO – Tata Steel Limited
The transformation program is focused on productivity , cost takeouts, both fixed and variable efficiency, including availability of the mills in terms of benchmarks and optimi sing the product mix. [inaudible] I think it is also not a one-year cost takeout program. It will be multiyear, but we will want to take as much advantage of that in the next year, and it will run into a couple of hundred million euros for sure.

T. V. Narendran : CEO & MD - Tata Steel Limited
I want to add here that our first focus this year was to get operations back on track. We had been around 6 MTPA for the last few years. Of course, last year was even lower because of the blast furnace shutdown, whereas 7 MTPA is what we think is the optimal level. Last quarter, we were at 1.75 million ton s, which means we are at 7 MTPA rate. That's one lever which is in our control, which is the operating performance. Then as Koushik said, managing the availability of the mills, in addition to all the other things that we talked about. There's a lot of work going on there, and hopefully, you'll start seeing the impact of that from next year or rather from the next quarter.

Operator
The next question is from Amit Murarka of Axis Capital .

Amit Murarka , Axis Capital
The first question I had was on India. On the last call, you had guided for a Rs. 2,000 per ton drop. After that, prices slid even further. In the reported numbers, at least the fall was looking much lower. Was the NR decline lower than what you thought? What was the reason for better realisation s than guided?

T. V. Narendran : CEO & MD - Tata Steel

Limited
At the [inaudi ble] level, it dropped by about Rs. 2,400 per ton compared to the Rs. 2,000 per ton guidance. Based on various other pluses and minuses , we've ended up where we are.

Samita Shah: VP CFTRM – Tata Steel Limited
Revenue is a combination of steel revenues, we have F AMD revenues, other revenues, et c. What we give as a guidance on is the steel NRs. We had said around Rs. 2,000 per ton and i t's been a little steeper than that, around Rs. 2,400 per ton. The overall number changes based on other revenues as well.

Amit Murarka, Axis Capital
On TSUK, you just mentioned a £60 per ton drop that you're expecting in NRs for 4Q. Are you guiding for breakeven in TSUK, including this decline?

T. V. Narendran : CEO & MD - Tata Steel Limited
What Koushik said is we will start reaching breakeven in the next couple of quarters. We thought we will reac h breakeven sooner, but steel prices moved much lower than we thought in 2HFY 25. That's why we're taking longer to hit breakeven. If you see fixed cost takeout on QoQ basis , there's significant takeout. Hence EBITDA loss in 3Q was much less tha n EBITDA loss in 2Q, and we are expecting things to improve in 4Q. We will not go to breakeven levels yet unless steel prices improve but we're working on the assumption that steel prices stay where they are and looking at cost takeouts to come to breakeven. As Koushik guided, it will be closer to the July quarter than this quarter.

Amit Murarka, Axis Capital
I had a longer - term question. Iron ore leases come up for expi ry in 2030. When you evaluat e growing India capacity to 35 - 40 MTPA , how are you looking a t IRRs for these projects? Do you include iron ore cashflows in your assessment?

T. V. Narendran : CEO & MD - Tata Steel Limited
There are a few things here. One is, we do have about 500 - 600 million ton s of iron ore available to us beyond 2030 based on the leases that we've got from acquisitions of Neelachal, Bhushan, Usha Martin, plus the Gandhalpada lease that we bid for . The costs are different depending on the premiums that we paid for each of those . The value at which we've got it when we acquired those companies. The second part of it is how we can participate in more auctions and whether it's in Jharkhand or Odisha, which are going to be our two focus states. We also evaluate Chhattisgarh when it comes up because it is geographically close to our production sites. Third is to look at how much of iron ore do we want to have a s captive and how much we can buy from the market because if the bid premiums are very high, then it really doesn't make sense to have 100% captive because you can get it cheaper from the market. You have OMC, NMDC, and others also producing iron ore for sales. It's going to be a multipronged approach. We have gone through it in coal similarly, 20 years back . 65 -

70% of Tata Steel's coal was captive. Today, only 15 - 16% is captive . We made the transition in coal, and we are planning the transition in iron ore, so that we mitigate the cost impact as much as possible. That is on the input cost of iron ore.

Other part is conversion cost. There's a lot of work going on across our sites in India to reduce conversion cost. Also, as we expand in Kalinganagar, which is going to be our lowest cost production site in India, it helps mitigate the cost because in Jamshedpur we have some legacy costs. In Kalinganagar, we don't have those legacy costs. When we look at Kalinganagar , Neelachal, and Meramandali sites being expanded , all of them may not have some of the costs that we have in Jamshedpur because of the way the plant s are structured. Also, as we expand more capacities in Kalinganagar, Neelachal, et c. we are coming closer to the ports, so the cost of getting coal to our sites becomes less. There are a number of advantages also that we are working on. There is a st

ructured program within Tata Steel to see how we can protect our

margins in 2030 through the various initiatives that we take, not only in iron ore sourcing, but also managing our costs, the conversion costs, et c. That's our plan, and I think we will manage the transition well.

Samita Shah: VP CFTRM – Tata Steel Limited
On IRRs, w e don't take the price of our captive iron ore post - 2030. We take it at market price and project IRR are higher than our cost of capital. That is what we 're clear. We consider post 2030 that it will be market price.

Operator
Next question is from Vikash Singh of Phillip Capital .

Vikash Singh , Phillip Capital
Sir, wanted to understand our capital allocation policy. We are already spending in UK , we have big plan s in India and at some point, Netherlands would also come into play. Given our high debt levels, what would be our priorities? Can we delay Netherlands capex considering we have some carbon credit left? How does this affect Netherlands cost of production?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
The capital allocation policy, Vikash, is primarily based on attractiveness of the project. So as far as UK is concerned, the level of bleed that we were having, plus support of the government made the case f or [inaudible] , the project has significantly high IRR. Therefore, we have gone ahead with that, and this will get completed in the next three years, well before 2030. As far as India capex is concerned, it is also very high IRR and attractive, not only on volume but also downstream. Apart from Kalinganagar, there are certain downstream projects, which are getting completed like in long products, the re is combi mill project and so on. We will continue to focus on high IRR projects, both from a volume perspective, as well as product mix perspective. If we take all of that into account, both Naren and I have said that the decarboni sation project does not move forward without significant support from the government. That is the basic premise with which we have worked in UK, and we are working in Netherlands. There is also an issue in relation to permitting times that comes for any of these projects, which takes some time. As I said, FID is still some time away . Negotiations with the government are currently on multiple things. Exact time of actual cash outflow will depend based on the timing. It will be something we will take into account in our overall capital policy. Our debt levels, which is our net debt to EBITDA, if you see in this quarter is about 3.3. It did increase. With more and more volumes coming in from India and UK going towards breakeven, and as Naren mentioned, the huge structural program we've undertaken in Netherlands, our intent is certainly to bring this level below 3. The range at which we should be comfortable with is somewhere around 2.75 - 3, including the growth that we are talking about. However, we live in a very cyclical wor ld. Therefore, in great times, it used to be under 2 but in stress time s, when EBITDA gets affected because of the prices or spreads, it tips over 3. We are focused at around 2.75 level on a steady state basis. Our capital allocation is very clear that we will not want to have growth at the cost of debt. [inaudible] as well as deleveraging as soon as we can start doing that . Given the prices at this point of time and the cashflow that comes in, it becomes very difficult to do that, especially since we are finishing up Kalinganagar. We have another couple of thousand crore s to be spent in completing it in the next year. By September of 2026, we would have completed Kalinganagar and then the full benefit will start coming in. These capital expenditures , whether it is UK or Netherlands, do have their own timeframe, especially Netherlands, I think it's clearly about 1.5 years behind because the permitting time will also be building before

any capex is spent. I think we calibrate the movements of growth and capex between India , Netherlands, and UK in a manner where we can keep priority on the balance sheet appropriately . Of course, the internal measures on cost takeout or working capital efficiencies only supplement these limits.

Vikash Singh, Phillip Capital
Sir, our carbon credit s [inaudible]. How should we look at cost of production post introduction of CBAM in Netherlands?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Free allowances will keep coming down over the years. We had an issue of BF6 delay in start up and therefore, loss of production in 2023 - 24, which is the reason there is a pickup , which will happen [inaudible] and then the allowances start coming back. There is also a cost implication that we have to factor in. I think it is balanced and we typically have to buy a

certain amount of EU ETS credits . The cost of production once we get the allowances back, will come down, except for the net o ff effect on the free allowances. There's an arithmetic behind it. Happy to do that offline. There is arithmetic based on which the free allowances keep coming and the offsetting impact that is happening. CBAM is very simple. CBAM is the cost that the local players in Europe pay for the carbon [inaudible] leveli sed or actuali sed for any imports that come in. If, for example, the carbon cost is €70 per ton and taking an example of a company which produces 2 ton s of carbon per to n of crude steel, the impact is about €140. Anybody who's coming in from outside, there is a differential to the 2 ton s in Europe vs . whatever the importing carbo n emission is . Somebody who comes in at 2.5 will have 0.5 into the carbon offset impact . That's the level at which the prices are expected to improve to be neutral to the higher carbon steel that is coming in. That's the mechanism that will happen from 2026 onwards. We've already started the reporting process of any imported steel, but the tax will come in from 2026. The general view is that to the extent people who pay the carbon tax, domestic prices will improve or increase. It's an arithmetic, but that arithmetic shows that there is an increase in steel prices in EU that will happen.

Vikash Singh, Phillip Capital
Has full benefit of pellet plant and CRM been reali sed in EBITDA in 3Q . Is some pending which would come in 4Q onwards?

T. V. Narendran : CEO & MD - Tata Steel Limited
The pellet benefit should have come through. While the cold rolling mill itself was commissioned, the continuous annealing line has just got commissioned in December and product mix will improve going forward. In the next few months, a galvani sing line will also get commissioned, which is auto galvani sed, one of the very high-end lines in India, and that will all help the product mix. The CRM product mix will keep improving. It has improved from HR to CR. Now from CR, it'll go to annealed and galvani sed. You'll see the product mix impact flowing in over the next few months and year.

Operator
Next question is from Ritesh Shah of Investec .

Ritesh Shah , Investec
Sir, the last DGTR application did not mention Tata Steel. Wanted your take on that because the application went from India Steel A ssociation , and we are a part of it [inaudible]. Secondly, what are the expectations on tariff and non - tariff measures? We do hear about tweaks on import duty safeguards. How should we look at these events?

T. V. Narendran : CEO & MD – Tata Steel Limited
On DGTR, we've submitted the data that they required . Maybe we can address it offline, whether we' re mentioned or not. We were one of the companies as part of ISA who had submitted the data for them to consider. What actions will they

take? We don't know. Let's see what happens. The larger point we are making is that we, as a country, need to have a strategy to deal w

ith products being sold in our country at prices at which the supplier is losing money. Today, it's for ste el, tomorrow, it can be for anything else. In fact, it's already started happening in other goods. While other countries are dealing with it with safeguard duties, antidumping duties, we also need to move fast because otherwise, the damage is already done. I think we've had good patient listening from the government. They've initiated the process, and we are expecting anytime soon, it should come through. We were expecting it to happen in Jan uary. Let's see if maybe something happen s in the budget . The larger point is if the private sector investment needs to be protected in India, particularly in manufacturing and steel, then it's not just demand growth, but it needs to be profitable demand growth for the steel industry to invest cash flows that are required. I think that's been our submission and I think in the next few weeks, we w ill get more guidance from the government.

Ritesh Shah, Investec
Sir, how much is the quantum of capitali sed cost as a percentage of EBITDA for 3QFY25 and 9MFY25 ? If you look at our last year's balance sheet, capitali sed cost was nearly 20% of EBITDA. It was quite a significant number.

Koushik Chatterjee : ED & CFO – Tata Steel Limited
I'll give it to you off line.

Ritesh Shah, Investec
How should we look at the debt and cash flow profile into 4Q and next fiscal , factoring working capital release? Are we still looking at one consolidated balance sheet? Could you please give debt numbers on books currently at UK and Netherlands, which I think the last time you had said was around £500 - 600 million in both the regions.

Koushik Chatterjee : ED & CFO – Tata Steel Limited
At the end of the day, it is one balance sheet effectively, and we are progressing more and more [inaudible], it will be more reflect ed on Tata Steel India , because that's the strongest end of the balance sheet for many reasons, including economic. Working capital debt will be more focused in future on UK and in the Netherlands. If there are any project related debts, for example, in future if the decarboni sation project has debt coming that will be reflected more on Netherlands balance sheet, which will be serviced by Netherlands cash flows. We have a method of looking at the allocation of debt. As you

saw that this quarter because of the way in which we could tightly manage working capital, we have been able to release a significant part, and net debt has decreased by about Rs. 3,000 crore s. Our intention is to ensure that we keep holding it and decreas e it as and when we move forward. However, there are times , apart from market issues, for example, this quarter, we have a blast furnace relining starting in Jamshedpur, the G - blast furnace, which will run its campaign for about 160 days or so, and it will come back in July. During that time, the working capital does need to be adhered to the loss of production out of G - blast furnace. There is a lot more scrap and DRI being used to maintain production level on the other furnace s. As you heard from Naren, ramping up of Kalinganagar is happening. Some of these are competing pressures that happen on working capital. Whenever we get the opportunity, we push for taking out not only working capital, but also cost. We're also looking at a significant number of commercial levers in terms of contracts, et c. Our sense is that we'll be hovering around that region, and w e'll continue to strive to move it down. At least in the next quarter, once the G - blast furnace comes up, Kalinganagar, by end of 1QFY 26 would have been even more ramped up. Therefore, we would be able to drive cost and working capital down as far as India is concerned.

The situation in Netherlands is different. There, it is running at full capacity. We are looking at taking down working capital more. There

has been a pricing impact of that in terms of NRs in this quarter, which if prices continue to improve, there will be a certain amount of reversal on that. Similarly, in UK, we are trying to drive working capital down. One step - up that has happened is once we close d the blast furnaces, we are now buying higher value of working capital, which is more slabs and coils than before when it was iron ore and coal. Now we are moving to drive supply chain effectiveness to ensure that our working capital is lower. Lot of efforts are going om around all sites and all businesses in all geographies. Our intention is to keep it tight and keep it going on this basis.

Ritesh Shah, Investec
Is it possible to quantify the net debt number for Netherlands and UK on December - end basis?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
In Netherlands , gross debt is around £500 million. UK gross debt will be slightly higher, around £700 - 800 million.

Ritesh Shah, Investec
Specifically for Netherlands, in the last call, you had indicated that we've already started preparatory capex. Over the last 4 - 5 quarters, we have been engaging with the government, but nothing firm yet. How are we looking at it ? Hypothetical ly, there is a capex of $3 - 4 billion and we have to take potentially one furnace down, which will be 3.5 MTPA . How are we looking at managing the cashflows for Netherlands? Is there a n assurance that you can give to investors that there won't be fungibility of cash from India to Singapore to Netherlands?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Let me articulate this a little bit differently. First is we won’t shut down the blast furnace like in UK. In UK, both the blast furnaces ha d come to end of life. It was bleeding and had increased our costs and therefore, we shut it down, and that's a clean slate project . In Netherlands, both the blast furnaces will run as we build the project. Cashflows are not going to be impacted from that point of view. Secondly, we've been talking to the government and government conversations do take a long period of time because it's a multi stakeholder conversation even within the government. In this case, there is a European Commission angle, which has to agree and approve on the mandate to the Dutch government before they approve. We are at a very high intensity conversation at this point of time. It’s not just a conversation and t hey also see our model and viability because no government will give money for a failing business. All governments , whenever they give money, want a successful business on the other side of the project. There's a h uge amount of due diligence that goes on. As it happened in the UK, it is happening in Netherlands. That happens for any company which has got it. Therefore, as somebody questioned earlier that people are going slow. The people are going slow because some of the assumptions are not fructifying or in line of sight, like hydrogen which is why we said we are slightly different because we've not gone for the hydrogen route and are on the natural gas pa th. There's a lot of conversation, diligence, legal ity, vetting that goes on as part of this conversation before the government says that, yes, we can give you and what quantum we can give and what your project delivery timelines are. What it will mean, what will be the outcome , and how the company will perform post the project, all this is part of one. Therefore, it will not be that one sudden morning either Naren or I will stand up and say £1 billion will go from next month onwards. That's not how it works. When the project is done, there is a permitting process and certain approval process es on the ground and there is a preparatory time and t hen the spend starts. Typically, the spend starts in tandem . One gives Rs. 1, the other person will also give his share of spend. It is a calibrated spend

that is happening even in the UK . It just started because our spend was not there till about the start of this month. This is

the first quarter where the spend will be net of the grant. The grants will typically come in the UK at one quarter lag and a s you build, you will get mon ey. These are elements which will happen, and I can assure y ou that cashflow certainty comes up [inaudible] , and we will have time , position , and decision - making to decide on when that capex will happen.

Operator

Next question is from Indrajit Agarwal of CLSA .

Indrajit Agarwal , CLSA
Can you quantify what would be the conversion cost differential between the Kalinganagar Phase 2 vs . what we have currently over there? What kind of cost savings can we look forward to when Phase 2 is fully ramped up?

T. V. Narendran : CEO & MD – Tata Steel Limited
When you look at 3 MTPA going to 8 MTPA , there is certainly cost takeout because you're not doubling the number of people. The number of people will be maybe 10 - 15% more in Phase 2 than it was in Phase I, and you're getting 5 MTPA of additional facilities. Secondly, we are making better use of assets, which are already built. Like you have one steel melt shop, which used to produce 4 MTPA and will now produce 8 MTPA . One hot strip mill which used to produce 3 MTPA and will produce 6 MTPA . You have that kind of scaling up.

Samita Shah: VP CFTRM – Tata Steel Limited
Indrajit, as you know, we're looking at it as a company, and wouldn't want to give site wise details . Broadly, you can see the benefits which are coming and factor or adjust that.

T. V. Narendran : CEO & MD – Tata Steel Limited
Even the coke rates will be better because you have two big blast furnaces as compared to Jamshedpur, which has some smaller and some bigger blast furnaces. There are lots of operating advantages and no legacy costs, which you carry in Jamshedpur. In terms of conversion rate , Kalinganagar will be the lowest amongst all our sites , for sure.

Operator
Next question is from Ashish Kejriwal of Nuvama .

Ashish Kejriwal , Nuvama
Just a bookkeeping question . It was mentioned around Rs. 1,410 crore of excess liability, which we have written back. What was that liability? I assume it is included in your adjusted EBITDA of Rs. 7,500 crores ?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Ashish, that liability was related to past claims, which are no longer required. We continue to have a process whereby we assess based on independent judicial basis. Once we no longer require it, we do an accounting release or revers al, we top it up. That's part of the ongoing process given the size and complexity of a company like Tata Steel.

Samita Shah: VP CFTRM – Tata Steel Limited
If I can just clarify , adjusted EBITDA is adjusted f or FX impact, not for any other items. It includes the impact of the reversal.
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Ashish Kejriwal, Nuvama
That means this Rs. 1,400 crores are a net cash item, which reduced our other expenditure in this quarter?

T. V. Narendran : CEO & MD – Tata Steel Limited
Non - cash.

Samita Shah: VP CFTRM – Tata Steel Limited
It is a non - cash item, which reduced our other expenses.

Ashish Kejriwal, Nuvama
Looking at depreciation , we have commissioned or capitali sed our 5 MTPA steel plant. Depreciation for last 4 - 5 quarters, remains almost same. How to look at it?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
You will see more capitali sation in March because in the initial period of ramp up till you reach a certain stage, you don't capitali se. Therefore, you don't see that increase in depreciation . From 1QFY 26, you will see impact of that depreciation.

Ashish Kejriwal, Nuvama
Second question is on post completion of our KPO expansion. When can we go ahead with an NINL expansion? Will capex be much lower in FY 2026 compared t

o FY 2025?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So Neelachal, as I mentioned in my commentary , we are going through a process on regulatory clearances. Once that is done, we normally do the FEL study, which is the front end loading study for determining capex. Once these two are done, we go towards an investment case or investment decision for this. That's something that we will bring to the Board for consideration in a few months from now. [inaudible] . As far as capex for next year is concerned, the elements that will be there is certainly some part of the Kalinganagar expansion, which will be about Rs. 3,000 crore s along with ancillary spend

on that expansion. There is the blast furnace reline that is currently going on. You will see that in both 4QFY 25 and 1QFY 26. There's another relining that will happen towards the end of 4Q and then there are more on improvement sustenance capex that will be there and the spend in UK, which will also start kicking in . Not in its peak form, but at least start kicking in because one has to start giving advances and start getting mobili sation on site. A nine month spend on UK will be there. On the other hand, there will be a lot more rationali sed cost in Netherlands to the sustenance level that is currently there. Further, the Ludhiana project is picking up quite fast and b ulk of the spend for it will be in FY2 026. From today to December 2025, we will see a big part of the spend. It is something that we are optimi sing. Not Ludhiana, but rest of the profile on capex is optimi sing. We hope to ensure that whatever we do, we will be looking at putting towards the asset growth in the portfolio that we have.

Operator
Thank you, sir. I would now like to hand over the conference to Ms. Samita Shah for chat question s. Over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited
There is a broad question on how we see steel prices. While you've shared the items, I think just to get a flavo ur of what's happening in the steel markets.

T. V. Narendran : CEO & MD – Tata Steel Limited
A couple of things here. One is if I look at domestic markets, long product prices have been kind of what we had forecasted because it's less dependent on what happens in international markets. In fact, if at all, impact on coking coal imports will add to the pressure on some long product prices because the secondary sector is getting impacted. Flat product prices in India will depend on safeguard duties or any other action taken by the government, which you'll know in the next few weeks. When I look at international prices, I'm not expecting too much of pickup because nothing is changing very significantly in China from an economic point of view. Though over the last two weeks, we've seen iron ore prices and steel futures go up about $10 - 20 per ton , I don't have a feeling that it's going to spike up. Let's see what happens . Unless China turn s the tap off on exports , I don't see international prices improving very significantly at least in the next one or two quarters. If something happens in China, and they're able to reduce their exports to the 60 M TPA level, which they've been doing for most of the last few years, then you will see steel prices going to $550 - 600 per ton levels compared to $480 - 500 per ton levels now. I don't see that action just yet and t hat's why most of our actions are assuming that steel prices stay around the levels that they are. Hence, any improvements that we show will be more from additional volume or cost takeouts . If steel prices move up, that's an upside to whatever we say. So not broadly stable, maybe we've reached the bottom. That's what I would say.

Samita Shah: VP CFTRM – Tata Steel Limited
The second question comes from some of the comments we made earlier on the Kalinganagar ramp up. You had mentioned in the 2Q call that there were some issues to

be resolved in oxygen supplies. There are many questions about
whether that has got resolved and whether that constraint is still there or how is Kalinganagar ramping up post that ?

T. V. Narendran : CEO & MD – Tata Steel Limited
There were issues in t he oxygen plant, which was to get commissioned in October - November, and it is now commissioned. In the first week of January, we pretty much came to the levels that we wante d. The oxygen issue is behind us. I think now we are waiting for the steel melt shop facilities to get commissioned. That will happen in March. One of it will happen in March and the other in September. Normally, when you do commissioning activities in a large steel plant, there's a moving bottleneck. We need to deal with bottlenecks because it could be logistics, it could be oxygen, it could be the downstream facilities. The blast furnace is doing fine and is producing very stabl e 8,500 ton s a day, and we will ramp it up now to 10,000 - 11,000 tons per day , and then take it to 13,000 tons per day , which is the level at which we want to be. I think we are going okay there. The oxygen issue is behind us.

Samita Shah: VP CFTRM – Tata Steel Limited
Thank you. The next question is on Sukinda, and this is saying that regarding surrender of the mines, what do we plan to do with the furnaces and what's our thinking about Sukinda and FAMD as a business?

T. V. Narendran : CEO & MD – Tata Steel Limited
Work is going on in surrender of the mine. We have got some of the permissions that we needed from the state government, but we are still going through the procedures. Once we surrender the mines , we won't have the MDPA pressures, and there will be a better balance between our ability to produce, grow more, and ability to convert them. That brings business to a better level of stability than we've had, and we won't have the pressures of MDPA and [inaudible] . We will continue to

revisit this business and further optimi se it going forward. We are trying to make sure that we don't have the losses that we had because of high MDPA production.

Samita Shah: VP CFTRM – Tata Steel Limited
Thank you. There are a few questions on our capex growth in India. I think we've talked about it earlier as well on the various projects, but just to have a sense of what our thinking is on that . Are we still on the same lines?

T. V. Narendran : CEO & MD – Tata Steel Limited
As Koushik said, the focus in the next 12 months will be complet ing Kalinganagar. When I say Kalinganagar, it's not just Kalinganagar, there's money being spent on raw materials. We have increased iron ore production to 45 million ton s. All that is there. In addition to that, we will complete the Ludhiana project. I mean at least a lot of the capex related to the Ludhiana project will go o n. That will be the focus in India. We will, in the next few months go to the Board with a Neelachal proposal. We've just had the public hearing a couple of months back and are progressing on the EC. Similarly, we will do the Kalinganagar plant expansion also from 8 MTPA to 13 MTPA ; and Meramandali plant expansion from 5 MTPA to 6.5 MTPA. T hese are the three things we're working o n. In terms of adding capacity, Kalinganagar, which is getting completed now, Ludhiana , then Neelachal, then Kalinganagar , and the n Meramandali. It will be in that order. Neelachal is what will be ahead of the others after Ludhiana.

Samita Shah: VP CFTRM – Tata Steel Limited
The next few questions are in Europe. We answered about outlook on steel prices. There is a question o n cash burn currently going on at Netherlands and UK . When do we see breakeven? I think we've answered a bit of it, but maybe if you want to give some colo ur there.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
This quarter, Netherlands generated positive cashflow. That is despite the neutr

al EBITDA that it had. The cashflows are
positive on account of very stringent working capital management. Next quarter also, we want to continue to do the same. I think the impact of the transformation program will start flowing in from 1QFY 26. For the full year next year, we will certainly be trying to ensure that we are cashflow positive. If the question is about 3Q, cash burn is not there.

Samita Shah: VP CFTRM – Tata Steel Limited
Next question is on capex and debt reduction plans. What is our capex for FY 2026 and FY 2027? I think it's a bit early to give guidance on that. In light of all of this, what is our capex thinking and debt reduction plans?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
The exact phasing in number we can do so in our May meeting. As far as debt is concerned, I think we've given the framework within which we are working .

Samita Shah: VP CFTRM – Tata Steel Limited
With that, we will end the Q & A. Thank you again for all your questions and hope the clarifications help you understand our numbers better. Thank you, and we will connect again next time.

T. V. Narendran : CEO & MD – Tata Steel Limited
Thank you.

Koushik Chatterjee: ED & CFO - Tata Steel Limited
Thank you .

Call: May 2025

Ref: SEC/249/2025 -26
May 18 , 202 5

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G Block, Bandra -Kurla Complex, Bandra (E),
Mumbai - 400 051.
Maharashtra, India.
Symbol : TATASTEEL

Dear Madam, Sir,

Sub: Transcript of ‘Tata Steel 4QFY2025 and FY2025 Earnings Discussion ’

This has reference to our letter dated May 8 , 2025 intimating that post the announcement of Financial Results of Tata Steel Limited (‘ Company ’) for the quarter and financial year ended March 31, 2025, the Company will host an Earnings Discussion on May 13, 2025.

The Board of Directors of the Company at its meeting held on May 12, 2025 inter alia approved the Financial Results of the Company for the quarter and financial year ended March 31, 2025. The Company hosted its Earnings Discussion on May 13, 2025.

In this connection , we enclose herewith t he transcript of the ‘Tata Steel 4 QFY2025 and FY2025 Earnings Discussion ’.

The above information is also available on the website of the Company at:
https://www.tatasteel.com/investors/financial -performance/analyst -call-recording/

This intimation is being provided in compliance with Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.

This is for your information and records.

Yours faithfully,

Tata Steel Limited

Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer

Encl.: as above
1

CORPORATE PARTICIP ANTS

T V Narendra n, CEO & MD – Tata Steel Limited
Koushik Chatterjee , ED & CFO – Tata Steel Limited
Samita Sha h, VP Corporate Finance, Treasury, & Risk Management – Tata Steel Limited

CONFERENCE CALL PARTICIP ANTS
Amit Dixit , ICICI Securities
Amit Murarka , Axis Capital
Ashish Jain, Macquarie
Prateek Singh , DAM Capital Advisors
Ritesh Shah, Investec

Satyadeep Jain, Ambit Capital
Sumangal Ne vatia, Kotak Securities

PRESENTATION
Operator:
Ladies and gentlemen , good day , and welcome to the Tata Steel analyst call. Please note that this meeting is being recorded. All the attendees ' audio and video has been disabled from the backend and will be enabled subsequently. I would now like to hand the conference over to Ms. Samita S hah. Thank you and over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited
Thank you, Kinshuk. Good afternoon , good morning , and good evening to all participants listening to the call. On behalf of Tata Steel, I'm delighted to welcome you to this call to discuss our results for the fo urth quarter and full year FY2025 . We declared our results yesterday, and there is a detailed presentation along with the SEBI release on our website, which discusses the results. We will walk you through our results and answer any questions you may have . I just want to remind all of you that the entire discussion today will be covered by the Safe harbour clause, which is on page 2 of the presentation. The call today is led by our CEO & MD, Mr. TV Narendran, and our ED & CFO, Mr. Koushik Chatterjee. Thank you very much again for joining us today , I would request Naren to make a few opening comments before we throw the floor open for questions . Thank you.

T. V. Narendran : CEO & MD - Tata Steel Limited
Thanks, Samita, and hello, everyone. I'll make a few comments and then pass it on to Koushik. FY 2025 has been an important year for Tata Steel, and it demonstrates our ability to navigate a challenging operating environment and progress on our stated objectives across geographies. For most of the year, steel fundamentals diverged across regions

with
increasing exports from China weigh ing on price sentiment . Since January, evolution of US policy and different nations focusing on protecting local industry has led to varied price momentum across India, Europe and UK . At the same time, China continues to struggle with declining steel consumption. Regions like UK which are yet to review the ir quotas, have struggled a little bit more . As you may be aware, in Europe, they have refined the quotas that are available for imports, which has acted to limit the imports. In India, also, there's a safegu ard duty, which has helped us.

Amongst the operating geographies, India remains a structurally attractive market, and we are committed to leadership in chosen segments. Our annual performance has been aided by the commissioning of India's largest blast furnace at Kalinganagar, coupled with initiatives to enhance the cost competitiveness and product mix. We achieved highest ever crude steel production of ~21.7 million tons and deliveries of ~20.9 million tons for the full year. Across our sites , excluding Kalinganagar which is ramping up, we operated close to 100% capacity utili sation. That is an outcome of the way we design our plants, our best - in - class maintenance practices and our superior marketing and sales network, which helps us maximi se our deliveries across cycles in the domestic market . Coming to the segments, deliveries to the automotive segment were aided b y focus on new product development, especially hi-strength steels and enhanced capabilities on account of the new continuous annealing line at Kalinganagar. We became the first company to locali se select automotive product grades i.e. CP780 and through our joint venture JCAPCPL , commenced supply of DP780 grade to aid automotive OEMs in their lightweighting initiatives. We also cater to the growing requirements of high - quality wire rods for the auto industry, and these deliveries were also positively impacted by the successful commissioning of the world's longest Stelmor conveyor line [inaudible] in Jamshedpur. We expect further progress in product mix with the 0.5 MTPA Combi mill, which is being set up in Jamshedpur and will use steel that is made out of the erstwhile Usha Martin plant, which is called Tata Steel Gamharia. The furnace has already been commissioned and trials are underway. O ver the next few months, the other facilities will also be commissioned.

Our Branded Products and Retail vertical achieved volumes of around 7 million tons aided by best ever sales of Tata Tiscon, Tata Astrum and Tata Steelium. Tata Tiscon volumes grew by about 19% YoY. It is second year in succession that they've had double - digit growth, and it has reached 2.4 million tons, while our hot -rolled brand, Tata Astrum, and our cold-rolled brand, Tata Steelium, together achieved record sales of 3.8 million tons. Our e -commerce platform, Aashiyana served more than 1 la c unique customers during the year with a gross merchandise value of over Rs. 3,500 crores. Moving to Industrial Products & Projects, Engineering witnessed double digit growth and contributed to construction of around 2,500 kilometres of oil & gas pipelines. Once the Kalinganagar plant was commissioned, we had said that we will focus on oil & gas because that's also a high - end approval based business, just like the automotive business. In line with our focus to grow in chosen segments, we have now also forayed into commercial shipbuilding, supplying grades to various shipbuilders in India, including Maz agon Dock Shipbuilders, Garden Reach Shipbuilder s and Cochin Shipyard [inaudible] . Our capacity investments are also progressing well across sites. At Kalinganagar, the 5 MTPA blast furnace continues to ramp up, and the civil work is in progress for the EAF in Lu dhiana , which we hope to commission in the next 12 months. Specific to downstream, th

e Continuous Galvani sing Line s are expected to be commissioned in the coming months, while
the ramp up is in progress for the 100,000 ton per annum tubular structural mill that we have set up in Jamshedpur.

In UK, we have safely decommissioned both the blast furnaces at Port Talbot and smoothly transitioned to serving customers via downstream processing of purchase substrate. Our annual delive ries stood at 2.5 million tons and were lower on YoY basis. UK steel prices are still 8% below the levels that we saw last year due to import pressures and subdued demand situation. As such , we focused on transforming operations towards a sustainable model, and the shift in the operating model, coupled with our focus on controllable costs, has led to improvement in fixed cost base by about £230 million on an annual basis. Unfortunately, this is not visible yet in the performance due to the market dynamics. With respect to the proposed transition to green steelmaking, we have received planning permission for the EAF and are gearing up for the civil work and construction activity to begin by July. In Netherlands, liquid steel production was near capacity at 6.75 million tons, the highest in many years. This in part has led to a 17% YoY increase in deliveries to 6.25 million tons for the full year. EBITDA remain ed positive on full year basis and deliveries for the quarter at 1.75 million tons were the highest quarterly volumes in the last six years. We recently launched a cost competitiveness program targeting €500

million savings in FY2 026. The transformation is a building block to ensure that Tata Steel Netherlands becomes one of the most efficient and sustainable sites in Europe. We are engaged with the government team to support our integrated decarboni sation and environmen tal measur es projects.

I am happy to share that Tata Steel has been recogni sed by worldsteel as a Sustainability Champion for the eighth year in a row. With that, I hand over to Koushik for his comments. Thank you.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Thank you, Naren, Good afternoon, good evening to all those who have joined in. I will cover three themes: firstly, the performance; secondly, our cost transformation program across geographies, what we have done so far and what we are targeting in the next 12 - 18 months. Thirdly, an update on decarboni sation strategy and actions in UK and Netherlands. Let me start with our production performance for the quarter and the year FY 2025. While you would have seen the production filing s, I wanted to highlight that for the full year in India, we have increased our production from Tata Steel Kalinganagar by 1 million tons. For the India business, our production increased by about 0.9 million tons, taking into account the shutdown that we have taken for our G - blast furnace re lining , which is currently on, and we hope to complete it by July 2025 . In Netherlands, crude steel production for the year was 6.75 million tons, which is almost at full capacity . As you know, in the UK, our business model has changed, and we are now operating as a finishing facility with purchase d substrate, including from India, Netherlands and external sources.

Moving to the financial performance for the quarter and full year , our consolidated performance for the quarter has been provided in slide 23 of the presentation. Consolidated revenues for the Jan to March quarter stood at about Rs. 56,218 crores , up 5% QoQ primarily driven by seasonally strong volumes in India and Netherlands. Steel reali sation s improved in India by around Rs. 600 per ton, but revenue per ton was down by about £53 per ton in UK and €79 per ton in Netherlands on QoQ basis. Consolidated EBITDA for the quarter was about Rs. 6,762 crores, which translates to a margin of 12%, up by about 100 basis points QoQ . India EBITDA margin was higher at 21% and translate

d to Rs. 7,418 crores, and

Netherlands was about Rs. 125 crores, which was partly offset by the EBITDA loss in Tata Steel UK. Tata Steel Standalone EBITDA for the quarter was Rs. 7,105 crores, which translates to around Rs. 12,700 per ton. As I mentioned during the 3QFY25 earnings call, there was a non - cash credit of Rs. 1,413 crores or Rs. 2,670 per ton. Excluding this, standalone EBITDA has actually improved by close to Rs. 1,000 per ton on QoQ basis. I want t o make a special mention about the NINL performance. It has consistently improved across the quarters and recorded an increase in EBITDA of 9% QoQ to Rs. 323 crores, which is a margin of about 23%. The most heartening part in NINL is that it has achieved Rs. 1,000 crore EBITDA in the year, reflecting an EBITDA margin of 19% and cashflow of Rs. 1,000 crores even in these challenging market conditions. NINL will remain as one of Tata Steel 's most promising growth prospects in the coming years as we are working on its expansion plans. At our overseas operations, efforts towards cost reduction, operational KPI improvements and product mix optimi sation are showing visible benefits despite spreads moving to a multi -year low. In Netherlands, fourth quarter EBITDA improved to €14 million and coupled with working capital release of ~€300 million, le d to free cashflow over €200 million. In UK, our fixed cost improved by £69 per to n QoQ , but this was more than offset by the drop in the revenue per ton and the higher substrate prices leading to an EBITDA loss of £80 million in 4Q. UK underlying EBITDA loss in 4Q has trended down vs. 3Q. When I speak about our cost transformation program in a short while, I will cover further efforts in UK. Our consolidated operating cashflow after interest & adjustment s for the quarter stood at Rs. 7,700 crores, aided by EBITDA performance and sharp focus on working capital that ensured a cash release of Rs. 4,300 crores.

Let me now move to the full year performance, which has been provided in slide 25 of the presentation. There are four big headlines I would like to highlight - Firstly, in spite of our multi -year low in steel prices and reduced steel raw material spreads, our consolidated EBITDA for the year was Rs. 25,802 crores vs . Rs. 23,402 crores in FY20 24, which is a growth of 10% YoY. This reflects 200 basis point increase in consolidated EBITDA vs . FY20 24. Secondly, the structural cost takeout across all entities of Tata Steel during FY20 25 was about Rs. 6,600 crores focusing on fixed cost takeout, efficiencies in manufacturing, procurement, raw material optimi sation with leaner coal blends and fixed overheads. This is a company wide program, and I'll talk shortly on what we aim to do in the next 12 - 18 months. Thirdly, and even more important, is to demonstrate the cashflow orientation of the entire company. Our operating cash flows after interest & adjustment s for the year increased by 37% YoY from Rs. 12,941 crores to Rs. 17,700 crores despite challenging market conditions. Fourthly, our Netherlands operation s marked a significant turnaround in EBITDA during the year from a -ve EBITDA of €426 million in FY20 24 to generation of €90 million in FY20 25, an improvement of more than €500 million. If I consider the operating turnaround at the FY20 24 prices and spreads, it would actually be a €900 million turnaround. While there is lots to do, the direction of the movement is very clear, and we will continue on this path.

India EBITDA for the full year stood at Rs. 29,285 crores with Standalone EBITDA of Rs. 28,217 crores. Standalone EBITDA stood at Rs. 13,500 per ton . The EBITDA performance was aided by a 5% increase in volumes, lower raw material and operating costs and special actions that I talked earlier. Total costs improved by more than Rs. 5,700 per ton. Our UK operations too are progressing as per stated plan, while the full year EBITDA was -ve £385 million. It is a tale of two halves with EBITDA in second half improving by £90 million vs . the first half. The closure of the heavy end steelmaking by September 2024 and concerted efforts to optimi se costs led to reduction in fixed costs by around £160 million in the second half and £230 million for the full year.

Now let me provide some details on our cost transformation program. The structural cost takeouts in FY20 25, as I mentioned earlier, w ere about Rs. 6,600 crores vs . FY20 24. Looking ahead to FY20 26, our focus continues to be on controllable factors, and we are targeting further cost takeouts of almost Rs. 11,500 crores, roughly about $1.3 billion across geographies by focusing on controllable costs. Let me outline some specifics. Firstly, in India, we intend to deliver savings of Rs. 4,000 crores by focusing on operating KPIs, employee productivity, supply chain optimi sation, coupled with investment in projects with low payback period. There is a specific focus on conversion cost, and our aim is to optimi se conversion costs by about Rs. 1,000 - 1,200 per ton. We have identified a pipeline of low capex, high IRR projects totalling less than Rs. 500 crores , that will improve operational cost and be completed in a short span of time. In the UK, we intend to continue progressing on achieving a lean structure by further reduction in fixed costs of 29% YoY of around £220 million. Key levers range from optimi sing the cost of substrate and upgradation of IT infrastructure to reduce corporate overheads and rationali sation of downstream operations to improve the profitability. Our total fixed cost in FY 2024 was about £995 million, which reduced to about £762 million in FY20 25, and we target to bring it to around £540 million in the next financial year. In Netherlands, we intend to achieve savings of around £500 million, and the program encompasses multiple areas such as volume maximi sation, product mix, repair and maintenance, employee productivity and others. We are also in discussions with the unions on the transformation project.

Let me now touch upon capital allocation before moving to decarboni sation update. Of the generated cashflows in FY2025, we spent about Rs. 15,671 crores on cap ex. Our net debt stands at about Rs. 82,579 crores, which has come down from Rs. 88,870 crores in September 2024, by about Rs. 6,200 crores in the last six months. We plan to spend about Rs. 15,000 crores of capex in the next financial year, and of this close to 75% is [inaudible] in India, including the last part of Tata Steel Kalinganagar spend on the third caster and related facilities. The EAF project in Ludhiana is being focused and there

are several smaller projects, which are also meant for asset reliability and performance efficiency. Our work on engineering for the next phase of expansion in NI NL is ongoing and the regulatory clearance process on environment are also underway. Our capital allocation will continue to be prioriti sed towards capacity growth and downstream facilities in structurally attractive Indian markets. In UK and Europe, the focus is largely on decarboni sation with material support from the government. As you are aware, we have secured £500 million support from the UK government for the transition to scrap - based electric arc manufacturing. We have now got the planning approvals, identif ied the technology providers, and the design engineering work is almost complete. We have spent about £35 million on the project in FY20 25, and we will commence site activities in the next few months. In Netherlands, we are in intense discussion s with the Netherlands government to secure funding and policy support to enable the decarboni sation and environmental project. The Dutch government has completed the pre -notification filing with the European Commission regarding the project and all stakeholders are working on various subjects relating to the project. The Dutch government has updated its parliament, confirming talks with us and the European Commission relating to the project.

I would now like to walk you through an accounting change that we have made in the standalone financial statements in order to have a clearer view of the underlying business performance going forward. The valuation of investments in subsidiaries is tested against the present value of the future cash flows over the long term. For this, it is necessary to take a view on the business landscape in the decade beyond 2030. Tata Steel UK has transitioned its business model to a downstream only play and is undertaking an investment to build the EAF in Port Talbot by FY20 27-28 end. Tata Steel Netherlands is in discussions with the government for the project to replace one of the two blast furnaces and coke ovens with a DRI - EAF combination by around 2030. The primary drivers of the profitability for future businesses will, therefore, change from traditional steel price to iron ore and coal basket spread to the following: it will be influenced by the Carbon Border Adjustment Mechanism , infrastructure and availability of clean fuel and the carbon capture options, local availability and pricing of scrap, willingness and ability of customers to pay additional premium for low CO_2 steel and circularity and other regulatory costs, including fixed network costs for electricity, hydrogen and natural gas. These factors, which will be the primary drivers of the business in Europe, are all currently evolving with significant changes in market regulations being implemented. There are multiple risks and opportunities with relation to how they will play out over the next few years, impacting the current value of the business at this point of time. The company has, therefore, concluded that carrying these investment s in UK and Netherlands at historical cost less impairment under Ind AS 27 is no longer appropriate. Tata Steel has, therefore, voluntarily changed its accounting policy to carry the equity investment in subsidiaries at fair value under Ind AS 109. This also addresses the reliability issues that Ind AS 8 talks about. The move to fair valu ation more accurately reflects the underlying value of the business, including the potential upside in valuation in the coming years, as the uncertainty over the regulatory and market factor reduces. Having opted to account these investments at fair value under Ind AS 109, the company has also opted to route the fair value changes between accounting periods through the other comprehensive income. This allows the company to keep the movements in fair value of the long -term strategic assets distinct from the underlying financial performance of the company's regular business activities. Based on the fair value assessment, Tata Steel has recogni sed an adjustment in the fair value in the investmen t in subsidiaries only in the Standalone financial statements through OCI of around Rs. 24,829 crores in the quarter and Rs. 23,606 crores in the year ended 31st March 2025 , respectively. This is a non -cash adjustment, and there is no impact on the consolidated financial statements. The losses sustained by Tata Steel UK and recently by Tata Steel Netherlands in the last few years have already been reflected in the consolidated financial statement s. As a result of the change in the accounting policy, there will be greater consistency between the consolidated and the standalone financial statements. As of 31st March 2025, the standalone net worth stands at Rs. 1,23,544 crores, where as the consolidated net worth is at Rs. 87,770 crores.

Finally, with relation to the US - UK trade deal, steel & aluminium tariffs on UK origin goods are now eliminated. This is a positive, although with limited impact on Tata Steel UK, which exports mostly packaging products of a small quantity. There is a larger pos

itive indirect impact for our customers through the automotive tariffs, which ha ve been reduced to 10% for defined quota of vehicles. The automotive sector in UK is also likely to be positively impacted wit h UK - India trade deal. After closure of the blast furnaces in the UK, Tata Steel UK is now servicing its customers on basis of imported sla bs and HRC, especially from India , after processing them at local downstream facilities. We expect no material change or impact on our supply chain from the trade deals . With this, I'll end my comments and open the floor for questions. Thank you.

QUESTIONS AND ANSWERS

Operator

We wi ll now begin the Q&A session, and the first question is from Prateek Singh of DAM Capital .

Prateek Singh, DAM Capital Advisors

I wanted to get a sense of how prices have moved currently vs . the last quarter, both in Europe and in India ?

T. V. Narendran : CEO & MD - Tata Steel Limited

In India, we are guiding that prices this quarter will be about Rs. 3,000 per ton higher than what it was last quarter. In Europe, it's about €20 – 30 per ton higher than last quarter .

Prateek Singh, DAM Capital Advisors

Given we have long -term contracts, how should we see it? Prices in the spot market have gone about $150 p er ton over the last 2 - 3 months . Would you be seeing the full impact 2 - 3 quarters down the line ? Or is it futile to track those prices and prices will change at the year end?

T. V. Narendran : CEO & MD - Tata Steel Limited

I don't think it has gone up in spot markets by that much. Having said that, I think more to your specific question, we have our annual contracts, which are normally negotiated in November - December. They are typically the packaging and automotive contracts. These typically are much higher than the spot prices. So when you go up and down also in those contracts, it may be up and down compared to the previous contract, but typically higher than the spot prices. The spot price impact maybe about 30 - 40% of the volume in Netherlands and a similar level, maybe slightly higher in UK. So that's where the spot impact comes in, which is more the monthly prices on what we supply to engineering or what we supply to some of the other segments. If you look at steel prices, it has fluctuated in a $50 per ton range. If you look at China, if you look at Southeast Asia, it's gone up and down in the $50 per ton range over the last few months. What has helped is actually the coking coal price is going down, which has helped spreads more than steel price itself moving up too much .

Prateek Singh, DAM Capital Advisors

My second question is a medium -term question. What is your view on Jamshedpur given the legacy cost issues and a bit of operational disadvantage we have given smaller blast furnaces there? Is there a medium -term plan here ?

T. V. Narendran : CEO & MD - Tata Steel Limited

We do have some legacy costs in Jamshedpur, but a lot of work is going on to address that. Having said that, if you distribute some of the costs which we incur in Jamshedpur over the other side, the gap is not as much as it may seem because, for instance, all the R&D facilities are located in Jamshedpur. Procurement facilities are largely located in Jamshedpur. There are some of those costs which Jamshedpur bears more than the others. The advantage, as you said, in Kalinganagar is you have bigger facilities, two blast furnaces, making 8 MTPA , one steel melt shop making 8 MTPA . You start with productivity advantage; you also start with the younger workforce. These are the advantages Kalinganagar has over Jamshedpur. So, w hen I look at a cost on HRC basis, the gap is now reducing between Jamshedpur and the other sites because of many of the actions that we have taken over the year s. But this work continues. Also, we should keep in mind that we have almost 1,000 people retiring fr

om Tata Steel amongst the unioni sed workers in Jamshedpur
every year , between Jamshedpur and the raw material location, that also helps us bring down the legacy cost because since 2007, the rate structure in Tata Steel is very different from what it was before that .

Operator
The next question is from Ritesh Shah of Investec

Ritesh Shah, Investec
I think we have taken an approval of infusing another $2.5 billion into Europe. Any specific reason for the same given we already are on a route where we have funding from the government in UK. And Netherlands, you have a transformation program in place . If you could please help us understand that ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
This is similar to what we did last year. It is not new investment. It is rebalancing the debt between overseas debt and India debt. Effectively, that makes a lot of sense because, a) to reduce currency fluctuation; b) to get post tax cost down. We are effectively looking at debt that sits in various parts of the overseas entities, including in UK [inaudible] to be more from an India perspective because they are anyways serviced currently out of India. Therefore, it is a rebalancing exercise, no new investment. Only a small sliver of that investment will be the investment that is going on in the UK, which is relating to the E AF projects which is 40% shared by the government and 60% is on our account. But t hat number this year is not going to be significant. Fundamentally, the principle is to onshore more of the debt .

Ritesh Shah, Investec
My second question is on the cost takeout. In the prior call, we had indicated for Tata Steel Netherlands around €500 million. In this presentation, we have given a number of Rs. 4,500 crores. Is it the same number? Or is it a top up?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
It is the same number .

Ritesh Shah, Investec
Okay. Specifically for UK, again, we have given a number of around Rs. 3,000 crores. This effectively implies 36% of the cost base ex raw mat erial, which effectively could translate to nearly $100 [inaudible] . What are the underlying variables that we are looking at over here? Is this an exit rate that you are looking for FY 2026?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
It is indeed the exit rate, but it is the total cost takeout. As I mentioned in my comments that we have a total fixed cost of £995 million when we were running on an integrated basis. We reduced it to £760 million this year, and our intent is to further reduce the cost to about £540 million. If I give you a sense of the itemi sed part, this is all fixed cos t. Therefore, like the maintenance, hire and leasing, some part of it is the employment, and then there are other operating charges. These are the ones which will be going down significantly compared to FY20 24. We stepped down in FY20 25 and expect to go down even more in FY20 26. This is the year end number that I'm talking about.

Ritesh Shah, Investec
Specifically on cost take out . Historically, we hav e given disclosure for Indian operations . Likewise, if you look at Tata Steel Europe, we had indicated cost transformation programs in year FY20 20, FY2021, and FY 2024. I think the cumulative number is almost like £700 million plus. However, when we look at the implied cost, ex raw mat erial, ex power & fuel, we don't see the stickiness of the cost savings, be it for Tata Steel Europe. How to better understand or appreciate the stuff that you're doing?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Let’s take E urope first. So in Europe, the cost takeouts w here there is also an offsetting factor. When, for example, the Ukraine War began , the gas price s changed very significantly. The inflation numbers were very high. So we had inflation as far as employment cost is concerned and the i nflation impact o

n the conversion cost was very clearly reflected, which
did not get compensated by any price increases in steel post 2022 - 23. That has been one of the most important elements. In India, [inaudible] is actually an anti -inflationary KPI improvement process. S0, when we look at individual physical KPIs, we were always looking at improving the KPIs and moneti sing or giving the monetary value on standard cost basis. While that continues and that has actually become much larger, we are now also tracking absolute costs. Absolute cost takeouts

have actually been supplemented on top of it to make it more accountable so that you can trace it from your financial statements. That's how we are looking at it.

T. V. Narendran : CEO & MD - Tata Steel Limited
Let me put it this way. When we look at improvement, we look at KPIs and are the KPIs improving . If that KPI has improved, how much is the cost saving s, and that is what is normally reported in Shikhar and any of our [inaudible] programs . But let's say, if the coal price in one year is $200 per ton and the coal price in another year is $300 per ton , even if you've improved your coke rate by 10 - 15 kilos, that improvement, which is there gets wiped out by the increased coal price and the coke rate . A lower coke rate at a higher coke price offsets you know, what you had at a higher coke rate and a lower price. So just to give you an example of that. Secondly, in Europe, one thing which has gone up over the years is the CO 2 costs, which used to be maybe five years back, €14 – 15, which went up to €80 - 90, and now it's down to about €70. There are some elements of costs which have gone up. There are many KPIs where we have improved, particularly in

India. In Europe, I think we are still early in this journey, particularly Netherlands, and we are running with it just now because traditionally, Netherlands has always been EBITDA and cash positive, only in the last couple of years when things went south , did we really pin in on some of these things . In UK, of course, it's been an ongoing activity. Even if I take the Netherlands and UK numbers, while Netherlands has shown an improvement in EBITDA from maybe €430 million or something negative EBITDA to about €80 - 90 million positive EBITDA. If the prices were the same as last year, it would have been actually €500 million positive . Because of the price drop, you've actually seen negation of some of the improvement. Similarly, in the UK, a lot of this cost takeout is not visible because again, the prices have dropped and wiped out whatever this £200 - 300 million cost take out that we take. I think your point is how do we reconcile this better. Maybe we'll discuss [inaudible] to see how when we present it, we can separate out the improvements from the external factors, which kind of distort some of these improvements.

Operator
The next question is from Satyadeep Jain of Ambit Capita l.

Satyadeep Jain, Ambit Capital
This question basically comes from the fact that Tata Steel has been around for decades. Now these anti-inflationary cost takeout that you are talking about, which are different from the earlier ones. What has led you to now look at these cost savings that the company had not seen before? Is it the prolonged downturn that is making steelmakers like yourself look at some takeouts ? If that's the case, what is unique about the takeouts you are doing ? If the entire industry , including the Chinese als o look at improving coke rate because of the downturn, then everybody's cost goes down, then who's the beneficiaries? I wanted to understand what is unique to what Tata Steel is doing, what others might not be able to replicate? And why now ? Why couldn't you do it ea rlier?

T. V. Narendran : CEO & MD - Tata Steel Limited
Firstly, in our kind of business, which is cyclical, you always have to be the last man standin g. Cost takeout will g

o on
forever. Ten years later, also, you'll be talking of cost takeout because you'll always have to dig deeper to see how you take out costs. When you compare with the Chinese, the challenge we are facing, is that the Chinese are able to sell steel at 3 - 4% EBITDA margin or negative EBITDA margin and continue to gro w. They still have money to invest in growth . It's not a model, which is market driven. There are supports, which are sometimes not visibl e. That has been our submission to the government. It's not about competitiveness. It's about what the cost structure is and how do these businesses survive with such low margins and still continue to grow where the cashflow is only there to invest to grow . We have to do what we have to do to keep improving the situation. For us, it's about that. The India business because of our backward integration, we continue to be one of the lowest cost producer s of steel in the world. The Russians are the only ones who are maybe slightly better from a cost point of view compared to the Indian steelmakers because the rouble is where it is , and Russia has its own iron ore and coal . Globally, if you look at the Indian steel industry, not just at Tata Steel, we are favourably positioned as a country to make steel, and Tata Steel is certainly one of the most favo urably positioned. In Europe, the cost structures are higher. Prices are also higher. Typically, prices in Europe are $100 per ton higher than in India because of the fact that there are limitations on how much you can sell into Europe . Everyone's cost structure in Europe is there. In Europe, the effort is always to be the last man standing in Europe. You cannot be the last man standing in the world out of a European operation. But you can try to be the last man standing in Europe, and which is what our Dutch business traditionally us ed to be apart from the problems we've had in the last couple of years. To go back to your

question, if I look at it, UK has always been doing this through restructuring, we've taken out costs, we've sold some of the assets, and we continue to restructure. But the steel industry has gone through cycles, particularly in the last 6 - 7 years with China exporting 100 million tons. We've gone through cycles, which you've not seen in the past. What was done in the past is never enough, we need to do more. In India, when we acquired these new assets, whether it's Bhushan, whether it's Neelachal, we've had a lot to do to take out costs . While Jamshedpur does what it has to do, if I look at it on a consolidated basis, in each of these whe ther its Usha Martin plant that we acquired , the Bhushan plant that we have acquired, Neelachal plant [inaudib le]. The Neelachal plant alone, we've taken out almost Rs. 30,000 of cost per ton . That's why Neelachal today, a plant which was shut down because it was not financially viable, is today making Rs. 1,000 crores

EBITDA and Rs. 1,000 crores cashflows . When you acquire new assets, you obviously have to do a lot of work on cost takeouts, which is what we are doing in India. When you build new assets, you can build it more cost efficiently like we built in Kalinganagar. There will always be something new to do . Today, technology allows us to see costs in far more detail than before. The analytics that we are doing, the AI that we have in our systems . For instance, on maintenance, we have moved from preventive to predictive to prescriptive maintenance . Then the asset utili sation improves. You have far more insights because you have far more data than you had even five years back. You can plan your cost takeouts very differently. You can optimi se on your blends of coal very differently than you could five years ba ck because we have a lot more data. Using technology, using the learnings from the past, learnings from different assets, this is something that we are constantly pushing ourselves. Everyone els

e also does that. Obviously, if you can do it better than the others, you
continue to be the last man standing. Our objective in India, our assets should be one of the last man standing in the world. In Europe, it should be the last man standing in Europe. In UK, as Koushik said, and which we said before, when we close d the blast furnace and move d to an EAF, we have said that structurally, our cost improves by at least £150 per ton. Instead of importing iron ore and coal and making steel there, you're using locally available scrap. You're reducing the fixed costs like we've described by £400 million . In the next down cycle, UK will be in a much better position. Otherwise, typically when steel prices drop, the first place in our portfolio to lose money is UK. Second place to lose money is Netherlands. [inaudible] India, as you know, even in the last two years, EBITDA margin is 20% plus. Within our assets also, we try to see how we can, in the geographies that we are in, be the last man standing or last person standing. In the Indian context, we have the potential to be the last man standing in the world, and that's what we always aspire to.

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Just to add, Satyadeep, to what Naren articulated, the cost takeout in Tata Steel India started in 1995 and never stopped. All that we are saying is we are upping the game to make it more structural and make it larger in size. [inaudible] it started in 1995 and never stopped. I think we are just being cogni zant of the fact that uncertainties of the market need us to step up the game , whether it is unique or not, that is for others to say, but for our own sake, we need to do that. In Netherlands also, with the uncertainties in the market, higher regulatory costs, CO 2 costs in particular, it requires a structural change. There also, while it has been efficient itself, but post BF6 reline , it is actually Netherlands 2.0. We are looking at a different cost structure, a different way of making and delivering steel. And in UK, it ’s completely structural change. We need to ensure that we have to be ready for FY20 27 - 28. [inaudible] We are pursuing the goal of ensuring , on an underlying basis , Tata Steel UK becomes EBITDA positive and sustaining from a cashflow point of view. So, these are the drivers which are pushing us to ensure that we relook at it in a very different context.

Satyadeep Jain, Ambit Capital
I get the point. We are trying to figure out if everybody is trying to be the last man standing, challenge is one year later everybody looks at cost, but EBITDA doesn't change. That the fundamental reality in commodity business ?

T. V. Narendran : CEO & MD - Tata Steel Limited
I want to add a little bit to that. One is the cost side, which we described. The other side is on revenue . That's why the product mix is important . Like you said, in cost, the opportunity is not infinite. It's finite. Whereas on the other side, you have a lot more you can do . Let's say, we say we look at the high -end markets, the approval -based markets, we look at our branded and distribution business, we look at downstream businesses, so on and so forth. There is a lever on the revenue side to supplement the lever on the cost side. Both are important.

Satyadeep Jain, Ambit Capital
Last question from my side, just putting you on the spot, let's say, one year down the line, everything remains the same . Prices are the same, raw material prices, coal, power, should we be look ing € 100 per to n EBITDA for Netherlands given cost takeout . You were talking about €500 million, which is about €70 per ton and the cost savings . Everything remaining the same, you are saying we should be looking at €100 per ton EBITDA for Netherlands?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
€70 - 80 per to n is what we are seeing in Netherlands, we will move towards. Eventually, ye

s, we should be aiming towards
€100 per ton but €70 - 80 per ton is what we have basically said we should be chasing. In UK, all things remaining same, just through the cost takeouts etc. we should be EBITDA neutral or EBITDA positive, which if the steel prices have not dropped so much in the last few quarters, we would have already achieved . I think that is where we are .

T. V. Narendran : CEO & MD - Tata Steel Limited
That's correct.

Operator
Next question is from Amit Dixit of ICICI Securities .

Amit Dixit, ICICI Securities

Could you please tell us the volume guidance for India and consolidate d for FY 2026?

T. V. Narendran : CEO & MD - Tata Steel Limited
The volume guidance is roughly 1.5 million tons of additional deliveries. Most of it is in India because UK will be flat, Netherlands will be slightly higher. In India, basically, we'll have about 2 million tons extra out of Kalinganagar, but we have the H blast furnace relin e due in Jamshedpur. This year, we had G blast furnace relining. So, net - net, the volume increase guidance is 1.5 million tons .

Amit Dixit, ICICI Securities
Are there any additional volume s from Ludhiana ?

T. V. Narendran : CEO & MD - Tata Steel Limited
Not yet. We are hoping to commission the plant by the end of this financial year, but nothing material. You will see the volume impact next year. You will see the complete Kalinganagar volume impact next year. This year, we will finish Kalinganagar at close to 7 million to ns; 6.8 million tons of steel and 7.5 million tons of hot metal. By next year, we will have a ramp -up because the steel melt shop will be complete . The third caster and everything else will come by September and next year, you will start seeing the additional volume coming out of Ludhiana as well .

Amit Dixit, ICICI Securities
In terms of cost, again, our Jamshedpur and India operatio n is, I would say, one of the most efficient operations , not only in India, but the world. Just wanted to understand the Rs. 4,000 crores that we have targeted for the year. Is there any tangible scope to reduce the cost further? If so, what are the broad buckets ? Is it procurement? Is it supplier optimi sation? Considering that you achieved Rs. 4,000 crores of saving , and as you said, it is a continuous process, will there be further targets for Jamshedpur or India operations to reduce cost?

T. V. Narendran : CEO & MD - Tata Steel Limited
So I think I'll let Koushik give you more details . Broadly , this is not just Jamshedpur. This is India operation s. When we say Rs. 4,000 crores, there is a lot which we are doing through, for instance, optimi sation of our contracts because we have multiple sites now. Each site used to have its own contracting for maintenance, services, et c. We are doing a lot of work on vendor development so that we are not dependent more and more on proprietary items. It can be sourced from elsewhere. There are a lot of these kind of initiatives, which will benefit all four sites, and there are smaller sites like Ludhiana which will come into play. Jamshedpur will continue to benefit from the reduction in wage bill because most of the older workers are i n Jamshedpur, and when they retire, there is a benefit. These are conversion costs. They are not linked t o raw materials. You may change a blend of coal that you buy and get cost benefit but this Rs. 4,000 crores is not hoping that coal prices drop and things like that. It is more on the conversion side.

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Amit, just to give you slightly additional flavor on this . One, this Rs. 4,000 crores is based on multiple areas. Stores , repairs, maintenance, fixed cost. In fact, we have taken Rs. 533 odd crores of exceptional charge, which is last quarter we had about 1,100 people leaving the company. There is a people reduction cost. There is a store , spares, r

epair s cost reduction.
The model in how we procure has changed . As Naren mentioned in one of the answers , we are using a lot more digital and analytics to figure out which model works better in terms of procurement. We are doing a lot more with our vendors and our OEM suppliers. There are multiple area s, and it is now across all sites. It is in K alinganagar, Meramandali, Jamshedpur and across mines and co llieries . It is a full [inaudible] of it, and we are targeting that on a monthly basis [inaudible] . This journey is unlikely to spend and kind of get over. What happen s is the first year, which was the last year, we could deep dive in and get some which are very apparent. This year, we are going to work the pieces to ensure that we get to the next level. As we go in the future, there are opportunities which are investment led. So you take this, low capex & high IRR or low payback period investments, which gives al most back in six months' time etc. Now there are time s and opportunities when these come up because when we have multiple shutdowns, we can do this kind of stuff. I think that is the theme in which we are working. We will continue to work these work streams going forward too. This is not just a one year target. We have now remodelled our improvement programs. The same is happening in Netherlands also. We are also doing cross l earning between India, UK and Netherlands. There are some areas where we are looking at vendors,

we are looking at procurement. So, it is cross -functional, cross -site and cross -entity now. It is a lot of hard work, but I think there is a big price to chase for.

Operator
Next question is from Ashish Jain, Macquarie .

Ashish Jain, Macquarie
Sir, my first question is on infusion of $2.5 billion. You gave some of the drivers of that infusion. Should we think that this

is the final number given Netherlands will hopefully become self -sufficient from a cashflow point of view, UK cashflows should improve. From a 3 - 5 year perspective, is th is final support from India balance sheet to European operations?

I also ha ve a question on cost. If I look at our EBITDA for this year, on a consolidated level it is Rs. 25,000 crores , by and large. If I look at the last two years, each year, we have spoken about roughly Rs. 6,000 - odd crores of cost saving s. Should we think that if not for these cost savings our EBITDA would have been like Rs. 12,000 crores? Is this cost really translating on e-on-one in P&L and cashflows as well or is there a slightly different way to think about the historical cost savings? My last question is about Rs. 4,000 crores of saving in India . It translates to roughly Rs. 2,000 per ton of EBITDA. Again, does it reset India base case or worst case EBITDA per to n assuming last year was the worst case EBITDA at around Rs. 12,000 - Rs. 13,000 is the [inaudible] EBITDA? Is that the way one should think about it ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
So if I look at reversing your order of the questions, First is, if you look at India , we have often said that in down cycle, we've been around 20 - 22% EBITDA margin , in medium cycle, we've typically been at 25 - 28% and in up cycle close to 38 - 40%. Your question is about whether it resets. I think we are looking at the cost side, not linking it to the revenue side because the revenue will come . As TSK ramps up, our downstream facilities ramp up, our revenue per to n will increase even on a mid -cycle basis. Often when we look at EBITDA, it clouds our mind that we are good in 22 - 28%. It often takes away the fact that in the cost side, we need to drive it on an individual basis. Honestly, in a historical way, certain costs have increased because of different reasons. When we acquired Bhushan, we had to do a lot more maintenance work compared to the plan. It took a few years. Now we are in a different state. We are bri

nging in more digital and analytics.
Our maintenance standards will be different compared to the past. Then when we are looking at procurement, we had non - standardi sed procurement because each site was doing it differently b ased on its need . Now we are saying that we are in a steady state. We can look at standardi sation of procurement. We are looking at questioning that if spares are available in one of the other sites , then why are we not using it on a consolidated basis, why do it independently . These are all practices. We have been a growing company. We've grown through acquisitions, and we're growing organically. When we have to settle on a rhythm, then it takes a bit of time. There comes a time when you can look at it when you reset the rhythm rather than r eset only the cost structure. That's exactly what we've been doing for the last 12 months. This journey will continue. The rhythm will change because we'll continue to grow, NINL will continue to become bigger, e tc. That is effectively how we are looking at the cost part of the game. We're using a lot more analytics to get this cost down. This is helping us in a huge manner in recent times.

T. V. Narendran : CEO & MD - Tata Steel Limited
I just want to add one more point. Maybe 8 - 10 years back, we used to look at $600 per ton as the all -weather steel price and Rs. 14,000 as the all -weather EBITDA per ton . Today, if we cross $500 per ton , we are happy . But we have not changed the EBITDA per ton of Rs. 14,000 per ton , that we always chase . The average steel price at which we are expected to survive or do well or deliver 20% EBITDA margin has come down . So that 20 - 22% EBITDA margin and Rs. 14,000 EBITDA per to n is being delivered, though the steel price has been dropping and today is between $450 - 500 per ton. I'm talking of the HRC price in Southeast Asia. That's the range and that's why we have to constantly look at cost because those prices are defined by who is willing to sell at what price. Particularly with China coming in a big way since 2015, we have to contend with that.

Koushik Chatterjee : ED & CFO – Tata Steel Limited
On the $2.5 billion, to answer your question looking forward, the Netherlands will be very soon be debt -free on a net debt basis because they are now generating enough cashflows . They had alwa ys historically been debt -free. When we went into relining BF6, we were sitting on €600-700 million of cash. That was a n outlier year , and its effect went through next two years. In the last 6 - 8 months, we are in a much better position despite a very difficult market. Netherlands, as far as underlying conditions are concerned, will be free of debt. It may have some working capital debt, but it will have its own cash. We are not sending money to Netherlands at this point in time. When we sign up to the negotiations with the Dutch government, we will see how the financing stacks up. As far as UK is concerned, we have debt, which we want to take out through this infusion. There will be small debt. When UK becomes, on an underlying basis, self -sustaining, hopefully, we don't have to give any further debt. As far as capex is concerned, we're committed to about £750 million. That has not started yet in a meaningful way. That spend will happen in the future over the next three years. Other than that, we have overseas foreign currency bonds, which is in Singapore, which will also have to be repaid. Some of it is nex t year, and then in 20 28, it finishes everything. Only for those specific requirements, which is anyway part of our Tata Steel obligation and consolidated debt. Other than that, most important for you to take note of is the fact that what we are working towards underlying cashflows of overseas businesses not requir ing any funding support. That's our target. That's what we are close to as far as Netherlands is concerned. In fact, Ne therlands nev

er needed money, even when they were not performing
well. They had taken short -term money, which they have repaid to us. The whole question is sorting the UK bit . When it become s sustainable, we don't need to put in money. The overseas debt, whatever we have, other than Netherlands, we

will onshore it, especially in Singapore, which is a Tata Steel foreign currency debt .

Ashish Jain, Macquarie
Will t his $2.5 billion be incremental investment from India or some of it is already there and in the form of debt or something and will be converted to equity?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
It will be financed basically .

Samita Shah: VP CFTRM – Tata Steel Limited
Koushik, if I can just interrupt you. Maybe you want to explain that because the money is going as equity, I think people are interpreting it as equit y.

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Not equity. I said that in the beginning that it is not an equity investment, it's rebalancing of debt. We are not putting new money in for new investments or new assets or even for any other purposes, it's essentially putting in money to take that debt out and putting it under the India balance sheet .

Ashish Jain, Macquarie
From the standalone balance sheet point of view, is it further money investment in the entity ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Yes, but that's how you have to account for it anyway .

Operator
Thank you, sir. I would now like to hand over the conference to Ms. Samita Shah for chat question s. Over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited
There are questions regarding the impact of recent tariffs in China and the US on steel markets overall. Additionally, whether we are seeing benefits from the safeguard duty. Are these benefits fully reflected in the guidance provided for the next quarter, or is there more to anticipate? Could you elaborate on that?

T. V. Narendran : CEO & MD – Tata Steel Limited
The guidance that I gave is based on things as they stand today on the safeguard duty, which is already there in India and what we've experienced so far in this quarter and what we think we'll experience in the next six weeks. The US, China, at a broader level, help s, because it tempers down the market and the concerns of volatility, the inflationary pressures, also what the high tariffs do to the Chinese economy. If the US and China can come to some understanding and trade flows both ways, and the Chinese economy is not hit more than required, then we are in a better place because obviously, China needs to take care of the construction industry, if it has to make a positive difference to steel and if they are distracted by many other issues, then that's a challenge. So , we are a bit concerned about the 10 million tons of exports, which continues out of China in March and April that happened and we are expecting that, that number should come down . If the US and China reach a deal on tariffs, we have a better chance of that number coming down. One of the reasons why this kind of volume has happened without much coming into India is also because a lot of Chinese exports are now going to Middle East and Africa, which were not the markets pulling a lot of steel earlier. That is reducing some pressure on Southeast Asia and India as far as Chinese exports are concerned. As far as US tariffs are conce rned, UK – US understanding will help us. We sell about 70,000 - 80,000 tons of steel from UK to the US. We sell about 700,000 tons of steel from Netherlands to the US. That will depend on the EU - US trade deal whenever that happens. Some of the steel that we send from Netherlands to US is not made in the US. That’s how w e are able to pass on some of the tariff impact to our customers because they need to import, and they can't buy locally. So that ’s the situation as it is, and we hope that the E

U
and US will come to a deal soon. Regarding the medium to long -term impact in the US, we are seeing that the EU is increasingly investing domestically to build industry, defen ce, and infrastructure, which is more positive for the steel industry in the medium to long -term.

Samita Shah: VP CFTRM – Tata Steel Limited
The next question is about Tata Tiscon specifically. For all the audience, we don't give guidance on specific realisations for any product categories, so we won't be commenting on that. The question people are asking is about the individual house builder segment, which has seen a lot of traction over the last few years, as you have explained. Can you give us some sense of the industry dynamics here and Tata Tiscon's positioning and realisation ? As I said, we will not comment on reali sations, but maybe you could give a broad sense of the dynamics?

T. V. Narendran : CEO & MD – Tata Steel Limited
Tata Tiscon has just celebrated 25 years since its launch because we identified this as a segment where people are willing

to pay a premium to reduce the risk of purchase. It's an individual buying 3 - 4 tons of steel to build a house. In semi -urban and rural India, people build homes rather than buy homes. It's a very personal journey, with people putting their life's investments into building their house. We saw an opportunity to tell them to be careful about the steel they buy and that they c an trust us. It has worked well. Today, it's a 2 ,00,000 tons per month business. It started as a 6,000 tons per year business. Generally, the same steel sold to a large construction company is about Rs. 5,000 - 6,000 per ton less because the large company will just go by the test certificate and not pay much of a premium for the product. They will pay a premium for the service. It's been a good story. We have a network of about 80 - 90 distributors, covering all the districts in India. We have about 5,000 - 6,000 dealers. We are doing about Rs. 3,500 crores of GMV, 90% of it is Tata Tiscon. People are ordering Tata Tiscon from the US, Canada, and the Middle East, and we deliver within 48 - 72 hours to any locatio n in India. We are getting a lot of orders from overseas for delivery in India. We are still only at 14% market share in the retail business. It's a very fragmented business. We have been limited by our supply, but acquiring Neelachal has given us another 1 million tons, so we are looking at how we can keep expanding this business. We are also looking at different operating models because this has really taken off well. In the last two years, we've grown in double digits. Once the Ludhiana plant comes online, we'll get another 1 million tons, all of which will be sold as Tata Tiscon. The model in Ludhiana is to sell all the steel within 200 - 300 kilometres of Ludhiana to avoid spending [inaudible] moving Tata Tiscon from Jamshedpur to Ludhiana. We save on transportation costs and collect scrap in that neighbourhood to sell steel in that neighbourhood . If that model works, we will set up similar plants in other parts of India where there is scrap. It's a good business for us. It's a Rs.10,000 crore brand and growing at 20%.

Samita Shah: VP CFTRM – Tata Steel Limited
The next question, and I'm just reminding our audience again that we do not give guidance on specific product categories or sites. The question is on long products versus flat products, focusing on margins and realisations. How do the broader dynamics differ between long products and flat products? The idea is to see which is more profitable.

T. V. Narendran : CEO & MD – Tata Steel Limited
So, it goes through cycles. Traditionally, flat products tend to fetch higher prices, and you have segments like automotive and oil and gas, which are more approval -based businesses. Bigger steel companies tend to gravitate towards flat products. But the flip side is flat products is higher fi

xed cost business . So, i n a down cycle, people are just trying to cover
variable costs and contribute to fixed [inaudible] . The second big shift in flat products globally is that when China used to export a lot of steel 10 - 15 years ago, it was mainly long products. Today, it is all flat products because the Chinese steel industry has switched from long s to flat s, and flat products travel better than long. So, you see HRC going all over the world . Rebars don't travel so much or wire rods maybe a little bit more . So, that dynamics is changing . But if you look at

India, its largely a local business, and 50% of the long product suppl ies comes from the secondary sector, whose cost structures and drivers are different. In the last 2 - 3 years, when thermal coal prices were much lower, with thermal coal to coking coal at 1:3, secondary producers were more competitive. As the ratio narrowed, primary producers became more competitive. Currently, long product prices are higher in India than flat product prices on a commercial grade basis because most of the 100 million tons of steel China is exporting are flat products, which has depressed inte rnational flat product prices. All flat products produced in India are being sold in India, depressing flat product prices. From a return on invested capital point of view, long products are better because you can set up a long product plant for less money. If you're getting better EBITDA for that, then you are better off. But over the long term, bigger companies tend to gravitate towards flat products .

Samita Shah: VP CFTRM – Tata Steel Limited
Another question, which is slightly more long -term in nature: Do we see India risking or becoming an overcapacity steel market in the next 5 - 6 years given the expansion plans which every body has announced?

T. V. Narendran : CEO & MD – Tata Steel Limited
Honestly, I don't think so because it's not easy to build steel plants in India. It takes time, assuming you have land. If you are going to start a greenfield site, it takes even longer time . India will never be able to build capacity as fast as China did. At its peak, China was building 50 million tons of capacity per year. India does not have the capacity to build because our processes take much longer , the a pproval processes, acquiring land, the public hearing , everything takes much longer. The ability to build plants is also limited. So, if India continues at a GDP growth of 6 %, 7%, 8%, and as a developing economy focusing on infrastructure, steel consumption grows at a higher rate of 8 %, 9%, 10%, think India will struggle to build 15 - 20 million tons of capacity every year, forget 50 million tons. So I do believe that we will have a better balance. India will never be a big threat in international markets as a big exporter like China because whatever capacity we build in India will be just about enough for India .

Samita Shah: VP CFTRM – Tata Steel Limited
What is our guidance for coking coal and iron ore consumption for 1QFY 26.

T. V. Narendran : CEO & MD – Tata Steel Limited
For coking coal, the guidance is that it will be about $10 per ton lower on a consumption basis, though the coking coal prices have gone up in the last few weeks but o n a consumption basis, will be $10 per ton better, both in Europe and India.

Iron ore is relevant only for Europe, specifically for Netherlands, because we've shut the blast furnaces in the UK. Iron ore is expected to be about $10 per ton higher in Netherlands consumption.

Samita Shah: VP CFTRM – Tata Steel Limited
Now there are a bunch of questions on the developments around the BPSL judgment. The first question is whether the Tata Steel Bhushan resolution plan is at risk of the same risks. What are the differences, and do we run the same risks?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
There is no litigation on this m

atter as far as Tata Steel Bhushan is concerned. We've gone through two rounds. First,
when the acquisition, we've done this as guided by the C oC within the timeline of the IBC. And subsequently, we have also gone through the full process of merging the business within Tata Steel. So there is nothing on a similar basis .

Samita Shah: VP CFTRM – Tata Steel Limited
The second question is if this asset comes up again on the block, would Tata Steel be interested in acquiring it .

Koushik Chatterjee: ED & CFO - Tata Steel Limited
We would rather not answer that question because it is related to a different company, and it 's not fair to answer.

Samita Shah: VP CFTRM – Tata Steel Limited
What are our deleveraging targets? Is there a plan to deleverage for the next year?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
We've always said that our target remains to continue deleveraging while investing in growth projects. In September 2024, at the peak of the downturn, we were at about Rs. 88,000 crores consolidated net debt. Now, we are at about Rs. 82,570 crores. We've reduced more than Rs. 6,000 crores of debt across entities and geographies in the last six months. We will continue this pathway into FY2026. And we want to just ensure that the - in fact, somebody asked that question, why certainly the cost initiatives? Well, this is one part of also using the cash flows for deleveraging .

Samita Shah: VP CFTRM – Tata Steel Limited
There is a question on why our interest costs have gone up. I would like to remind the audience that global interest rates have increased by almost 400 basis points. But I think t here is a broader question regarding our interest costs and their direction .

Koushik Chatterjee: ED & CFO – Tata Steel Limited
The net finance cost for FY2024 was ~Rs. 6,700 crores, and the net finance cost for FY 2025 is ~Rs. 6,300 crores. So, I didn't see any increase in interest costs. But there is one point that I would like to say that when we are doing more and more onshoring, you would find that the headline cost increasing, but the effective post -tax cost going down. So it may not show in the P&L, but effectively from a net post -tax basis [inaudible] .

Samita Shah: VP CFTRM – Tata Steel Limited
There are still many people lined up for the audio questions. We will take a couple. Back to you.

Operator
Next question is from Amit Murarka of Axis Capital .

Amit Murarka, Axis Capital
I just wanted to get a sense now on expansion plans, I believe FY 2026 capex guided is Rs. 15,000 crores, which I understand doesn't include any planned new expansion projects in India. Where do we stand on the NINL and KPO3 and such expansions, particularly in the context of 35 - 40 MTPA capacity target we had given for FY 2030.

T. V. Narendran : CEO & MD - Tata Steel Limited
The capex here is largely focused on raw materials and on Kalinganagar completion. It includes the Ludhiana plant, which is ~0.8 MTPA , but we hope to push it to 1 MTPA . If you look at it from a growth point of view, after Kalinganagar this year , we have some downstream expansions. We have the 0.5 MTPA Combi mill, which will convert some of the billets that we are making in the erstwhile Usha Martin facility into special bars for the automotive industry. In terms of major expansion projects, the next one, which will go to our Board is the Neelachal one. We have already gone through the public hearing. Now the way we look at expansion projects as we go to the Board only after we get all the regulatory approvals. Earlier, it used to be the other way around, you get the Board approval and then get the regulatory approvals, so which used to bring a lot more uncertainty into the schedules, whereas we've already done the public hearing and have applied for an

environment clearance, to go up to 9.5 MTPA for Neelachal. That will be first. We are then working on the

Kalinganagar
next phase as well as Bhushan expansion from 5 MTPA to 6.5 MTPA . These are the two projects which will follow the Neelachal one, but the one, which is most ready is the Neelachal one, which during this ye ar, we will go to the Board .

Amit Murarka, Axis Capital
Is it fair to say that it looks more like 30 MTPA by FY 2030 rather than the earlier 35 - 40 MTPA that we were expecting?

T. V. Narendran : CEO & MD - Tata Steel Limited
What we expect to have by FY 2030 is all these projects at different stages. Hopefully, we start the Neelachal project now. At least the first phase will finish, and we can start the other two, which will be a t different degrees of finishing in FY 2030 - 31. Yes, w e will not have completed capacity by FY30.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Fundamentally , when we look at what we used to do earlier is to announce projects, then do the design , engineering and the regulatory approval and then do the project construction. I think when we will announce projects now, we will be ready to start construction. There is a different phasing that we have done. We've tweaked it to make it more certain and make it more focused on the completion timeline. So, the preparatory work post -announcement has been changed to pre - announcement and then straight away into the execution stage.

Operator
Next question is from Sumangal Nevatia of Kotak Securities .

Sumangal Nevatia, Kotak Securities
First question is on the Europe operations. Is it possible to share and explain what is the impact of reduction in carbon allowances in FY 2026? What would be the likely cost impact of that?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So as far as UK is concerned, it's now zero. There is no impact of CO_2 in UK. There is a certain amount of free allowances UK will get and that is good enough for the downstream entities to compensate for it. In fact, w hat we see today is from FY2025-26, there will be no impact of CO_2 as far as UK is concerned till the start of FY20 27-28, when the next phase of the EAF starts, and that will be of different nature. As far as Netherlands is concerned, there is a deficit that happened until last year . It will gradually converge, but there is an increased cost on account of carbon, and that is happening because of the fact that the allowances are reducing, and there is also a CO_2 levy that has been coming in as far as the Netherlands is concerned. So, it is close to about €80 million a year .

T. V. Narendran : CEO & MD - Tata Steel Limited
This carbon allowances will reduce along with CBAM, right?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Next year onwards, what happens is that on a longer term or a medium term, when the CBAM comes, it will neutrali se the cost because arithmetically, the cost of the steel prices will reflect CBAM, which will cover up for the cost of the carbon.

Sumangal Nevatia, Kotak Securities
Understood. I have one question on the entire cost saving s topic. So how is it expected to phase in FY 2026? Is it more of a gradual thing or back -ended? As Naren mentioned, EBITDA of € 70 - 80 per ton for Europe, given the Rs. 4,000 crore number for India, keeping the spreads aside, can we expect Rs. 1,500 - 2,000 increase in the EBITDA on a per ton basis?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
First of all, as far as Netherlands is concerned, that project has just kicked off, as I mentioned in my commentary . One of the important part s of that is also the productivity gains . The productivity gains involves the process of consultation with the works council, etc. So, i n Netherlands, while some part has been reali sed and many of the non -productivity work streams are moving forward, it is more a second quarter plus onwards, but it is not so secular becau se it is something that will happen more around the 3Q - 4

Q. As far as India is concerned, we started this project last year. As I said, we've taken
out Rs. 1,800 crores of cost plus Rs. 900 crores on coal optimi sation. That is a lot more secular in India, but it is more from June onwards . After June, we should see the results in the financial statements. I think your last question was whether you can see the improvement on a per ton basis. The answer is yes, ceteris paribus, everything else remains the same.

Sumangal Nevatia, Kotak Securities
Just one last clarification. Given that today, there's a continuous pressure on Chinese steel prices, our calculations are suggesting domestic prices are at Rs. 2,000 - 3,000 premium. So, a re we sensing a peak in steel prices and some pressure going forward? I understand Rs. 3,000 is what we are expecting in 1Q. On a spot basis, what are your thoughts?

T. V. Narendran : CEO & MD - Tata Steel Limited
Obviously, this gap is there now because Chinese prices again dropped. It's been fluctuating, like I said, in a $50 range. But imports are still not coming in a big way yet because people are concerned about the dollar. The dollar has been also all over the place. And also the risk in , you book today, and it comes in after two, three months, you don't know the price

then. You have a monsoon season coming and do you want to import cargo coming in during monsoons. I don't see imports flooding in just yet. Of course, when we went to the government with a safeguard request, the original request from the Indian Steel Association was 25%, the government said 12% because it wanted to keep all other stakeholders' interest in mind. If we, again, see a flood of Chinese imports , we will certainly go back to the government and see what can be done because the private sector investment in India , in some sense , is being led by the steel industry. We are seeing Rs. 15,000 crore capex, peers are also putting in big capex. The industry needs to be financially healthy to be able to put in this kind of money and new capacities. I think that's a submission to the government .

Operator
That was the last question for today. I would now like to hand the conference back to Ms. Samita Shah for closing comment. Over to you, ma'am .

Samita Shah: VP CFTRM – Tata Steel Limited
Thank you, everyone, for your participation and your questions. We hope we were able to address your queries. Look forward to connecting again next quarter. Thank you.

T. V. Narendran : CEO & MD - Tata Steel Limited
Thank you .

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Thank you .

Call: Aug 2025

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August 6 , 202 5

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G Block, Bandra -Kurla Complex, Bandra (E),
Mumbai - 400 051.
Maharashtra, India.
Symbol : TATASTEEL

Dear Madam, Sir,

Sub: Transcript of 'Tata Steel 1QFY2026 Earnings Discussion'

This has reference to our letter dated July 25 , 2025 intimating that post the announcement of Financial Results of Tata Steel Limited ('Company') for the quarter ended June 30, 2025, the Company will host an Earnings Discussion on July 31, 2025.

The Board of Directors of the Company at its meeting held on July 30, 2025 inter alia approved the Financial Results of the Company for the quarter ended June 30, 2025. The Company hosted its 1QFY2026 Earnings Discussion on July 31, 2025.

In this connection, we enclose herewith the transcript of the ' Tata Steel 1QFY2026 Earnings Discussion '.

The transcript is also available on the website of the Company at:
https://www.tatasteel.com/investors/financial -performance/analyst -call-recording/

This intimation is being provided in compliance with Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.

This is for your information and records.

Yours faithfully,

Tata Steel Limited

Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer

Encl.: as above
1

CORPORATE PARTICIP ANTS

T V Narendra n, CEO & MD – Tata Steel Limited
Koushik Chatterjee , ED & CFO – Tata Steel Limited
Samita Shah, VP Corporate Finance, Treasury, & Risk Management – Tata Steel Limited

CONFERENCE CALL PARTICIP ANTS
Amit Dixit, Goldman Sachs
Amit Murarka , Axis Capital
Ashish Jain, Macquarie
Pallav Agarwal, Antique
Prateek Singh , DAM Capital Advisors

Ritesh Shah, Investec
Satyadeep Jain, Ambit Capital
Sumangal Nevatia, Kotak Securities
Tarang Agrawal , Old Bridge Capital
Vibhav Zutshi, JP Morgan

PRESENTATION
Operator:
Ladies and gentlemen, good day, and welcome to the Tata Steel analyst call. Please note that this meeting is being recorded. The attendees ' audio and video has been disabled from the back end and will be enabled subsequently. I would now like to hand the conference over to Ms. Samita Shah . Thank you, and over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited
Thank you, Kinshuk . Good afternoon, good morning, and good evening to participants listening to the call , . On behalf of Tata Steel, I'm delighted to welcome you to this call where we will discuss our results for the first quarter of FY2026 . The call is being led by our CEO & MD, Mr. TV Narendran, and our ED & CFO, Mr. Koushik Chat terjee. As is the norm, we will make some opening comments before we open the floor for questions. Before I hand it over to them, I just wanted to remind all our participants that the entire discussions will be governed by the Safe harbour clause , which is on pa ge 2 of the presentation. Thank you, and over to you, Naren .

T. V. Narendran : CEO & MD - Tata Steel Limited
Good afternoon to everyone . As Samita mentioned, I'll make a few comments and then pass on to Koushik. At an overall level, US policy, geopolitical tensions and macroeconomic situations in China are shaping steel trade flows leading to volatility in regional prices. Steel prices increased in April in India aided b y expectation s around safeguard measures but with China Steel exports averaging between 9-10 million tons per month, the pricing trend softened a bit by June and in July as well. More recently, in China, we've seen the prices

go up in the last few days, but the impact of that is yet to be
seen. While the raw material prices continue to moderate steel spot spreads peak ed mostly in April and since then have

faced some pressure. Amidst this Tata Steel has delivered a strong improvement in 1Q performance on a QoQ basis as well as on a YoY basis.

I'd like to now make some comments on the performance in each geograph y. In India, crude steel production was at 5.24 million tons, while deliver ies stood at 4.75 million tons. This is lower than the previous quarter due to the seasonality as well as maintenance shutdowns. And while the ramp -up at Kalinganagar is as per plan, one of our large furnaces at Jamshedpur has been down for relining for the l ast few months and should come back on track over the next few days. We did have an issue with one of our furnaces in Neelachal Ispat Nigam Limited (NINL) , which had undergone a maintenance shutdown, and we didn't have much production from there in April. As a result, the crude steel production was down 4% QoQ . Further in fourth quarter, seasonally strong deliveries led to inventory drawdown, which has been replenished in 1Q to normal operating levels. This coupled with the drop in production led to a decli ne in overall deliveries, NINL is back at normal operating levels and the relining in Jamshedpur, as I mentioned, is at its last stages and the blast furnace G, which is being relined should come back in the next few days. We could offset the impact of vol umes by an increase in net steel realisation s to the tune of about Rs 2,600 per ton on QoQ basis in India. This is despite an early onset of the monsoons . Higher net realisation s are partly on the back of increase in broader market prices in April and partly led by our ability to maximize volumes in certain chosen segments. We also drove a number of initiatives, which helped us achieve the planned cost takeouts. This has helped u s deliver an EBITDA margin of around 24%, which is close to the 10 -year average.

At a business vertical level, the deliveries to the automotive segment were aided by 4% YoY growth in high -end products . We remain focused on new product development and wit hin six months of the continuous annealing line being commissioned in Kalinganagar, we have successfully established grade approvals for high strength and ultrahigh -strength steels, including for skin panel applications. We expect to make further progress with the commissioning of the state -of-the-art continuous galvanizing line at Kalinganagar. The first coil from the new co ntinuous galvanizing line was produced in June, and we are in the process of getting the approvals for the C GL products as well. Our retail business is shaping up well and Tata Tiscon is growing systematically aided by deep consumer connect and reach. Based on consumer insights, we launched Tata Tiscon SDCR, which is super ductile corrosion -resistant steel to meet the demand for corrosion resistant steel in the coastal areas of Andhra Pradesh, Tamil Nadu and Kerala. In terms of reach, our dealer & distribut or network is now over 25,000 and is ably complemented by our e -commerce platforms, A ashiyana and DigECA. Together, they witnessed a gross merchandise value of about Rs 1,350 crores in 1Q, which is up 39% YoY and works out to around Rs 5,400 crores on an a nnualized basis. The Industrial Products and Project s deliveries were aided by value -accretive segments such as engineering and ready -to-use solutions . The engineering segment grew 5% YoY on improved volumes to oil and gas and railways. Further enhanced product mix [inaudible] to solar (i.e. the steel that we supply for the solar panel supports) increas ed by 4 times the volume compared to 1QFY25. We will continue to strengthen our downstream portfolio, and our color coated volumes have been stead ily ramping up through our joint venture with BlueScope Steel, the

Tata BlueScope JV that we have. This JV now sells around 300,000 tons of color coated steel, a large part of which is through the high -margin Durashine retail brand. During the quarter, we had also commissioned 100 KTPA tubes mill, which utilizes an innovative direct forming technology that offers productivity and quality benefits over conventional mills.

Moving on to UK , delive ries stood at around 0.6 million tons and were marginally lower on QoQ basis. UK steel prices are still 6% below a year ago due to the subdued demand and import pressures despite safe guard quota s being in place. Quotas for some products are more than the prevalent domestic demand in the UK . As such a sustained focus on controllable cost continues to yield results a nd ha s aided our 1Q performance. This quarter also marked a significant

milestone in UK's transformation jo urney with the groundbreaking ceremony on 14th July at Port Talbot, marking the official start of construction for scrap based Electric Arc Furnace .

In Netherlands, liquid steel production stood at 1.7 million tons and deliveries were at 1.5 million tons. Our performance was aided by favourable sales mix as well as moderation in controllable costs. We are committed to 35% - 40% reduction in carbon emis sions and are engaged with the government team on support for the integrated decarbonization and environment measures project. Thank you , and with this, I hand over to Koushik for his comments.

Koushik Chatterjee : ED & CFO – Tata Steel Limited
Thank you, Naren. Good afternoon, good evening to all those who have joined in. I will begin with the consolidated performance provided in Slide 22 of the presentation. As you would be well aware, the market conditions and trade tensions across geographies remain pretty complex. However, the steel spot spreads over raw materials have improved primarily aided by moderation in coking coal prices and iron ore prices during the last quarter. This, along with our progress on internally focused cost takeout initi atives, which we have discussed in our May '25 call, have led to an improved consolidated performance on QoQ as well as on YoY basis.

Let me give the headline financial performance. The consolidated revenues for the quarter stood at Rs 53,178 crores, and the EBITDA was about Rs 7,480 crores. 1Q EBITDA increased by 11% on QoQ basis, translating to a margin improvement of about 200 basis points and per ton EBITDA improvement of around Rs 2,400. I would like to point out that our consolidated EBITDA is now br oadly similar to the India EBITDA and our intent is to continue the transformation process in UK and Netherlands, such that this trend continues and is sustained even though we are faced with volatile market conditions due to trade and tariff -related issue s.

Now let me talk about the global cost transformation program of Tata Steel that I had spoken in our earlier call. Firstly, th is is a cross geography cross functional efficiency initiative that goes deep on the structural review and looks at to push the bar towards further efficiencies. During the quarter, we have delivered a traceable improvement of about Rs 2,900 crores across the three main geographies wit h India at about Rs 1,100 crores, Netherlands at about Rs 1,400 crores, and UK delivering about Rs 400 crores of cost transformation across supply chain, spares, repairs and maintenance, raw material efficiency, energy management, logistics and freight, br oader productivity areas, and fixed cost. The efforts continue to realise the full gains in the future quarters. As mentioned on Slide 12, this translates to about 98% compliance to our own first quarter plan. Therefore, we are in a good position to contin ue this program. In India, we achieved about 100% compliance to the plan and the initiatives or focus areas that yielded results were leaner coal mix, optimi sation of stores, repairs and mainte

nance, reduced scrap consumption and operating KPIs relating to freight & handling and power & fuel.
In UK, we are better than plan on account of further reduction in maintenance costs, hi re & leasing and other operating charges. In addition, we are also focused on optimi sing the cost of purchase d substrate or the fee dstock that goes in for conversion. In the Netherlands, we were marginally below plan bas is the pace of consultation with the Central Works Council. Excluding the employee relating costs, we were at about 100% complian ce with the plan and this was driven by better product mix or downstream sales, optimization of supply chain and procurement cost s, along with other controllable costs.

Let me now provide a deeper understanding of India, UK, and Netherlands performance individually. Tata Steel standalone revenues for the quarter ended Jun '25 was about Rs 31,014 crores and EBITDA was Rs 7,263 crore s, which translates to

a margin improvement of about 275 basis points or Rs 2,600 per ton on QoQ basis. As Naren mentioned, our volumes were sequentially lower in the first quarter due to maintenance shutdowns. As a result, the total revenue from operation s declined by about Rs 3,400 crores QoQ despite higher realisation s to the tune of about Rs 2,600 per ton. However, this was more than offset by the improvement in the controllable costs, leading to an increase in the first quarter EBITDA by about Rs 158 c rores or 2% v s. 4QFY25 on reported basis. Within cost s, material cost s declined by about Rs 2,900 crores, primarily driven by decline in coking coal consumption cost by about $12 per ton as well as leaner coal mix and inventory management. To elaborate on inventory, there was marginal inventory buildup in the first quarter vis -a-vis the drawdown in the fourth quarter, which is a seasonally stronger quarter. Conversion costs decreased by a bout Rs 700 crores, primarily aided by decline in stores, repairs & maintenance and power & fuel related expenses as a result of the cost transformation program, despite having an adverse operating leverage on account of lower volumes.

I would like to me ntion a few comments about our subsidiary , Neelachal Ispat Nigam Limited or NINL. The EBITDA for NINL was about Rs 220 crores for the quarter, and this translates to a margin improvement from 23% in 4Q to about 24% in 1Q. On 24th July, 2025, we successfull y completed the residual acquisition to make NINL now a 100% subsidiary. Looking ahead, the blast furnace operations have resumed in NINL , as you heard from Naren, and we expect the production to pick up in the subsequent quarters.

In the Standalone P&L, depreciation for the quarter was Rs 1,627 crores, which was up by about 7% YoY. We have capitali sed about Rs 5,500 crores during the quarter, primarily on account of Kalinganagar expansion and the remaining will be capitali sed during the cou rse of the financial year.

Coming to the European operations, I would like to elaborate about the local market dynamics before moving on to the performance. The UK and the EU have been impacted by steel imports, which has impacted the demand conditions as well as the supply -demand balance. The capacity utilization of the European steel industry currently is about 60% to 65%. As such, both the UK and the EU have undertaken measures to safeguard the local industry with varying impact across the two regions. In Germany, the HRC prices are up 4% compared to a year ago, while in the UK, the HRC prices are still 6% below the year ago levels . UK steel safeguard quotas by product have been liberali sed every year and are now a larger proportion than even in 2018, when it was started, even as the UK demand has contracted. This meant that quotas for selected products ar e higher than the demand. The EU has already reworked the country quotas and the UK government is currently working to intervene

in respect of the quotas. These initiatives are expected to stabilize the price
regime in the future with a lag effect. We are also keenly following the details of the trade deals that are being finalized between the EU and the US as also between the US and the UK.

Given these dynamics, Tata Steel UK has focused on fixed cost and strategic initiatives to aid performance. In the first quarter, Tata Steel UK has managed to ha lve its EBITDA loss despite the challenging market conditions and the uncertainty on tariffs . UK revenues for the quarter stood about £536 million and declined by 3% or £15 million on QoQ basis due to marginal drop in volumes. At the same time, total costs have declined by about 9% or £55 million, leading to an improvement in the EBITDA by about £40 million or £58 per ton. Within costs, fixed costs have improved by about £17 million and first quarter fixed cost base on an annualized basis reflects a reduction of more than £200 million in FY 2026 versus FY20 25. Apart from fixed costs, a decline in substrate cost, p ower & fuel, bulk gases related expenses have also aided the performance.

Moving on to Netherlands. Revenues for the quarter were about €1.5 billion, and were down 6% or €105 million on a QoQ basis. Realisation s improved and better sales mix with a drop in volume s led to the revenue movement. At the same time, total costs have declined by about 10% or €155 million, leading to an improvement in EBITDA of about €50 million or €35 per ton. Material costs declined by about €184 million but were partly offset by the marginal increase of about €30 million in conversion costs. Improvement in material costs were largely driven by inventory movement and decline in coking coal consumption cost despite the incidence of US customs duty on select vo lumes. The US business of Tata Steel Netherlands is very profitable, and the material is shipped from Netherlands to the US for further processing before selling to the customers in the US. These shipments incurred about 25% duty until early June and 50% t hereafter. Tata Steel Netherlands ha d negotiated with customers and some of them have agreed to bear some of the additional costs and tariffs. Net adverse impact on EBITDA in the quarter was around €14 million. We are hoping to get more clarity of the EU -US trade deal on the final tariff principles and export of steel to the US. Overall c onversion costs rose by about €30 million QoQ , primarily on account of two factors. One was a noncash actuarial adjustments and employee benefit provisions reversals that w e had in 4Q to the tune of about €27 million, and the other was the increase in emission rights costs to the tune of about €6 million primarily on account of improved production and marginal increase in the EU ETS prices. Excluding these, our conversion co sts have actually moderated on QoQ basis.

Moving to the cash flows , we spent about Rs 3,829 crores on capital expenditure during the quarter , majority of this was in India. There was working capital buildup primarily due to replenishment of stocks in Ind ia and in Netherlands after a strong 4Q. As the production improves in India, we expect that the optimi sation on working capital in the next quarters. Net debt was at about Rs 84,835 crores, and our group liquidity remained strong at about Rs 43,578 crores, which includes about Rs 14,118 crores of cash and cash equivalents. While net debt has witnessed a marginal increase v s. end March, we are committed to deleveraging and with a slightly stable trade environment, increased volumes on account of completion of Kalinganagar project and the benefits of cost transformation in the second half of the current financial year, we will endeavour to continue the deleverag ing process.

On capital expenditure and projects , the Board of the company has yesterday approved the expansion of the tinplate business to almost double the capacity of th

e existing facilities in Jamshedpur and also invest to ensure sustainability of
our captive coking co al mining capacity. In the UK, the EAF project is progressing well and in Netherlands, we continue to be engaged with the government about the support of decarboni sation and the environmental measures impact. Lastly, moving to our disclosures , we're commit ted to transparent and responsible business practices and also actively engag ing

and embrac ing the global frameworks. We have recently adopted the TNFD's LEAP approach and published our inaugural TNFD report, which is on nature related financial disclosures, which is up on our website. It marks an important milestone in our journey towards becoming more conscious of the risk of nature loss and also demonstrates our commitment to continue to be a responsible organization. With thi s, I'll end my presentation and open the floor for questions. Thank you.

QUESTIONS AND ANSW ERS
Operator
We will now begin the Q&A session, and the first question is from Sumangal Nevatia of Kotak Securities.

Sumangal Nevatia, Kotak Securities
Good afternoon, everyone , thanks for the chance . I'll start with the bookkeeping one. If you can share what is the price and cost outlook in the coming quarter v s. what we've seen in 1Q in India , UK and Netherlands?

T. V. Narendran: CEO & MD - Tata Steel Limited
Sumangal, as far as the price is concerned, the guidance we're giving for India is that the net realisation s will be about Rs 2,000 per ton less in 2Q as compared to 1Q. As far as UK and Netherlands are concerned, it will b e flat or slightly higher. As far as cost is concerned, the coking coal costs are expected to be about $10 per ton lower in each of these geographies from a consumption point of view. And in Netherlands, the iron ore cost is also expected to be about $7 to $8 per ton lower from a consumption point of view for 2Q compared to 1Q.

Sumangal Nevatia, Kotak Securities
The next question is on the cost transformation. Congratulations on delivering on 1Q . I just wanted to understand, one, how is the breakup between India, UK and Netherlands in 1Q. And when we're saying breakeven in UK if you can share what's the latest thoughts by when? Is it still 2Q? And this cost transformation, is it in addition to bre akeven in terms of we going into positive in UK as well? Or this is basically, including the cost transformation, we will be approaching breakeven?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
I gave the breakup in the cost transformation between regions in my narrative, but I can repeat it again. It's about Rs 1,100 crores in India, Netherlands at about Rs 1,400 crores, and the UK at about Rs 400 crores. See, when we chase breakeven, I presume you're talking about UK. Fundamentally, you cannot have breakeven and then something else, something else then leads to the breakeven. So , this core transformation is also a very important part to achieve the breakeven. The goal of get ting the breakeven is very important for us as a company and we continue to cha se that. The market has been very volatile, and you understand that, including the uncertainties on tariffs , because the tariffs affect not just us directly, but also indirectly our customers. Therefore, in UK, there has been a 15% reduction in the automotive sales or automotive demand in the last quarter. We're seeing multiple elements to that. But there is an effort to ensure that we get to the breakeven by the end of this year , for sure .

Sumangal Nevatia, Kotak Securities
Last question on expansion. We have not yet announced or taken Board approval for NINL expansion. So just want to understand what is holding us back, given we are already ramping up Kalinganagar and maybe in 18 - 24 months, we will be running at a rated capacity. So , when do we expect some announcement on expansion?

Koushik Chatterjee: ED & C

FO – Tata Steel Limited
One of the things which is important for us , what we do now is we do the front -end wo rk a lot more than what we used to do earlier. Earlier, we used to announce and then do the environment clearance, then the basic engineering and all the approvals, et c. Currently, we are in the engineering part and it s very advanced as well as the environ ment clearance process. There is a public hearing that has already happened. So, the process for the EC is getting completed, it will take a couple of months more and once we are done with all this, when we go for FID or the final investment decision, that time, we are execution ready. That's our approach, which was not the case earlier and which we used to suffer from time delays

as well as cost delays. So, we've chang ed the process and that is what is happening in the NINL process. Naren, you want to add something?

T. V. Narendran: CEO & MD - Tata Steel Limited
I think you articulated it. Basically, once we get the FID, we are ready to move to order placement and con struction. I think that's what we're looking for. Whereas earlier, once you've got the Board approval, you waited for another year, 1.5 years to get the work started until you got all the approvals. So that's a shift in our approach. Neelachal is at a very advanced stage. I think we are ready to go to the Board maybe by October, November as soon as we get the environment clearance. What you will see over the next 12 months is, of course, the Ludhiana plant coming into action that will add another 0.75 million tons a nd the Comb i mill in Jamshedpur, which is 0.5 million tons, which converts some of the extra billets we have

in the Gamharia plant into steel. So, you'll see a lot more value addition and some volume growth in lo ng products before the Neelachal on e comes in.

Operator
The next question is from Prateek Singh of DAM Capital Advisors

Prateek Singh, DAM Capital Advisors
The first question is largely on prices. Indian steel prices seem to be at a 10% discount to China prices despite safeguard duty and we have not yet seen any improvement in trade prices. So , does this mean that the seasonal impact this time is quite bad and as a corollary, how are we seeing the government spending, especially state governments . Some states are facing fiscal pressure. So, can we see some price hikes happening or would it happen once monsoon is behind us? That's the first question.

T. V. Nare ndran: CEO & MD - Tata Steel Limited
I think Prateek what's happening is a lot of capacities which were down because of maintenance shutdowns because pretty much most of the major steel companies are doing shutdowns and maintenance work in 1Q. So that is back by end of June, and that coincide d to some extent with the onset of early onset of monsoons. That's why there was some sort of pressure. Internationally, if you look at it, [inaudible] China domestic prices have gone up about $35 to $40 per ton in the last few days with the announcements that they made on 1st July. So, we are seeing internationally a bit mo re stability on the pricing. Domestic demand is traditionally weak in this quarter, as you said, but we expect it to pick up once the monsoon ends for two reasons. One is, it looks like a good monsoon year and secondly, once monsoon is over, construction activity will start, and thirdly, the festival season is on to us. So, we are more optimistic about the prices going forward. This wil l be a slightly difficult quarter because of what I j ust described. The other thing you should keep in mind is because international prices are low, the exports out of India is much less . So, earlier from India we use to export anything between 7 to 10 million ton s of steel, that's not happening , because international prices are not great. So pretty much all Indian producers are selling most of what they produce in the domestic mar

ket. And that's why we say there's enough supply in
the domestic market , leading to some price pressures as we felt la st month, but I think we see things improving from next quarter.

Prateek Singh, DAM Capital Advisors
The second one is for Koushik. Koushik, you mentioned in UK, we are optimi sing on the cost of substrate. If you can elaborate a bit more on that . Given it's a commodity, what else are we thinking about? Is it going better? So, [inaudible] what is the measure that you have in mind?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
The model in UK, obviously has changed since last September because we are buying substrate, which is slabs and then converting it to downstream products. Some part of it or a large part of it goes from India and some of it from Netherlands, but there are also external purchases that we do from our peers across the globe. Given where the price points are , we also want to ensure that our model on pricing spreads and the stock levels are correct so that we do not have a mismatch in terms of the price at which the substrate comes in , and the price at which we convert and sell it to the customers. That optimi sation model took some time, and it is still maturing and that is something that we need to do right, which also means that how we plan for the sup ply chain in terms of procurement of substrate, the grades at which we buy, v s. the grades that we sell, ensuring that the product mix that is done during the planning and during the actual sales is similar so that w e don't downgrade the product at any point in time just to ensure that we have to get the volumes out. So , those are th e kind of initiatives which we are currently doing, and it is backed by investments in the IT platform so that we have real -time data for the decision makers at the time of procurement and sales.

Operator
The next question is from Satyadeep Jain of Ambit Capita l.

Satyadeep Jain, Ambit Capital
Two questions. First question is on the profitability of mini mills in general in UK and Ludhiana. If we look at Ludhiana a nd UK during the transition period and once the EAF comes up , it would be a state -of-the-art plant and I would believe at par with any mini mill in Europe. During this transition, we are obviously importing substrate and running it through, the only constraint being the safeguard quota in UK, which is pulling the overall profitabi lity down and maybe not reali sing the breakeven EBITDA in the near term . Is that the only constraint? And if that is not solved, could that maybe a structural constraint . Just trying to understand in the UK and Ludhiana which is again on EAF, as we don't r eally have a lot of cases of EAF profitability. So, if you can maybe guide as to how do we look at profitability of Ludhiana, once it comes up? So that's the first question on profitability of mini mill s.

T. V. Narendran: CEO & MD - Tata Steel Limited
Satyadeep as far as UK is concerned, there are 2-3 issues. What we are facing currently is the tariffs that have been

announced by President Trump on the UK, not only on us but on our customers and as that settles, there's been some disruption and some redu ction in production forecast of automotive manufacturers in UK, etc . The second is that, even today, there is a discussion between U S and U K on the melt and pour issue because today, the US is insisting on melt and pour in UK, whereas our point is till 2027, we are going to be bringing the slabs from Netherlands or India. And so that's a part of the US - UK discussion. The third part is the quotas in the UK was set at a point in time when the demand was much more. Since then, the demand has shrunk, but the quotas have not. As a consequence, imports into the UK which are allowed , sometimes exceeds the requirement. So, UK has seen a divergence of prices as compared to Germany

and other such places, as Ko

ushik mentioned. So, these are the issues which we've taken up with the government, and the government is addressing them . I think on the quotas, they've already announced some changes. Some of it will take effect over the next few months because it's not just, as you know, t he UK government is now running what was earlier British steel. So, they are themselves feeling the pinch. We do expect that some of these policy issues will get sorted out. Going forward, when the EAF is there, we are going to use locally available scrap which is one of the reasons why we set up the EAF where UK is a big exporter of scrap. So that's a big part of the cost, and we believe we will be much more competitive buying local scrap than importing scrap or the earlier model of bringing in iron or coa l and running it in the UK and we had guided earlier that we expect the cost to decline by at least £150 per ton once we shi ft to the EAF. The second part is energy cost in the UK. Here again, the UK government has recently announced some more concessions, and that's going to help us as well. That was one of our asks . So, by the time the EAF comes up, we will have the benefit of energy costs, which are lower than it is today . These are the reasons why we believe that the UK business during the transition as well as once the EAF is up, should be EBITDA positive. And obviously, we have a much smaller footprint. So , the maintenance requirements of a new state -of-the-art EAF, as you mentioned, will be much less than the maintenance costs that we were incurring i n an old sinter plant, old coal ovens, and old blast furnace . Already the cost takeout is visible in the numbers that we have and that's why we believe UK will be in a much better position than we were prior to it, and some of these issues are getting addressed . And the last point I want to make is you'll have the carbon border adjustment mechanism as well . The carbon footprint of Port Talbot is down from 6 to 1 million tons. So, in the earlier context, you would have been paying carbon cost for those free allowances , which would go away once CBAM rolled out. So , there again we will have some support for the domestic market. This is as far as the UK is concerned.

As far as Ludhiana is concerned, we know that the cost of producing steel through the EAF will be higher than the cost of producing steel through the blast furnace route. But the model here is slightly different. Firstly, we are targeting the reta il markets where our realizations are much higher. We are also looking at setting up these furnaces in p laces where there is scrap and hence, the scrap processing facility in Rohtak and the steel plant in Ludhiana. Thirdly, we are also looking to sell all the steel that we produce within 300 kilometres of w here we have produced it. So, we will also save Rs 2,000 -3,000 per ton on transportation, which we incur today in shipping the steel from Jamshedpur or NINL to some of these markets. So, we believe that these mitigation actions will bring down the cost disadvantage of EAF v s. the regular rout es of production. And of course, it'll have a emission of less than 0.3 per ton of crude steel and with the government's new policy on giving advantage to what the government calls Green Steel, we will have an advantage in Ludhiana, even over the rebars th at we make in Jamshedpur or NINL . So, these are the multiple reasons why we believe this model can work for us. We also have a state -of-the-art long product mill that we are setting up , which is very energy efficient and has good manpower productivity as well. So, if this model works, we want to replicate this in other geographies as well and the other advantage is you can set it up in 2-3 years. You can set it up by spending about Rs 2,000 - 3,000 crores. You need only about 100 acres of land. So, you're n ot limited by acquiring a lot of land and doing lots of things like that.

So, it's an opportunity for us to focus on iron ore -based production in East, where we have three big sites, Jamshedpur, Kalinganagar and NINL (as one site) and Meramandali, and in other parts of the country leverage scrap, leverage the other advantages of being close to the market to do scrap -based production. We are starting with bars. It could also be special steels that we could produce.

Satyadeep Jain, Ambit Capital

Just a follow -up on this quota. This decision on the transition in UK company took some time back and the safeguard quotas were already in place at that time also the argument could have been the quotas exceed demand. But now going

to government when you've alrea dy started the entire process , would it not have been prudent to do it before going into the entire transition ? Would you slow down since you're already committing capital before there is a review of safeguard ?

T. V. Narendran: CEO & MD - Tata Steel Limited

Satyadeep, the issue at that time was that we did not have the actions that the US is taking now . So, the issue is because of the trade actions being taken for the US and the increased exports from China, you have a lot more trade flows looking for markets and EU has changed its quotas once this has happened. So, we're telling the UK government to what the EU has done . So, they are sensitive to that and they are open to that. So, the situation has changed and hence, we ask of them to look at the qu otas. So that's where it is. Nothing changes from our point of view because in the long term, we don't expect this to be a big issue. Koushik, do you want to add to that?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
I think the quota discussion was t here, and it has been on the table for the UK government . The previous government when we signed the term sheet and then the new government. The trad e related authorities, the UK TRA, was fully involved in that. In fact, they allowed us bespoke import of s labs and for HR coil because there was import duty on the HRC earlier , which they kind of created for the transition. So, it has been on the table. It's that, as Naren mentioned, the trade dynamics did change significantly post January 2025 and it needs to be addressed more in a customized manner, which is what the UK government is currently doing. It takes process. It's not that we were blindsid ed by this. It was there , it just took the government a longer period of time to intervene in the manner in which it needs to be done because just now the way in which the imports have been flooding all over was significantly different than what it existed one year back.
Satyadeep Jain, Ambit Capital
The second question is on the expansion. You mentioned environmental impact study, hopefully available in the next couple of months. Given there is a different process, now you're starting construction after approvals, how should we, let's say, the company does get approval by O ctober. What is the timeline we should be looking at for actually commissioning of 5 million tons in the first phase, 24 months or 24 to 30 months from the date of construction, is that the timeline we should look at? And how should we look at the letter o f intent in Netherlands? Any maybe update on discussions and timeline we can get there?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
As far as the timeline is concerned, just wait for the FID because , I wouldn't want to pre -empt the Board during the discussion, the site is in our control. It is not land acquisition, etc. But 24 months, I don't know if any steel plant gets erected on an integrated basis . We will come and give you the specific details. I think it will be longer than 24 months. It will not be 24 months. It is one of the reasons why we have changed our process is to ensure that we do . One is cash to cash cycle is compressed as much as it is ca n be done. Secondly, t

here is a lot of replicability between our Kalinganagar expansion
and NINL [inaudible] and do it quickly. Third is to ensure that we are able to execute the projects in a parallel basis rather than sequential. So , there are a lot of p roject management efficiencies being added to. When we do the FID, I think we will come and give you a more specific answer that will stand. As far as Netherlands is concerned, as you may be aware that the government has fallen, and they are currently in t he pre -election phase. However, our project has been endorsed by the parliament. In Netherlands , they classify major decisions into two parts. One is what they call as controversial, which essentially means that needs government in power with a mandate to agree and the other one is the normal course of

business. We are not in that controversial zone because it has been parliament blessed. So, we are in the normal course of the business. That's why we are continuing to engage with the government in Hague as well as with the local provinces in Netherlands where we are located. There are multiple issues that will happen. The letter of intent is also to be placed before the current parliament before it goes for recess for election. So, we'll see as to how we can do it. There's also an EC angle to it because the EC has to bless it in some ways before that letter of intent goes. Thereafter , the negotiations for the binding agreement will happen with the new government and the new parliament. So that's how the seque nce is done. We spend a lot of effort in getting what we think is an important transition project for Netherlands and for Tata Steel . And we are also looking at the capital cost , engineering, all of that, which is in our control, which is also what we've b een focused on.

Operator
The next question is from Amit Murarka of Axis Capital.

Amit Murarka, Axis Capital
I wanted to know a bit about the rollout of CBAM. We are now only five months away, like I was reading some reports that the government has exempted up to 50 million ton s of annual imports by any customer, which exempts 90% of the customers from the obligations of CBAM, and that's what I was reading. Could you just throw some light about how do you think the rollout is shaping up to be and are we on track for a timely rollout of January 2026?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
I think , CBAM for January rollout, which is currently a reporting stage. There is no single government as it is decided by EC and all the other (27 EU countries) actually sign for the CBAM. I presume you're talking about Europe and not about another geography or UK, because EC is very clear it will be done. There is a consultation process , they are initiating in order to m ake CBAM more watertight. That is something that has been one of the ask f rom the players because in Europe , we do not want to see CBAM where there is a work around CBAM regulations and imports into Europe. [inaudible] I think EC is currently working on it and in the next couple of months, will be opening up for a consultant. But the current CBAM anyway s is scheduled to get online for 1st Jan 2026 implementation .

T. V. Narendran: CEO & MD - Tata Steel Limited
In fact, if I were to add to that, across European countries and in UK, the government is putting money into this transition . So, they're putting taxpayers' money into this transition on the assumption that there is a CBAM and all that. So, it's in th e government's interest also to be consistent on the policy based on which these investments are being made. So, I don't think there's going to be any deviation . If at all, then the government will allow you to continue with the free allowances etc, but we don't see anything specific on th at.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
I think what is there , is a 50 thousand tons and not 50 million tons of the

minimum import into EU because that's like first
50,000 for any importer will get an exempt , it's like the trial ball in a cricket match.

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Amit Murarka, Axis Capital
I didn't mean million, sorry, yes. But exempts, I believe 90% of importers was what some of the articles are suggesting?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Well, for the first 50,000 tons, it will be imported, but it's also backed up by the quotas. So you have a quota then the CBAM and then this s o when you gross up the numbers it will not be significant and that is exactly what the current review of the CBAM is being done because the play ers are basically saying that it needs to be much more watertight than to have these kind of leakages [inaudible] and as Naren mentioned that with governments participating all across Europe with public money, they will want to ensure that the CBAM effecti veness is very high.

Amit Murarka, Axis Capital
And just a bookkeeping question. Like in 1Q, like how much cost did you book for the Jamshedpur relining cost on the relining expense?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
I think it was about Rs 600 crores or thereabouts somewhere half around it because bulk of it is between 1Q and the previous year 4Q and that will be capitali sed in this quarter once the furnace gets up and running.

Amit Murarka, Axis Capital
Nothing is expense d in the P&L. It's all Cap ex.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
No, that's how we do.

Operator
The next question is from Ashish Jain of Macquarie.

Ashish Jain, Macquarie
My first question is on this cost savings that you have spoken about and thanks for quantifying that . But if I just look at the EBITDA movement for QoQ , it's kind of up marginally, and this is in spite of pricing being higher, and we're also talking of eleven billion rupees of savings. How will we triangulate this? And where do we see these cost savings really getting reflected. Can you elaborate a bit more on this? Because I would think without cost saving s, our EBITDA would have been actually down. Is it as simple as that t o give it or there's some other way that one can view this?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Without the cost saving s, EBITDA would be down because we are low on the volume so that is for sure. One of the reasons is cost saving s and secon d one is in relation to the prices. I think the visibility of cost savings would be on a YoY basis when we get in the 4Q of this year because what I gave the numbers was in relation to the averages of last year [inaudible],
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because we start ed this initiati ve effectively somewhere in the early second quarter of last year. And it has been tracing down. When we close financial year 2026 and then compare it with the FY20 25, it will be more prominent . We do a traceability exercise and I think about 85% of the cost benefits are traceable to the general ledger and that is very importa nt for us to ensure that you can see on the face of it. But fundamentally, and it will also be reflecting, if you see on the cost of goods sold & despatch cost. [inaudible] But effectively, from an average to average for FY yearly basis, you will find that more traceable.

Ashish Jain, Macquarie
Right. But Koushik, just to understand this a bit better. So let's say, coking coal is down by $50 per ton hypothetically, that will not be count ed in this number, right?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
No, price effects are not taken into account . The raw material efficiency elements are taken into account , leaner blends are taken into account, but not the price. So, the contracting on fixed volume, fixed contract v s. spot buying, all those are into account, but not the base prices, neither on ste el, no r on raw materials.

Ashish Jain, Macquarie

Secondly, but let's just sa

y, for NINL, whenever we announced, can you at least given the preparedness, we're talking about at the time of announcing the Capex, shall we think that the execution timeline could come down to between 2 to 2.5 years or that's too aggressive in terms of the exe cution period?

T. V. Narendran: CEO & MD - Tata Steel Limited
So normally, if you've seen a typical integrated plant, like Koushik said, you would say 3 to 5 years. So that would include at least 1 year and 1.5 years of all the approvals, etc. So that's the one you will save. So , that will be for an integrated steel plant. If you look at the Ludhiana plant, we're building it within two years because that's a simpler plant. In an integrated plant , it's not ju st a steel plant, you have to plan all the logistics, raw material movement , and in NINL , we're talking of moving it from 1 million to 4.5 million. So, there's a lot of work and like we do it in Jamshedpur, it is being constructed as an operating plant. So , there are some complexities related to that. So that's why we would typically look at a time in that range, around 3 to 3.5 years is what we think is realistic. But if we had started from scratch, it would have been 4 to 5 years for sure.

Operator
The n ext question is from Vibhav Zutshi of JP Morgan .

Vibhav Zutshi, JP Morgan
Just one question on the FX side. So given the debt -to-equity refinancing, is FX volatility expected to reduce because this quarter had a lot of adverse movements in both pound and euro, but it looks like we didn 't have impact.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Yes. So, with more and more onshoring of FX debt into rupee debt that will certainly show up as a benefit and the volatility will certainly be lower in the future. The trade -related FX are different.

Samita Shah: VP CFTRM – Tata Steel Limited
He is referring to the intercompany FX variations .

Koushik Chatterjee: ED & CFO – Tata Steel Limited
That we have converted into equity. So therefore, that doesn't come into our account.

Operator
The next question is from Amit Dixit of Goldman Sachs .

Amit Dixit, Goldman Sachs
The first one is on the sales volume. So , if I look at FY 2026, the start has been relatively subdued, of course, due to the maintenance shutdowns and all. What kind of volume do we expect in FY 2026? And what will be the contribution of KPO II in this volume?

T. V. Narendran: CEO & MD - Tata Steel Limited
We guided at the beginning of the year about 1.5 to 1.6 million tons more this year compared to last year. This is despite the fact that you have one of the biggest blast furnaces in Jamshedpur down for relining, and so we are losing volumes there. If you look a t Kalinganagar, I think the forecast is around 6.7 to 6.8 million tons of crude steel production this year, which is at least 2 million tons more than last year. So that's broadly the numbers. Kalinganagar like we said, it's ramping up. So, the third vesse l is up in May. The third caster is up next month. So , at least from a steelmaking point of view, we will have all the facilities up during this quarter. The cold rolling mill is up and that continu ous annealing line and one of the galvanizing lines are al so up. So, you will see not only the volumes growth in Kalinganagar, but the mix also improving over the next few months .

Amit Dixit, Goldman Sachs

In TSUK, we expected some of the benefits to come from the employee cost restructuring. Does this number that you mentioned include that? Or we will see some more benefit of the employee cost restructuring going ahead? Also related one is that do we expect , provided things remain where they are , TSUK to become EBITDA level positive from next quarter?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
On the employee cost restructuring, we had about 400 people leaving the company in 1Q. So, we are

releasing the
provisions that we had made based on the people leaving. There is going to be the full year impact of the employee leav ing

which will most ly be seen from H2 because that's when we started last year. So, you will see some of the full year impact

in FY 2026. The program that we had looked at was 1,800 people leaving the company is almost done, and there are some natural attritions, which also happen anywhere. The employee part is largely done. There are some tail end of it that will continue to happen in 2Q. As far as the breakeven, if I take the market conditions average of last year, we would have certainly looked at maybe second quarter or third quarter changes. But the market has been really tough especially as we discussed earlier in the call, what Naren mentioned, and I talked about. But we still want to ensure that the FY 2026 exit in 4Q is on a breakeven. That's actually the focus there. We see ways to do it in terms of areas to look at it. Cost takeout is fundamentally the most important. We're talking about, as I mentioned in May ’25 call, £200 million from UK. But more importantly, we're looking at how do we manage the spreads now that we are on a conversion model on substrates and therefore, to get some more work to be done on the supply chain side, which will get us there. But I think that's a clear pathway to get there.

Operator
The ne xt question is from Ritesh Shah of Investec .

Ritesh Shah, Investec
How should one look at the Tata Steel BSL taxation part . I think the debt, which was waved off, it will have some implication on taxes. Is it something that one should worry about if you could quantify numbers would be great?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Ritesh, my counter question is if y our banks waive off the debt, is it an income in our hands? That's fundamentally the question that if as an arrangement, if the banks have agreed to waive the debt voluntarily as part of the transaction . And that we said that we will apply 25% tax on that because that's your income.

Ritesh Shah, Investec
Logically, I'm with you, but law is law.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So, law is also the same. That's the point. So , since i ts subjudice , I don't want to talk more about it , that’s why I said [inaudible] the framing is the most fundamental bid. And sometimes these kinds of things happen, you have to fight it out legally and logically in the court of law. But essentially, I would have told is fundamental ly the question to answer.

Ritesh Shah, Investec
But would it possible for you to quantify, if at all, or is it a pass?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
No, I don't think we should get into that zone because on the fundamentals of the argument that if there is a waiver, it cannot be deemed to be an income in somebody's hand then the whole I BC will fall off. Because I BC is a process whereby the creditors in the interest of the industrial organization or any entity for its continuation [inaudible]. On the other side of the line, it has to be sustainable and that's why the past dues to the extent not based on fundamentals is a waiver that is

done by the creditors but that cannot be held to be an income or a taxable benef it in the eyes of the buyer . I'll leave it at that.

Ritesh Shah, Investec
In annual report , there was a contingent liability with respect to ORISED , which was around Rs 16,500 crores , it has been taken off. How should one read into this?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Fundamentally, there was a basis when it was first demanded, and we were also disclosing it as in a manner in which that was transparent. However, it is important to understand that the principles of ORISED has been interpreted differently by the courts. It is still in the courts, and we will see what is more applicable also in con

text of the fact beyond 2015 when the
MMDR act came in with a new format. These issues relate to regulatory dues from the mining activity , which have also been articulated pretty clear ly. We have complied with that, and we will continue to comply with that because it's part of our mining operations. So, in the prudence of not being speculative ti ll the courts and the governments decide , it was important to mention about it but not continue on a mechanical basis a number which is becoming more theoretical.

Operator
The next question is from Tarang Agrawal of Old Bridge Capi tal.

Tarang Agrawal, Old Bridge Capital
Your target to contain debt by Rs 6,000 crore to Rs 8,000 crores for FY 2026, that remains?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Indeed, yes. If I were to reword your question , our enterprise strategy to contain debt by about Rs 6,000 to Rs 8,000 crores is not getting deprioriti sed. But markets being where they are and honestly , last couple of years we could have achieved that. However, on the other side, we would n't have had the ability to invest in Kalinganagar. So sometimes, we look at what comes ahead to get us more cash. For example, there were a lot of questions today on NINL. When NINL comes in , in the initial years, the spends will be lower, but there will be a year or two when it will be peak year where the construction has to be completed. At that point of time, if markets are good, the deleveraging will also continue. If markets have softene d and moderated, our interest and priority is to complete the project first, because we can always do that deleveraging in the year after when the commissioning is done. So that's how we look at it, honestly. But from a structural point of view, the fact that we will keep our balance sheet de risked through deleveraging , does not change by the season.

Tarang Agrawal, Old Bridge Capital

Couple of questions on the European business. I n 4Q, you had commented that the gross spreads in the Europe market have been at a multi -quarter low. Has that trend continued? My sense is it has , so I just wanted your comment on that . How has that played out in 1Q? Because what we see, these are fairly illiquid prices. So, they're generally not representative of what's really happening on the ground. So tha t's one. I mean when I say the prices, the prices that we see from publicly a vailable sources , they may not be representative of the prices at which the contracting activity is happening in the market. Secondly, Europe has been fairly sluggish now for almo st two years, right, this entire operating

environment, specifically for the steel industry coupled with the fact that there's significant transition expenditure that t he industry is to undertake. Has there been a change in the structure of the industry in terms of participants in the industry or the financial health of the industry?

T. V. Narendran: CEO & MD - Tata Steel Limited

The spreads improved during the last quarter, partly because the prices improved a bit as well as the costs c ame down, not only in terms of conversion costs which is more relevant to us, but more in terms of input costs when you look at the spreads . So, iron ore and coal came down and steel prices stabili sed a bit, and that's why the spreads improved last quarter. This quarter also, we expect the spreads to be around that level, maybe dip a bit, but largely okay. There is not much of a concern and It's moving closer to the €225 to €2 50 per ton which, is a long -term average, whereas when Koushik commented last time, it wa s we had gone down to even €150 to €160 per ton levels which was very low.

The second part is, yes, when we look at spreads, we are always looking at base HR and compared with iron ore and coal, etc. Whereas when you look at the reali sed value, you will l ook at the product mix . We have a significant downstream pr

esence in Europe , and we leverage that and also w e leverage the fact that we are a big supplier to the auto industry, to the packaging industry, so on and so forth. The team always looks at how , despite given HR, how can I manage a better mix, and that's how you improve on that. Third part of what you said is, obviously, Europe is one geography where the steel consumption today is still lower than what it was in 2008 and hence, all the challenges th at we've had in the last 15 years . In 2008, it was maybe about 160 million tons and it's stuck at 130 million. It's around that 130 million ton s level, which has been quite stable, not growing, but not shrinking either.

What we see in Europe is over the la st one year, certainly there is a lot more interest in preserving the steel industry in Europe because of the issues that Europe is facing with Russia, which used to be a supplier of substrate before. More recent focus in Europe is to build a defence indus try. And also, the focus to try and become self -sufficient in some sense of the term and not depend on other geographies for critical inputs. And steel being a base industry feeding into all critica l industries across European countries, we are seeing a lo t more interest in preserving the steel industry in Europe and hence, the support that they're willing to give, and the safeguards and all that. So, we are seeing that there's more support for the industry in Europe. What we are also seeing is that while the auto industry demand may shrink a bit because of tariffs because of other things, we are seeing the steel consumption in defence go up a bit over the next 8 to 10 years. On the supply s ide, as you said, there is restructuring going on. Not everyone will survive this transition, because if the CBAM happens as we expected to, I don't think anybody will r eline a blast furnace and hence forth in Europe we probably did the last relining a cou ple of years back. If that is so, when blast furnace s have come to end of life, they will close. And only the financially healthier companies can invest to build new capacity. So, you do see a Voestalpine , Salzgitter, thyssenkrupp , Tata Steel, SSAB, and ArcelorMittal relooking at investment plan, but focusing just on EAFs and not going beyond that. So, there will be a restructuring of the supply side, for sure. Not everyone who's producing steel today will be there 10 years from now. So, we do expect this r estructuring of the steel industry to help the demand -supply equation more than the fact that demand is going to take off certainly. So , demand may be stable. There may be some shrinkage in auto, which will be made up by defence, etc. But the supply side w ill certainly get restructured a bit, and that is something we expect. Koushik, you want to add to that?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

No, that's perfect. And I think just to add one data point. Currently, the utilization levels have g one down to about 60 % - 65%. We see some mothballing also because of the response to price. Hopefully, with CBAM coming in and quotas being

implemented actively and with some stabilisation on tariffs with the US , expect the stabili sation as far as pricing is concerned. And I thi nk the point that Naren mentioned on the structure of the industry will change because it's also dependent on which governments will prioriti se its own N DC outcomes to fund how much and through which energy source in the next two decades. So , I think that will also determine who will get that viability gap funding to make that investment.

Operator
Thank you, sir. I would now like to hand over the conference to Ms. Samita Shah for chat question s. Over to you ma'am .

Samita Shah: VP CFTRM – Tata Steel Limited
Let's start with Europe and then maybe we will move to India. So , many of the questions on Europe have been addressed. I think the only incremental question I ca

n see is, do we have any visibility on which green steel projects are actually progres sing and in terms of timelines , commissioning etc.

T. V. Narendran: CEO & MD – Tata Steel Limited
I think maybe the investments by Salzgitter , Voestalpine are going more or less as per schedule thyssenkrupp is progressing , but I'm not so sure if it's on schedule. The Scandinavian projects are all delayed that you must have read about. I think whether it's to green steel, SSAB etc. SSAB has already announced, I think a 1-1.5-year delay. So, that's what we see , and parallelly ArcelorMittal has called off some investments , and in some investments, they will build the EAF and not the DRI. So, there is obviously a bit of a mix bag there. I think future progress I see most are Voestalpine and Salzgitter.

Samita Shah: VP CFTRM – Tata Steel Limited
We'll move on to India. I think there are some questions in terms of Kalinganagar forecast for FY2026 and FY2027. I think you've already answered for FY 2026. And as we all know, we typically give guidance once a year in May, and we'll do that in six months from now for FY 2027. But if you just want to talk about broader volume growth, over the next couple of years.

T. V. Narendran: CEO & MD – Tata Steel Limited
So Kali nganagar will ramp up and the exit rate at the end of the year will be at the max rate. So that's not the issue at least as far as steelmaking is concerned, and that allows us to send slabs to the UK as we are doing today because the hot strip mill will produce about 6 - 6.2 million ton, and so you will have some slabs extra. And one of the other projects which we look at once the UK starts or around the same time is how do we add more value to the slabs with a plate mill or something li ke that. So that's one track. The cold rolling mill will certainly ramp up, and it's one of the most advanced cold - rolling mills in the country a long with galvanizing lines. So , you'll have a very good product coming out of that and already auto companies have approved the products out of continuous annealing line , and we are working with them on the galvani sing lines. So I think the volume side is up, I think the part which you need to factor in, like in this year and for next few years is that we have a f ew blast furnace relining coming up in Jamshedpur. So, you have the G furnace happening this year. You have the H furnace, which will happen sometime in the next financial year. We're still working out what would be the right schedule. There will be some o ffset from the volume side because of the relining in Jamshedpur. But like I said, you will have some 0.8 million tons of steel coming onstream next year from Ludhiana and 0.5 million of value -

added product coming out of Jamshedpur from the com bi mill. So, these are some of the additional volumes that we expect to get.

Samita Shah: VP CFTRM – Tata Steel Limited
There's a question on Sukinda in terms of the surrender and what is the view going forward for FAMD ?

T. V. Narendran: CEO & MD – Tata Steel Limited
I think the surrender of Sukinda mines, w as planned and we ha d already submitted it last year and we were waiting for the government approvals. The process is going on. It's at a very advanced stage.

We are recalibrating the ferr ous alloys business because we are looking at it , more as to how do we optimi se the capacities that we have, given the mine s that we will retain and how do we bring this bu siness back to profitability and not be subjected to the various demands that we get from the government on various regulations . We are simplifying the business and recalibrating it so that it's profitable. There will be some more developments related to t his business, which we will announce at the right time.

Samita Shah: VP CFTRM – Tata Steel Limited
There are some questions on our iron ore strategy post 2030 and ho

w we will sort of manage without the captive mines.

T. V. Narendran: CEO & MD – Tata Steel Limited
Captive mines make sense from a cost efficiency point of view, if it adds value , if it's value accretive . Some of the premiums that are being bid , it really doesn't make sense to have iron ore available at that cost just , so that you can say you have a captive mine. So, we believe that it's worth having a captive mind if it's value accretive to the business. In the past, we

used to be 70% captive for c oal. Today, we have 20% captive coal. So we have gone through this journey for another critical input, and we believe we can go through this journey, and we will optimi se around the costs, whether it is signing up with merchant players in India or looking at imports because at very high premiums, it actually makes sense to import the iron ore. You get better quality iron ore sometimes lower alumina iron ore, which is going to be very important for the future. So, we are looking at it from that point of view . We'll continue to bid for the mines that are coming up. We've already got, as we mentioned in the past, more than 500 - 600 million tons of ore in mine s post 2030 available with us , based on what we already have. So, it's not that we don't have anything. But at the same time, we will keep adding to that bank based on the financial viability of the new mines that we would bid for.

Samita Shah: VP CFTRM – Tata Steel Limited
Some questions on Neelachal (NINL) . So essentially, in terms of capacity utilization and whether we see the profitability of Neelachal moving in line with India profitability over a period. And, I think some question s about whether Neelachal is just selling pig iron . So, if we could just c larify.

T. V. Narendran: CEO & MD – Tata Steel Limited
No. Basically, N eelachal (NINL) , as you saw last year delivered more than Rs. 1,000 crores of EBITDA. This year also, we expect it to deliver similarly . What Neelachal doesn't have is a rolling mill. So, what we do is we take the billets from

Neelachal. The blast furnaces are running full out. We make the billets, and we convert it into finished products, like Tata TISCO N at our accredited conversion agents who produce for us and the product is in the market. So, to some extent, the value will accrue to Neelachal more once we expand and build a rolling mill there. But as of now, pig iron is not on a planned basis, but if there is some extra material which comes out of some imbalance temporarily, of course, we try to use it in some of our other plants rather than sell it in the market. So that's where it is. But Neelachal is runnin g full out. We lost production in April, but we would make up those volumes. In fact, the limit on Neelachal is pretty much our current EC, which limits the production to where it is today. We could have produced maybe a little bit more if we had a higher EC. But with the approvals that we have sought, which is around 9.5 million ton s approval from the EC so that we don't keep going back. And once we have the 9.5 million approval, then we can expand to the pace at which we have the appetite.

Samita Shah: VP CFTRM – Tata Steel Limited
There's a specific question on Kalinganagar Air separation unit. Maybe we have some common shareholders with Linde India as well. But there a re a couple of questions actually in terms of when the second air separ ation unit will get operational at Kalinganagar?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
I think there is a process in which both from a finishing point of view , completion of the project and the contracting etc. So sometime in the 2nd or 3rd quarter of this year, we should be in that zone. And the agreements are in place between Tata Steel and Linde. I think , in commercial interest, this is all that I can talk about.
Samita Shah: VP CFTRM – Tata Steel Limited
I think the last qu

estion was on cost savings. It says that out of the Rs. 11,500 crores of cost savings which you have announced. Is half of that in FY 2025? I think you mentioned earlier, Koushik, that we had started doing this from the previous year, and maybe that's caused a li ttle bit of confusion .
Koushik Chatterjee: ED & CFO - Tata Steel Limited
[inaudible] We said in May ’25 that Rs 11,500 crores is over the next 12 to 18 months. And whatever has happened in FY2025 is banked already. The baseline is from FY 2025. I just wanted to ensure that we understand that this process started not after the new financial year started. We had started it last year but got more structured and built into our annual plans and been f ollowed up vigorously on that basis.

Samita Sh ah: VP CFTRM – Tata Steel Limited
Thank you. With that, I think we've answered all the chat questions. Thank you, everyone, for your participation, and I hope you got better visibility in terms of our results. Look forward to connecting with you again next quarter. Thank you.

T. V. Narend ran: CEO & MD - Tata Steel Limited
Thank you .

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Thank you .

Call: Nov 2025

Ref.: SEC/1207/2025 -26
November 19 , 202 5

The Secretary, Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
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Mumbai - 400 001.
Maharashtra, India.
Scrip Code : 500470
The Manager, Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra -Kurla Complex, Bandra (E),
Mumbai - 400 051.
Maharashtra, India.
Symbol : TATASTEEL

Dear Madam, Sir,

Sub: Transcript of 'Tata Steel 2QFY2026 Earnings Discussion'

This has reference to our letter dated November 7 , 2025 , intimating that post the announcement of Financial Results of Tata Steel Limited ('Company') for the quarter and half -year ended September 30, 2025, the Company will host an Earnings Discussion on November 13 , 2025.

The Board of Directors of the Company at its meeting held on November 12 , 2025 , inter alia approved the Financial Results of the Company for the quarter and half -year ended September 30, 2025. The Company hosted its 2QFY2026 Earnings Discussion on November 13 , 2025.

In this connection, we enclose herewith the transcript of the 'Tata Steel 2QFY2026 Earnings Discussion'.

The transcript is also available on the website of the Company at:
https://www.tatasteel.com/investors/financial -performance/analyst -call-recording/

This intimation is being provided in compliance with Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.

This is for your information and records.

Yours faithfully,

Tata Steel Limited

Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer

Encl.: as above
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CORPORATE PARTICIPANTS

T V Narendran, CEO & MD – Tata Steel Limited
Koushik Chatterjee, ED & CFO – Tata Steel Limited
Samita Shah, VP Corporate Finance, Treasury, & Risk Management – Tata Steel Limited

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Rajesh Majumdar, B&K Securities
Ritesh Shah, Investec
Satyadeep Jain, Ambit Capital
Sumangal Nevatia, Kotak Securities
Vibhav Zutshi, JP Morgan
Vikash Singh, ICICI Securities

PRESENTATION
Operator:
Ladies and gentlemen, good day, and welcome to the Tata Steel analyst call. Please note that this meeting is being recorded. The attendees' audio and video has been disabled from the back end and will be enabled subsequently. I would now like to hand the c onference over to Ms. Samita Shah. Thank you, and over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited
Thank you, Kinshuk. Good afternoon, everyone, joining us in India and from the Far East, and good morning to all of you who are joining us from the West. On behalf of Tata Steel, welcome to this call where we will discuss our results for the second quarter of FY2026. We published our results yesterday, and there is also a detailed presentation on our website, which you can refer to if you haven't done already. As always, the entire call will be governed by the Safe harbour clause, which is on page 2 of the presentation. To help you understand the results better, we have with us Mr. T V Narendran, CEO & MD Tata Steel and Mr. Koushik Chatterjee, ED & CFO Tata Steel . They will make some opening comments before we open the floor for questions. Thank you again , and I will request Naren to make his comments.

T. V. Narendran: CEO & MD - Tata Steel Limited
Hello everyone. As Samita mentioned, I'll make a few comments and then handover to Koushik and then we'll do the Q&A. Global dynamics continue to be shaped by tariffs, geopolitical tensions, and elevated steel exports. Chinese steel exports are expected to cross 100 million tons again this year , and this obviously ha

s an impact on pricing across the world. Amidst
this, Tata Steel has delivered strong improvement on QoQ and YoY basis.

I'd like to now make some comments on the performance in each geography. In India, our crude steel production was up 8% QoQ and 7% YoY to 5.65 million tons largely driven by ongoing ramp up at Kalinganagar and completion of the relining

of the G blast furnace, which was down for almost six months. We continue to stay focused on driving sales, even in a challenging environment and we were able to ramp up sales in line with our production ramp up without having to build inventory. In fact, we increased our domestic delive ries by 20% QoQ - a testimony to the strength of our customer relationships and our marketing and sales network.

While average HRC spot prices were down about Rs 2,300 per ton on QoQ, we were able to limit the drop in our net realisations to about Rs 1,700 per ton. We were also able to offset this impact through higher volumes and the ongoing cost transformation which has resulted in an improvement in EBITDA margin by 80 bps to 25%. Some segmental highlights : The s easonal rains in 2Q impacted construction activity across India but we successfully grew Tata Tiscon volumes by 27% QoQ as our expanding channel network and digital platforms enabled us to leverage insights into customer behaviour and cater to the evolving needs. Industrial Products & Projects deliveries grew by 22% QoQ aided by value accretive segments such as Engineering and Ready -to-use solutions.

In the UK, our deliveries stood at ~0.6 million tons, marginally lower on QoQ basis. We continue to work on transforming the business and building the 3 MTPA EAF project at Port Talbot. In Netherlands, Liquid steel production and deliveries were broadly stable QoQ at ~1.7 million tons and ~1.5 million tons, respectively. Our performance was aided by continued improvement in controllable costs. In September 2025, we signed the non -binding Joint Letter of Intent with the Dutch government on an integrated heal th measures & decarbonisation project. We are committed to working with all stakeholders on resolving the outstanding points before proceeding towards an investment decision. I will now hand over to Koushik for his comments. Over to you Koushik .

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Thank you Naren. Good morning, good afternoon, or good evening to all who have joined in. Before I talk about the results for the company, I would like to stress on what Naren mentioned that we should consider the backdrop of continuing global macroeconomic uncertainty especially in the context of trade, tariffs, currency and heightened exports , which have crossed 100 million tons and are likely to move towards 120 million tons in the context of the financial results that has been delivered by the company in the first half of this financial year.

Let me now begin with some headline financial performance for the first half ended September 30, 2025, of the current financial year. Our consolidated revenues for the half year were Rs 1,11,867 crores and EBITDA was Rs 16,585 crores at a consolidated EBIDTA of Rs. 11,037 per ton reflecting an EBITDA margin of about 15%. The EBIDTA margin expanded by 280 bps in the first half of this financial year , reflecting our continued focus on the India growth volumes , cost competitiveness and cashflows. Our global co st transformation program continues to deliver tangible results, with around

Rs 5,450 crores achieved in the first half and as highlighted on Slide 13 of the presentation , this translates to about 94% compliance to the 1H plan. I will explain a bit more on this later. Turning to the 2Q performance provided on Slide 23 of the presentation. Our consolidated revenues stood at Rs 58,689 crores, up 10% QoQ primarily driven by strong volume growth in India and continued improvement in cost transformation program led

to improvement in total costs of ~Rs 1,300
per ton. As a result, EBITDA improved by Rs 1,000 per ton QoQ and this marks an improvement for the second quarter in a row in a very difficult market.

Expanding on the cost transformation program, as a company we have delivered an improvement in costs of more than Rs 2,561 crores during the quarter and are on track as planned across geographies. More specifically, in India the cost transformation program achieved full compliance to our 2Q plan with leaner coal mix, optimisation of stores, repairs and

maintenance expenses and operating KPIs which delivered cost transformation of Rs 1,036 crores for the quarter. In UK too, the cost transformation was focused on reduc ing fixed costs in hire & leasing, lower fuel and operating charges. In Netherlands, the program delivered ~Rs 1,059 crores for the quarter. We are on plan in all operating areas such as optimisation of supply chain, procurement and product mix along with other controllable costs . However , we are delayed on the people restructuring timeline an d the consequential benefits of the same in this year, as the discussions with the Central Works Council are ongoing. Across geographies, we remain focused on execution of the cost transformation targets for the full year.

Let me now provide an understanding of India, Netherlands , and the UK quarterly performance individually. Tata Steel Standalone Revenues for the quarter stood at Rs 34,680 crores and EBITDA was Rs 8,394 crores, reflecting a QoQ improvement in EBIDTA margin of ~80 bps to 24%. As Naren mentioned, our volumes were significantl y higher in 2Q and this along with improvement in costs led to an uplift in EBITDA margin. Our wholly owned subsidiary, Neelachal Ispat Nigam Limited recorded ~Rs 260 crores of EBITDA for the quarter, up 17% QoQ and reflecting a n EBIDTA margin of 20%.

Let me now turn to the UK market and our performance. Amidst the growing trade protectionism across the world, UK remains very vulnerable market as the import quotas of steel across several product grades are higher than the total consumption of the country making it open to cheap imports. In addition, the market demand has shrunk due to a weak economy resulting in decline in domestic prices by more than £150/t since January 2024. UK demand for flat products has declined by 33% since 2018, but the quotas ha ve increased by 20%. In 2025 YTD, UK imports are up 7% YoY, and this has continued to impact prices as well as spot spreads. As a result of severe market pressure and despite significant cost take out program, the TSUK EBITDA loss has widened from -ve £41 million in 1Q to -ve £66 million in 2Q . As an industry in the UK, we have brought the current policy disparity to the attention of the UK Government and are engaged on the subject. Given the current market condition, we are focusing on optimising fixed cos ts, and they are down £90 million compared with 2QFY25 but on sequentia l basis, are marginally higher by £7 million due to annual maintenance activity during the quarter.

Moving to Netherlands performance, revenues for the quarter were ~€1.5 billion, on improved volumes partly offset by lower realisations. On the costs side, Material costs increased by €75 million QoQ, largely due to inventory drawdown in contrast to a buil d-up in 1Q. This was largely offset by €72 million reduction in conversion costs, aided by lower employee benefit expenses and emission rights related costs. We are also watching the policy developments in the EU especially on the EU Steel Plan 2.0 announc ed by the EC as it will have long term ramification on the domestic steel industry in the EU.

During the half year, we generated ~Rs 10,000 crores of operating cashflows after interest, tax and working capital. Of this, we spent about Rs 7,000 crores on capital expenditure and paid dividend for FY2025 of ~Rs 4,490 crores. As a result, Gross

debt wa s almost flat with a marginal increase of Rs 842 crores vs. end -March while Net debt stands at Rs 87,040 crores. The net debt has witnessed increase vs. last quarter as it also includes the cash utilised for the dividend paid of ~Rs 4,490 cr ores. Our Net debt to EBIDTA stands at 3x on a consolidated basis.

As part of our strategic realignment following the planned surrender of the Sukinda mining lease, we are optimising our ferrochrome processing footprint. In line with this, we have announced the proposed divestment of our Ferro Alloy Plant located in Jajpu r, Odisha. The transaction is signed and is expected to be completed within the next three months, subject to requisite regulatory and stakeholder approvals. We have often stressed about our focus on value added portfolio and

hence as part of growing the portfolio in India , we executed yesterday a share purchase agreement with BlueScope Steel Australia to acquire the balance 50% stake in Tata BlueScope Steel Private Limited. The sale is subject to regulatory approvals, and we believe that it will be value accretive as it lever ages the synergies with Tata Steel in multiple areas.

As Naren mentioned we have recently signed a non -binding Joint Letter of Intent with the Government of the Netherlands and the Province of North -Holland, concerning Tata Steel Nederland’s decarbonisation journey. This Joint Letter of Intent is an expressio n of mutual intent to explore a framework for transitioning to low CO ■ steel production. I want to emphasize that this project will be designed and phased in a manner that is financially prudent. Both the Government and Tata Steel have conditions to fulfil and we are working on each of them. There is no material spend in the immediate period and we will talk in more details on the project cost, financing structure and the project phasing closer to the binding agreement next year. We are also looking at prioritisation, optimisation and sequencing of the capex spend such that it is affordable for all stakeholders. The final investment decision on the project will be taken next year after engineeri ng preparedness, completion of the conditions , assessment of the regulatory clearances and negotiations with the new Government in the Netherlands on the tailor -made binding agreement.

With this, I'll end my presentation and open the floor for questions. Thank you.

QUESTIONS AND ANSWERS
Operator
We will now begin the Q&A session, and the first question is from Vibhav Zutshi of JP Morgan.

Vibhav Zutshi, JP Morgan
Yes, thanks for the opportunity and congratulations on the strong results. The first question is basically on the European steel industry in the context of the October 7th protectionist measures and CBAM implementation. Some of the European steel players have talked about higher inquiries from EU customers and a bit of a restocking cycle happening next year. So, just wanted to get your thoughts on how you see utili sation and prices moving into the next year. And also, UK is probably not going to be directly benefited from the protectionist policy, right. So yeah, some thoughts on that. Thank you.

T. V. Narendran: CEO & MD - Tata Steel Limited
Sure, Thanks. Yes, the announcements in Europe have helped the sentiment as far as we are concerned because what Europe is doing is to make sure that the quotas for steel imports are brought down by 50% and have an import duty of 50% on any volumes exceeding the quotas. So, this is a positive move for the European steel industry and in a sense, Europe is actually working hard to have a stronger, resilient steel industry in Europe to take care of Europe's strategic needs, particularly defence and other areas. So, this is part of the plan. So, it's good from Tata Steel Netherlands point of view. We have already started seeing it having a positive impact on the price discussions with customers for the annual contra

cts for next year. And certainl y, as you said, imports have stopped coming, in anticipation of this and the restocking etc., will lead to some positive impact for us in Netherlands, particularly from 4Q. Maybe 3Q is already a bit too late and we are still dealing with the hangover of th e last two quarters. But 4Q onwards, we certainly see an improvement in Netherlands. And this also has a long -term impact because these actions are also going to come with melt and pour conditions. So, if you want to participate in the European market, you have to make in Europe rat her than make somewhere else and ship slabs to Europe to participate in the potential CBAM -protected market in Europe. So, there are multiple

reasons why this is a positive move for Tata Steel Netherlands. As far as UK is concerned, like you said, UK is left out of this. In fact, our discussions with the UK Government is that the UK Government also needs to take some actions. Otherwise, UK will bear the brunt of material which can't find markets in the US and Europe. We've not made headway yet. The government is saying they are looking at it, but that's one of the reasons, as Koushik said, we've struggled with our performance in UK. I think all t hat we were supposed to do ourselves, we've done. And the cost takeout plan , the fixed cost takeout plan, everything is as per plan, but the market has not moved as per plan and we would need some support from the government to make that happen. So, UK is negatively impacted by these actions. But if the UK Government takes some act ion to not only help Tata Steel, but the UK Government is also invested in steel production in the UK just now, so they also have another reason to make sure that the UK steel ind ustry is supported a bit.

Vibhav Zutshi, JP Morgan
Okay, got it. That's helpful. And just on UK, would you reiterate the 4QFY26 guidance of EBITDA breakeven?

T. V. Narendran: CEO & MD - Tata Steel Limited
If there are no actions from the government, it will be difficult to get EBITDA breakeven by 4QFY26 . But if there is some action similar to what is being done in Europe, then of course we can move closer to that. Like I said, all the actions that we had planned we've taken. The cost takeout is as per plan. But the market needs to improve a bit for us to come to EBITDA breakeven. Koushik, you want to add to that?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
I think the spreads at this point of time make it very difficult for any amount of positive EBITDA, given the fact that the prices at which steel is currently trading in UK with the imports are very, very unsustainable [inaudible] . So, we certainly need policy intervention from a protection point of view.

T. V. Narendran: CEO & MD - Tata Steel Limited
I think just to supplement what both of us said. If you generally see, the US prices traditionally have been about $100 higher than Europe and Europe has been about $100 higher than India. So, that's been the ladder. Over the last year or so, US prices are almost $200 higher than prices in Europe because of the actions taken in the US. We expect the

European prices to start moving towards the US prices, they may not match the US prices but the gap could come down as it is today because of the actions being taken by EU. But in UK, the prices are moving the other way. It's comin g closer and closer to prices in India, which is not sustainable for the steel industry in UK. So, that's why our appeal to the government and they are also evaluating it from that point of view.

Vibhav Zutshi, JP Morgan
Got it. Thank you so much. And just a second question on India. So, on the Neelachal capacity expansion, any timelines with respect to the Board approval, because earlier we were planning to get it by October 2025 , so any reason for the delay and the updated timelines? Thank you.

T. V. Narendran: CEO & MD - Tata Steel Limit

ed
The reason is largely related to environment clearances and all the clearances that we need to have, because as per our current way of work , we go to the Board after we've got all the approvals in place. But behind the scenes, the work is going on, engineering , planning and detailing, all that is going on. So, that happens. But the FID will be taken once we have the environment approvals, which we expect in the next few months. There are some forest clearance issues, environment clearance issues, which we a re going through. Koushik, you want to add to that?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Yeah, I just want to mention that we are pretty advanced in the environment clearance process. And as Naren mentioned , we are progressing on it and we will take it to the Board once we are in a position. The engineering work is also pretty advanced in many areas. And therefore, we are getting the investment case ready for the Board's review sometime soon.

Operator
The next question is from Sumangal Nevatia of Kotak Securities.

Sumangal Nevatia, Kotak Securities
Good afternoon, everyone, thanks for the chance. Sir, my first question is if you could share our guidance on the cost and the prices, both for India and the Netherlands & UK separately for the coming quarter. And then, generally, just want to understand what's happening with regard to the safeguard duty. The provisional duty has expired and we're yet to see the government notification. So, just want to understand what is t he latest here and what is our expectation.

T. V. Narendran: CEO & MD - Tata Steel Limited
Yeah, so I'll give you some guidance on the cost [inaudible] , and if Koushik wants to add on conversion et c., he can do that. So, if you really look at it from a reali sation point of view, our 3Q guidance for India will be about Rs 1,500 per ton lower than 2Q. 2Q was about Rs 1,500 per ton lower than 1Q. So, we had guided Rs 2,000 per ton, but we ended up at around Rs 1,500 – Rs 1,600 per ton . In terms of coking coal prices, we are saying India consumption cost will be about $6 per ton higher in 3Q than it was in 2Q, because it's starting to turn the other way . Coking coal has firmed up a little bi t in the last few weeks. As far as the Netherlands is concerned, 3Q guidance just now is about €30 per ton lower in 3Q compared to 2Q but we expect 4Q to be much better because of what I said earlier. Coking coal consumption costs in Netherlands will be down about €5 – €10 per ton, largely because they have more stocks in the system and so, they will be consuming what they bought earlier. As far as UK is concerned, prices are generally seen as a bit flattish, no real drop. But our concerns are the levels at which prices are today rather than the trend of the prices. And that's what we are working with the government on. In terms of safeguard duty , yes, what you're saying is right. The notification I think has expired in November and we are waiting for advice from the government on safeguard. We are working with them and let's see where it takes us, because the larger point is that the steel industr y in India is impacted by steel prices internationally and some of the imports which are coming in. I think if the industry has to continue to invest the way it is planning to, obviously, we need to see what is the support we can get from the government in India as is being done by other governments elsewhere.

Sumangal Nevatia, Kotak Securities
Understood. So, given the spot spreads in UK, we are expecting the losses to widen. Is that the right understanding? And also, Netherlands, given the pressure on prices at least for third quarter, we are looking at some softer margins?

T. V. Narendran: CEO & MD - Tata Steel Limited
In UK, maybe things shouldn't get worse, let me put it that way. We're trying to see how to improve - 2Q was worse than 1Q, but it's not necessa

ry 3Q should be worse than 2Q. We're still working some of that and we're looking to see what
help we can get in the Netherlands, maybe some margin compression, but we're again looking to see what we can do there to manage that because, like I said, the coking coal prices are lower. They are also getting some benefit on electricit y

and some of the other costs in 3Q compared to 2Q. So, they will get some benefit there. In India, well, there is some margin compression, but India will have half a million tons more volume in 3Q than in 2Q. So, we will have a volume upside in 3Q because of the Kalinganagar ramp up.

Sumangal Nevatia, Kotak Securities
Got it. Sir, my next question is on expansion. Now, in India, is it safe to assume 3 – 3.5 years once we take the Board approval, timeline in terms of Neelachal expansion ? And what is the peak level of volumes we can achieve in the existing capacity? I mean the question is coming from the background that maybe from FY27 onwards , we will lack further room in terms of growth. So, if you can explain that. And also, with Netherlands, you said next year is the timeline where we are looking to freeze all the discussions with the government. So, FY28 is the year when Cap ex actually starts and any Cap ex intensity you can share there?

T. V. Narendran: CEO & MD - Tata Steel Limited
Yeah, so I'll start and then Koushik can kind of continue. As far as the volumes are concerned, yes, Kalinganagar is currently running - I mean if I look at it last month, it's running at 7 million tons per annum rate, and it can go up to 8 million tons. So, that's on Kalinganagar. Neelachal is pretty much; you can get another 200,000 - 300,000 tons more once you have all the environment clearances because the existing volumes can go up a bit more. Today, we are limited by the EC levels. We have the Ludhian a plant coming up next year, so that's another 0.8 million tons. We are looking at debottlenecking some volumes in the Gamharia plant, which is the Usha Martin plant, to support our combi mill. And we are also looking at some debottlenecking in Meramandali . So, we will get some additional volumes from all these places in addition to the 0.8 million, which we will get out of Ludhiana. The timeline that you said, yes, post -board approval, 3 to 4 years, certainly we want to complete the Neelachal project befor e that and try and see if we can do it faster.
What you also should keep in mind is that the product mix is also getting richer. The cold rolling mill has just started ramping up in Kalinganagar. The galvani sing line, one of the two lines has come in, the other one will come by December. We have a combi mill, which is a state -of-the-art long products plant of half a million ton which has just got commissioned last quarter. So, you will see multiple initiatives. And then of course, this BlueSco pe acquisition that Koushik talked about. All this will lead to a much richer product mix. So, there will be a volume growth opportunity, as I mentioned. There is also an upside potential on getting a better, richer mix an d better reali sations. In Netherlands, even if we sign by next year, it's not as if immediately you'll have to spend capex because we will take a couple of years to get all the planning permissions that are required to start the project. So, it's a slightly more long drawn -out journey. But Koushik can add more colour to that and the other comments I made.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Yeah, so Sumangal, I think there are two points. One is that as far as Netherlands is concerned, we'll finalise the tailor - made agreement sometime next year and the FID will be next year. Then there is a permitting process and post the permitting process, the major spends will start on the site etc. So, I don't see major cash outflow i n Netherlands in the next couple of years even after the FID. I think the focus is clear

ly on the NINL expansion. And once we get through, we should
be site ready when we get into the FID or almost in that kind of a position. And therefore, from there about 3 - 3.5 years to get it done. Coming to your question on existing assets, we are also looking at Tata Steel Meramandali . When the blast furnace there goes for relining , it will expand capacity , which includes putting up a finishing facility that will take the Kalinganagar 's 1.5 million -ton slabs i.e. build up a thin slab caster. So, there are at least – if I were to say 7.5 million tons of growth in consideration or in planning at different stages. When it is ready, we should be taking the Board approval to spend. And then, some of these brownfield sites, especially in Meramandali, should have a shorter execution time than a greenfi eld site. So, this is currently the pipeline, other than what Naren mentioned . Further, Ludhiana will get commissioned, and we will also look at another EAF, either in the West or in the South.

Operator
The next question is from Satyadeep Jain of Ambit Capital
Satyadeep Jain, Ambit Capital
I just wanted to start with UK. We understand that the CBAM in UK actually kicks in 2027, one year after the EU CBAM. Then in the context of current imports, what options, what is the process, because from my understanding based on Europe is that EU Parliament has to approve the report and findings of EU Commission, EU Council and EU Parliament and the current safeguards expire in June 2026 or so. When you look at UK, what exactly is the process timeline? Do they have to take the entire study and then the d ecision will be taken by Parliament? So, the entire process, are we looking at some kind of support in 2026 or not? And the cost savings that were there in the Rishi Sunak Government on network tariffs and power costs being declined, has it already kicked in? So, just wanted to understand Europe and UK in general first.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So Satyadeep, two things. One is when you talked about the European part, the European Steel Action Plan that Naren talked about in terms of reduction of quota, tariffs beyond quota et c., and melt and pour is going to kick in from June 2026 because they are currently in the consultation process. Once the consultation is done, various stakeholders give their point of view on if they have to change or modify etc., and then it starts from June. So, that will kick in from June. As far as UK is concerned, at thi s point of time , the consultation process on CBAM hasn't started. It is in a formulated position, but it

has not yet started. They are scheduled to go live one year after the EU CBAM, which is 2027, as you mentioned, but we have not seen that happening. And that is one of the conversations that we are having with the UK Government. We are having conversation with the TRA, the Trade Regulatory Authority, on the quotas. The UK is behind the curve as far as EU is concerned [inaudible] as far as these initiatives are taken. So, if it is 2027, then when in 2027 is not yet determined. So, we are actually trying to get an understanding as to when the consultation process will start, how much time it takes. It normally takes six to eight months, maybe a year. So, we want to kick that off faster and to ensure that it is in time when our EAF comes. So, compared to the policy announcement that happened last year, they are behind is the short answer. We'll see as to where this will progress in terms of timeline. But to us, the more important priority her e and now is actually the quotas and then the CBAM. The CBAM discussion can happen in parallel.

Satyadeep Jain, Ambit Capital
The quota also, given it needs to go through a formal study , the final decision will be taken by the UK Parliament or is it an executive decision? Is there a realistic chance of this quota reduction in UK if it goes through in 2026

or are we looking
at maybe a quota reduction also in 2027 or 20 28?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
No, so 2027 – 2028 is simply very late, by which time the UK Government would have also lost a significant amount of money because of what they are managing in the steel industry in Scunthorpe. I think they are working on it and that is the assurance that we have got; the TRA has got all the data. That validation process is done. I think they will have to recommend it from the Cabinet and ratify it in the parliament. That process in the UK is pretty fast. But I think the more important po int is to get to that process and t hat's what we are talking to the UK Government about.

Satyadeep Jain, Ambit Capital
Okay. Secondly on Netherlands, in the joint letter of intent that is mentioned - I'm just checking on the wording of the joint letter of intent. It is mentioned that there will be support of up to €2 billion for phase one. But explicitly, it is also me ntioned that there will be no tailormade support for phase two as things stand. So, does it mean that government is making it very clear they will not support any expansion beyond phase one? And also , this import quota that we are looking at needs to be ratifi ed by the parliament. There's a lot of opposition from downstream users in Europe. Hypothetically, if we see this go through and European steel prices converge with US. Do you see some challenges? I just want to understand because Europe historically has b een a very different market versus US, but with the opposition . So two -part question, one on the joint letter of intent and overall, some of it potentially getting diluted or is that not a risk, this current import quota r eduction that we're looking at?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So, I would first talk about the part on the Netherlands bit that you mentioned. The answer is yes. This tailor -made agreement is specifically towards phase one and our commitment is to do the phase one. The phase two is left to the Company to decide as to when and as far as timing, the technology to be used, the project cost to be done etc., is one reason why they also want Tata Steel Netherlands to be significantly profitable to ensure that they can afford to do the phase two whenever it is due. So, that is how the understanding is. There is no commitment on funding and neither a commitment on when we have to do the phase two. So, all the discussion is on phase one. The circumstances and the policies may change in phase two also. As far as the EU consultation is concerned, it is ongoing. From the sense that we get, there are people who have been quieter or neutral, there are people who are supportive and there are people who obviously have some views. So, that's for the EU to proceed and then get a sense. M aybe Naren, you can add.

T. V. Narendran: CEO & MD - Tata Steel Limited
I think what you're saying is right. There is a disadvantage if you are making stuff using steel and exporting out of Europe, then if you have a higher cost of steel you may have a disadvantage. The auto industry is one such sector. But I think everyone is also looking at building strategic autonomy in Europe and that's where there is a consensus that the steel industry is important for Europe. So, even in Netherlands we get a lot of support from that fact. They are not asking us why do you need a steel pla nt in Netherlands. It's more about what is it that can be done to have a strong steel company or a

steel business. So, I think the conversation has changed in the last two years, [inaudible] the Russia - Ukraine issue, the US trade issues et c. So, the second thing is, as the European governments are putting money in the industry, they also have in some sense a skin in the game. So, there is an interest from that point of view to not put money in the industry and then end up destroying the indu st

ry for whatever reasons, right. So, I think these are the things which we think are
supportive for the steel industry. I also think the supply side in Europe will get restructured because as more and more blast furnaces come up for realigning, unless you have tied up with the government for a transition, it will be very difficult to justify blast furnace relining for most of the steel companies in Europe. So, there will be some supply chain side restructuring as well in the next 10 years.

Operator
The next question is from Vikash Singh of ICICI Securities

Vikash Singh, ICICI Securities
Thank you for the opportunity, sir. Just wanted to understand, if you look at th e slide 10 of your presentation, though we have given a guidance to 40 million tons per annum , we have not given the timelines for the same. And also, the flat products are also increasing and long s is coming after that. I believe that the long s is Neelachal. So, which is the last portion of that flat product, which expansion we are expecting, and if you could give us the timelines for that?

T. V. Narendran: CEO & MD - Tata Steel Limited
Yeah, so let me put it this way. The sequence is not to do with the time. So, as Koushik said, what we are most ready for is the Neelachal expansion. And the Neelachal expansion is a long products expansion. So, [inau dible] in Neelachal from 1 million tons it will go to about 6 million tons. And from 6 million tons it can go to about 10 million tons. That's the second phase of the Neelachal expansion. Kalinganagar, as we complete 8, we can go to 13 million tons - that's the next phase. And from 13 million to ns we can go to 16 million tons. In Meramandali, we are first looking at taking it from the current level of around 5 million tons to about 6.5 million tons and then after that we can go to about 10 million tons. So, in all these areas, the work is going o n. In Meramandali, we need to acquire some land. In Neelachal, we are waiting for the ECs et c. and in Kalinganagar also a lot of work is going on in the background. So, all these are at different stages of readiness. And as we mentioned earlier, we will now go to the Board only after we've got all the requisite approvals. And that's why we've kept th e timelines a bit open. The second thing I want to say is, we are also pacing our growth depending on the demand growth in India, the profitability and how to p ace it, et c. And we are also looking at adding more and more downstream businesses. And that's why the BlueScope expansion and the combi mill expansion in Jamshedpur and there are a few other proposals that we are looking at. So, it's not just the volume growth, we a re also looking at the value growth through investing more and more in downstream. So, it'll be a mix of both. The advantage we have is we can pace ourselves depending on the situation in India because between these three sites alone, as I gave you the numbers and with Jamshedpur, we can go to 45 million tons per annum , right. So, it's more a question of the appetite, the balance sheet, the demand requirements, the profitability of the industry and the priorities that we want to give.

Vikash Singh, ICICI Securities
Sir, my second question pertains to Netherland s. So, we remember that we had this free carbon credits, which are gradually going down. So, just wanted to understand, as we're starting to turn green at a later part and that obviously would take some time. How should we look at our cost structure in terms of the carbon credit s reducing?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So, I think the free allowances will come down; started to come down slowly, and we have mitigants. For example, we are using more scrap charge ; currently, we are at about 18% - 19%. Our target is to max out on scrap to ensure that we get to it. I would also like to mention that in Netherlands, our CO_2 emission as of last quarter,

which I just got the number of a
couple of days back, is at around 1.6. So, that's kind of one of the lowest. We'd gone down to 1.59 this quarter and last quarter we were 1.6. And we're taking a lot of effort in reducing the CO_2 also including usage of scrap as a percentage. And last quarter, we were not able to max out more because of some volume issues. We will go beyond 20%. And once we get to more and more scrap, we will be able to reduce CO_2. So, as the natural reduction happens on free allowances, we want to also undertake internal decarbonisation efforts because there is a clear cost advantage to this. So along with our cost transformation program on other cost areas, I think we will continue to work towards reducing the conversion cost in Netherlands, including CO_2, energy, natural gas and other costs. So, that's the trend and that's the basis on which we think that the expansion on the margins will happen [inaudible] . It's not based on how the prices will come or when the prices come due to the steel plan or the CBAM et c., that will be on top of that.

Operator
The next question is from Ritesh Shah of Investec.

Ritesh Shah, Investec
Hi Sir, thanks for the opportunity. A couple of questions, first on Tata Steel UK. Sir, what is the exposure from a revenue mix that we have from UK to Europe? And how are we looking to de -risk hypothetically if there are delays on the UK Government taking a stance?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So, that's about 25% volume on the current basis. I was waiting for who will ask that question, but that's the third lever of the negotiations with the government , because in 2021 the EU and the UK had signed an agreement of no quotas and no tariffs between most of the grades except for some galvanized grades where there are specific quotas. But this new regulation that comes in as a steel plan , will require the UK Government to revise that understanding with the EU.
So, that's the third leg of the engagement that we have requested the government to do quickly, which they are cognizant of because that's important. And as politically UK talks about the coalition of the willing, I think this is also something t hat they will be looking to work towards. And that's what our request is.

Ritesh Shah, Investec
That helps. Sir, my second question is on Tata Steel Netherlands. I think we have laid out certain details with respect to EAF initially on natural gas, and subsequently on CCS, and finally with biomethane and/or hydrogen. So, there are multiple permutatio ns over here. We also indicate d support of up to €2 billion. Is it possible to give, say, some high level thoughts on what could be the Capex num ber because we know it is up to €2 billion, but we don't know what the capex number is. So, how are you looking at the cash flow math? You did indicate no major cash flows next two years. But from a ROCE standpoint, from a cash flow standpoint and from a capacity standpoint, how should we look at TSN? And if not for support in pha se two, would we still continue with our stance that we will maintain our volumes for Tata Steel Europe? I think that's something that we had guided earlier. So, would we stand to it?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So, Ritesh, if I may, since you wanted high level, I'll keep it high level. But I think the point when you talked about the different feeds of natural gas, hydrogen and biomethane, it is the switchability which will be built in from natural gas to hydrogen to biomethane depending on the economics and the availability at scale of each of these. Natural gas is not a problem because Netherlands is kind of the hub for natural gas. And that's why we're building on it. Earlier when the EC was looking at these dec arbonisation projects, they were very insistent on hydrogen, and if you see, some of our peers had gone ahead of us. The agreements or

the conditions that EC had given was purely on hydrogen, which is the reason
why many of them have gone slow. So, we actu ally did not want to go that hydrogen route because it's very uncertain on the availability as well as on the economics. So, we were more focused on natural gas, and we have an optionality to auction for biomethane because after hydrogen that is the one, w hich is being proposed as the next best fuel. So, on biomethane, we have the optionality for auctioning of this or tendering, and if it comes in at the right economics and availability, then the switchability will be looked at. [inaudible] So, we have those optionalities to be tested out but that is to be tested much later. It's not immediately on commissioning - it will be post -2035, etc. So, I think that is the construct that we have as far as our understanding on the JLoI with the Dutch Government as wel l as blessed by the EC. So, what we are currently doing is [inaudible] the engineering process is currently on. We have allocated a little bit of money to complete that process. Engineering will be known on capex somewhere around, say, May or June. That's my best estimate at this point of time. Because it's a complex process, it has three elements. It has the element on the health issues, which is the coverages. Then, it has the EAF and then it has the DRP. So, there are three sub -parts to that process within the integrated process. So, I think it will be more fair to talk about this somewhere in six months time, by which case the investment case will also be very clear. And our und erstanding on the policy changes that we have asked for as a condition to the tailor -made agreement will also be clear, which is our network cost, electricity, the coal ban or usage, et c. So, those policies will also be , once the new government comes in, we will be able to engage more deeply because those are conditions for final FID. And there are some asks from them towards us, which we are working on with the local environmental agencies.

Operator
The next question is from Rajesh Majumdar of B&K Securities.

Rajesh Majumdar, B&K Securities
Thanks for the opportunity. So, I had a question on the cost takeout. You have already talked about Rs. 5,450 crores in the first half. How much of th is has come from the Kalinganagar plant efficiencies and how much more can be expected as we ramp up gradually to the full capacities with the value -added segments?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So actually, this is unrelated to capacity utili sation because this is on the baseline. There is some element at capacity utilisation, but largely, it is run in an integrated manner. For example, we run it as one program on, say, stores, spares and maintenance. So, it is not just one side, but it is across the combination. And this combination is actually the power of this program because when our colleagues run it on, say, stores management across four sites, it's much more efficient than managing it across four individual sites, right from procurement to usage, to usage pattern to storage and eve n inventory etc. So, it's very difficult to give it site -wise, but it is more specific by theme -wise. For example, stores using leaner coal mix

or energy efficiently. So, those are the kind of themes we run across sites and that's why organi sationally we are consolidated to do that.

Rajesh Majumdar, B&K Securities
More specifically, sir, you earlier guided about I think Rs. 2,000 - 2,500 kind of lower costs in Kalinganagar. So, how much of that is achieved and how much of that is likely to be achieved over the next few quarters?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So, I think we said Rs. 2,500. I don't think we said site -wise, but we said Kalinganagar...

T. V. Narendran: CEO & MD – Tata Steel Limited
I think we said at one time, as we fully ramp up Kalinganagar

there will be a benefit because obviously it's a much more productive site.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
It's a volume effect.

T. V. Narendran: CEO & MD - Tata Steel Limited
Correct, that's a volume effect.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So, that's a per -ton volume effect, which will happen by the end , by the time we exit this year, we should be able to get there and that's our target on the volumes anyways. We had some slowness in the first quarter, but second quarter onwards we have been able to increase our capacity utili sation, and we'll continue to do so in 3 Q and 4 Q.

Rajesh Majumdar, B&K Securities
Right, sir. And my second question is actually on your ferrochrome unit sell -off. I mean we bought this unit just three years ago and we earlier proposed a 50% expansion along with C PP and we also have the chrome ore mines. But suddenly, you decided to sell this business. So, what is the problem here? I mean if it is a small thing then, it was a small thing eve n three years ago when you acquired it.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
It is linked to our Sukinda resources. And if you really look at it strategically, if we were to continue Sukinda, one was this whole confusion that happened on the MDPA et c., because Sukinda needed underground mining to sustain itself but the resources , the way we were doing it, was coming to an end. So, if you look at the investments required for underground mining, the ferrochrome market in general globally and the way in which the duty tariff structures et c. works, our call was to exit the mining lease of Sukinda because of the high underground capex. And once we took that decision, it was necessary to rebalance the sources of mining. We have two other mines, more specifically one more mine which is more

useful . We do not want to be just a converter without a mine and that is the basis on which we then took a decision to get out of it. And the buyer is consolidating in that space, so it helps him also.

T. V. Narendran: CEO & MD - Tata Steel Limited
Basically, we wanted to limit our production to what we largely need for in -house consumption rather than be in the market because we were surrendering the Sukinda mine and the changes in the MDPA et c. was not making this business as attractive as it was before. So, it was more a rethink on this portfolio given the current context.

Operator
The next question is from Prateek Singh of DAM Capital .

Prateek Singh, DAM Capital
Hi, thanks for the opportunity. The first question is on UK. So, given all the uncertainty and volatility that we are seeing in UK and Europe , how confident are we of the level of profitability once the EAF comes in? Or to put it differently, what kind of EBITDA do we see is doable, given the current environment, current pricing and current raw material costs? That's the first question.

T. V. Narendran: CEO & MD - Tata Steel Limited
So, if I were to start and then maybe Koushik can add, you know when we did the EAF, the larger point was, we said the cost position of UK will improve by about £150 per ton, okay, because we were taking out a lot of fixed costs, we were using locally available scrap instead of imported iron ore, coal et c. So, which meant that in longer term , with the steel pricing that we've seen in the past, the UK business should be EBITDA positive and should be able to stand on its own because an EAF run operation has much less requirement of support on maintenance and many other things because you don't have the sinter plan t, the coke ovens and blast furnace and many other such facilities. So, that hypothesis stands. What we are seeing now is a very abnormal situation, which is coming out of what's happened in the US, what's happened in Europe now, what's happening in China. So, we don't expect these things to stay o

n forever. On internal cost side, we
are on track to what we said we would achieve. But the external aspects, we expect actions to be taken like Europe has already taken to protect the European industry. And as K oushik mentioned, the UK Government is also bleeding because of their investments in the other steel plants in UK. So, we are expecting some resolution to this in the next few months. So, it's a hypothetical situation. If today's situation continues forever, of course, there's a challenge . But we don't expect today's situation in the market to continue forever.

Prateek Singh, DAM Capital

Sure, just as a follow -up to this, so what kind of capacity does UK in particular need? I mean was there ever a discussion that maybe not put as big a capacity as we are planning and maybe scale down a bit, given we don't need that much , given how the environment is right now or we are okay with the capacity that we've announced for UK?

T. V. Narendran: CEO & MD - Tata Steel Limited
Yeah, we are comfortable with the current capacity level. I think the issue which has happened in UK is the quotas have not been changed even though the demand has shrunk over the last few years, unlike EU where the quotas have been

changed and have been tightened further. So, our submission to the UK Government is , they need to keep realigning quotas, import quotas, to what is the domestic consumption. And I think that's what we expect them to be doing. But otherwise, 3 million tons with maybe 10 -15% exports is fine. And optimally also, that was the right capacity for us, given the balance of plant and everything else. Yeah, Koushik?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Yeah, no that's the same point. I think there's nothing wrong with the capacity in the context of the demand. It's the issue of the imports that has come in. Also , the UK Government [inaudible] , they were all focusing on infrastructure and that infrastructure, when it actually starts rolling, will require a lot of steel [inaudible] . So, I think there is a policy issue that the government needs to address, which is what is being worked on in terms of growth for the economy itself. But as far as the steel capacity is concerned, I don't think we could have done it anything lower because we have a very tied -in downstream network of our own, which uses the base grade HRC or the quality of HRC for further value addition. So there is nothing wr ong there , as Naren mentioned, we have taken out significant cost and we continue to do so. This year also there is continuing momentum on cost. But there has to be an uplift in the metal over margin, so to speak, which is , what is the price at which you are buying the metal and what is the price at which you are s elling th e metal. So, that metal over margin is an important thing , that has shrunk significantly and that's purely because of the fact that cheaper imports are flooding the market.

Operator
The next question is from Pallav Agarwal of Antique

Pallav Agarwal , Antique
Yeah, sir, firstly, congratulations on the good set of numbers and also on the cost transformation initiatives broadly on track. So, on the Ludhiana EAF, what kind of profitability can we look at compared to the standalone Indian operations? Obviously, it should be lower, but to what extent would it be lower?

T. V. Narendran: CEO & MD - Tata Steel Limited
Yeah, so there are a couple of things happening with Ludhiana. Of course, like you said, the profitability will be lower. Typically, an EAF kind of operation in the Indian context, I would say, is more of Rs 5,000 to 7,000 EBITDA per ton kind of thing. But you should look at it in th is context also that you're getting almost a million ton for Rs 3,000 crores or less. So, when you look at it from a different angle, that's the equation that we look at. What we're doing in Ludhiana to suppl

ement the margins that would normally be available , is to see how can we reduce costs because of the fact that you're getting scrap from a 200 -300 kms radius and you're selling steel in a 2 00-300 k ms radius, right. So, a lot of the logistics costs that we incur when we make steel in Eastern India and ship it to Ludhiana or elsewhere is what we're trying to save. So, there are a number of initiatives on the route to market, the logistics cost, the supply chain costs et c., so that we maximize the revenue potential in that geography. And of course, pretty much all that is produced there is going to the retail market where our reali sations are higher than it is in the project market. So, there are a number of initiatives but what I've described is the starting point. And let's see how we can bridge the gap between a project like this versus the back end, which is more iron ore and coal based. B ut from a speed of execution, capital intensity et c., there are a lot of advantages in this model. And we do believe that while Tata Steel can continue to grow based on iron ore and coal in Eastern India, and like I described earlier, between the three sites we can go to, or four sites including Neelachal, go to 45

million tons per annum , in North, West and South, we have an opportunity to grow in a bit more capital -light way. You need just 100 acres of land to build a steel plant, you don't need 3,000 acres. You can do it much faster. So, we will refine this model. Ludhiana is the first step. And as Koushik mentioned earlier, we are looking at opportunities to set up similar facilities, maybe even for a richer mix. This is for retail, but tomorrow's plants could be for alloy steels for automotive et c., long products basically, in the West and South.

Pallav Agarwal , Antique
Sure, sir. You know, secondly, we used to highlight that probably on the pipe expansion part , I think we were looking to expand from 1 million ton to 4 million tons per annum , so, I've not come across that in the recent presentation. So, where are we on that initiative?

T. V. Narendran: CEO & MD - Tata Steel Limited
Sure. So basically, most of that growth would have come through assets that we would lease. Even today, whether it's in

long products or in pipes etc., a lot of our capacity goes to assets that we lease, which means 100% of that capacity is committed to us. So today, I think the pipes business is heading towards 1.5 million tons, which includes the pipe business that we acquired through Bhushan plus all the leased -out capacities. I think I'm not remembering the exact numbers, but maybe 40% to 50% would be our own and the rest would be leased out. So, most of the growth will come through that. We recently invested in a precision tube mill, which has added 100,000 tons of high -quality pipes in Jamshedpur. So, wherever it's high quality, specialized like we have the large -diameter pipes, API pipes, are all available from the Khopoli plant. Wherever it's high end, we will make the investments. Wherever it's regular stuff, where the value is more in our branding and distribution, we will lease out capacity. So, that work is going on. And as our hot roll ed coil capacity grows, we will continue to expa nd the pipe capacity and the ambition is to get to 4 million tons. Maybe you can share more details , Samita, in the next pack or something.

Samita Shah: VP CFTRM – Tata Steel Limited
Sure. And I just wanted to also add that for the EAF blast furnace sort of comparison . The other s et of cost differential benefit will obviously be there when there are carbon taxes because EAFs emit significantly lower blast furnace . So, when India introduces carbon pricing and we've seen that over a period of time that will come through, then you will also have that benefit due to the EAF operation.

T. V. Narendran: CEO & MD - Tata Steel Limited
I think

typically the difference is $100 between an EAF route of production and a blast furnace route without factoring the capital cost. I'm just saying the opex kind of thing. And as Samita says, as and when , I mean already there's a carbon cost which is coming in. And as that increases, that's why in Europe et c., once the carbon prices go up, the economic case for EAF becomes stronger.

Operator
The next question is from Ashish Jain of Macquarie. Ashish, please go ahead. Ashish, we are unable to hear you. We request you to please send in your question via chat or rejoin the queue.

We will now move to our next question. The next question is from Amit Murarka of Axis Capital. Amit, please go ahead.

Amit Murarka , Axis Capital
Hi, thank you. On iron ore, I wanted to get some thoughts. How are you kind of thinking about securing iron ore for Indian assets? I think in the last call you did speak about it a bit, but could you also help us understand that, are you looking to get into some tie ups with OMC as well or it will be broadly merchant purchases? How are you thinking about it?

T. V. Narendran: CEO & MD - Tata Steel Limited
Yeah, so I think we , as we said last time, obviously we already have some iron ore. We have maybe about 5 00-600 million tons of iron ore with us today, which is available beyond 2030 based on our existing mines which we bought through our acquisitions or through auctions. Second point I want to make is, when we bid for the mines it needs to make sense. There is no point bidding a price at which the cost of iron ore is so high that you'd rather buy it from the market. Third is what you're saying is right. It can't be all spot purchases. So, we are already engaging with OMC, NMDC et c., to look at what could be the arrangements that we could have. OMC is of particular importance to us because a lot of our sites and production and growth is happening in Odisha. Fourthly, we are also looking at various other options depending on what is the cost of iron ore in India. We already have a mine in Canada , for instance, which is very high -quality iron ore, very low alumina iron ore. It's 63 % plus Fe while alumina of less than 0.5. So today, we sell from there into Europe etc. And there are some challenges which we've dealt with over the years. We are getting a shipment into India to test out that material. Traditionally, India is not an attractive market. But if iron ore costs and prices continue to stay high, then all options are available. Imports is also an option that we look at. But it's not necessary that we need to have 100 % captive. I think we will do that if it makes economic sense. Otherwise, we will look at buying in the market, even coking coal, at one time Tata Steel had 100% captive, today we're at 20% captive while 80% is what we buy from the market. So, we will exercise that option. The other part is , our ambition and our actions on going more and more downstream is to also help push us on the revenue side so that the revenue per ton keeps going up as we progress towards 2030, so that the cost per ton is less impacted by any increase in iron ore price , or rather the margin is less impacted. Let me not put it as cost per ton, yeah.

Amit Murarka , Axis Capital
Also, like is there any ballpark cost number that we can think of for your current captive iron ore mining, or if you have done any calculations around it, what will be your cost of captive iron ore mining?

T. V. Narendran: CEO & MD - Tata Steel Limited
I'm not sure we are sharing that. Are we doing that, Samita? No, yeah, because we have a full range from expensive to cheap ones. So, we also decide on what to produce where. I don't think we are sharing that publicly. Yeah, Samita?

Samita Shah: VP CFTRM – Tata Steel Limited

That's right. We don't actually comment on any specifics or any product or raw material details,

but obviously it's
significantly lower than market price.

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Operator
The n ext question is from Ashish Kejriwal of Nuvama.

Ashish Kejriwal , Nuvama
My question is on domestic demand environment because, see, after so many months or years we are seeing that our prices are much cheaper than the landed cost of imports despite the fact that safeguard duty is implemented. So actually , and when we see overall demand environment or demand, you can say volumes from JPC, it seems to be on a higher side but actually price is not getting that reflection. So, my question is, are we seeing excess supply scenario or lower demand which is affecting our prices? And in light of that, when we have guided Rs 1,500 per ton price decline in 3Q, are we factoring in December no price increase? That's my first question.

T. V. Narendran: CEO & MD – Tata Steel Limited
Yeah, so see, it's not that demand is not there, demand is quite strong and India is the only major country which is showing double -digit growth in steel consumption. And I think, given the focus on infrastructure building in India, I do expect the demand growth to be more than the GDP growth rate, which is what happens in most developing countries including in China when they were growing. So, if the economy is going to grow at 6.5 -7%, steel consumption growing at 10% is to me par for the course. So, demand is not the issue. Obviously, supply side, as you know , when we add capacity we add in big chunks, right. So, we've added 5 million tons, JSW has added something, JSPL has added something. So, you will go through years when a lot of new capacity is coming on stream at the same time. But I do believe in the medium to long - term, it is not going to be easy to build lots of capacity very quickly in India, given the regulatory environment, the approvals that we need to take, the time which takes in India to build a steel plant, et c. So, I expect there to be a better balance going forward and which should get reflected in the prices. The more specific question you had, yeah, this is factoring in November and December. We've not factored in major price increase in December. We are saying that we operate close to November levels. If there's an increase, there's a potential upside to what I just guided. So for now, we've been a bit conservative on this.

Ashish Kejriwal , Nuvama
Sure. So effectively, you are saying in October and November also we have not seen any price increase and in our assumption, we are not taking any price increase in December also?

T. V. Narendran: CEO & MD – Tata Steel Limited
As a seller of steel, we will always try to increase prices, but it's the market which decides whether they're willing to accept those prices. So, we will always try to push, and let's see where we end up.

Ashish Kejriwal , Nuvama
Okay. Understood. Secondly, see, we have acquired 50% stake in BlueScope and at Enterprise value of something like Rs 22 billion for the company, which is having net profit of Rs 62 crores and Rs 30 crores in last two years. So rational e-wise, I understand that we are going into downstream but the amount which we are paying is seems to be much higher if I look at on the profitability basis. So, how can we explain that?

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Koushik Chatterjee: ED & CFO – Tata Steel Limited
Yeah. So, first of all, I think this JV has been making about 19% ROE since inception. Second is , it is a combination of two parts. One part is that we have , this JV company had its own color coating, metal coating facilities. And then, post Bhushan, as per the JV agreement, we had to ensure that the same facilities that w ere there in Bhushan , in Khopoli et c., were also used by the JV, the substrate of which was passed on by Tata Steel. And that is the arrangement that we had with the JV and the JV partners, which is ourselves as well as BlueScope. And in

some ways, there is a split in the profitability because
of the transfer pricing etc. So, you do not see the system profitability of this business. You just see , for that part of the business , only the downstream profitability , excluding the transfer price and the markups and so on. So, I think it is important and we were hindered in this segment because we were the first to come in 2005 , to grow this business significantly, which is I think in our domain and the leverages and the synergies and network of Tata Steel and enriching the product mix, also fungibility of the product mix between market segments and so on. And that is the basis on which we actually wanted to consolidate. And BlueScope also , in their strategic understanding wanted to therefore exit the business. So, if you look at it from an underlying EBITDA perspective, it is 7x, which from a value -added downstream perspective is what the numbers will effectively look at, excluding the Khopoli and the ones which are leased because that brings down the performance of the Company. So, that is the basis which when post the acquisition you will see it more on a system

basis. And we will certainly explain the same to you. And you can see the numbers at that point of time.

Operator
I would now like to hand the conference over to Ms. Samita Shah for the chat questions. Over to you, ma'am.
Samita Shah: VP CFTRM – Tata Steel Limited
Thank you Kinshuk. So, we've answered I think a lot of the chat questions in the discussion so far, but I think there are a few which maybe we can touch upon. So, firstly, I think there is some question on Thailand , despite being an EAF operation , it is highly profitable. And can we expect that kind of profitability, either in India or UK? So, maybe you just want to give people a sense of Thailand duty structure et c.
T. V. Narendran : CEO & MD - Tata Steel Limited
Yeah. So, there are two or three things when you look at EAF profitability . About 70% of the cost is scrap , so the price at which scrap is available etc., has a big impact and about 15% of the cost is energy. So, these are the two factors which drive EAF profitability, apart from operating performance et c.

In Thailand, what you're seeing is an upsurge because, if you recall, there was an earthquake in Thailand, I think it was around April, there was this viral video which went around of a tall building which collapsed. And you know the conclusion at that time was that a lot of this is happening because of the poor quality of steel, which is used, and the quality standards need to be looked at once again. And because if you use poor quality construction steel, you run the risk of this kind of a thing happening , particularly if there's an earthquake. So, as a consequence, a lot of local production which seemingly were not meeting quality standards had to be closed. And Tata Steel Thailand is seen as one of the best quality producers of steel in Thailand, has a good name, we have the Tata Tiscon brand operating in Thailand as well and they got the benefit of that. That's why you see much better performance than we've seen in the last few years. But having said that, they are still settling. Traditionally, it's been a profitable business. It's never required any support from India. It's always been cash positive; EBITDA positive. So, it continues to be that way. And as quality considerations become more and more important, we think that's positive for Tata Steel Thailand.

Now, whether that kind of profitability, again, like I said, we are in a much better place on the cost curve in Europe post EAF than we were in the past because of the fact that you're not using imported ore and coal, you reduced your fixed cost by about £400 million and you're using locally available scrap, right. So, certainly, we'll be in a much better cost position than we were before in UK.

And

similarly, in L udhiana , compared to the iron ore -based production in Jamshedpur, you'll be at a higher cost position. But we look at how do we make this model work, taking out costs beyond the production costs , like logistics costs, route -to-market costs and so on and so forth. As Samita said, as and when carbon prices come up , because the CO_2 footprint of the Ludhiana plant is going to be 0.2 - 0.3 tons of CO_2 per ton of steel compared to Jamshedpur, which is the best in India at 2.1 - 2.2 tons of CO_2 per ton of steel and Netherlands which is one of the best in the world at 1.6 tons of CO_2 per ton of steel , as Koushik said earlier . So, Ludhiana is going to be at 0.2 tons of CO_2 per ton of steel , because it will use green energy. So, when you start looking at paying a premium for low carbon steels, that's when some of these businesses will make even more sense than it does today.

Samita Shah: VP CFTRM – Tata Steel Limited
Thank you. The next question, there are few questions on cost transformation, so I'll just combine them for you, Koushik. First, are we on track , and what is the kind of number we're expecting for 3Q FY26 ? And then, there's a question , because of the delay in employee -related discussions in Netherlands, are you reducing your target for the year?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So, that looks like an exam question, but I think it is important to mention that our target is the same . I mentioned when we started this that it is a n 18-months program. Obviously, the work that can be done is being pursued across the geographies, across teams and across functions. I think we will continue to maintain the secular basis on which we are - we've gone through the first two quarters.

The compliance in Netherlands is lower, as I mentioned, because of the employee restructuring going slower than what we had planned. But that is a timing effect and I'm very hopeful and all of us are working with the CWC to ensure that we get to it. But the point is less about QoQ performance, it is more about getting structurally fit. It is about getting the competitiveness in place, so that we become all -weather. I also want to say that the target will also keep changing once we achieve it, there will be more where we want to build a pipeline of it, and we continue this as a journey.

Tata Steel India has always done that for about 20 - 25 years. But this time around, we have taken more structural view because we have become multi -site and our capacity ha s increased significantly. That's why this is an important journey in the competitiveness of Tata Steel. We have expanded to all our global sites also, most critically UK and Netherlands.

So, we are going to continue this journey. I think it is not to be just taken as a quarterly target. It is more about ensuring that structurally we are in a better place.

Samita Shah: VP CFTRM – Tata Steel Limited
Yeah, thank you. There are a few questions on TSN decarbonization, which again I'm just going to combine. Essentially, the question is that given the political changes in Netherlands, do we expect the government to follow through this commitment, which they've don e, is 2030 a sacrosanct deadline? So, there are some questions around the timing and maybe the probability of the government actually going through their push for decarboni sation.

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T. V. Narendran : CEO & MD - Tata Steel Limited
I think , if I look at the way we have built up our conversation with the government and across the political spectrum, it has been largely bipartisan in terms of , across parties because it was a parliament mandated process to get through to the JLoI. Subsequently, when we were signing the JLoI, it had to go back to the Parliament for placement and noting.

So, with the political parties being the same, it is certainly the assumption that we are w

orking in , that the government will
continue to work on it because it's of national importance and it is something of a commitment. We do have a journey in terms of final negotiations on the binding tailor -made agreement. But I don't think any of us have a doubt that the government will not stand behind what they have signed, the new government.

We have to give the time for the new government to form. The election got just over. Unlike in India, it takes a little bit of time, and we must give that and then we will sit down with them on the tailor -made agreement. In the meanwhile, both sides are anyway working at the bac kground on the conditions that needs to be fulfilled. In terms of preparing for the new government when it comes that we will have a very clear understanding of what needs to be done before we sign the tailor -made agreement. That's where it stands .

This is also where the timing of the project and the feasibility and practicality of doing it within certain years will also be considered , and due action taken . Because we have to take the practicality of changes in policy, in the permitting process, the construction, the site work required and so on so forth. So, we will have a conversation around that subject also. And I think the political world in Netherlands is fully aware of that.

Samita Shah: VP CFTRM – Tata Steel Limited
Thank you. I think there are multiple questions on capacities of each of our downstream products or capacities. But I would just like to remind people that we don't really give guidance on individual product capacities. Naren mentioned a broad guidance and our overall growt h path, so we will not take that up. Then, there is one broad question, Koushik, which you might like to address on our leverage targets and how we are sort of balancing that or what is our approach towards leverage.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
I was wondering when that question will come up. I think we are managing our balance sheet pretty well under the circumstances in the context of our operating cash flows, with all geographies being focused on working capital and profitability. This quarter we had a significant amount of cash outflow on our dividend, which is an obligation that we are clearly focused to fulfil as part of servicing investors.

It is important to mention that our Net Debt to EBITDA is at about 3 , even with the kind of spend that we have . As I've already said that in the past , that between 2.75 and 3 is where we would like to maintain ourselves on a more sustained basis. At times, when there are significant market challenges or volatility in prices, which impacts the working capital, because steel, coal and iron ore prices do change significantly, especially on the seaborne market, that's the time when we do get beyond that matrix. But largely, 2.75 to 3 is what we would like to maintain. In a mid -cycle period like this or a low mid -cycle period like this . In an up -cycle we are on a different platform. So, we would keep the matrix like that.

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Any opportunity to deleverage, we'll continue to deleverage . But we also look at where best to apply that capital apart from leverage, in short -term payback period projects or acquisitions like the BlueScope that we've done because that actually effectively will help in consolidating the margin and the footprint and helping our product mix to grow. So, these are decision s that we do take, and then look at what the leverage allows us to do.

When we look at NINL we will certainly look at the phasing spend and how quickly we get the cash -to-cash cycle up and that's why Naren mentioned that we want to go at a time when we are ready, site ready to start work so that we can compress the period as much as we can. So , leverage is an important part in the entire not only of our financial strategy but also in the business st

rategy and how we run the business .

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. With that, I think we've answered all the questions. So, thank you to everyone who's dialled in. And look forward to connecting with you again next quarter.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Thank you.

T. V. Narendran : CEO & MD - Tata Steel Limited
Thank you.

Call: Feb 2026

Ref.: SEC/ 1884 /2025 -26
February 12, 2026

The Secretary, Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
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Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra -Kurla Complex, Bandra (E),
Mumbai - 400 051.
Maharashtra, India.
Symbol : TATASTEEL

Dear Madam, Sir,

Sub: Transcript of 'Tata Steel 3QFY2026 Earnings Discussion'

This has reference to our letter dated February 2, 2026 , intimating that post the announcement of Financial Results of Tata Steel Limited ('Company') for the quarter and nine months ended December 31, 2025 , the Company will host an Earnings Discussion on February 6, 2026.

The Board of Directors of the Company at its meeting held on February 6, 2026 , inter alia approved the Financial Results of the Company for the quarter and nine months ended December 31 , 2025. The Company hosted its 3QFY2026 Earnings Discussion on February 6, 2026 .

In this connection, we enclose herewith the transcript of the 'Tata Steel 3QFY2026 Earnings Discussion'.

The transcript is also available on the website of the Company at:
https://www.tatasteel.com/investors/financial -performance/analyst -call-recording/

This intimation is being provided in compliance with Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.

This is for your information and records.

Yours faithfully,

Tata Steel Limited

Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer

Encl.: as above
1
CORPORATE PARTICIPANTS

T V Narendran, CEO & MD – Tata Steel Limited
Koushik Chatterjee, ED & CFO – Tata Steel Limited
Samita Shah, VP Corporate Finance, Treasury, & Risk Management – Tata Steel Limited

CONFERENCE CALL PARTICIPANTS
Ashish Kejriwal, Nuvama
Indrajit Agarwal, CLSA
Pallav Agarwal, Antique
Pinakin Parekh, HSBC
Prateek Singh, IIFL Capital

Rajesh Majumdar, 360 ONE Capital
Satyadeep Jain, Ambit Capital
Siddharth Gadekar, Equirus Securities
Sumangal Nevatia, Kotak Securities
Vibhav Zutshi, JP Morgan
Vikash Singh, ICICI Securities

PRESENTATION

Operator

Ladies and gentlemen, we thank you for your patience. A good day and welcome to the Tata Steel Analyst call. Please note that this meeting is being recorded. All the attendees ' audio and video has been disabled from the back end and will be enabled subsequently. I would now like to hand over the conference to M s. Samita Shah . Thank you and over to you, ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you, Kinshuk. Good evening, everyone who is joining us from India and the Far East and good afternoon to those of you joining us from the West. We are starting a few minutes late and thank you for your patience. I'm delighted to welcome you all to this call on behalf of Tata Steel where we will discuss our results for the third quarter of FY2 026. I hope you've had a chance to go through our press release as well as the presentation, which is up on our website. And to help yo u better understand our performance, we will walk you through some of the details and obviously take any questions you may have. We have with us today Mr. T.V. Narendran, our CEO & MD , and Mr. K oushik Chatterjee, our E D & CFO. Before I hand it over to them, I would just like to remind you all that this call will be governed by the safe harbo ur clause, which is on page two of the presentation. Thank you and over to you, Naren.

T. V. Narendran: CEO & MD – Tata Steel Limited

Thanks, Samita. Good evening, everyone ; sorry about the delay. So let me start with a few comments before I hand it over to Koushik. The global operating environ

ment remains complex with policy uncertainty and resource prioriti sation reshaping
the interplay between geopolitics, social and market dynamics. At the same time, Chinese finished steel exports have crossed 110 million tons for the second time in a row, which had a significant impact on the regional as well as the global trade in steel. Steel prices diverged across the regions during the quarter and amidst this , Tata Steel has delivered a consistent performance with our consolidated EBITDA margin improving by about 300 basis points YoY for the nine months ended 31st December 2025.

India is a core market, and our crude steel production rose about 12% QoQ and YoY to about 6.34 million tons . The sales ramped up in line with the production and outpaced the domestic demand, taking quarterly deliveries past 6 million tons for the first time for Tata Steel in India. Along with the ongoing cost optimi sation, this helped offset the drop in net steel realisations on a QoQ basis and deliver a 23% EBITDA margin during the quarter. Some of the segmental highlights are that the Automotive & Special Products business delivered the best ever quarterly and nine -month volumes driven by rapid OEM approvals for the advanced steel grades from our Kalinganagar plant. The cold rolling mill and the galvani sing lines are ramping up very well. The auto downstream mix is now more than 50% of the nine month sales level, reinforcing our leadership and preferred supplier position. We continue to strengthen our position in the retail segment. Our well-established retail brand, Tata Tiscon, achieved the best ever third quarter volumes while our cold rolled brand for MSME s, Tata Steelium grew 20% QoQ helped by the cold rolling mill in Kalinganagar. Our omni channel model is deepening customer engagement and with A ashiyana and Dig ECA, we achieved a gross merchandise value of about R s. 2,380 crore s which is up 68% on YoY basis . Our commitment to product development and innovative solutions has helped secure internationally certified steel grades for Oil & Gas and Shipbuilding . We have also introduced mobile bore pile cages for the first time in India, offering a ready to use solution that enhances productivity and lowers project costs in challenging terrains. Our tubes business achieved the best quarterly volumes on account of a 0.3 million ton capacity addition and a dominant share in the high value infrastructure projects.

We remain committed to the India growth strategy by investing in capacity, downstream facilities and sustainable steel making. And in relation to our recent announcements, I'm happy to share that we consolidated our stake in the color coated business and completed the acquisition of the 50.01% stake in T hriveni Pellets Private Limited.

Moving to UK, our deliveries stood at 0.5 million tons, lower QoQ due to the subdued demand . The UK steel safeguard measures are due to expire in June 2026, and the framework needs to be revised to reflect the market conditions and narrow the policy gap with the EU. In Netherlands, the liquid steel production was broadly stable at 1.7 million tons, while deliveries were 1.4 million tons. Lower steel reali sations were partly offset by better controllable costs and the sentiment in EU is improving, supported by the CBAM rollout and expected safeguard revisions from June 2026. We also commissioned a new production line for packaging steel using patent ed Trivalent Chromium Coating Technology to enable sustainable and regulation ready manufacturing. With that, I will now hand it over to K oushi k for his comments.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Thank you, Naren. Good evening to all of you who's joined in. I will begin with some headline financial performance data for the nine m onths ended December 31st, FY2026 before moving to the quarterly performance. Firstly, our consolidated EBITDA increased by 3

1% YoY from Rs. 19,040 crores in the nine months ended December 2024 to Rs. 24,894 crores in
the nine months ended December 2025. EBITDA margin expanded by 300 basis points, as Naren mentioned, from 12% to 15% and reflects a disciplined execution in an environment marked by macro uncertainty, currency volatility and persistently high finished steel exports from China. Secondly, our performance demonstrates the impact of the cost transformation program, which has achieved Rs. 8,600 crores of savings in the nine months across geographies. To put it in context, on a YoY basis, lower steel reali sation s across geographies led to an adverse impact o n revenue of about Rs. 7,400 crores, which was mostly offset by higher volumes and declining raw material related costs. In terms of execution, the cost transformation program has achieved 93% compliance to the internal plan. The deviation i s primarily on account of extended consultation with the Central Works Council in Netherlands. In November 2025, we reached a formal agreement on the employee restructuring social plan, leading to the recognition of a restructuring provision of ~Rs. 737 crores in the consolidated accounts under the exceptional items.

At a geographic level, India continues to be the anchor of our performance with EBITDA growing at 12% YoY to Rs. 24,431 crores . The EBITDA margin was 24% and remains close to the 10 year average. Our performance in UK and Netherlands has improved materially on a YoY basis. UK losses have narrowed by £135 million to -ve £170 million while Netherlands EBITDA nearly tripled to €210 million. Combined UK and Netherlands EBITDA turned positive for the period. Overall improve profitability and effective working capital management has enabled us to generate operating cash flows of ~Rs. 20,500 crores before capex and dividend and a free cash flow of Rs. 5,640 crores which is significantly higher than the nine months ended December 2024.

Moving on to the third quarter performance provided on slide 24 of the presentation, our consolidated revenues stood at Rs. 57,00 2 crores and EBITDA was Rs. 8,309 crores , translating to a margin of 15%. While steel reali sations declined in India and Netherlands, they were more than offset by the benefits from our cost transformation program. Expanding on the cost transformation program , as a company we have delivered an improvement of more than Rs. 3,000 crores during the
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quarter. India delivered cost transformation benefits of around Rs. 890 crores. Key cost efficiencies were driven by purchase optimi sation of spares, reduced refractory consumption, increased use of coastal waterways, which offer a structural cost advantage over the other modes of transport , higher power wheeling and leaner coal mix. UK outperformed their cost plan by achieving a benefit of Rs. 570 crores driven by calibrated maintenance cost, stronger spares management discipline, insourcing of product testing, and improved efficiency in natural gas and electricity consumption. Netherlands delivered quarterly benefits of around Rs. 1,600 crores via optimi sation of coal blend leading to decline in procurement cost and deployed value -in-use concept to improve operating efficienc ies such as fuel rate, scrap consumption , etc.

Let me now provide a deeper understanding of India, UK and Netherlands quarterly performance. Tata Steel standalone revenues for the quarter stood at Rs. 35,578 crores and EBITDA was Rs. 7,940 crores . Excluding the FX impact, the adjusted EBITDA stood at Rs. 7,90 2 crores and was marginally lower on absolute basis versus 2Q of this financial year. As Naren mentioned, our volumes crossed 6 million tons for the first time in a quarter and this coupled with the improvement in costs, has helped partly offset the drop in the steel reali sation s on a QoQ basis. Separately, Depreciation and Amorti sation has increased by 6% QoQ to Rs. 1,826 crores upon capi

tali sation of downstream facilities . For example, the CRM complex
in Kalinganagar and the Combi mill in Jamshedpur. Our wholly owned subsidiary Neelachal Ispat Nigam Limited (NINL) recorded Rs. 350 crore s EBITDA for the quarter, which was up 35% QoQ and reflecting an EBITDA margin of 22%.

Moving to UK, the local steel makers are having to contend with weak demand, volatile input costs and cheap imports. Steel prices continue to hover around £500 -£510 per ton and have been in contraction for the last two years. Existing steel safeguard measures are set to expire in June 2026 and the revised safeguard framework is yet to be formally announced. In this context , our EBITDA loss has remained broadly stable at about £63 million on a QoQ basis. Conversion cost s per ton were largely maintained, demonstrating cost discipline despite the adverse impact of lower volumes on operating leverage. Separately , work is progressing on the 3 MTPA scrap based Electric Arc Furnace (EAF) . Major demolition work has been completed and securing access to high power electricity is critical for our plan ned transition. We are working with the Electricity System Operator and National Grid for the new electrical infrastructure which remains critical for the project commissioning. In Netherlands, the third quarter EBITDA stood at about €55 million which translates to €39 per ton. Impact of lower volumes and reali sations were partly offset by the improvement in the costs to the tune of about €21 per ton on a QoQ basis. TSN performance for the quarter also reflects the partial impact of the US tariffs. The US business of Tata Steel Netherlands was a high revenue and high margin business catering to automotive , packaging, etc. The levy of tariff to the tune of 50% , weighed on the performance.

Overall, we generated more than Rs. 10,300 crores of operating cash flow s before capex aided by profitability and tight working capital management. Of the cash flows, we spen t on capital expenditure of about Rs. 3,290 crores with majority focused in India. Free cash flows for the quarter were about Rs. 7,054 crores and were significantly higher than the second quarter. As a result, Net debt at Rs. 81,834 crores was lower by about Rs. 5,200 crores vs. the end of the previous quarter in Sep '25, and lower by about Rs. 3,900 crores v s. Dec'24. Our net debt to EBITDA stands at about ~2.6x, well within the stated range of below 3x for the cycle.

Managing regulatory complexities has now become a strategic imperative across geographies. Let me put this in context using Tata Steel Netherlands. In the nine months ended December 2025, TSN generated an EBITDA of around €210 million after considering the emission rights related cost s of about €150 million and the adverse impact of tariff s from the US at about €50 million. Excluding these costs, the EBITDA works out to more than €400 million or around €93 per ton. This illustrates the cost of burden currently borne by the EU steel producers. On January 1st, 2026, CBAM entered its definitive phase with carbon costs being embedded into imports and structurally improving the competitive landscape for the EU producers. The CBAM's definitive phase requires importers to verify embedded emission intensity. Verification is expected to take time and importers who fail to verify will face carbon costs calculated using the default values by the

country of origin. Separately, EU intends to revise its safeguard measures [inaudible] by reducing the product quotas and raising the duty for imports beyond the quotas from 25% to 50%. The effectiveness and timing of the CBAM effect and the trade related quotas will determine how quickly the imports retreat from the EU market and the utili sation of the local steel industry increases which will have positive implication on the price regime.
Before I close, I would like to reiterate our commitment to creat ing sustainab

le long -term value. India remains our core
growth market, and we are scaling upstream as well as downstream capacity. In December 2025, we had outlined our India plans including the strategic partnerships with an eye on the raw material security and to cater to growing markets in Western and Southern India. At the same time, we are progressing with the transition of the UK and Netherlands operations to a more sustainable operating model. Our capital allocation will be prioriti sed, optimi sed and sequenced

across geographies to ensure consistent returns over time. With that, I'll end my presentation and open the floor for questions. Thank you so much.

QUESTIONS AND ANSWERS

Operator

Thank you, sir. We will now begin with the Q&A session. The first question for today is from Vibhav Zutshi of JP Morgan. Vibhav, please go ahead and ask your question.

Vibhav Zutshi, JP Morgan

Thanks for the opportunity. The first question is on Europe. Now some of the European players have come out with very strong commentary on pricing. ArcelorMittal has actually raised April delivery prices to €700/t, which is another €60/t higher than spot. Just want to understand how sticky and sustainable could these be because it looks like demand is still weak, but like you mentioned , expectations are around higher utili sation levels as imports start to come down. Thank you.

T. V. Narendran: CEO & MD – Tata Steel Limited

When you look at what's happening in Europe, while the demand has been quite stable at around 130 million tons for the last few years, imports had gone up to about 30 million tons. And as K oushik mentioned, the quotas that have been announced are going to ha lve those imports to about 15 million tons. So that's going to happen by June -July and in addition to that you have the CBAM, which has already started , and the CBAM has an impact on the import prices as well. So, if you're selling into Europe, even in this quarter, you'll have to factor in the impact of CBAM on the prices , and the n on top of that, you're going to have a reduction in imports. So that's what is getting reflected in steel prices going up in Europe. So , over the last 2-3 years, we had seen the European prices move more towards the Asian prices, and increasing the gap with the US prices. But , because of these actions, we expect that prices in Europe will move away from Asian prices and move towards the US steel prices. It may not reach the levels of US steel prices but certainly will move closer to that.

Vibhav Zutshi, JP Morgan

Okay, thank you, that's helpful ; the second question is on India. Firstly, congratulations on the improving leverage ratios. Just want to understand the broad timeline for all the capacity expansion s - NINL, then this 2.5 M TPA at Meramandali and any indication that you can provide for the Maharashtra greenfield. And also, how to think about debt as capex will likely accelerate from now on.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

In December when we said that we had the in - principle approval of the consideration of the board for the NINL expansion, we are working on it. We are maybe weeks away from getting the environment clearance and once we get that, our basic engineering ordering is in progress. So, I guess it will take about 35 -40 months when we get into th e execution level. I think it is also important to mention that we will get to the FID in the next couple of months. So that will stitch in as far as this expansion is concerned. Maharashtra is slightly longer term because it is at the enabling level, and we will have to get into the project and the DPRs etc. So that's slightly longer, but parallel work is happening in terms of planning and conceptuali sing it. As far as the Meramandali expansion is concerned, we have to get the EC clearance. So, the first one is the NINL, the second one is the Meramandali and the third w

ill be the Maharashtra or Kalinganagar expansion, whichever
we are ready with. So that's the time frame or rather the sequence. The time frame will [inaudible] over the next three years or five years. The second part of the question that you asked about debt ; I think we've said that broadly we would like to be up to about 3x Net debt to EBITDA. And sometimes when you have cyclical issues, we move to 3.2 x, and when in better times or when we are able to generate more cash flows, it comes down , as you see now , we are at 2.6x. So that's the kind of range. We will not bust that range because we have a strong pipeline of capex which are productive. There is also a program for the downstream projects as we mentioned last time - the HRP GL has got approved , Tinplate is underway, TBSPL we have completed , and we have more downstream in the long product s segment including wires which is being

worked on. So, it is in that range of the balance sheet that we will work on, in a mid-cycle . If the c ycle becomes much better, then we will recalibrate, but effectively the pace of growth will also be calibrated to that extent. Hope that clarifies.

T. V. Narendran: CEO & MD – Tata Steel Limited

And to add to what Koushik said, we also have the Ludhiana plant coming up in the next couple of months.

Vibhav Zutshi, JP Morgan
Sure . Thank you, sir.

Operator
The next question is from Satyadeep Jain of Ambit Capital. Satyadeep, please go ahead.

Satyadeep Jain, Ambit Capital
The first question is on Europe. What is the status now on UK, the safeguard s and what discussions are you having with the government? Is there any progress there? And secondly on that front in Europe, given CBAM and the emissions have not been verified for a lot of importers, what is the trend in imports? Have they significantly reduced in Europe given the uncertainty on verified emission so far?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So as far as UK is concerned, as I've said in the narrative and in the previous narrative also , we are deeply engaged at all levels to get the safeguard and quotas out. We are hopeful that it will happen soon. We know it is progressing, and we are encouraged by that. But it has not happened . So, we are looking forward to the safeguard s because it is in the interest of the UK domestic steel industry, not just us , to ensure that we have the recalibration of the quotas and the safeguards. It is also important for UK to do that in the context of the fact that EU has come out with the quotas and with their steel action plan, and therefore there is a need to harmoni se it. So that is work in progress. As far as the CBAM is concerned, I think it's very early days , because there was some amount of stocking that happened pre -December. That's why I mentioned that the effectiveness of CBAM, we will have to see as to how the imports reduce because the default rates are high at this point of time ; the first year default rates are significantly high . For example , in case of China, it is about 3.1, in case of India, it's about 4.2 . So, I think we just need to see as to how it works. As Naren mentioned , irrespective of the demand condition s, there will be a n uptick in prices because arithmetically , it has to work in that manner. And then comes the steel action plan. There are two very fundamental regulatory triggers in EU which will push up the prices and will have an effect of pushing it towards the US prices . And if you look at the markup in the CBAM, it is a 10% markup in 2026, and a 20% markup in 2027. So , till the verification happens, the markup keeps increasing. So technically the prices should increase. Fundamentally , what's going to happen post the steel action plan comes in June or July is that the marginal cost of new supplies , either beyond quota or within the EU , which are the capacities that are shut down , will come a

t a marginally
higher cost, that will also have a cost push element on the prices. So , we are certainly expecting that the price buoyancy to remain in the EU for a longer period of time.

Satyadeep Jain, Ambit Capital
Thank you for that, K oushik . Secondly, on India, just wanted to seek your comments on the budget proposal for National Waterways 5 in Odisha linking Kalinganagar to Parad ip. I know these projects can take long. What's your expectation there in terms of timeline and impact on cost? And if it comes through, does it make you rethink your decision to look at Maharashtra , because many players are also actively considering staying on the East Coast, including ArcelorMittal who has announced a greenfield plant on the East Coast. If that comes through, would that change your decision anyway?

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T. V. Narendran: CEO & MD – Tata Steel Limited
So, if I could comment on that . Firstly, Maharashtra is in addition to our plans for the East Coast . It's not in place of any plans . Because , if you look at our own plans for the East Coast, between the Kalinganagar complex that we have and Neelachal which is across the road, we have the opportunity to build about 25 million tons of steel capacity there, which is today at 9 million tons; 8 million tons in Kalinganagar and 1 million ton in Neelachal . So that opportunity exists , and this waterway that they are talking about will help that site. Then you have the Bhushan plant in Meramandali which can go up to 10 million tons. So, in Odisha, we have the opportunity to go up to 35 million tons as against the current 14 million tons. Maharashtra is in addition to that and gives us optionality on the iron ore and servic ing western and southern markets. India is one of those countries where waterways account for a very small percentage of logistics. Whereas , if you look at most other geographies, whether it's the US, whether it's Europe, or whether it's China, a lot of material including steel, moves on the waterways. I think the government's ambition is to create a network of waterways and we are glad that they picked this waterway which is close to our Kalinganagar site because we think it will help us bring down the logistic s cost, which as you know in India is still higher than what it is in other countries. One of the reasons is the mix , because in India there's a higher mix of road compared to other geographies , and t here's a lower mix of waterways compared to other geographies. Having more waterways is certainly going to help the logistics cost . But I think we don't have a timeline yet. I guess it will take some time because it means creating the infrastructure, it also means dredging, to m ake it an all -season kind of waterway. You also need to have handling facilities and barges. So , there's a lot that needs to be done, but we are happy that it's on the radar of the government.

Satyadeep Jain, Ambit Capital
Thank you so much.

Operator
Thank you, sir. The next question is from Pinakin Parekh of HSBC. Pinakin, please go ahead.

Pinakin Parekh, HSBC
Thank you very much. So, my first question is on UK. The losses in the UK operations are relentless , and there does not seem to be any policy support coming through. So how should we look at UK over the next few quarters? There's a safeguard in India, the re’s CBAM in Europe, but there's nothing in UK.

T. V. Narendran: CEO & MD – Tata Steel Limited
In UK, a lot of actions have been taken by the team. We have ourselves reduced fixed cost by more than £400 million in the last two years, almost £500 million. So, I think in terms of cost takeout, all that could be taken out has largely been taken out. As Koushik explained, it is a problem because of the fact that the quotas in UK are higher than the demand in UK and that's what the government is expected to revise and more so , because of the actions taken in the EU. So we've been promised that these revisions will happen soon. You must also reali se that the UK government itself is invested in the steel industry because of the steel plants that they've taken over. So, when the steel industry is losing money, it directly hurts the UK government as well. We are hopeful that some actions will be taken because , with these levels of quotas and these prices, it's obviously not looking good from a n EBITDA point of view. What has happened because of the actions we've taken , as K oushik said, is that EBITDA losses have halved. It is still there, and we expect it to keep improving because of the actions we are taking , but it will not become positive till there is some action from the UK government on the imports or if the steel prices go up in UK. So , I think we are expecting that some actions will be taken in the next few weeks by the UK government and once it happens, hopefully we are on track to make sure that UK is on positive EBITDA territory. But yes, it is a challenge, but given the actions being taken in the US, in Europe, in India and elsewhere, we expect the UK government also to be taking those actions soon. K oushik, you want to add to that?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
No, I think that's perfectly fine. I just wanted to tell Pinakin that we also have some actions being planned. But fundamentally , because we will also look at building a new plant , we don't want to do anything which will affect the long term. And therefore, we are also looking to ensure that the assets run at the most optimal ability and the conversion cost continues to be in a manner where we can be competitive , post the build of the E AF. So, just now , we are looking for more external policy support as an industry.

Pinakin Parekh, HSBC
Thank you. So just continuing on that , Tata Steel is doing everything it can, but it is facing the twin problem of making an investment while having EBITDA losses. On the policy perspective, you would expect support from the government on the existing steel environment and assume that there would be policies related to the capex . So, would the company at some point of time wait for the policy to fructify before stepping upon the capex or will the capex continue irrespective of whether there is any immediate support from the government?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So, if I may just try to articulate it. See, once the EAF is built, our cost structure will be different. When our blast furn aces were running, our cost structures were high. We transitioned to plan for the E AF because the cost structure would be lower than what we were running at. We are at an intermediate phase where we are buying the substrate and then working on the conversion cost. So, the point is that if we were to not progress with the E AF, we are going to delay that transition into a more profitable unit. So, I think there is no upside in delaying the investment. On the other hand, if all factors are aligned, and here we are depend ent on the National Grid for the electricity connection and also our own internal projects for getting it done. But the quicker we can convert it to that stable state, at least we will be in a better cost position, better workin g capital position, and not cutting slabs and rolls from all over the world. So, we have done that analysis and scenarios, and it makes sense to continue to do the project . Take the money which the government has given , as i t is a participant and that's the basis on which we continue to execute the project at this point of time. In the longer term, we hope that the government for its own requirements , as Naren mentioned is also a big participant now, and a direct owner or a controlling entity of the rest of the steel industry in the UK , is als o very mindful of the fact that this bleed needs to stop ; not just for us but also for them. And I hope that it is in a matter of weeks now.

Pinakin Parekh, HSBC
Got it. Just lastly, with the safeguard duty place d in India, and the price hike tha t we have seen in India in the spot steel market between December and Feb ruary , is it fair to say that the December quarter EBITDA per ton was probably the low , till the safeguard duty is in place?

T. V. Narendran: CEO & MD – Tata Steel Limited
I think December quarter price s, particularly the first part of that quarter wa s probably the lowest in the last five years for flat product s, and pretty low for long products as well. So, in some sense , that was the bottom as far as the prices are concerned. So yes, we expect better numbers this quarter. But we should keep in mind that coking coal prices are also

going up ; we are conscious of that. But still , prices are certainly coming back to the levels where it should be , because it used to be at a discount to import landed. Now it has caught up with import landed [inaudible] .

Pinakin Parekh, HSBC
Yeah. Got it. Thank you very much.

Operator
The next question is from Prateek Singh of IIFL Capital. Prateek, please go ahead.
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Prateek Singh, IIFL Capital
Hi, thanks for the opportunity. So, the question is more strategic and regarding the fixed cost takeouts in India and the medium -term human resources plan. How are we preparing for the iron ore mines expiry, if any in 2030 ? Any plans to move to a MDO model for m ining in the medium term to strengthen the employee transition ? I understand that we min e much more than our peers and there is always an element of contractual costs as well. But I think our standalone employee costs would be higher than that of our largest peers in our operations and that of the largest listed iron ore miners in India combined. So, is there any way to get a sense as to what percentage of India employee cost is on mining and how are we planning to do this transition over the next four years?

T. V. Narendran: CEO & MD – Tata Steel Limited
I'll maybe give it a shot and then K oushik can supplemen t. So firstly, I'm not sure if our mining costs are much higher than others because we run a very, very efficient mining operation both for coal and iron ore. If you look at Tata Steel's legacy costs, a lot of the legacy costs are in Jamshedpur . So, if you look at the cost structure, and the demographic profile of our employees in Kalinganagar and other sites, it's much better ; we don't have those legacy costs. As Tata Steel grows more and more in Kalinganagar, Meramandali , etc., the impact of the legacy cost s in Jamshedpur keeps coming down and we are addressing the legacy costs in Jamshedpur. So , because of these actions, the cost disadvantage we may have in some sites vis -a-vis our peers will keep reducing , and we will be doing this obviously in a n accelerated way till 2030. That is one part. The second part is , because of the fact that all our sites are within 200 kilometres of each other , we have some advantages of scale because if we are moving to 40 – 45 MTPA , all of that is going to be produced in about 200 kilometres from each other and that gives us a lot of advantages on scale economies , etc., which will also help us negate some of the impact , post 2030. Thirdly, as we mentioned earlier, our move into Maharashtra, and our move into recycle based steel in north and west, are also actions that we are taking to mitigate the impact. And fourthly, the move into downstream basically looks at how we improve the mix, how we get better reali sations , and so forth beyond all the cost takeouts that we are planning. All these are expected to mitigate the impact of any cost increase that we will face in 2030. This is broadly the plan and K oushik you can add to that.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Yeah, I'll just add two points Prateek. One is the fact that we are not going to exit cap

tive mining. We have mining reserves
which are opening up and therefore mining as an activity will continue for Tata Steel. Mine Developer and Operator (MDO) as an option will always remain and we will be looking at certain opportunities. We also now have BRPL which will be in that space , if required. So, I think the transition planning for 2030 has already started. We are looking at various alternatives as Naren mentioned ; even Maharashtra is an important alternative. So, the manpower cost i s not so much of an issue. We also do [inaudible] of contract workers in there, so it is not that we are very heavy . In the sense , from a cost point of view , cost of ex-mines iron ore for us at this point of time is possibly one of the lowest. I think it is not at all high compared to the rest of the industry. With more mines opening up, be it Kalamang, Koira, Gandhalpa da, etc., we will be redeploying people and reworking on how we can ensure that the transition costs are minimi sed.

Prateek Singh, IIFL Capital
Understood. So , I understand that , would there be any way to get a very ballpark sense as to what percentage of the entire employee cost is on specifically mining operations.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
I don't have it off hand, maybe we can do that later.

Prateek Singh, IIFL Capital
Thanks. And the second question is largely on Europe. As an earlier participant mentioned as well , the prices have risen quite a bit , to $750 /t from $650/t a few months back. So wanted to understand the nature of our contracts , and with what kind of lag do we see these prices coming up to our P&L.
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Koushik Chatterjee: ED & CFO – Tata Steel Limited
So, contracts are about 35%, largely in packaging which is one area where there are one year contracts and six months contracts. Automotive is the other; automotive has its own cycle. That's the point I mentioned that the benefits of the EU domestic prices will depend on the effectiveness of the CBAM as well as the quotas, both together. So, I think the full impact of that will come gradually and not in one jump. And I think the estimation is that there is an opportunity for almost €100 /t increase in prices over the full year. So, we just need to watch the space and see all that is said and done. If there is a Euro on the table, our colleagues in Netherlands will certainly work to ensure that we get it. But it will happen in at lea st

two stages; one is CBAM now and secondly when the tariff s come in post June 2026.

Prateek Singh, IIFL Capital
Understood. Thanks, and all the best.

Operator
Thank you. The next question is from Vikash Singh of ICICI Securities. Vikash, please go ahead.

Vikash Singh, ICICI Securities
Thank you for the opportunity. So , my first question pertains to Netherlands. How much carbon credits do we have as a percentage of overall requirement right now? Since in the last call you said that your emission levels are already closer to 1.6 tCO■/tcs, does that mean that whatever carbon credits we have, these are surplus, or we still have to pay or buy some additional carbon credits ?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
The reference point I'm using is the CBAM. So, the reference point for CBAM for EU domestic producers is 1.37 tCO ■/tcs. So, if it is 1.37 tCO■/tcs and we are produci ng at 1.66 or 1.68 tCO■/tcs, there is a gap and there is a free allowance that comes in. So, we have to buy the net of that . I think we will still be buying, and we'll continue to buy till we do the transition because the reduction in free allowances is going to happen from this year to 2032 or 2034.

Vikash Singh, ICICI Securities
Noted, sir. And the second question is regarding your outlook on the price increase in 4Q. I f you could give us that.

T. V. Narendran: CEO & MD – Tata Steel Limited
Price in India or Europe?

Vikash Singh, ICICI Secu

rities
Both geographies, India and Netherland, price and the cost, especially the coking coal cost changes.

T. V. Narendran: CEO & MD – Tata Steel Limited
I think the guidance we are giving is , India prices on QoQ will be about Rs. 2,300 /t higher , and on a spot basis of course , hot roll ed will be much higher, but I think when you look at the mix and you look at some of the contracts that we have, we see an improvement of about Rs. 2,300 /t. In UK , it's going to be about £5 /t higher or so. In Netherland s, on a spot basis it is going to be higher on the hot roll coil, but because of the mix issues that K oushik referred to, and the fact that the packaging contracts are getting renegotiate d, we are seeing a QoQ reduction of €30-33/t per ton from 3Q to 4Q. But having said that, we expect Netherlands to more than offset this reduction in reali sations because of cost take out, so we expect
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an EBITDA expansion in Netherlands, and a slight improvement in EBITDA in UK. Also, because we expect Netherlands to be selling almost 400,000 tons more in 4Q compared to 3Q. And India will also see an EBITDA expansion because although the coking coal cost impact is going to be about $15 /t, the benefits that we will have from the prices , the slightly higher volume s as well as the mix is going to be better in India . So overall we expect EBITDA to be better in 4Q compared to 3Q, and volumes to be almost half a million tons better in 4Q compared to 3Q.

Vikash Singh, ICICI Securities
Noted, sir. Thank you.

Operator
The next question is from Pallav Agarwal of Antique. Pallav, please go ahead.

Pallav Agarwal, Antique
Good evening, sir and thank you for the opportunity. So just want to check, with CBAM coming in, will some of the exports that were going to Europe, come back to India and pressuri se domestic prices?

T. V. Narendran: CEO & MD – Tata Steel Limited
You mean as an industry? Because Tata Steel doesn't sell much to Europe. We send slabs to UK for our plant, but otherwise we are not a big exporter of steel to Europe. Maybe some of our peers are, but I don't think that volume will be so significant as to make an impact in the domestic market in India , because the demand is pretty strong in India. In the l ast couple of quarters , there was a little bit more ramp up of capacities because our capacity ramped up and a few others, but now there's better balance in the domestic market . So, I don't expect that to have an impact on prices in India.

Pallav Agarwal, Antique
Sure sir. Any volume guidance for FY2027?

T. V. Narendran: CEO & MD – Tata Steel Limited
Because we are in the process of finali sing a plan, we'll give you that guidance in the next analyst call.

Pallav Agarwal, Antique
Sure sir. Lastly, are there any premium products in the UK or Europe that can actually come into India despite the safeguard duty? Is there any opportunities in the Indian market for that?

T. V. Narendran: CEO & MD – Tata Steel Limited
No, I think the competitiveness will not be there . If you look at the costs in Europe and the prices in Europe, it doesn't make sense to ship from there to India. But what we are certainly doing is working very closely together in many areas because there are many applications that we have in Europe, particularly in the construction industry, which we are bringing back to India from the experience that we have. There are of course some special products which come from UK. For instance, IKEA when they build their warehouses , the roofing sheets actually come from one of our UK plants. So, there are these kinds of speciali sed requirements but not very significant volume s.

Pallav Agarwal, Antique
Thank you, sir .

Operator
The next question is from Aditya Welekar of Access Securities. Aditya, please go ahead. Aditya, we are unable to hear you. We request you to please send in your question via cha

t or rejoin the queue. We will now move to the next question. The
next question is from Ashish Kejriwal of Nu vama. Ashish, please go ahead.

Ashish Kejriwal, Nuvama
Two questions, one in Europe and second in India. In India , is it possible to share how much price drop we have seen in 3Q versus 2Q and, how much coking c oal cost reduction we have witnessed in 3Q.

T. V. Narendran: CEO & MD – Tata Steel Limited
So, for India, the price drop was about Rs. 2,100 /t, in 3Q compared to 2Q. We had guided Rs. 1,500 /t but the market was softer , particularly in October and November. Prices started going up only towards the middle of December. In terms of coking coal, I think the consumption cost was up by $4 /t for India , in 3Q compared to 2Q.

Ashish Kejriwal, Nuvama
And secondly, is it possible to share the UK conversion cost because from what we understand , in UK, even if government gives support and steel prices increases, obviously our slab prices will also increase. The cost takeouts which we have already taken and most of the efficiencies have already taken place in terms of cost reduction. So , what kind of government measures are we trying to look at to make EBITDA positive in UK. And in Europe , while you are guiding reduction in prices because most of our contracts start from Jan uary, we have witnessed spot price increases. So even if the entire price increase will take into account the entire year, how are we going to see the reduction in prices in Netherland s in 4Q. And at the same time , when you are seeing that cost reduction will help in offsetting all the price decline and EBITDA will expand , this is on account of only cost reduction or when prices increase will we expect higher EBITDA ?

T. V. Narendran: CEO & MD – Tata Steel Limited
So, I'll let Koushik address the UK question. In Netherlands what's happening is that it's more of a mix issue, rather than a price issue. The price at a hot roll ed coil level is going up. We don't do so much on spot basis . But it's going up by about £20-25/t, from 4Q to 3Q. Where we are getting hit a bit is in packaging . Two things are happening on packaging contracts. Firstly , there's a renegotiation of packaging contracts because of new contracts , and then there is a price drop. The second thing which is happening is that a lot of volumes of packaging used to go to the US , but the volumes are being cut to the US. That volume which does not have so much of a market in Europe , is being sold in , let's say engineering grades and other grades. So, from a mix point of view, there is a dilution. This £33/t is more of a mixed dilution impact rather than a price drop impact - it's more of a mix impact. But like I said, the cost takeouts are going to be more than this and hence , we expect the EBITDA to get better . Going forward, as K oushik said, we expect this momentum on prices to keep getting better in Europe and that's why we are more bullish about the prices in Europe for this calendar year. Koushik, you want to comment on UK?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Yeah, so very broadly, if you look at the price drops that have happened over subsequent quarters or years actually in UK, the average price at a point in time used to be well over £900 /t. Now, at this point of time , we have multiple downstream products. There is tin plate, there is color coated, there is automotive, tubes, etc. So , what we are looking at essentially is , if the quotas are in place and the tariffs are in place, then the spread will increase and I think that spread increase of say, £75-80/t would be good enough for us to look at increas ing the profitability to make it neutral. Ideally , if the right quotas are

in place in a similar manner in EU, the price increases should recover to somewhere over £100 /t and that will help in the profitability significantly.

Ashish Kejriwal, Nuvama
So, sir, do y

ou mean to say tha t at a spread of around £100/t, we will break even?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Delta. From where we are today.

Ashish Kejriwal, Nuvama
At what spread will we break even in UK?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So, I'm saying that, wherever the spread is today , that spread has to expand by about £100 /t to make it a profitable entity.

Ashish Kejriwal, Nuvama
Okay. Thank you so much.

Operator
Thank you. The next question is from Indrajit Agarwal of CLSA. Indrajit, please go ahead.

Indrajit Agarwal, CLSA
Thank you for the opportunity. I have two question s. First, when is the next auto contracts renewal due in India and what kind of price increase can we look over there

T. V. Narendran: CEO & MD – Tata Steel Limited
I can't give you guidance on the price increase but certainly prices will be higher. We expect it to be higher to reflect what's happening in the spot markets. Contracts are due for renewal in April , I think , and the next set of new prices will be effective April. So, we are not seeing the benefit of auto prices this quarter. Whatever we see this quarter is a benefit of the spot orders.

Indrajit Agarwal, CLSA
These are now quarterly pricing contracts, right?

T. V. Narendran: CEO & MD – Tata Steel Limited
Largely, yes. Auto is now largely quarterly contract s. Sometimes you may negotiate two quarters in one shot, but it's typically a quarterly contract in India.

Indrajit Agarwal, CLSA
Sure, thank you, that's helpful. My second question is on spot basis, what are the spot steel prices and coking coal cost s vs. the 3Q reali sation s that we had?

T. V. Narendran: CEO & MD – Tata Steel Limited
In India, you're asking?

Indrajit Agarwal, CLSA
Yeah, both in India [inaudible].

T. V. Narendran: CEO & MD – Tata Steel Limited
Coking coal, like I said, on a consumption basis will be about $15 /t higher in 4Q compared to 3Q. On a mixed basis , India prices will be Rs. 2,200/t higher , but if I were to look at the hot rolled coil, I think it will be about Rs. 3,500 /t higher.

Indrajit Agarwal, CLSA
Now, I want to check that you will have some inventory and some in transit for coking coal as well, right? So, let's say if I were to look at 1Q, would there be a further $10 -15/t increase in 1Q FY 2027?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Indrajit, what he's saying is on a consumption bas is. That takes the stock into account.

T. V. Narendran: CEO & MD – Tata Steel Limited
So, if I look at purchase, it is actually $22 /t higher in 4Q compared to 3Q, but the consumption is $15 /t because of what you said. We have materials in transit and things like that , and s ome of this will flow through into the next quarter.

Indrajit Agarwal, CLSA
Sure, that answers my question. Thank you so much.

Operator
Thank you. The next question is from Sumangal Nevatia of Kotak Securities. Sumangal, request you to please go ahead and ask your question.

Sumangal Nevatia, Kotak Securities
Thanks . So, the first question is on the volume growth headroom . Just want to understand , given our rated capacity, what is the potential volume we can achieve in the next two to three years without NINL . I believe , Koushik mentioned that NINL would take around 40 odd months. So, am I right in expecting that the commissioning would not be before FY 2030?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
FY2029.

T. V. Narendran: CEO & MD – Tata Steel Limited
If you look at next year 's volumes, while we'll give the specific guidance when we do the next analyst call, next year we will not have any major blast furnace relines. This year , we've lost a significant volume because we had a blast furnace relining scheduled in Jamshedpur. We won't have that, so that will be a positive for next year. S

econd thing is that we'll have the
Ludhiana plant starting up maybe by the middle of March. That's also a plus that we will have. Thirdly, this is not in absolute volume s, but in terms of mix, you will see significant improvement because the cold rolling mill, the galvani sing lines, and the combi mill in Jamshedpur, are all ramping up in the second half of the year . So, next year you'll see the full benefits of all this. These are the areas where we see some benefits for next year , at least as far as India is concerned. But we'll give you more specific guidance when we do the next analyst call.

Sumangal Nevatia, Kotak Securities
Understood. But, mathematically, two to three million ton s is the headroom before the next expansion kicks in. Is that right? I'm just comparing with few peers who are much more aggressive in expansion. So, is a market share loss over the next few years , a point of worry or consideration for us in evaluating all the expansion plans?

T. V. Narendran: CEO & MD – Tata Steel Limited
So, there are a couple of comments that I want to make. Firstly, the way we approach an expansion plan is now changed. We first get all the environment clearances and everything else before we get the FID done , because we find that gives us more definitive timelines. Let's say N eelachal also, as K oushik said, we could have said last year itself that we are expanding, but then there's no EC, so there's nothing you can do till then . So, that's one thing that has change d. Second thing is, as we said earlier, there is a lot of focus on increasing our downstream capacity and product mix. Generally , in Tata Steel, we always look at whether our market share in attractive segments be twice our overall market share . So, if we are a 15 -20% market share player, then in the attractive segments, we should be at least 40% or more . So that's what we chase because that gives us a better realisation s, better product mix, and less vulnerability to cycles. So that's why , whether it's auto, whether it's oil and gas, or whether it's retail business, we are chasing mor e and more downstream . So, in our downstream mix, for instance, we are moving towards a million tons or more of tubes. We've just approved some expansion in wires, and we have about 700 ,000-800,000 tons of wires and that to very high end wires. I think these are the areas we will focus on. We will be looking at market share, but we will be looking more at market share in the right , attractive segments, which are more quality conscious and less vulnerable to cyclicality. So yes, we have the runway to grow, and we will continue to grow.

Sumangal Nevatia, Kotak Securities
I understand, that's very helpful . There's a lot of news flows with respect to Thyssen krup and one of the Indian peer s evaluating it. Just want to know your view on how do you see industry structure changing . Any consolidation or anywhere we are looking to participate in any form and how does it change the market?

T. V. Narendran: CEO & MD – Tata Steel Limited
I think in Europe, we are focused on transformation, and transforming our facilities . As Koushik just explained sometime back. In UK, there are a lot of cost take outs, and the transformation will put us in a better cost position. In Netherlands, it's more about driving cost efficiencies and the impact is already visible, but we need to do some more of it and then do the transition. So , we are focused on these two sides and making sure that they are in the right place on the European cost curve. But the second point is, I do believe that in Europe there will be supply side restructuring simply be cause anyone whose blast furnace is up for relining will think hard before relining a blast furnace. They will p robably not reline a blast furnace and not everyone who has a blast furnace up for relining will have the ability to invest in new facilities. So that de

pends on your balance sheet and that depends on the support you get from the government , etc. So, I do see some sort of supply side restructuring. The re will be bigger players who have the ability to invest in the transformation , and there will be some who will not have the ability to invest in the transformation. And so , when their blast furnaces come up for relining, you will see some restructuring on the supply side, which helps the overall market dynamics in Europe. So that's why given

CBAM, quotas, and the supply side actions that are happe ning in Europe, we do see Europe looking more attractive in the next few years than it was in the past few years.

Sumangal Nevatia, Kotak Securities
Got it, got it. Thank you and all the best.

Operator
Thank you. The next question is from Rajesh Ma jumdar of 36 0 ONE Capital. Rajesh, please go ahead.

Rajesh Majumdar, 360 ONE Capital
Hi, good evening. So sorry to harp on the Netherlands a little bit more, but I just had a question . Are we to assume that the price increases we are seeing there are going to be a pass through or are there any costs that we should be cognizant of in terms of the environment ? In there so mething more in the CBAM or what we're already paying or any other change in the cost from what it is right now. I know that you have contracts, but ultimately , should the price increase pass through in terms of the bottom line or could there be any other cost that we should be aware of.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
No, the price increases that are looked at on account of CBAM and tariff are pass throughs. There wouldn't be any impact on additional cost. In fact, th is CBAM cost is a compensation of the cost that we pay with the imports that come in. So therefore, it is more of a reimbursement of the cost that we pay. So, I think that is how we should look at it and that quotas are effectively related to the imports that are happening. So, that has no additional cost implication f or us as such. So, the short answer is no in terms of any relatable cost s. There are other cost factors that are there in EU, but those are unrelated.

T. V. Narendran: CEO & MD – Tata Steel Limited
In fact, if at all , we are focused on cost takeouts, which as you're aware , have been effective in the last year and a half , and will continue to be so going forward.

Rajesh Majumdar, 360 ONE Capital
Sure, sir. Also, there is a class action lawsuit filed against Netherlands in December by an environment related company. what is the status of that and is there any development on that front?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So that has been filed, as you know, by a foundation or a trust, which is backed by professional litigation financiers. It is kind of a suo moto class action, and t here is a three months or four months phase during which we are required to submit our defence , and that's the process that is currently going on. We are obviously looking at it carefully and seriously to ensure that we can put what is actually the truth on the ground. So, that is in the initial phases at this point of time.

Rajesh Majumdar, 360 ONE Capital
Right. My second question was on the color coated business. What is your target capacity in this business , because that is a high value -add business where I think the reali sations can be quite significantly higher. So, what is the kind of capacity you are targeting in this business and over what period of time.

Samita Shah: VP CFTRM – Tata Steel Limited
Yeah. The current capacity is around 600 ,000 tons and the idea is to also change the product mix more favourably in the color coated business. We are obviously doing a lot of retail, but the idea is to increase that further. So, there will be an improvement in the overall product mix and in the next stage, we will evaluate capacity expansion in this business.

T. V. Narendran: CEO & MD – Tata Steel Limited
I think what it does , apart from giving us the ownership of the JV , is that it also frees us up from some of the JV conditions which limited our opportunities to get the most out of all the color coat ed lines that we got when we acquired Bhushan. So, there is an opportunity for us to make better use of the lines, some of which were underutilised because we were restricted to participate in the construction market other than through the JV. So, I think there are a lot of advantages we are seeing and obviously beyond de bottlenecking and increasing production, we will work on the product mix. We will also want to scale up. We have an opportunity to also expand in Kalinganagar as a downstream. So, there are multiple options. We also have an opportunity or an optionality in Jamshedpur where we have a 250,000 ton s line to convert the metal coating into color coating. So, there are many options that we have, and our aim is to actually double the profitability of the business in the next year or two.

Rajesh Majumdar, 360 ONE Capital
Thanks.

Operator
Thank you. The next question is from Prat eek Singh of IIFL Capital. Prateek, please go ahead.

Prateek Singh, IIFL Capital

Thanks for the opportunity again. Any update o n how are we going ahead with the H Isarna pilot project? I understand that Nucor is also looking into it and I think that the Department of Energy also proposed a funding for this pilot project. Can we expect any such thing by the Indian government as well in our case?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
As we mentioned that it is fundamentally a Tata Steel IP, and we will be looking at doing it in Jamshedpur. Yes, the conversation with N ucor is happening at this point of time , but this is something that we will set up in Jamshedpur. The mechanism or method of participation with Nucor is under discussion. Then we will see as to when we can go post the engineering work , which is commencing , and t hen we go for the FID to develop this plant in Jamshedpur.

T. V. Narendran: CEO & MD – Tata Steel Limited
Yes, we will of course work with the government if there are any opportunities to get some support , but largely the value we see in this project is that you have far more flexibility in use of the raw materials. You don't need to have a sinter plant, a pellet plant, coke plant , etc. The CO■ that you emit is far more amenable to carbon capture and utili sation and we've been working on this for more than 10 years . We worked along with N ucor in running the pilot plant in IJmuiden quite successfully for the last two to three years. So , we are very bullish about the prospects of this project and as K oushik said , we'll be setting it up in Jamshedpur.

Prateek Singh, IIFL Capital
Thanks. And given the expansion that you are seeing in the data centre space and the government also announcing tax holiday, do we have any plans for electrical steel like CRGO , because I think that the transformer industry has been kind of complaining for some time that India is short of electrical steel capacity. So, any plans there?

T. V. Narendran: CEO & MD – Tata Steel Limited
So, there are two aspects to what you said. Data centr e in itself offer s a lot of opportunities for steel because of the fact that the buildings will use steel, the storage racks and everything else will use steel. There is a focused effort on looking at w hat we can supply to the data centres and what are the steels that we can develop and provide. I think that is one part of it. Th e second part is that, yes , CRGO is part of our plans. We are assessing it and most likely the plant will come up in Jamshedpur , but we are still looking at various aspects of it. So, we are working on it.

Prateek Singh, IIFL Capital
Just one last question. Can we get the numb

er of overall deliveries from Europe because there might be inter -segment deliveries as well between UK and Netherlands?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
No. They're not too many.

Prateek Singh, IIFL Capital
Okay , so we can just add them up and take it.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Yeah, there is some amount of slabs which goes to the UK, but it is not material. I mean , it is not the biggest part of their transfers.

Prateek Singh, IIFL Capital
Understood. Thanks for the opportunity again and all the best.

Operator
Thank you. The next question is from Siddharth Gadekar of Equirus Securities. Siddharth, please go ahead.

Siddharth Gadekar, Equirus Securities
Just on the European side, if we look at the OECD capacities , there are around 213 -215 million tons while Europe production has been in the range of 130 -140 million tons. So, do you have any sense of how much is the effective actual capacity in Europe and over the next five to six years , given that everyone will have to transform or go for the transformation journey , what would be the effective capacity in the next five to six years that would be there in Europe?

T. V. Narendran: CEO & MD – Tata Steel Limited
So, capacity is sometimes a very misleading kind of number . How much of that 220 million tons is produced steel , is a question to ask. Generally, in Europe, you will see that production is roughly around 130 million tons, and t here are exports

and imports. Imports ha ve largely been about 30 million tons and e xports have also been around that level. So that's been the balance . Second part is that a lot of these capacities are very high cost capacities . If you look at the European cost curve of production, there are efficient or low cost plants like some of our plants, or some of the Arcelor Mittal plants . And then there are high cost plants and those are the ones which tend to get mothballed . Some of them are inland and logistics costs are higher . So, like I said, if the quotas are reduced, that means more capacity will come on, but those capacities which come on or mothball capacities which come back on are higher cost. And that's why we believe that our plant in IJmuiden is well positioned to have the advantage of higher prices in Europe. That is one. Secondly, like I said, people will think hard if any blast furnace is due for relining in Europe . I don't think anyone is going to reline a blast furnace in Europe now. So, it's more of a question of run ning it as long as you can and then if you have the ability, invest in a new process route. That's wh y I feel that over the next 5 -10 years, there will be a fair amount of restructuring on the supply side in Europe. I think you're already seeing that , even some of the bigger guys have announced closures of some of the blast furnaces and not necessarily replacing all that capacity with new process routes.

Siddharth Gadekar, Equirus Securities
But then , is it fair to assume that over the next couple of years, we can see , if things stand where they are, demand outpacing the production in Europe?

T. V. Narendran: CEO & MD – Tata Steel Limited
Demand will grow. So, what's happening in Europe is , given the intention to spend a lot more money by European countries , we do see a pickup in infrastructure spend , particularly led by Germany. We do see an increase in defence expenditure. I'm not even counting what happens if the Ukraine war stops and there's reconstruction there . So, even as it is, we do see growth in some sectors, but there is also a bit of degrowth in some other sectors. For instance, if , let's say we were exporting a lot of automobiles from Europe to the US, some of that may get impacted . You will have some volumes dropping and some volumes increasing. But overall, I don't see demand growing very significantly and I don't see it shrinking. It will go up maybe 5 -10 million tons at best . It's more of the supply side which we are talking about, both from imports being limited and domestic capacities also going through this transition , either to new process route s or closing down blast furnaces.

Operator
Thank you, sir. I would now like to hand over the conference to Ms. Samita Shah for the closing comment s. Over to you, ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited
Thank you, Kinshuk, I think we've answered all the chat questions which have been asked. We'll not raise them again. Thank you very much for joining us today and we look forward to connecting again with you all next quarter. Thank you.

T. V. Narendran: CEO & MD – Tata Steel Limited
Thank you everyone.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Thank you very much.

Call: May 2026

Ref.: SEC/ 353/2026-27
May 20, 2026

The Secretary, Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.
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Scrip Code : 500470
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G Block, Bandra -Kurla Complex, Bandra (E),
Mumbai - 400 051.
Maharashtra, India.
Symbol : TATASTEEL

Dear Madam, Sir,

Sub: Transcript of 'Tata Steel 4QFY2026 and FY2026 Earnings Discussion'

This has reference to our letter dated May 12, 2026 , intimating that post the announcement of Financial Results of Tata Steel Limited ('Company') for the quarter and financial year ended March 31, 202 6, the Company will host an Earnings Discussion on May 16, 2026.

The Board of Directors of the Company at its meeting held on May 15 , 2026, inter alia approved the Financial Results of the Company for the quarter and financial year ended March 31, 202 6. The Company hosted its 4QFY2026 and FY2026 Earnings Discussion on May 16, 2026 .

In this connection, we enclose herewith the transcript of the ' Tata Steel 4QFY2026 and FY2026 Earnings Discussion '.

The transcript is also available on the website of the Company at:
https://www.tatasteel.com/investors/financial -performance/analyst -call-recording/

This intimation is being provided in compliance with Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.

This is for your information and records.

Yours faithfully,

Tata Steel Limited

Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer

Encl.: as above
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CORPORATE PARTICIPANTS

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Koushik Chatterjee, ED & CFO - Tata Steel Limited
Samita Shah, VP Corporate Finance, Treasury, & Risk Management - Tata Steel Limited

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Amit Dixit, Goldman Sachs
Ashish Kejriwal, Nuvama
Indrajit Agarwal, CLSA
Ritesh Shah, Investec

Satyadeep Jain, Ambit Capital
Sumangal Nevatia, Kotak Securities
Tarang Agrawal, Old Bridge Capital
Pallav Agarwal, Antique
Pinakin Parekh, HSBC

PRESENTATION
Operator
Ladies and gentlemen, good day and welcome to the Tata Steel Analyst call. Please note that this meeting is being recorded. All the attendees ' audio and video has been disabled from the back end and will be enabled subsequently. I would now like to hand the conference over to Ms. Samita Shah. Thank you and over to you, ma'am.

Samita Shah: VP CFTRM - Tata Steel Limited
Thank you, Kinshuk. Good afternoon, everyone on this Saturday afternoon and welcome to our call to discuss our results for the fourth quarter and the full year FY2026. We have with us Mr. T.V. Narendran, our CEO & MD, and Mr. Koushik Chatterjee, our E D & CFO. They will make a few opening comments and then we will take any questions you may have. As always, the discussion will be covered by the safe harbour clause on page two of our presentation. I hope you had a chance to go through the presentation which was uploaded on our website yesterday. So, with that, I will request Naren to make a few opening comments. Thank you.

T. V. Narendran: CEO & MD - Tata Steel Limited
Thanks, Samita and hello everyone . I will make a few comments before I hand it over to K oushik.
Tata Steel delivered a strong performance in FY2026, with improved margins expanding across operating geographies despite subdued pricing and challenges during the year. This performance is the cumulative impact of multiple decisions and disciplined execution over the past few years and positions us well for the next phase of growth and value creation.
India is the key anchor of our growth strategy, with annual crude stee

l production and deliveries increasing by 8% YoY to
around 23 million tons. The successful ramp -up of the 5 MTPA expansion at Kalinganagar, alongside the commissioning of downstream facilities, reflects our value -led growth strategy in India. This is s upported by a strong marketing network and deep customer engagement, and we maximised deliveries to chosen segments. Some segmental highlights are as follows . Automotive and Special Products delivered best -ever quarterly and annual volumes. Our Continuous Annealing and Galvanising lines at Kalinganagar which is a state -of-the-art facility , secured over 25 new grade approvals across ultra -high strength steels and coated products, enabling customers to meet evolving safety and lightweighting requirements. FY2026 marked a s hift in our approach to customer relationship, from engagement -led initiatives to solution -oriented partnerships
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anchored in innovation and AI led enablement. As a result, our branded and retail segment continued to scale. Tata Tiscon, our retail brand, achieved 'best -ever' annual volumes while Tata Steelium, our cold -rolled brand, achieved robust growth in volumes of ~28% on YoY basis. Innovation continues to differentiate our construction solutions and help cater to complex project requirements. We deployed the InQuik modular bridge system at Varanasi -Ranchi -Kolkata Expressway in just 24 days and introduced, a first -of-its-kind Mobile Bore Pile Cage solution, significantly enhancing on -site efficiency. In discerning segments, we strengthened our presence in shipbuilding and oil & gas, aided by international certifications that enable us to participate in higher -specification and globally competitive orders with stringent quality and reliability requirements. Downstream business including Tubes, Wires and Colors achieved best ■ever sales while Tinplate witnessed record annual sales of PAXEL edible oil cans.
We remain committed to our India growth agenda, with continued investments across capacity, downstream integration and sustainable steelmaking. During the year, we commissioned our first scrap -based 0.75 MTPA Electric Arc Furnace at Ludhiana, and progress continues on the proposed expansion at Neelachal Ispat Nigam Limited (NINL) , which will support the next phase of value -accretive growth.
In the UK, our annual deliveries stood at ~2.2 million tons, reflecting subdued demand dynamics. We welcome the recently announced revisions to safeguard measures, including 60% reduction in tariff -free quotas and higher duties, which are expected to support a more balanced market environment. Continued and calibrated policy support will be critical to enable a sustained recovery in the market. In Netherlands, liquid steel production was broadly stable at ~6.7 million tons while deliveries were ~6.1 million tons. Policy measures, including tighter safeguards effective from 01st July and the ongoing implementation of CBAM are reshaping trade flows and enabling preference for local supply. Recently, our operations have been impacted by a temporary suspension of the Direct Sheet Plant at IJmuiden following emission observations. However, we have now resolved the issue, and the Plant is expected to restart soon with due regulatory clearance. Separately, we continue to deeply engage with the Province (of North Holland) and the environmental regulators on emission compliance at our coke and gas production facilities and the future of these facilities. I must emphasise that the company has undertaken several measures in the last 2 years to enhance its environment standards in the Coke and Gas Plants. Given the age of these plants, we are considering closure of these plants in the future. However, any decision on closure of these plants will have to be done in a safe, planned and controlled outcome .
Finally, developments in West Asia have increased costs and supply chain risks around energy, freight and some

raw
materials. In the near term, improved pricing trends across India, Netherlands and UK should help absorb these cost pressures. In India, our upstream are largely operational though there has been some impact on our downstream

galvanising, tinplate and color coated lines , because of the shortage of some critical inputs like Propane. W e are actively trying to mitigate this and most of the lines are now back in full operation. We continue to monitor the evolving situation closely with a close eye on demand dynamics. With that, I will hand it over to Koushik for his comments. Thank you.

Koushik Chatterjee: ED & CFO - Tata Steel Limited
Thank you Naren. Good afternoon or good evening to all who have joined in. In the recent years, global markets have been continuously reshaped by repeated disruptions including the pandemic, geopolitical tensions, supply ■chain dislocations and evolving regulatory frameworks. Together, these factors have led to a highly uncertain and volatile operating environment especially for long and complex supply chain industries like steel.
In the quarter ended March 2026 and for the financial year 2025 -2026, Tata Steel has delivered a resilient and consistent performance through a series of deliberate, value accretive actions across our portfolio to navigate multi -year trough in steel prices while managing unprecedented levels of uncertainty. Today, I will talk on three areas, firstly on performance management, secondly on Balance Sheet & Growth and thirdly on some recent developments in Netherlands and the UK. Firstly, on performance, the financial year 2025 -2026 was challenging on one hand but represents the continuation of the strategic journey, and in many ways, a precursor to also what also lies ahead. The focus is clearly on the quality of earnings. Our Consolidated EBITDA increased by 35% YoY from Rs 25,802 crores in the full year ended Mar’25 to Rs 34,848 crores in the full year ended Mar’26. The consolidated EBITDA margin expanded by 320 bps from ~12% to ~15%. Our full year performance demonstrates the im pact of the cost transformation program, which has achieved Rs 10,868 crores of savings across geographies. India delivered cost transformation benefits of ~Rs 3,927 crores. Key cost efficiencies were driven by purchase optimisation of spares, reduced refractory consumption, increased use of coastal waterways, which offer a structural cost advantage over other modes of transport, higher power wheeling and a leaner coal mix. UK achieved benefits of ~Rs 1,958 crores, driven by calibrated and focused spending on maintenance costs, stronger spares -management discipline and insourcing of product testing. Netherlands delivered benefits of ~Rs 4,983 crores via

optimisation of coal blend leading to decline in procurement costs and deployed value -in-use concept to improve operating efficiencies such as fuel rate, scrap consumption , etc. In terms of execution, the cost transformation program has achieved 95% compliance to the stated plan of Rs 11,500 crores. The key variation to 100% compliance was the delay in the TSN restructuring which has since been completed. In FY2027 we are aiming to achieve cost transformation related savings of ~Rs 7,1 00 crores vs. FY2026 levels. We have also enhanced our working capital efficiency and released around Rs 6,000 crores of cash during the year especially in India and Netherlands through very focused management of working capital.
Let me now speak on the India business as it continues to be our core growth engine , and our anchor in terms of the future strategy of Tata Steel. India now contributes ~74% of Tata Steel’s total crude steel production. At a geographic level, India continued with its industry leading performance, with EBITDA growing 17% YoY to Rs 34,272 crores. EBITDA margin was 24% and similar to the 10 -year average even in a challenging year. Our performance in UK & Nethe

rlands has also
improved materially on YoY basis. UK losses have narrowed by £168 million to -ve £217 million while Netherlands EBITDA almost tripled to €267 million. Combined, UK & Netherlands EBITDA turned positive for the financial year 2025 -2026. Secondly, our performance also demonstrates the cashflow orientation of the entire company. Operating cashflows before capex and dividend increased from ~Rs 17,700 crores in the previous year to ~Rs 29,254 crores in FY2026 and free cash flows were Rs 10,738 crores, which were significantly higher than previous year. Our capacity expansion in India i.e. Phase 2 of Kalinganagar is now complete and this is being complemented by focused investments in downstream facilities and portfolio simplification, strengthening our product mix and enhancing our margin profile. We continue to focus on growing the India business some of which we discussed in earlier calls.
Moving to the 4Q performance provided on Slide 28 of the presentation. Our consolidated revenues stood at Rs 63,270 crores and EBITDA was Rs 9,953 crores, translating to a margin of 16%. Higher realisations and improved volumes in India, were complemented by savings on account of cost transformation. Tata Steel Standalone Revenues for the quarter stood at Rs 38,448 crores and EBITDA was Rs 9,439 crores. On a per ton basis, EBITDA witnessed a sequential improvement of Rs 2,103/t primarily driven by higher volumes and steel realisations. Our wholly owned subsidiary, Neelachal Ispat Nigam Limited (NINL) recorded Rs 402 crores of EBITDA, up 15% QoQ and reflecting an EBITDA margin of ~27%. We have received the Board approval to merge NINL with T ata Steel Limited subject to necessary approvals and permissions and will be looking to complete the transaction in FY2027. Moving to UK, steel prices remained below £500/t until the end of February. Since then, with the onset of the West Asia conflict, along with the UK government announcement indicating tighter steel safeguard measures, have driven a meaningful uplift in hot rolled prices . During the Jan-Mar’26 quarter, TSUK EBITDA improved by £15 million QoQ to -ve £48 million. Most of the recent spot price movement is expected to flow through the P&L in 1QFY27 and 2QFY27. In the UK, steel safeguard measures that were originally introduced to support domestic production are set to expire on 30th June 2026. We welcome the proposed new trade framework and will continue to engage constructively with the government on areas that require further refinement. Effective 01st July 2026, the revised safeguard regime proposes a ~60% reduction in import quotas alongside an increase in tariffs from 25% to 50%, with the objective of ensuring that 40 -50% of steel demand is met through domestic production. For our UK operations, this represents a meaningful step forward. Over the last two years, we have reduced fixed costs by nearly 50%, from a base of approximately £1 billion in FY2024. However, weak demand conditions and the influx of low - cost imports have continued to weigh on performance, with EBITDA losses of around £98 /t. The revised framework, therefore, has the potential to materially improve operating conditions. With price increases coming through in 1Q, we expect quarter on quarter improvement in the earnings goings forward. Work is progressing on the ~3 MTPA scrap based Electric Arc Furnace in the UK. Major demolition works have been completed and securing access to higher -power electricity is critical for our planned transition. While we are working with ESO (Electricity System Operator) and National

Grid for the new electrical infrastructure, National Grid has formally alerted to us that their connectivity project is delay ed. This is critical for Tata Steel UK for the project commissioning, and we are in conversation with National Grid and the UK Government on resolution of the issues. In Netherlands, 4Q EBITDA stood at €58 million,

which translates to €34/t. Higher
volumes and improvement in costs were mostly offset by drop in realisations on QoQ basis. As in the past two years, a lot of focus in Netherlands has been on cash flow management and the company continues to perform exceedingly well on cash flow management and is effectively net debt free in spite of very challenging operating and regulatory conditions.
Let me now come to the Balance Sheet. Our priority is to keep the Balance sheet strong and robust. Post pandemic, we prioritised deleveraging in FY2021 & FY2022 and reduced debt by ~Rs 40, 000 crores, including prepayment of $3.6 billion of offshore obligations. Gross debt currently stands at around Rs 92,382 crores and net debt was ~Rs. 80,100 c rores. For the last few years, we have focused on onshoring of overseas debt to mitigate INR deprecation risks. This has certainly been very beneficial particularly this year. If we did not proactive ly undertake onshoring, gross debt would have been significantly higher by about Rs 12,500 crores on account of INR depreciation. The equity stake acquisitions in Tata Steel Holdings Pte. Ltd, which we have disclosed over the past three years, largely relate to this onshoring initiative. As a resul t,
4
the overseas debt has come down from 50% of the total debt in 2020 -21 to 18% of the total debt in 2025 -26. By FY2028, it will go down further when our overseas dollar bonds are repaid. The only overseas debt that will remain is the working capital lines for the overseas businesses. I would also like to mention that , since all of you keep asking me of deleveraging, in the last 12 months we have actually prepaid around Rs 9,100 crores of debt from our internal cash during the year. You don't see the same on the face of the financial statements because the overseas debt is now valued at Rs 94 to a dollar vs Rs 88 to a dollar a year back which accounts for ~Rs 4,200 crores and there is an increase in leased assets which accounts for Rs 2,500 cr ores. H ence you see only ~Rs 2,418 c rores as the net reduction. Collectively, these measures reinforce Tata Steel's position as the one of few steel companies globally rated as investment ■grade by international rating agencies. Our year end Net Debt to EBITDA has reduced to 2.3x [inaudible] compared to 3.3x two years back. During FY2026, our total spend on capex was about Rs 14,000 cr ores on a consolidated basis and we intend to increase the same in FY2027 to around Rs 20,000 crores of which more than 60% will be spend in India.
I would now like to explain a bit on what you would have seen in the press release and filing on the material uncertainty on TSN. Over the last two years , as Naren mentioned, a lot of work has been undertaken in the Coke and Gas Plants (CGP) and the company has resolved many issues raised by the Environmental Agencies. I must mention that some of the standard's requirements are above industry standards globally , some are technically not achievable and not followed anywhere in the world. After careful assessment we have agreed to therefore close down the CGPs in a planned controlled and safe manner in the future. We are currently discussing with the Province and the Environment Agencies on the timeline that ensures a controlled and safe closure in sequence in the future. As mentioned in the filing, we have received a letter post the Balance Sheet date from the local environment agencies regarding their intent to revoke permits without any specifics -this causes the material uncertainty element for Tata Steel Netherlands while preparing the basis of preparing the financial statements. Additionally, the local regulatory environment is evolving, with authorities proposing standards that g o beyond prevailing EU norms and global practices. Notwithstanding these challenges, we remain committed to operating in a safe, compliant, and environmentally sustainable manner and we are deeply eng

aged with the Environmental Agency,
the Provincial leadership and the government for a mutually acceptable resolution. With respect to decarbonisation of our steelmaking facilities in the Netherlands, we remain engaged with relevant authorities on the transition roadmap.
Lastly, the ongoing crisis in West Asia , as Naren has already mentioned has implications for our near term performance. While our upstream operations i.e. crude steel production has remained largely unaffected, the downstream operations initially faced some supply chain constraints. We managed to mitigate the impact via range of initiatives including alternate fuels, shipping routes and preponing shutdowns in some cases. Costs remain a key focus area; however, as we continue our cost transformation program in FY2027, we expect these initiatives to progressively help mitigate a portion of the pressures. Before I close, I am happy to share that Board has proposed Dividend of Rs 4 per share for fully paid share of face value of Rs 1 each. With that I will end my comments and open the floor for questions.

QUESTIONS AND ANSWERS
Operator
Thank you, sir. We will now begin with the Q&A session. The first question for today is from Sumangal Nevatia of Kotak Securities. Please go ahead and ask your question.

Sumangal Nevatia, Kotak Securities
Good afternoon. Firstly, on the topic of the closure of coke and gas plants, just want to understand that if we replace this with market purchase, what is the cost impac t? And then a broader question - given so much regulatory uncertainty in the region and constant surprises, is there a case to revisit our entire investment plan in the region?

Koushik Chatterjee: ED & CFO - Tata Steel Limited
So, to your question on the cost penalty on buying of coke, I think , given the fact that we are still assessing as far as the timing is concerned, there will be a n impact because we will not have the gases in particular , and the credits that go into coke making. But other than that, we are also looking at options to supply from various sources, which could also include India. We will have some time to plan for it. That is our base case assumption and that is why we are deeply engaged with the government, the Province and the regulator. On the second issue of the case for reinvestment, actually some of these

are prerequisites to be resolved before we undertake any large investments. So, while the point is very valid, I think that's

precisely the conversation that we are having at this point of time with the various stakeholders. It's not that the coke and gas plant shut down affects the plant or the volumes as such because there are alternative ways to do that. But to look at the future and the new configuration of assets to invest in, we need to resolve some of these issues before we take on any large commitments.

Sumangal Nevatia, Kotak Securities
So, are we saying that there's not much cost impact ?

Koushik Chatterjee: ED & CFO - Tata Steel Limited
No, I ’m saying that there is a cost impact, but there is also an offsetting impact that is possible , especially because the CO_2 will go down. As I said , there are the pluses and minuses. The negatives are the fact that the coke oven gas which is used as an energy source will not be there. There will be freight which will be incurred for bringing in the coke and on the other end, the CO_2 will go down. So, there is a net impact and it also depends on what time this transition happens.

Sumangal Nevatia, Kotak Securities
Got it. And with respect to the delay in the electrical backup and infrastructure for UK, what sort of delays are we seeing and what is the best case estimate for commissioning that plant?

Koushik Chatterjee: ED & CFO - Tata Steel Limited
So that is being discussed, and I think we have just been formally told that there is a delay. We are working with the UK governm

ent , the national grid and ESO, which is th e electricity supplier, to see if we can mitigate it, but somewh ere between six months to eight months will certainly be there, maybe higher , after we have built the plant. So, the initial estimate was somewhere around 18 months, which has come down to 12 months , and we are actively working to see if we can reduce it further, but there will be some imminent delays.

Sumangal Nevatia, Kotak Securities
Okay . My second question is with respect to the NINL expansion. So, we've not yet heard any progress on the exact timelines and capex. Any update on that? And generally, as w e're seeing a lot of players adding capacity aggressively, looks like , at least from the map , that we might lose market share over next 5-7 years. Is this a concern for us and can we expect any shift or change of expansion pace for us?

Koushik Chatterjee: ED & CFO - Tata Steel Limited
So, on NINL, the ini tial work on the site preparation has already started. We are getting permissions on different parts and the FEL3 which is our basis, for making the final allocation of capital , is also very advanced. So, in the next few months, we should be able to announce that. One of the reason s why there is a lot of work that needs to be done on the site is because this is going to be a 10 million ton site. So, we are careful from a regulatory point of view to get all the approvals so that we can do it , and equally be tight on the capex. So, we are fairly advanced in that. We'll take a few months and come back and announce it, and then going to ensure that we can execute it quickly.

T. V. Narendran: CEO & MD - Tata Steel Limited
You know Sumangal, on the market share related question, the key point is - market share in what? Because the way we are looking at it , we are more interested in market share in key attractive segments , and we want to make sure that our market share in the se attractive segments is at least twice our overall market share. That's why our focus is a lot more on downstream and a lot more on value added product s, solutions, etc. We have the optionality to grow the upstream , even with the existing sites between Kalinganagar, Meramandali and N eelachal plus Jamshedpur at 11 million tons, we already

have the optionality to grow to 45 -50 million tons in India. Once we start the Maharashtra site, which was also announced , that potentially adds another 6 -10 million tons. So that optionality is available for Tata Steel, which was not there 10 years back when we were operating largely out of Jamshedpur. The question is how fast do we want to build and where, based on the demand, based on the balance sheet and many other things. What is very clear is that, in the market segments that we are strong in, which we think are very important like automotive, oil & gas, and the retail franchise that we have, we will continue to be the dominant , number one player in all these segments.

Sumangal Nevatia, Kotak Securities
I understand. Thank you and all the best.

Operator
The next question is from Satyadeep Jain of Ambit Capital. Satyadeep, please go ahead.

Satyadeep Jain, Ambit Capital
So, you mentioned that , regarding the c oke oven , you may buy coke from India or somewhere else. Just trying to understand this because the auditors have flagged the material uncertainty to going concern. So, it seems like it's not just coke and if you can just get coke from India, why flag material risk to going concern? We understand that some rolling and

casting facilities have also been shut down. So, can you clarify this and in case we shut down these facilities for 5 years before DRI comes, then what do you do with the labour there?

Koushik Chatterjee: ED & CFO - Tata Steel Limited
First, let me deal with the auditor's question, which I thought I had explain ed. We are in discussion s with all of the stakeholders ,

almost on a daily basis , with engagement by our colleagues in Netherlands. The letter which had come in did not have any definitive pathway, dates or transition specifics. So, if you are an audito r or if you are even the company, you will actually ensure that these specifics are necessary to get into the next level of planning and creating the investments . So, when a letter comes in, the auditors are naturally going to say that there is no way in which a specific date is mentioned, or a year is mentioned. And that actually creates the uncertainty , as the company is in receipt of the letter. First of all, the coke ovens cannot be shut down in an unplanned manner. As I've said in the past to some of you that, a coke oven is more like a chemical factory than a steel factory. The coke ovens in UK w ere the last major facility to shut down because it cools down on its own, you have to give time, and there's a make safe requirement. There is also a permit requirement to undertake a shutdown. So, if there is a sequential way of shutting down in a planned, controlled, safe manner, and if a letter lands up which basically does not arti culate t hat path , then it creates an uncertainty because that uncertainty is un manageable . And that's why it is being flagged off here. I share your concern and that is also our concern in some ways , because that is precisely what we want to do. The co ke ovens are 40 -50 years old. The standard s for some of the design of the coke ovens are not technically feasible also. So, we said we will shut down. We were anyway going to shut down soon after the first phase of the DRI - EAF would have come up. This is now potentially earlier than that and that transit or intermittent gap would have been filled by purchase of coke, which I think is perfectly fine. The re will be cost penalties, but as I said, there are C O2 benefits which will also come in. There will be a net effect of that. This is more about the physicality, not about the financials , and that is what created the material uncertainty. We hope that this will get resolved in the coming months as we are engaged with the government, and everybody sees the logic of doing it safe ly. We can't shut down in an unsafe manner, because then it will be the regulator who will be responsible, not Tata Steel Netherlands. So, these are the kind of things that we are working on and that's the basis on which the auditors have said that TSN financials are prepared on a going concern, but there is material uncertainty given this letter. So, the cause of the material uncertainty is only this letter. It's nothing else and that is something that needs to be understood.

T. V. Narendran: CEO & MD - Tata Steel Limited
The DSP is subject to something slightly different. There were some emissions from the DSP which exceeded the limits. So, we had , in the interest of due transparency with the regulator, declared it to them. It was looked at jointly , and we've

closed the DSP. Some changes have been made , and s ome trials are being run, and we hope the DSP should be back up , if we have all the requisite approvals later this month. So that's on the DSP side. Regarding the other question, yes, obviously if you shut down facilities , that will have an impact on labour in those facilities . So that's why this whole transition needs to be planned well and that has been our submission to the regulators , because some parts of the site will then be shutting down earlier than what was originally planned. So, the transition will happen , as Koushik said, once we are clear that we have a social license to operate going forward , and whenever we are ready with the investments.

Koushik Chatterjee: ED & CFO - Tata Steel Limited
Just to add to what Naren said , that if there is any permanent shutdown of any facility, the people will have to be restructured . That is a given , and that's what we have done

in the UK also. So, that is something that is an inevitable consequence of a shutdown, whether it's planned or unplanned. In case of unplanned, it becomes a lot more complex to handle.

Satyadeep Jain, Ambit Capital
And secondly on the transition to DRI , while you're saying that you will have an agreement with the government , even when this entire investment was made by Corus also back in the day , the regulatory landscape changed over time. This entire ability to revoke permit came few years ago, much after the initial investment. So, how do you grandfather, when the regulatory landscape can change late r also after you make the investment. While you evaluate all of this, in case there is a plan to not go ahead with this investment, does it mean you accelerate India investment , and why not explore global majors for tie ups like some other players are doing? Is that something you've explored to accelerate expansion in India? That's the other question.

T. V. Narendran: CEO & MD - Tata Steel Limited
So, let me put it this way. I don't think the India growth is being held back because of anything that we do in Europe. We've done what we wanted to do in India ; that is one comment. The second comment I want to make is that, in our view, we felt that it's better for us to go ourselves. We have had joint ventures in the past. We still have a joint venture with Nippon st eel for a continuous annealing line , and w e had a joint venture with Blue Scope for the color coating line. So, we believe that in our home market, we should ideally be by ourselves because this is our core market. This is where our strength is, this is where we have a strong franchise and hence, we actually want to build capacities by ourselves in India. So , that's our view at least based on what we've seen so far. Koushik, you want to add?

Koushik Chatterjee: ED & CFO - Tata Steel Limited
Yeah, I just wanted to say that , we think there is power in consolidation and in fact we are buying out our JV partners in India because the synergies that we see in the marketplace , in terms of manufacturing excellence and supply chain, actually makes it very clear that if you have to leverage the power of size, it has to be consolidated rather than fragmented , and therefore we think that it is important for us to have one large way of moving forward. As I told you , we are merging NINL, and we bought out Colors. We are buying out many of our JV partners across the value chain because that gives the leverage and the power to be stronger in the market. As Naren mentioned, I must reemphasi se that the India growth is not impacted by what is happening or not happening in the rest of the portfolio.

Satyadeep Jain, Ambit Capital
And what about change in regulatory landscape in Netherlands ?

Koushik Chatterjee: ED & CFO - Tata Steel Limited
That's a good question and an important question. So, the Joint Letter of Intent (JLoI) had a few condition precedents on both sides. There are condition precedents that the government has to fulfil and the condition precedent s that we have to

fulfil. Some of the condition precedents also require the regulator to fulfil because they are also a party in some ways in the JLoI. Before we get into anything which is binding, a lot of this has to be contractually agreed and we are not there at this point of time . No investor including us will make an investment , unless , it is not just grandfathered, but is contractually guaranteed to run its course across a certain minimum period of the life cycle, by which the recovery of the investment happens. And in all of this, even the government is an investor , which is even more important. I think that we are not there as yet as far as the F inal Investment Decision (FID) is concerned. These are the preconditions that we need to resolve before we get there. The JL oI is live and active, and we are in active co

nversation s, but these are very important things
because at the end of the day, even contractually, there will be a certain judgment to be taken on how this works. So, we are not there at this point of time and the regulatory landscape is certainly a very important fulcrum, which needs to be assessed every time we move one step further. That is also getting registered in our process to s ee w hat are the pros and cons, what is tolerable, what is not tolerable, etc. So, we are not in that zone . We will have to do that work as we discuss with the regulator, understand the planned way of doing it because we are also very conscious that apart from our own money, we will not take public money to make investment s which are at risk.

Operator
The next question is from Alok Deora of Motilal Oswal. Alok, please go ahead.

Alok Deora, Motilal Oswal
Good afternoon and congratulations on good numbers. I just had a couple of questions. First is on the net steel realisations . We saw good improvement in the fourth quarter. So, if you could just highlight what's the pricing been in April and May and what could we expect in the near term , in terms of the reali sations ? And sec ond on the coal cost, what's the coal consumption cost for 4Q and what could we look at in 1QFY 27?

T. V. Narendran: CEO & MD - Tata Steel Limited
So as far as reali sations are concerned, in India we expect 1Q to be about Rs. 6,000 /t higher than 4 Q. In UK, we expect it to be about £80 /t higher in 1 Q compared to 4 Q and in Netherlands we expect it to be about €80 /t higher in 1Q compared to 4Q. I'll give you the coal consumption increase. The delta increase we expect in 1Q for India over 4Q is $15 /t, and in Netherlands , it is about $10 /t. As you know , in UK we don't buy coal . The iron ore increase in Netherlands is expected to be about $5 /t in 1Q over 4Q. But I just want to add that some of this suggest s that the spreads are going to increase significantly. There will certainly be an improvement in spread s in India, but there are many other costs which are coming in beyond coal and iron ore because of the impact of West Asia , as Koushik mentioned. So, some of that will add to the cost, but overall, we expect margin expansion in India and in UK , and some margin compression in Netherlands because of the issues that we've had with the DSP , as we would have lost almost one and a half months of production.

Alok Deora, Motilal Oswal
Sure. So, the other cost which you mentioned for India in the first quarter, how much could that be on a per ton basis?

Koushik Chatterjee: ED & CFO - Tata Steel Limited
You have to let th e quarter finish before , because it is still a very evolving situation. We don't want to give you something and then come out with something else.

Alok Deora, Motilal Oswal
Sure. If you could just highlight some thing on the India demand because we are seeing some of the competitors increasing their C apex guidance for next year and big numbers are coming out. So, what's your view on the India demand over the next 2-3 years and if you could just pour some colo ur on that? Thanks.

T. V. Narendran: CEO & MD - Tata Steel Limited
The India demand is expected to be strong, as long as there is infrastructure led growth . So, I think that's the big

assumption and hopefully the current macroeconomic situation will not provoke a rethink on the spend on infrastructur e. That's a big part of India's steel demand growth because it's been more infrastructure investment led growth rather than consumption led growth . If that continues then obviously the steel demand growth will be greater than the GDP growth rate . Until two months back , we were expecting at least 8 -10% growth in steel demand going forward. Now , if we are going to recalibrate the GDP and say that the GDP will grow a bit less, then the steel demand may grow a bit less as well . I think the

automotive sector is quite strong and continues to be strong. We need to see the impact of rising fuel prices, particularly on commercial vehicles, but I think passenger vehicles segment is strong , as well as two wheelers . Construction had a bit of a slowdown, and a bit of impact of labour not being there. I do see some pain with the MSMEs as well because there is pressure at that end of the value chain. Some of them are also struggling with a little bit of working capital issues, etc . So, I think so far, it's good , it looks positive, but obviously it's not insulated totally from what's happening around the world.

Alok Deora, Motilal Oswal
That's all from my side. Thank you and all the best.

Operator
The next question is from Pallav Agarwal of Antique. Pallav, please go ahead.

Pallav Agarwal, Antique
So, the first question was on the volume guidance for FY 2027. Given that we only have the E AF coming on stream, will there be any debottlenecking at Jamshedpur which can add to the volumes?

T. V. Narendran: CEO & MD - Tata Steel Limited
The volume will be at least 2 million tons better in this financial year compared to the previous financial year with most of it coming in India , largely because the Kalinganagar ramp up is pretty much complete . That's the delta volume. In fact, Ludhiana is only half a million tons in this. We've not taken the full Ludhiana volume because it's still being ramped up, but you will have pretty much the full Kalinganagar volume. So, we expect it to be 2 million tons plus for this financial year compared to the previous financial year.

Pallav Agarwal, Antique
Sure. So, the Ludhiana profitability would be lower than the other s?

T. V. Narendran: CEO & MD - Tata Steel Limited
Yes, it will be lower, but the whole model is different. The profitability there from a conversion point of view will be lower, as you're going to save about Rs. 3,000 /t of transportation cost. Otherwise , we would have spent Rs. 3,000/t moving the same steel from Jamshedpur to Ludhiana. S o, you will save that , and when you look at it from a price minus transportation cost point of view, you'll have a higher price there . The cost may be higher than making steel out of iron ore and coal, but your realisation, if you net it off freight, will also be higher compared to what you would have shipped it from here. Secondly, we are less insulated by the weakening rupee and also the coal prices , etc. The Ludhiana plant is insulated from s ome of the cost increases that you will face when we're importing coal, paying for freight, buying in dollars, etc., because you're using scrap.

Samita Shah: VP CFTRM - Tata Steel Limited
And if carbon taxes come in, then obviously that adjustment will also happen because , as you know , it's far more carbon efficient.

Pallav Agarwal, Antique
Sure. I just saw the value added proportion going upward. So how much of potential EBITDA per ton can that add, when increasing the proportion of steel pipes or other value added products (VAP) in the mix?

T. V. Narendran: CEO & MD - Tata Steel Limited
Typically, our downstream businesses, even if you take the steel being transferred to them at market prices, add anything from 5 -10% EBITDA. That's the incremental EBITDA you will get from the downstream businesses, even if you transfer steel at market prices. That's why we've always had downstream, and w e are planning to grow it. The tubes business, which is now at 1.2 million tons ; we want to take it to about 4 million tons. The wires business, where we are the fourth or fifth largest in the world, is about 6 00,00-700,000 tons, and we want to take it to a million tons. In the packaging business between Europe and India, we are one of the largest in the world again. We want to double the India capacity which we've already announced last year. Then we also have Colors. We feel that we can do

much more in color -coated steels. We
were in some sense limited by the JV and that's why we bought out the BlueScope share and we plan to double the size of the Colors business also in the next 12 -24 months. So, I think we want our downstream businesses to at least be about 50-60% of our volume. The whole objective is to sell less HR C in the market and sell more valu e added products , because when selling HR C, you are always under pressure from international prices and it's a commodity that you're selling to the

tube makers , etc. We feel , with less HR C in the mix and more cold rolled, more galvani sed, more packaging steel, and more value added products in our mix, we would be better equipped to deal with the cyclicality which is inherent in the business. Demand is always there, but the question is the profitability that you need to protect.

Pallav Agarwal, Antique
Sure, sir. So lastly, are there any plans on monetizing the online platform, which I think is doing fairly well. Is that something we'll be looking at?

T. V. Narendran: CEO & MD - Tata Steel Limited
Not moneti sing it , as in , no plans just yet to spin it off and moneti se a value. But this is a very important part of our route to market. As you saw , we have the retail business G ross Merchandise Value (GMV) growing very fast , and this is being sold with no discounts at the same EBITDA margin that you see in the rest of Tata Steel. This is almost Rs. 5 ,000 crores now and then you have Dig ECA, which is for the SME business es, which is also growing well. We are now focused on selling what we produce. It's more about enhancing our reach, particularly in the retail business. Now we have orders coming from Indians living across the world who are doing some construction in India, maybe building homes or buying steel for their parents or relatives who are building homes. We get orders from all over the world now , and we see it as a platform to access customers who we didn't have access to earlier. So, we are focused on building it as a very important channel and route to market for ourselves.

Pallav Agarwal, Antique
Sure, sir. Thank you so much.

Operator
Thank you, sir. The next question is from Pinakin Parekh of HSBC. Pinakin, please go ahead.

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Pinakin Parekh, HSBC
My first question is on the Netherland s and the entire saga on the C GP. Now when we go back to the UK operations, we have seen EBITDA losses of Rs. 13,000 crores over the last three years. At this point of time, given the entire uncertainty that we are seeing in Netherlands, first of all, what would be the immediate cost impact because of buying coke or gas ? How will the profitability be impacted? Second, if closures happen earlier in the next 12 -18 months, is there a possibility that the Netherland operations become loss making at current steel prices and current cost structure?

T. V. Narendran: CEO & MD - Tata Steel Limited
So let me address that and then Koushik can add to it. See, as I've said before, with the exception of maybe 2-3 years back , when we did the blast furnace relining, every year in the last 18 years, the Netherlands business has been EBITDA positive and cash flow positive. That's why , as Koushik said earlier, it's debt free even today . So going forward, if the coke ovens close, we expect it to continue to be EBITDA positive, maybe making less EBITDA than we had hoped we would make, but it will always be EBITDA positiv e. So far, the Netherlands business operated without any support from India. So, I think we expect that to continue. This whole material uncertainty issue, as Koushik said was because the letter did not give any timeline and it is like saying that if you don't have a plan closure, then there is a material uncertainty to some assets on that site. I think that is largely the messaging. So, the business going forward will continue to be EBITDA positive. The ot

her thing is, as you've seen in the last few months and going forward, we expect steel prices in Europe to be close r to the steel prices in the US. It was traditionally closer to the steel prices in the US, but over the last 2-3 years, the gap had widened, and that gap is closing now because Europe is also putting restrictions on movement of steel , whether through quotas or through CBAM . So, we expect the pricing to be better in Europe going forward , and we expect our Dutch operation s to continue to operate on an EBITDA positive basis, even if the co ke ovens are closed. Obviously, there will be some margin compression, but we expect them to take care of themselves. The key question is the investments in the future and whether we have the social license to operate for that . That is a question, and that's a point which Koushik made earlier. Those decisions will be taken once we are comfortable that we have a social license to operate for the future as much as we are seeking one now. Koushik, you want to add to that?

Koushik Chatterjee: ED & CFO - Tata Steel Limited
I think broadly the same. Pinaki n, the issue is on the safe and orderly closure, which I think is something that the regulators also want very clearly. So, we will have to come to that. Once that happens, there are projects which have to be undertaken to segregate the CGP's physically from the rest of the plant. So that will take time and that is the reason why we are saying safe and control led closure. Once that happens, you have a new operating model where you will import the coke from outside, be it from India or elsewhere , and you run it on that basis, but that will not make this site unviable. It can actually continue on the same basis. Whether it has the affordability to make a large investment to transit or not is a question that we are testing at this point of time. Apart from the affordability is obviously whether the goal post on regulatory standards keep changing. If these two are satisfied, there is a path forward. If not, there is a n alternative path forward too. So, we are now just in that evaluation stage and exploring as we are engaged very deeply. It is a very serious issue as far as the new investment is concerned, and therefore, all of this has to be resolved before any commitment for new investment is done by Tata Steel Netherlands itself, or whether we will be looking to take the public money that the government has offered us.

Pinakin Parekh, HSBC
Thank you. Just two more quick questions. The first is on UK ; given that there is going to be a delay between the plant commissioning and the electricity infrastructure, how will the plant operate without the infrastructure? And will it be EBITDA positive without the electricity infrastructure? The second is on NINL ; given that we are still in the process of getting all the approvals, what is the earliest estimate of the first steel ?

T. V. Narendran: CEO & MD - Tata Steel Limited
So, on UK, there are two things here. One is that we hope to be EBITDA positive during this year , now that the prices have started improving and that can continue till such time the E AF starts. We can continue to supply the slabs from here and

continue to convert it into steel and as the policy changes that we have sought have come, we e xpect the business itself to be EBITDA positive going forward. That is one part. The second part is , as Koushik said , there is currently a visible delay of about 12 months on the electricity supply. What we are trying to see is to get at least some connection, even one line as soon as the plant is ready so that we can do some trials. We can test out some of the equipment etc. so that we don't waste that time , while w e are waiting for the full electricity connection. We are planning to do a ramp up after the commissioning . We're seeing how to compress that to make sure that we catch up on the project

IRR that we had targeted.
So, if we do the preparatory work before the full electricity connection is there, then we can hopefully do a quicker ramp up. On NINL, Koushik, you want to comment?

Koushik Chatterjee: ED & CFO - Tata Steel Limited
Just to add to what Naren mentioned on UK. Till last year we've been sending about 1.2 million tons of slab to UK. We are increasing that from India from Tata Steel Kalinganagar to about 1. 8 million tons - that is our target to increase. There is a reason why I'm saying thi s, because we often look at the UK EBITDA as a standalone . The Port Talbot facilities in UK is effectively now the fifth hot strip mill for Tata Steel . If we actually look at what is the system EBITDA that we talk about, we make about Rs. 7 ,000-8,000 /t of EBITDA on the transfer of the slabs to UK on a market basis and with the increase in prices, we are seeing about Rs. 4 ,000-4,500/t of EBITDA by UK itself on the volume that we transfer. So, on a system basis for the slabs going to the UK , we as Tata Steel consolidated make about Rs. 12,000 /t of EBITDA. So that model will continue till the E AF starts and then as Naren mentioned , when the power lines get commissioned or activated, we will then do the initial trials and then move on to using it . [inaudible] On NINL, I think between July and September, we should be able to get the FID and once we get the FID, the target date is somewher e around 2029 -30.

Pinakin Parekh, HSBC
Thank you, sir.

Operator
Thank you. The next question is from Indrajit Agarwal of CLSA. Indrajit, please go ahead.

Indrajit Agarwal, CLSA
Hi, thank you for the chance. I have a couple of questions. First, in the Rs. 12,000 crore capex in India, can you split it by project ? In which project s are we spending broadly ?

Koushik Chatterjee: ED & CFO - Tata Steel Limited
I think that, it's very difficult to give those kind of numbers, off hand, but effectively there are certain downstream expansion projects that are going on, be it the tinplate , wires, etc. There is a Hot Rolled Pickling and Galvanising Line (HRPGL) in Tarapur , then there are coke oven project s in Jamshedpur, which is going on. There is the tail end of the payment that has to be done as far as Kalinganagar is concerned , and then there are the sustainable projects , and there is some allocation for NINL. There are also projects on the mining side. So, taking all that into account is Rs. 12,000 crores. If you are looking for whether we have allocated money for NINL, the answer is yes.

Indrajit Agarwal, CLSA
Okay, that's helpful. So, after the 2 million ton s increase this year, over the next 2-3 years, we will hardly have any volume growth in India. Is that understanding correct or what kind of volume growth can we have in India? Let's say from FY2027 to FY 2030.

T. V. Narendran: CEO & MD - Tata Steel Limited
So, there are two or three things here. One is, of course, once the E AF comes, you can use those slabs to convert into finished products in India and there are some projects that we are thinking of , in terms of plate mill and various other downstream. That is one possibility. The other thing is that, more than the volume growth, we'll have a lot of value growth because of all the projects that Koushik just mentioned. The HRPG L line is a 0.8 MTPA line, and the tinplate capacity is another 0. 3-0.4 MTPA capacity . The tubes and wires which we will also be value adding during the time. So , you will see a higher percentage of downstream economics. The steelmaking may be close to where it is till the big volumes come up in NINL. We also plan that in the next year or so, we will announce the next E AF project , maybe somewhere in the west, possibly in Maharashtra. That is something , like you saw in Ludhiana, can be b uilt in two years. So that can come up quite

fast.

Indrajit Agarwal, CLSA
Sure.

Operator
Th

e next question is from Tarang Agr awal of Old Bridge Capital. Tarang, please go ahead.

Tarang Agrawal, O ld Bridge Capital
Sir, on the India business, we see end use consumption in the retail secto r slowing down . From what you've delivered over the past two years , it used to be about 2.8 million tons a couple of years back, then moved to 3.4 million tons and about 3.5 million tons this year. In the construction and infrastructure sector , we actually saw a degrowth in FY 2026. While in your opening comments, you did allude to Tata Tiscon and Steelium achieving record volumes , just wanted to get some clarification in terms of what's happening in those end use sectors.

T. V. Narendran: CEO & MD - Tata Steel Limited
As far as Tata Tiscon is concerned, we sell Tata Tiscon to projects, and we sell Tata Tiscon to retail. Retail for us is far more attractive than projects. So, over the years, we have increased or pretty much doubled our sales to retail, which used to be at one point in time, 100 ,000-120,000 tons a month , is today over 200,000 tons a month . So, while overall Tiscon m ay not have grown, the mix has changed very significantly. And you would see the Tata Tiscon to projects has come down because that's a little bit more of a price to win market. As far as Steelium is concerned, a lot of the Steelium sales will also depend on further value addition options. As the galvani sing lines come up, which has just come up in Kalinganagar, we will have less cold rolled to sell. So, if you have cold rolled, we would rather sell it to auto because that gives us better realisations than to sell it to distribution, or we sell it as galvani sed, which gives us better reali sations than selling cold rolled as it is. So, you will see this going up and down depending on what is the right product mix to sell. That's maybe what you're seeing in the numbers, but we can get back more specifically because I don't remember the exact numbers at a product level.

Tarang Agrawal, O ld Bridge Capital
Sir, so is the Aashiyana channel for the retail end use consumption?

T. V. Narendran: CEO & MD - Tata Steel Limited
Yeah. So, the customers who buy fro m Aashiyana are individuals . The individual house builder is a target market for us as far as retail is concerned. That's where we sell more than 200,000 tons of Tata Tiscon. So, it is an order generation platform. People come on the platform, place the order, and the fulfilment is done by our physical distribution chain. Anywhere in India, within 72 hours , you place the order, and you will get the steel through our dealer network, which we have over 10,000 dealers now across country.

Tarang Agrawal, O ld Bridge Capital
And this is exclusively only Tata Steel products ? Does it include Tata Pravesh as well or only steel?

T. V. Narendran: CEO & MD - Tata Steel Limited
No, it includes steel, Pravesh, tubes, wires, everything. All Tata Steel products, but I would say 90 - 95% of the sale is Tata Tiscon.

Tarang Agrawal, O ld Bridge Capital
Got it, thanks.

Operator
The next question is from Amit Dixit of Goldman Sachs. Amit, please go ahead.

Amit Dixit, Goldman Sachs
So, two questions. One is on the capacity expansion plans. If you look at your annual reports over the last five years, it has been vacillating between 35 -40 MTPA of India capacity by FY 2030. We have significant brownfield optionality, maybe more than our peers in India , and we have got decades of experience. So why can't we have parallel expansions across our projects? Brownfield expansion s, replicating the similar furnace and of course , not seeding the market share to the peers. Why are we not pursuing that? Balance sheet is in a great state now ; 2.3x net debt to EBITDA, Rs. 10,000 crores of free cash flow last year, and in India, consumption is expected to double by FY 2032. So just wanted to get your thoughts on that. Wh

at is stopping us? Why are we being so circumspect about it?

T. V. Narendran: CEO & MD - Tata Steel Limited

Thanks Amit. You're right. I think the optionality today is that we can operate parallelly , whereas like I said earlier, when you had only Jamshedpur, you had to operate sequentially. And in Kalinganagar, you could operate parallelly in two sides. Now we can operate parallelly in four sides. That optionality is there. So, in the NINL expansion of 5 million tons, to go back to one of the other comments you made, the blast furnace will be an exact replica of the 5 million ton blast furnace that we have in Kalinganagar. We are replicating assets wherever we can. The steel melt shop will be different because it's a long products plant. Parallelly, we are working on the Bhushan 1.5 million ton expansion, which will take it to 6.5 millions tons. There is a change in the way we do projects. Earlier we used to just announce a project and, then go around getting all the approvals. Now, we announce a project only after we get all the approvals, and we have an FEL3 level of detailing so that our ability to stick to the schedule and the cost is very high because we've gone with a great level of detail. I think that's been a difference in approach than what we did traditionally. That's why you see the announcements happening only when

we have all the approvals in place and we have an FEL3 level of readiness and then , once we announce it, we can move much faster.
Case in point is the Ludhiana project. We built it in two years because the FEL3 level of detailing was done, and all the approvals were in place. We announced the board approval about two years back. We were supposed to get it started in April this year and we started it in March. So, we expect going forward that all the projects which Koushik talked about, which is the Galvan ising line, the Tinplate line or the combi mill that we recently commissioned, will be with a different approach . Compress the execution time and do it on time and schedule , with no overruns and do it when all your approvals are in place. Maybe that's why you're seeing us being a bit more circumspect as you said. The other thing is , like I said, strategically, we feel it is not just about steelmaking capacity because let's understand one thing ; the cost of iron ore in India is going up. So, the value pools will shift. Value pools are not necessarily upstream going forward. Some of those value pools will shift downstream. For us , we've been buffered a bit because we've had our own iron ore , but if you generally look at cost of iron ore in India it is really going up. Everyone is bidding over 100% to acquire the iron ore. Cost of coal will keep going up because India has no choice but to import a lot of coal and with the INR where it is , input cost for steel making is going to go up. So, we need to be conscious of that and that's why we feel that we need to focus a lot more on the downstream than we've done. We probably have a good downstream presence compared to many of our peers, but we want to do even more. That's why we feel , that is an area which we need to grow much faster than upstream , and a lot of our focus on investments over the last year, whether it's acquiring JV partners, or building new facilities , has been on that.
We also want to strengthen our entire value chain , as Koushik just mentioned, even logistics. As you know, w e are buying out some of our partners. We want to control the entire value chain, which can help us in our competitiveness . So, I think the way we deploy capital, the way we see the value, etc., may be different from the way some of our peers see it , but the best thing is that we have the optionality. Like I said, even with the current sites, we have the optionality to go to 45 -50 MTPA . So, if at some point in time, there's still a lot of money upstream, even though the iron ore price

s are high , you can
always go there and do it. The other thing we need to keep in mind in India is the capacity to execute projects, because you're going to the same two or three people to execute all the projects. Do they have the capacity to execute what we plan to do, and you don't want to get stuck doing multiple projects which can't happen as you plan. So, I think there are a number of ways to look at it, and we believe that having that optionality open with brownfield, the cost of expansion will be lower. You can pace it better. When you acquire, like we did Bhushan , etc., you have a single bullet of Rs. 35,000 crores going in and your balance sheet obviously gets disturbed. But when you do this, as you pointed out, our cash flows that we generate in India more than takes care of what we need to spend, and we can manage our debt also well. So that's our point of view. I'm not saying that ours is necessarily the right point of view, but that is our point of view.

Amit Dixit, Goldman Sachs
Great, sir. The second question is essentially on what you pointed out in the answer to the first question - increasing the stake in TM International Logistics Ltd. (TMILL) . I would say , a very prudent move. Logistics is something that we are literally struggling in the steel industry. So just wanted to get a little bit more colour on that. What kind of investments we are seeing over there , in either slurry pipelines or rake procurement or maybe coal conve yor? Any such thing to do with the logistics part.

T. V. Narendran: CEO & MD - Tata Steel Limited
TMILL, when it started, was actually a port operat ions and shipping logistics company. But today 80% of its revenue comes from moving stuff on the ground and rail. It's one of the biggest operators in the country. I think it operates about 55 rakes now. So, a lot of our movement is through TMILL. TMILL also manages a lot of warehouses for us to do just in time delivery for our procurement, etc. TMILL is also looking at waterways movement because one of the areas the government is also looking at is the waterways which are close to Kalinganagar, connecting Kalinganagar to Parad ip and all the way to Angul.

So, TMILL can play a role there. Logistics, like you said, is a very important part of our cost. I don't know if you know, but Tata Steel is 5% of the freight revenue of Indian railways , because we move so much iron ore, coal , steel, etc. So , I think logistics is very important and hence we thought that we should simplify as much as possible. Now we are buying out IQ Martrade , which is a German company wh ich has been with us for more than 20 years. We still have NYK with us, though with NYK we have another company called Tata NYK, which does the shipping. So, Tata NYK does the shipping and TMILL, which is Tata Steel and NYK going forward, will do a lot more on the ground. In terms of the deal structure , Koushik, maybe you can give more details on the deal.

Koushik Chatterjee: ED & CFO - Tata Steel Limited
TMILL is, as Naren mentioned, very strategic and when you talked about the slurry, our slurry company is the JV that we have with Lloyds, Brahmani River Pellets Limited (BRPL), and we will expand that slurry pipeline. We're looking at transport or logistics very importantl y, and w e will look at doubling capacity there. I think the entire logistics space , between rail logistics, waterways logistics and slurry are the three very important ones that will be the frame going forward. In that context, it was best that we consolidate our holding versus keeping it at 50 %. It was already a JV with 51% holding , and i t will go to 74 %, with NYK the balance. We will look at the next stage of growth in our logistics and want to make it integral to our growth plans also. It has been a profitable venture for all the three partners. It's been paying dividend , and t he capital has been returned many tim

es over for all of the three partners. So, I think it is a question of now making it the larger
landscape and BRPL will look at the slurry pipeline as one of the key areas to grow in the future, not just in the E ast, but potentially later on in Western India also.

Operator
The next question is from Ashish Kejriwal of Nuvama. Ashish, please go ahead.

Ashish Kejriwal, Nuvama
Okay. Sir, two questions fr om me. One, when we guide about Rs. 6,000 /t price increase in the first quarter , I hope we are including our auto contracts also, which w ere not there in the third quarte r or fourth quarter, or this is over and above that?

T. V. Narendran: CEO & MD - Tata Steel Limited
Yes, this includes part of the auto contracts, but most of the benefit from the auto increases will come in 2 Q. We will get some of it in 1Q.

Ashish Kejriwal, Nuvama
Okay, great. And secondly sir, we were discussing about value addition as a way forward for our Indian business . But at the same time, we haven't discussed much on the Maharashtra venture, which we were discussing last time. So, any update on that?

Koushik Chatterjee: ED & CFO - Tata Steel Limited
In Maharashtra, we've moved, and we've been discussing with the government and identified the land. As we get into more finality, we will talk about i t, both on the mining side as well as on the land side. Hopefully in the next three months or so, we will give you an update about where we are on the land and more specifics about it. I don't want to say it now because we need to get formal approvals in place and post that , as Naren mentioned, the optionality. A mit, if you are still listening, it's not the circumspect part, but it is actually more a definitive part. We know exactly what we want to do, and therefore we want to handle it in a manner where it is more definitive because in Maharashtra for example, we are very clear as to what
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we want to do and what we are looking for. The government is on our side in terms of supporting these investments. We have to work together and make it more definitive, and then we'll make those investments. So, it is a question of how we pace it up. and in Maharashtra in particular, I will be able to give you more specific s about it in the next call.

Ashish Kejriwal, Nuvama
Sure. And lastly on Europe, if I understand correctly, now maybe we have to purchase coke from the market in case if we have to close i t, and this can be delayed or closed only within a year 's time. If this goes forward and we need to close our blast furnace and other things also in order to reduce emissions, and by that time , we don't reach an agreement with the government ; then do you think that, either we will close down or we can look for some joint venture or buying or selling the assets , or can we still go ahead with the investment to reduce the carbon emissions over there? How to look at it?

Koushik Chatterjee: ED & CFO - Tata Steel Limited
If you want to paint a scenario or scenarios, then each of them has its own pluses , minuses and options. As of now, we want to run the plant, as it is . The coke and gas plant is what we have consciously and over a time studied. We have a very detailed work done as to how it will get closed , and that's being shared with the regulators and the environmental agencies, and that is why we have a path to go forward. It is not the next 12 months; it can not be done very soon. It will require time, and that is the time that we are in discussion s with. We have made it very clear because there is a way in which we can do it with segregating the coke oven circuit from the rest of the plant, and also ensuring that it is a make safe closure. If that happens, then I think there is a path forward which is the best path forward at this point of time because as I said, there w ill be cost penalties . But the way the market is moving, and the way we will optimi s

e it within the overall Tata Steel system,
we should be okay. If it goes beyond that, then we will have to look at different alternative scenarios, and what scenarios actually work for both the Tata Steel Netherlands business and its business continuity, as well as for Tata Steel as a primary shareholder. All of these have to be looked at , and then comes the investment case, which we talked in detail earlier in the call. Those are in sequence , so we have a lot of things to settle , set up and set right before we talk about the investment.

Operator

The next question is from Ritesh Shah of Investec.

Ritesh Shah, Investec
Thanks for the opportunity. Sir, first is, can you give colour on Rs. 6,000 /t of pricing increase into 1 Q? If you could break it up in April, May, or probably the pass through which was there from 4QFY26 . And something on the flats and longs ; I think that's a first easier one.

T. V. Narendran: CEO & MD - Tata Steel Limited
So rather than give month wise, all I can say is that the prices went up in March, April, and May . Rather May is still being worked out. That's as far as the trade market is concerned. There is some softening in long products, largely driven by the secondary producers , because I understand that some of them are struggling a bit with working capital, high cost, and disposing some of the steel that they have. There is some pressure in long products in May that I see. Flat products is still holding out because prices in China have gone up over $20 -$25/t in the last 3-4 weeks. So international prices are going up. In fact, Indian flat product producers also have export options now. Export prices are not too bad. The weaker Rupee is also helping exports. So, export options are growing. I would say that in flat products, the pressure is a bit less because international is picking up and China prices have gone up. China's exports ha ve come down to less than 10 million tons after quite a while , and if you see the first four months of this year, Chinese exports are down. So, I think the overall flat products picture looks a bit better. And flat products are very auto driven also both directly and indirectly , and auto so far has been strong. That's a story on flat products. Long products is a little bit more sensitive to construction. Construction has struggled a bit in the last couple of months simply because of the elections and labour going home to vote , and things like that. The gap between the prices of secondary producers and primary producers has kept increasing. I'm not giving you a

month by month breakup, but the guidance of Rs. 6,000 /t is largely driven by what we've seen so far till May. We are not expecting any significant upside beyond May, apart from the auto contracts. Auto contracts are still being finali sed. And normally what happens with auto contracts is that once they are finali sed and you raise the debit notes, some of the money will come in the next quarter. In this case, we are expecting maybe 30% of the benefit to come in this quarter and 70% of the benefit to come in next quarter.

Ritesh Shah, Investec
Wonderful. So, my second question is on Tata Steel Netherlands and UK. Koushik, there are multiple permutations for Netherlands - Coke and gas plants, CBAM , etc. H ow should we look at normali sed spreads, if one had to assign a particular scenario with a higher probability ? How should one look at spreads for Tata Steel Netherlands? Likewise for UK , before and after E AF, for both the variables, how is it that one should understand the impact of CBAM?

Koushik Chatterjee: ED & CFO - Tata Steel Limited
So as far as Netherlands is concerned, our base assumption for spreads i s, business as usual for the next 12 months at least. Whatever you have seen in the historical spread adjusted for a CBAM uplift that is happening in the market today and for the coal prices that have

also moved up, the spreads are no different. There is no adjustment of any combination that
we have in our base case scenario for the financial year 2027 or 20 28. We have to look at the conversations that are happening currently with the regulator and the other stakeholders to see where is the landing ground for the timing of this , because as I mentioned many times in this call, there's a physical timeline required to make a safe and controlled closure. And that is what we are working on. So as far as Netherlands is concerned, in the next 12 months on a base case scenario, we should get what we are looking at. The other issues on gas price increase in West Asia are separate, but purely from a raw material to steel price spread, it should be on the basis of what has been historically the baseline , adjust ed for the price increase that is happening. In UK, typically if you look at it from post E AF, typically good E AFs work in the range of 6 to 8% EBITDA margin. And our assumption is that it is the same, but we have more value added products in the portfolio, so we should be able to get better than that. Our fixed costs anyway are being driven down. So, when the E AF comes in, it should not have any big changes in fixed cost, but other than the combination cost changes because power will become an important factor, scrap will become an important factor, and it will replace the cost of slabs or HR C which is being bought at this point of time.

Operator
Thank you, sir. I would now like to hand over the conference to Ms. Samita Shah for the chat questions . Over to you, ma'am.

Samita Shah: VP CFTRM - Tata Steel Limited
Thanks, Kinshuk. Just continuing on the questions on U K. One is , in terms of the import quota reduction which has happened in the UK , how does it affect the sale of slabs from India to UK? And I think you've answered a lot about UK in general, but I think some questions on when do we expect UK to breakeven given the increase in prices in the UK.

Koushik Chatterjee: ED & CFO - Tata Steel Limited
Slabs are excluded from quotas.

T. V. Narendran: CEO & MD - Tata Steel Limited
And regarding the breakeven , obviously the prices have gone up significantly since March , and these announcements

came in March. So, we were seeking these prices, and I think we've said that in the last two or three calls, that the prices in UK were £100 /t lower than the prices in Europe. Now the prices in UK have caught up with the prices in Europe ; in fact, it's slightly higher. And certainly, as Koushik said , the EBITDA losses will shrink this quarter compared to last quarter and will

shrink again the next quarter. Now whether the shrin k is enough to be positive next quarter is something we are still working out because of the Middle East impact on gas prices and energy costs in UK . That is something that's being worked out , but largely we are heading in the right direction and because we got the policy support that we had sought.

Samita Shah: VP CFTRM - Tata Steel Limited
Thank you. In that same vein, I think you answered it earlier Naren, but because I think there are a few questions on this ; given the price increases or the guidance which we have given in both Europe as well as UK , is there a significant spread expansion expected in both these geographies? I think you answered it, but maybe a few people have missed it .

T. V. Narendran: CEO & MD - Tata Steel Limited
So let me put it this way - the prices are going up in both places for sure. Like I said , 1Q prices will be about £80 /t higher in UK compared to 4Q and in Netherlands , it will be about €80 /t higher . The co al cost in Netherlands are going up about $10/t. So obviously from that point of view, there is a n expansion, and we expect margin s to improve in UK . Like I just described EBITDA losses to shrink , and come closer and closer to zero during this qua

rter and next quarter. But in
Netherlands , in this quarter , because we will lose about 2 months of DSP production, that's about 200,000 tons of production. There is an impact of that on our performance in this quarter. and hence , while we will be EBITDA positive, we will not see a better EBITDA than in the previous quarter , despite the price hikes. But going forward, because there is an import quota in Europe as well, we expect prices will continue to be on the higher side in Europe , than we've seen in the past and the spreads will be supportive. Once our operations get back to normal, I think we will start seeing the benefits of that. Overall, the plan this year on an EBITDA basis is higher than the plan for last year and in Netherlands also.

Samita Shah: VP CFTRM - Tata Steel Limited
Thank you. I think there are s ome questions on the earlier lawsuit in TSN . If there's any update on the status there, please.

Koushik Chatterjee: ED & CFO - Tata Steel Limited
No, there is no material update other than the fact that we have time to file our defence on the mass claim and we are working on it. There needs to be experts who will study on the parts raised in the claim and that's what we are doing. So, at the time when we have to submit, we will do the submission and defend it.

Samita Shah: VP CFTRM - Tata Steel Limited
Thank you. We'll move to India now. There are some questions on what is the iron ore and coal production in India in FY2026?

T. V. Narendran: CEO & MD - Tata Steel Limited
I think iron ore production would be close to 45 million tons and I think we've sold about 4 million tons , if I'm not mistaken . And we will continue to produce what we need for our own use and we will continue to maximi se the sales. I think the challenge with iron ore always is more about logistics and evacuating the material , when we have logistics constraints and the priorities of our own in -house consumption. As far as co al is concerned, we have roughly 3 million tons of coal after wash , available for consumption . What we produce in raw coal is maybe closer to 6 million tons.

Samita Shah: VP CFTRM - Tata Steel Limited
Yes, just a little higher but y es. Okay, thank you. Any visibility on iron ore sourcing post 2030 and any colour around that?

T. V. Narendran: CEO & MD - Tata Steel Limited
Like we've said, we will continue to participate in auctions, but we will be prudent on what we bid. We will not bid beyond what we think makes sense. We will focus on the iron ore leases that are available closer to Eastern India because most of our capacity is coming in East. The second part of the post 2030 strategy is what is evolving in Maharashtra for us. Our plan for Maharashtra is also hinged on iron ore availability , so that is the second part of the plan. The third part of the plan is, of course, to look at imports. We've already got a shipment from Canada , and w e have very high quality ore there. While that may not be the most important part of our plan post 2030, it allows us to test the logistics of bringing in iron ore from outside, and to test the impact of good quality iron ore. O ne of the disadvantages of Indian ore is the quality ; apart from [inaudible] , the alumina is high and there are many other issues. When we look at import s with low alumina, you can have better value in use. So, we are looking at imports also as an option and most of our capacity is moving closer to the sea . With Kalinganagar and N INL that's 25 million tons of capacity which is closer to the sea than Jamshedpur, and the Bhushan plant with 10 million tons will also be closer to the sea compared to Jamshedpur. So, imports become a better option than for a site like Jamshedpur which is far more inland. So strategically, we are in a better position for imports. We also have the optionality of our own leases when it comes up for bidding in 2030. We will decid

e on what should be a
bidding strategy for our own leases , what of it that we want to keep, what of it we may not want to keep, what is the price we are paying for, etc. So , that optionality also exists for us. I think, our objective is to have more options, keep these optionalit ies open so that we can decide as appropriate.

Samita Shah: VP CFTRM - Tata Steel Limited
Thank you. There's a question on H Isarna. Is there any update on the project and any learnings we have reached ? What is our thought on this going forward ?

T. V. Narendran: CEO & MD - Tata Steel Limited
These two projects, H Isarna and E ASyMelt, are very, very important for us , for the future. The advantage of H Isarna is that it can use any raw material. It can use poor quality iron ore, poor quality coal, thermal coal, etc. , and you don't need a coke oven or a sinter plant. So, there's a lot of advantage s. We've been at it for more than 10 years and the good news is that, our pilot plant in Netherlands is doing quite well. We have a team there for the last few years , and a s was mentioned, we are also working with Nucor on this project. They are also very keen because they are also keen to build a plant using HIsarna in the US , as they also need some iron feed into their electric arc furnaces. So, when we set up a commercial scale plant in India, which may be close to a million tons, Nucor will work very closely with us, and the engineering is bein g done for that. We are very excited about this project, and it can be a game changer because , that gives you even more optionalities as far as raw materials are concerned.

Samita Shah: VP CFTRM - Tata Steel Limited
Thank you. And the last question which we'll take for today is the FX debt in India. What is the amount of the FX debt in India? So, you said 18% of consolidated ?

Koushik Chatterjee: ED & CFO - Tata Steel Limited
It is Rs 17,000 crores.

Samita Shah: VP CFTRM - Tata Steel Limited
Yes, that's offshore, but I think the question is how much of it is on India ?

Koushik Chatterjee: ED & CFO - Tata Steel Limited
I think $1 billion is on offshore. So, I think the FX debt in India is somewhere around Rs. 5 ,000-6,000 crores, right?

Samita Shah: VP CFTRM - Tata Steel Limited
Yeah, it's $750 millio n of that ECB and just to clarify to everybody, it's fully hedged . So, we don't have a currency exposure on that.
I think we have taken most of the questions and we a lso took a lot of questions on the audio. So, thank you everyone for your participation today, especially on a Saturday. I hope this helped you better understand the results and we look forward to connecting with you next time.
Thank you and bye.

T. V. Narendran: CEO & MD - Tata Steel Limited
Thank you everyone.

Koushik Chatterjee: ED & CFO - Tata Steel Limited
Thank you very much.